



Enforcement Rules of KOSPI Market Business Regulation

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of these Enforcement Rules is to stipulate the matters necessary for the enforcement of the KOSPI Market Business Regulation (hereinafter referred to as "the Regulation") of the Korea Exchange (hereinafter referred to as "the Exchange"). (Amended on July 16, 2009)

§2. Definitions

The meanings of terms used in these Enforcement Rules shall be as follows: (Amended on April 12, 2023)

1. "KOSPI 200" refers to a market capitalization weighted stock price index based on 200 issues listed on the KOSPI Market, which is calculated by the Exchange using base index of one hundred (100) points on the base date of January 3, 1990.
2. "Sector index" refers to an index calculated by each industry or type for the stocks listed on the KOSPI Market.
3. "Issue using the first trading price as the base price" refers to an issue whose the first trading price determined in accordance with [§37(1)] of the Regulation becomes the base price of the day within the range of quotations within the minimum and the maximum quotation price noted in [Annex 1], and it is classified as follows:
 - (a) Relisted issue and issue with listing change;
 - (b) Issue whose amount of distribution or dividend per share reported to the Exchange exceeds the price limit range on the day before two (2) trading days of the record date noted in [§132(1)], as stocks issued by investment companies (hereinafter referred to as "investment company stocks") under Article 9(18)2 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as the "Act"), stocks of real estate investment companies under the Real Estate Investment Company Act, and stocks of ship investment companies under the Ship Investment Company Act;
 - (c) Issue whose paid-in capital is reduced [refers to the case where paid-in capital amount is reduced according to reverse stock split or stock retirement of stocks held by minority shareholders (refers to minority shareholders noted in [§2(19)] of the KOSPI Market Disclosure Regulation; the same hereinafter)];
 - (d) ETN security that is underwent the reverse stock split or stock split; and
 - (e) Issue that resumes trading after trading has been halted or suspended for thirty (30) trading days or more.

4. “Relisted issue” refers to stocks (including class stocks) that are re-listed in accordance with [§42] of the KOSPI Market Listing Regulation, as stocks issued by corporations incorporated according to merger between corporations and stock-listed corporations established by merger or merger after split-off of delisted corporations or stock-listed corporations.
5. “Issue with listing change” refers to stocks that are issued by a corporation (excluding corporations surviving after carving out noted in Article 530-12 of the Commercial Act) surviving after split-off or merger after split-off of a stock-listed corporations.
6. “Issue listed after merger” refers to stocks that are issued by a corporation incorporated according to the merger between a special purpose acquisition company noted in [§2(1)25] of the KOSPI Market Listing Regulation and a corporation that has not listed its stocks on the stock market, and that are listed in accordance with [§76-2] of the KOSPI Market Listing Regulation.

[Wholly amended on March 12, 2021]

§3. Prices of Immediately Executable Limit Quotations

“A price set by the Enforcement Rules” in [§2(4)4] of the Regulation shall refer to each of the following prices: (February 27, 2025)

1. In the case of immediately executable offer limit quotation

The highest bid price (excluding a bid quotation submitted as a mid-price quotation; the same hereinafter in this Article) at the time of receipt of the relevant offer quotation. Provided that, in cases where there are no bid quotations, it shall be the price (the lower limit price shall be the minimum) which is one quotation price unit lower than the lowest offer (excluding an offer quotation submitted as a mid-price quotation; the same hereinafter in this Article), and in cases where there is no bid or offer quotation, it shall be the most recent price (if the price does not match the quotation price unit, it shall be the price closest to that price among the prices that are lower than that price and match the quotation price unit). (February 27, 2025)

2. In the case of immediately executable bid limit quotation

The lowest offer price at the time of receipt of the relevant bid quotation. Provided that, in cases where there are no offer quotations, it shall be the price which is one quotation price unit higher than the highest bid price (the upper limit price shall be the maximum),

and in cases where there is no bid or offer, it shall be the most recent price (if this price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit). (February 27, 2025)

§4. Prices of Best Limit Quotations

“A price set by the Enforcement Rules” in [§2(4)5] of the Regulation shall refer to each of the following prices: (February 27, 2025)

1. In the case of best limit offer quotations

The lowest offer price (excluding an offer quotation submitted as a mid-price quotation; the same hereinafter in this Article) at the time when the relevant offer quotation is received. Provided that, in cases where there are no offer quotations, it shall be the most recent price (if this price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit). (February 27, 2025)

2. In the case of best limit bid quotations

The highest bid price (excluding a bid quotation submitted as a mid-price quotation; the same hereinafter in this Article) at the time when the relevant bid quotation is received. Provided that, in cases where there are no bid quotations, it shall be the most recent price (if this price does not match the quotation price unit, it shall be the price closest to that price among the prices that are lower than that price and match the quotation price unit). (February 27, 2025)

§4-2. Prices of Mid-price Quotations

The “price set by the Enforcement Rules” in [§2(4)7] of the Regulation shall refer to the simple arithmetic average of the best offer quotation price and the best bid quotation price at the time of continuous auction (anything less than KRW 1 is rounded down; hereinafter referred to as “mid-price”).

[February 27, 2025]

§4-3. Conditions for Stop-limit Quotation to Trigger into Limit Quotation

The “conditions set by the Enforcement Rules” in [§2(4)8] of the Regulation shall refer to conditions in each of the followings:

1. In the case of stop-limit sell quotations

The previous transaction price (if there is no previous transaction price, the base price is used; the same hereinafter in this Article) shall be equal to or lower than the stop price noted in [§2(4)8] of the Regulation (hereinafter referred to as the “stop price”).

2. In the case of stop-limit buy quotations

The previous transaction price shall be equal to or higher than the stop price.

[February 27, 2025]

§5. [Deleted on July 11, 2019]

§6. [Deleted on July 11, 2019]

§6-2. [Deleted on July 29, 2010]

§6-3. Issue for Which Special Quotation Price is Not Recognized

The “criteria specified in the Enforcement Rules” in [§2(9)] of the Regulation shall refer to the case where the base price of different classes of stocks (referring to the stocks that are not common stocks) on the day is one point five (1.5) times or more of the base price of the relevant common share. (Amended on April 20, 2012; September 22, 2020)

[December 30, 2009]

§6-4. Index Arbitrage Trades

(1) “An index specified in the Enforcement Rules” in [§2(21)1] of the Regulation shall refer to an index falling under any of the following subparagraphs (hereinafter referred to as “index for index arbitrage trading”): (Amended on July 11, 2019)

1. KOSPI 200; and

2. KRX 300(referring to a market capitalization weighted stock price index based on 300 issues, from among the stocks listed on the KOSPI Market and the stocks listed on the KOSDAQ Market, which is calculated by the Exchange using the base index of 1,000 on the base date of January 4, 2010; the same hereinafter).

(2) “A form set by the Enforcement Rules” in [§2(21)1] of the Regulation shall refer to any of the following subparagraphs:

1. A trade in which the sale (including the final settlement of a buying contract) of futures contracts on an index for index arbitrage trading (including synthetic stock price index futures) is conducted at the same time or immediately after/before the purchase of a basket of stocks linked to the same index (hereinafter referred to as “a basket of stocks” in this Article); and

2. A trade in which the purchase (including the final settlement of a selling contract) of futures contracts on the same index (including synthetic stock price index futures)

is conducted at the same time or immediately after/before the sale of a basket of stocks.

(3) The "sale of synthetic stock price index futures" in paragraph (2) shall refer to buying of put options while selling call options in trading of options on an index for index arbitrage trading of the index options markets noted in [§3(2)1] of the Derivatives Market Business Regulation (hereinafter referred to as the "trading of index options"), and the "purchase of synthetic stock price index futures" shall refer to selling of put options while buying call options in the trading of index options.

(4) The "purchase" or "sale" in paragraph (2) shall include the cases of purchasing or selling after splitting an order into two (2) or more smaller ones.

[December 6, 2018]

§6-5. Non-arbitrage Trades

(1) The "identical person who is within the scope set by the Enforcement Rules" in [§2(21)2] of the Regulation shall be classified based on the trust assets of each fund and the proprietary assets.

(2) "A specific number set forth in the Enforcement Rules" in [§2(21)2] of the Regulation shall refer to fifteen (15) [calculated including cases of transactions at a multilateral trading company pursuant to Article 8-2 (5) of the Act (hereinafter referred to as "multilateral trading company")]. In such cases, the number of stocks shall be calculated for each of buy and sell. (Amended on January 24, 2019; February 27, 2025)

(3) Notwithstanding paragraphs (1) and (2), none of the quotations noted in each the following subparagraphs shall be deemed to be the quotations for non-arbitrage trading. [January 24, 2019]

1. Liquidity providing quotations under [§12(1)23];
2. Quotations placed through the market-making accounts under [§12(1)16d]; and
3. Quotations under item (j) through (m) of [§12(1)19]. Provided that, in the case of item (m), this shall not apply to the case where it is otherwise specified in the market-making agreement.

[December 6, 2018]

§6-6. Exceptions of Algorithmic Trades

The "securities stipulated in the Enforcement Rules" in [§2(22)] of the Regulation shall refer to debt securities.

§7. Fiction in Application

(1) [Deleted on September 10, 2019]

(2) In applying these Enforcement Rules, the provisions on debt securities shall apply *mutatis mutandis* to the beneficiary certificates that are applied with the provisions of [§111] of the KOSPI Market Listing Regulation. (Amended on February 3, 2009; September 20, 2012; May 13, 2013)

(3) [Deleted on September 2, 2014]

CHAPTER II. MARKET OPERATION

Section 1. Division of the Market and Opening and Closing Thereof

§8. Change of Trading Hours

(1) The Exchange may, pursuant to the proviso to [§4(3)] of the Regulation, temporarily change the trading hours in any of the following cases: (Amended on February 3, 2009)

1. In the cases of failures of the Exchange's computer systems, member's computer systems and other computer systems that are known to perform similar tasks thereof (refers to the situation where the computer systems fail to operate normally for a specific period of time or longer, indicating that orderly execution of trades would be difficult; hereinafter referred to as "the computer system failure");

2. In cases where a computer system failure has occurred or excessive number of quotations is submitted for selective issues, the Exchange may change the trading hours for such issues;

3. In case of the first trading day of the year; and

4. Additionally, the cases where change of trading hour is deemed necessary.

(2) The failure of member's computer system mentioned in paragraph (1)1 shall refer to the case where the fact of falling under any of the following subparagraphs has been confirmed: (Amended on February 3, 2009; December 18, 2013; August 24, 2017)

1. In the case of the securities other than debt securities, when the sum of the trading volume of the members who are experiencing a computer system failure (referring to the cases where members are unable to transmit quotations to the Market via the member's computer system, but excluding computer system failures that are limited to specific offices of the members or specific regions; the same hereinafter) amounts to or exceed 75/100 of the total trading volume (which is on the basis of total volume of

trades executed during the one (1) year period retroactive from the last day of the month preceding the month which includes the date the system failure occurred and is calculated taking into account the cases of admission of new members as well as the membership withdrawal; the same hereinafter) of the members suffering from system failure. Provided that, even in the event where the sum of the trading volume of the members who are experiencing a computer system failure falls below 75/100 of the total trading volume, the Exchange may construe it as the system failure of members referred to in paragraph (1)1 when deemed necessary given the market conditions specified in each of the following items:

(a) In cases where the sum of trading volume of the members who have computer systems failure in the KOSDAQ market amounts to or exceed 75% of the total trading volume of the KOSDAQ market; and

(b) In cases where normal operation of the market is difficult due to the failure occurred to each member system.

2. In the case of debt securities, when the sum of the trading volume of the members of which computer systems have failed for each trading under each subparagraph of [§71-3(2)] of the Regulation is 75% or more of the sum of the trading volume of total members. Provided that, in cases where the Exchange deems that normal operation of the market is difficult due to the system failure of each member, it may be regarded as the system failure under paragraph (1)1.

(3) In principle, the change of trading hours pursuant to paragraph (1)1 shall be the successive extension of trading hours by the duration of a computer system failure from the time the computer system is back in full operation. Provided that, in the case of extension of the closing hour of regular session (hereinafter referred to as "the market closing"), the Exchange may extend it until the time it deems necessary. (Amended on February 3, 2009)

(4) Notwithstanding paragraph (3), in case of debt securities, the Exchange may not, when it changes the trading hours pursuant to paragraph (1), extend the closing time. (Amended on February 3, 2009)

(5) With respect to the trading hours of a regular session after the computer system is fully recovered from the failure, the Exchange may change it to the hours after letting a certain period of time elapse from the time of system recovery, while taking into the consideration such factors as the operating conditions of the Exchange computer systems and member's computer systems, and quotation conditions.

(6) In cases where the trading after a temporary suspension pursuant to [§6] of the Regulation is resumed during the last ten (10) minutes before the closing hour of the regular session, the Exchange shall extend the trading hour by more than ten (10) minutes after the trading resumption. Provided that these provisions may not apply to the trading of debt securities. (Amended on February 3, 2009)

Section 2. Types of Trades

§9. Designation of Types of Trades

(1) “Case stipulated in the Enforcement Rules” in [§7(1)2] of the Regulation shall refer to the case where the settlement date noted in paragraph (2)1 is the due date for holding reserve (if the relevant date is a market holiday, it shall be the immediately preceding trading day; hereinafter referred to as “the due date for holding reserve”), which is set by the Bank of Korea. (Amended on December 30, 2011; October 29, 2024)

(2) Pursuant to [§7(4)] of the Regulation, the types of debt securities trades shall be as follows; (Amended on February 3, 2009; December 30, 2011)

1. Trading in the KRX KTB under subparagraph 3 of [§55] of the Regulation: Next day settlement trade.
2. Trading of debt securities other than the trades noted in subparagraph 1: Same day settlement trade.

(3) As a case of stock trading referred to in [§39(4)1&2] of the Regulation pursuant to [§7(4)] of the Regulation, when a bid quotation and an offer quotation are submitted by a same member {in the case of a member is given multiple ID numbers pursuant to [§12(3)], they shall be limited to the quotations placed by the same ID number; the same hereinafter in [§52(2)] and [§53(2)]} and the relevant member has submitted to the Exchange a written application for the same day settlement trade in accordance with [Annex: Form No. 1] three (3) days before placing the quotations, the Exchange shall designate such trade as the same day settlement trade, if it is deemed necessary. (Amended on July 7, 2006; March 19, 2009)

(4) Pursuant to [§7(4)] of the Regulation, the trades that the Exchange conducts for the buy-in in accordance with [§22] of the Securities Market Clearing and Settlement Business Regulation shall be designated as the same day settlement trade. [December 30, 2011; February 27, 2025]

§9-2. Guideline for Connection to Member system, etc.

(1) “Matters stipulated in the Enforcement Rules” in [§8-2(1)] of the Regulation shall refer to each of the following subparagraphs: (Amended on February 28, 2014)

1. Methods of network connection between the Exchange and members;
2. Methods of requesting and allotting the communication lines between the Exchange and members, and the sessions;
3. Specifications of security devices under [§82(2)] of the Regulation;

4. Guidelines for allocation and operation of sessions of members; and

5. Other matters that the Exchange deems necessary for the efficient and reliable operation of the system.

(2) “Communication lines” in paragraph (1) shall refer to the physical circuits used in transmitting and receiving quotations and trade details between members and the Exchange, and “sessions” shall refer to the logical circuits that transmit and receive quotations and trade details between members and the Exchange. (Amended on February 28, 2014)

[December 28, 2011]

Section 3. Quotations

§9-3. Collective Quoting of Details of Orders relating to Multiple Accounts

(1) “Cases stipulated in the Enforcement Rules” in the proviso to [§9(1)] of the Regulation shall refer to the cases falling under any of the following subparagraphs: (Amended on February 3, 2009; September 20, 2012; September 10, 2019; November 23, 2023; December 4, 2023)

1. Case where a member engaged in the discretionary investment business submits quotations using an account in its own name upon receiving entrustment of orders in order to manage individual discretionary investment property efficiently pursuant to Article 99(2)4 of the Enforcement Decree of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Enforcement Decree of the Act”). In such cases, the person responsible for the discretionary investment business shall be clearly noticeable;

1-2. Case where a member engaged in the trust business submits the quotations using an account in its own name upon receiving entrustment of orders in order to manage individual trust property (excluding trust property intending to acquire or dispose the treasury stocks) efficiently pursuant to Article 109(1)5 of the Enforcement Decree of the Act. In such cases, the person in charge of the trust business shall be clearly noticeable and a member who intends to submit quotations for debt securities shall report this to the Exchange in advance;

2. Case of submitting quotations based on the order details using an account in the name of a foreign financial investment company or a representative investor or an account in the name of an investment broker to manage the investment of foreign investor groups prescribed in the Regulations on Financial Investment Business;

3. Additionally, cases where, according to the relevant laws and regulations, it is deemed necessary to quote order details using an account in investment broker’s name.

(2) When quoting order details relating to multiple accounts pursuant to paragraph (1), each member shall use a separate account. (Amended on February 3, 2009)

[August 28, 2007]

§10. Types of Quotations

(1) The types of quotations that the members can place for each class of securities pursuant to [§9(2)] of the Regulation shall be as noted in each of the following subparagraphs: (Amended on August 26, 2005; February 3, 2009; 2010; July 16, 2009; July 29, 2010; September 2, 2014; February 27, 2025)

1. For stocks (excluding the stocks of ETF investment companies; the same hereinafter), DRs of foreign stocks, collective investment securities of ETFs and ETNs: Limit quotation, market quotation, limit-to-market-on-close quotation, immediately executable limit quotation, best limit quotation, quotation for auction-based block trade, mid-price quotation, and stop-limit quotation; and (February 27, 2025)

2. For subscription right certificates, subscription warrants, equity linked warrants (ELWs), beneficiary certificates (excluding the beneficiary certificates of ETFs investment trusts; the same hereinafter) and debt securities: Limit quotation.

(2) Pursuant to [§9(3)] of the Regulation, the bid quotations for License & Permit Bonds (LPBs), from among those mentioned in [§61(2) through (4)], which were issued in the same month on the basis of the trading day, may be placed in the form of the quotations by class. (Amended on February 3, 2009)

§11. Quotation Receiving Hours

(1) Pursuant to [§10(2)] of the Regulation, the quotation receiving hours shall be as noted in each of the following subparagraphs: (Amended on May 13, 2005; March 19, 2009; July 29, 2010; December 6, 2010; May 19, 2015; June 21, 2016; April 3, 2019)

1. Regular session: From thirty (30) minutes before the opening of trading hours (hereinafter referred to as “market opening”) to the market closing time. Provided that, in the case of regular session auction-based block trade, it shall be from the market opening to thirty (30) minutes before the market closing time; and

2. In the case of off-hours sessions, the hours as classified in each of the following items:

(a) For the pre-hours sessions, the hours classified for each trading type as follows:

(i) Off-hours closing price trade: From 08:30 to 08:40 hours;

(ii) Off-hours block trade, off-hours basket trade and off-hours auction-based

block trade: From 08:00 to 09:00 hours

(iii) [Deleted on April 3, 2019]

(b) For the after-hours sessions, the hours classified for each trading type as follows:

(i) Off-hours closing price trade: From the market closing time to 16:00 hours;

(ii) Off-hours call auction: From 16:00 to 18:00 hours (In the case of deciding closing prices, it shall be until the time when the relevant price is determined.)

(iii) Off-hours block trade and off-hours basket trade: From 15:40 to 18:00 hours

(2) The Exchange may change the quotation receiving hours specified in paragraph (1) in cases where it falls under any of the following cases:

1. Where the trading hours were changed pursuant to the provisions of [§8]; and
2. Other cases that are deemed necessary for market management.

§12. Input of Quotation Details

(1) Pursuant to [§11] of the Regulation, each member shall input each of the following quotation details to the computer system of the Exchange: (Amended on July 16, 2009; July 29, 2010; January 27, 2011; December 28, 2011; September 20, 2012; December 18, 2013; September 2, 2014; December 10, 2014; March 6, 2015; February 24, 2016; March 24, 2016; March 25, 2016; February 28, 2017; December 6, 2018; July 11, 2019; December 22, 2022; August 8, 2023; November 23, 2023; May 23, 2024)

1. Classification of the regular session, pre-hours session or after-hours session;

1-2. In the case of a regular session auction-based block trade, such classification;

2. In the case of a quotation for after-hours session, the type of trade according to each subparagraph of [§33] of the Regulation;

3. Issue or class;

4. Quantity;

5. Each of following quotation types;

(a) In the case of stocks, DRs of foreign stocks, collective investment securities of ETFs and ETNs: Limit quotation, market quotation, limit-to-market-on-close quotation, immediately executable limit quotation, best limit quotation, quotation for auction-based block trade, mid-price quotation, and stop-limit quotation; (Amended on February 27, 2025)

(b) In the case of debt securities: Limit quotation, one-sided market-making quotation, two-sided market-making quotation, market taking quotation, and bid for general collateral Repo; and

(c) In the case of securities other than those mentioned in items (a) and (b): Limit quotation.

6. Price. Provided that this provision shall not apply to the market quotations, immediately executable limit quotations, best limit quotations, quotation for auction-based block trade, mid-price quotation, quotations for off-hours closing price trade and quotations placed to cancel the existing quotations; (Amended on February 27, 2025)

6-2. In the case of stop-limit quotation: Stop quotation [February 27, 2025]

7. Classification for bid or offer;

8. In the case of offer quotation, classification for each of following items:

(a) Offer quotations falling under any subparagraph of [§17(1)] or [§44-2(1)] of the Regulation;

(b) Quotations for covered short sales under [§17(1)2] or [§44-2(2)] of the Regulation; and

(c) Any other offer quotations.

9. Member's ID number;

10. ID number of the branch;

11. Account number;

12. Order number;

13. In the case of cancellation or correction quotations, the classification thereof and original order number;

14. Classification of customer account transaction or self-account transaction;

14-2. One of the following items based on the method of generating quotation:

(a) High-speed algorithmic trading quotation;

(b) Algorithmic trading quotation excluding the quotation in item (a); or

(c) Quotations excluding quotations in items (a) and (b).

14-3. In the case of submitting quotations through high-speed algorithmic trading account, matters in each of the following items:

- (a) A number (hereinafter referred to as the “high-speed algorithmic trading number”) that combines the trader registration number and risk management number pursuant to [§131(5)]. Provided that, in the case of quotations falling under items 14-2 (b) and (c), it is limited to cases where the self-match prevention condition pursuant to [§13-2] and the mass order cancellation pursuant to [§17-2].
- (b) Conditions in the case of quotations imposed the self-match prevention condition pursuant to [§13-2]; and
- (c) Quotation group number in Annex Form 1-3 to apply the mass order cancellation pursuant to [§17-2].

15. In the case of quotation placed to purchase or dispose the treasury stocks, each of the following classifications:

- (a) Following classifications according to the purposes thereof
 - (i) Trades conducted for the purpose of distributing at the time when stock options are exercised;
 - (ii) Trades conducted according to the money trust contract of treasury stocks; and
 - (iii) Trades conducted for the purpose other than those under (i) and (ii).
- (b) Following classifications according to the trading methods
 - (i) Trades subject to [§35(4)] of the Regulation;
 - (ii) From among the purchase of treasury stocks pursuant to [§39(4)1&2] of the Regulation, those subject to [§35(2)] of the Regulation; and
 - (iii) Trades other than those under (i) (ii).

16. Accounts shall be classified into the following items:

- (a) In the case of placing a quotation pursuant to each subparagraph of [§9-3(1)] (including the case of placing quotation using an account under the name of customer who has entered into an agreement for discretionary investment, or the account opened per individual trust asset under the name of member), the classification for each of such cases;
- (b) In the case of placing a quotation through the account exclusively for the trading

of stocks for risk hedging prescribed in Article 115(2) of the Enforcement Decree of the Restriction of Special Taxation Act, the classification of such accounts;

(c) In the case of placing a quotation for the investment of collective investment securities of collective investment companies for foreign equity investment through securities savings account for foreign equity investment prescribed in Article 91-17(1) of the Restriction of Special Taxation Act, the classification of such accounts;

(d) In the case of placing a quotation through the account that is exclusively for the trading of stocks that are subject to the market-making agreement (hereinafter referred to as the “market-making account”) pursuant to Article 115(5) of the Enforcement Decree of the Restriction of Special Taxation Act, the classification of such accounts;

(e) In the case of placing a quotation through foreigner’s consolidated accounts prescribed in Article 6-7(7) of the Regulations on Financial Investment Business, the classification of such accounts;

(f) In the case of placing a quotation through the account exclusively for arbitrage trading that is prescribed in Article 115(12) of the Enforcement Decree of the Restriction of Special Taxation Act, the classification of such accounts; and

(g) In the case of placing a quotation through the bond market-making account noted in the front part of [§99-9(5)], the classification of such accounts.

17. In the case of a customer for whom the good faith deposit is collected pursuant to [§80(1)] of the Regulation, such classification;

18. In the case of margin trading prescribed in the Regulations on Financial Investment Business, the classification for each of such trading;

18-2. In the case of trading of stocks, etc. (referring to the “stocks, etc.” noted in [§15] of the Regulation; the same hereinafter in [§14], [§104], and [§108]) linked with a contract for difference (hereinafter referred to as the “CFD”) prescribed in Article 5-59-2 of the Financial Investment Business Regulations, such classification;

19. In the case of quotations for arbitrage trading and hedge trading, the classification under each of the following items:

(a) Index arbitrage trading;

(b) Sector index arbitrage trading;

(c) Stock arbitrage trading;

(d) Arbitrage trading of collective investment securities of ETF, while it is non-arbitraging;

- (e) Arbitrage trading of collective investment securities, while it is not non-arbitraging;
- (f) Arbitrage trading of ETNs while it is non-arbitrage trading;
- (g) Arbitrage trading of ETNs while it is not non-arbitrage trading;
- (h) DR arbitrage trading;
- (i) DR of foreign stocks arbitrage trading;
- (j) Hedge trading under [§18(2)6] of the Regulation and long hedge trading for the same purpose;
- (k) Hedge trading under [§18(2)7] of the Regulation and long hedge trading for the same purpose;
- (l) Hedge trading under [§18(2)7-2] of the Regulation and long hedge trading for the same purpose; and
- (m) Hedge trading under [§18(2)8] of the Regulation and long hedge trading for the same purpose.

20. In the case of a quotation for trading a basket of stocks, the classification for each of the following items:

- (a) Non-arbitrage trading;
- (b) Trading for the purpose of creating collective investment securities of ETFs, while it is non-arbitrage trade; and
- (c) Trading for the purpose of creating collective investment securities of ETFs, while it is not non-arbitrage trade.

20-2. [Deleted on July 11, 2019]

21. In the case of the quotations affixed with the conditions under subparagraph 12(a) of [§108], such conditions;

22. In the case of trading of bond repurchase agreements (hereinafter referred to as the “Repo trade”), the Repo term;

23. In the case of liquidity providing quotations stipulated in [§20-2(1)] of the Regulation (hereinafter referred to as the “liquidity providing quotations”), such classification;

23-2. In the case of market-making quotations stipulated in [§20-9(1)] of the Regulation (hereinafter referred to as the “market-making quotations”), such classification;

23-3. In the case of market-making quotations stipulated in [§55(4)] or [§71-2(2)] of the Regulation (hereinafter referred to as the “bond market-making quotations”), such classification;

24. Nationality classification;

25. In the case of foreign investors, whether or not there is an identification means (hereinafter referred to as the “foreigner identification means”) under subparagraph 14 of Article 6-1 of the Regulations on Financial Investment Business and whether or not they reside in Korea. Provided that, in the case of foreigners treated as citizens (hereinafter referred to as the “foreigner treated as a citizen”) under subparagraph 2 of Article 6-1 of the Regulations on Financial Investment Business, they shall be classified as not having foreigner identification means;

26. Investor classification code pursuant to [§104(1)6];

27. Classification of inputting methods for the orders [in the case of item (e), the quotation price shall be included] noted in each of the following items and the identification code of the order-inputting device [excluding item (b)]. Provided that these provisions shall not apply to the debt securities:

(a) Method of inputting quotation information into an input device by an officer or employee of a member, upon receiving an entrustment from a customer in written form or over telephone, etc.: IP address and MAC address of the input device of office;

(b) Method of inputting the details of order into a member computer system directly by a customer through a wired communication device;

(c) Method of inputting the details of order into a member computer system directly by a customer through a wireless communication device: ID number of the wireless device;

(d) Method of inputting the details of order into a member computer system directly by a customer through a computer: IP address and MAC address; and

(e) Method of inputting quotation information other than those mentioned above: Unique identification code that can be used to identify the order-inputting device.

27-2. Specification of whether or not a trading market is designated [referring to the securities market under Article 8-2(4)1 of the Act] and multilateral trading company. Provided that, this does not apply to debt securities. [February 27, 2025]

27-3. In cases where a customer or a member receives the short selling registration number noted in Article 6-37, Paragraph 2 of the Financial Investment Business Regulation (hereinafter referred to as “short selling registration number”), such short selling registration number (limited to stocks); and [March 26, 2025]

28. In cases where an entrustment was received from other investment traders or brokers, the number that identifies the relevant investment trader or broker.

(2) Notwithstanding paragraph (1), in the case of submitting a quotation for regular session block trading, regular session basket trading, off-hours block trading or off-hours basket trading, the information noted in each of the following subparagraphs shall be inputted: (Amended July 29, 2010; March 25, 2016; March 12, 2021; December 22, 2022; May 23, 2024)

1. Each of the details under paragraph (1). Provided that, the details noted in subparagraphs 5, 6-2, 14-3(b) and (c), 16(g), 21, 23 through 23-3 of paragraph (1) shall be excluded; (Amended on February 27, 2025)

2. Classification for block trading or basket trading; and

3. Negotiation number, detailed negotiation number and names of negotiators. Provided that, in the case where the block trade in the regular trading session or the block trade in the after-hour trading session is made by the method in accordance with [§49(1)2], member number and account number of the other party and the time when the negotiation was completed shall be inputted.

(3) With respect to the member ID under paragraph (1)9 [including the cases cited in paragraph (2)], the Exchange may issue multiple ID numbers to a member when it is deemed inevitable to do so due to a delay in the change of member computer system following the merger between the members.

(4) In cases where the ID number of branch office or account number has been changed, the member shall notify the Exchange of the details of change without delay.

(5) When placing a quotation after receiving an entrustment from other investment brokers, the member shall input the account number and investor classification code on the basis of the customer who entrusted the order to the relevant investment broker.

(6) In the case of the when issued trade stipulated in [§59-2] of the Regulation (hereinafter referred to as the “when issued trade”), the yield, instead of price, may be entered. In such cases, a quotation is deemed to be placed by the price calculated by the following formula: [November 18, 2015]

$$\text{Price} = 10,000 - (\text{Yield} \times 1,000)$$

(7) In addition to paragraphs (1) through (6), in cases where other matters concerning the input of quotation details are needed, the Exchange shall notify such matters to the

members. (Amended on November 18, 2015)

(Wholly amended on March 19, 2009)

§12-2. Matters for Inspection of Quotation Suitability, etc.

“Matters specified in the Enforcement Rules” in [§11-2(1)] of the Regulation shall refer to the details under each of the following subparagraphs. Provided that, in cases where quotations are submitted through member debt securities terminals (referring to the terminals that are connected to the Exchange’s system by members using programs provided by the Exchange under the authorization of the Exchange, to perform tasks related to the trading of debt securities; the same hereinafter), only those matters deemed necessary by the Exchange may apply thereto. (Amended on March 8, 2012; July 10, 2014; March 6, 2015; July 10, 2019; November 28, 2019; July 23, 2020; December 22, 2022)

1. With respect to accounts, the matters in each of the followings:
 - (a) Account numbers noted in [§12(1)11]; and
 - (b) Account classifications noted in [§12(1)16].
2. With respect to issues, the matters in each of the followings:
 - (a) Issue codes; and
 - (b) Whether it is an issue, the trading of which is suspended under [§26] and [§49] of the Regulation, the KOSPI Market Listing Regulation and the KOSPI Market Disclosure Regulation.
3. Matters about quotation quantity noted in each of the followings:
 - (a) Trading quantity unit under [§33];
 - (b) Quotation quantity limit under [§14(1)3];
 - (c) Quantity limit on liquidity providing quotation under [§31-6(4) & (5)];
 - (d) Quantity limit of quotation submitted for trading treasury stocks under [§57(1)3]; and
 - (e) In the case of debt securities, quantity limit under [§14(1)4(a) through 4(c)].
4. Matters about quotation price noted in each of the followings:
 - (a) Quotation price unit under [§32(2)];

- (b) Limits on quotation prices under [§20] of the Regulation;
- (c) Quotation price limit under [§14(1)1&2-3];
- (d) Price limit of liquidity providing quotation under [§20-5(1)] of the Regulation;
- (e) Price limit of quotation submitted for trading of treasury stocks under [§35(5) and 39(1)] of the Regulation; and
- (f) In the case of debt securities, price limit noted in [§14(1)4(d)].

4-2. Matters about stop price noted in each of the followings: [February 27, 2025]

- (a) Limits on stop price under [§14(1)2-4(a)]; and [February 27, 2025]
- (b) Limits on quotation price units under [§14(1)2-4(b)]. [February 27, 2025]

5. Matters about quotation type noted in each of the followings: (Amended on February 27, 2025)

- (a) Restriction on quotation type in each subparagraph of [§10(1)]; and (Amended on February 27, 2025)
- (b) Input restriction per quotation type under [§14(2)] [excluding subparagraph 2(b) of the same Paragraph].

6. Matters about good faith deposit noted in each of the followings:

- (a) Whether or not the good faith deposit has been collected pursuant to [§89(1), (4) & (5)] of the Regulation; and
- (b) In the case of ELWs or securities noted in [§87-2(1)2] of the Regulation, whether or not the good faith deposit pursuant to [§87-2] of the Regulation has been collected.

7. Matters in each of the following items when inputting the high-speed algorithmic trading number pursuant to subparagraph 14-3(a) of [§12]:

- (a) Whether quotations are submitted through the high-speed algorithmic trading account reported pursuant to [§104-3(3)] of the Regulation; and
- (b) Whether the high-speed algorithmic trading number linked to account in item (a) above matches the high-speed algorithmic trading number inputted pursuant to subparagraph 14-3(a) of [§12].

8. Matters required for the market management noted in each of the followings:

(a)[Deleted on July 11, 2019]

(b) Restriction per customer or per issue that the Exchange imposes for the management of market.

9. In addition, matters that members deem necessary.

[December 28, 2011]

§13. Validity of Quotations

(1) Pursuant to the proviso to [§12(1)] of the Regulation, the quotation falling under any of the following subparagraphs shall be deemed invalid: (Amended on May 13, 2005; March 19, 2009; July 29, 2010; December 22, 2022; April 12, 2023)

1. Quotations entered (excluding cancellation quotations) during the trading suspension or halt under the provisions of [§25(1)], [§26(1)], [§27], [§49], [§50] and [§107] of the Regulation [including the temporary closing of markets pursuant to the provisions of [§6] of Regulation and the suspension of trading pursuant to the Listing Regulation and the KOSPI Market Disclosure Regulation (hereinafter in this Article referred to as the “trading halt, etc.”)]. Provided that cancellation quotations (including quotations to which the mass order cancellation pursuant to [§17-2] is applied) inputted during the period of the relevant trading halt or suspension shall be recognized as effective;

2. In the case of regular session, the quotations noted in each of following items:

(a) Quotations received during the pre-hours session;

(b) In the case of individual auctions under [§23] and [§24] of the Regulation, quotations for auction-based block trade; and

(c) In the case of regular session auction-based block trades, quotations for individual auctions under [§23] and [§24] of the Regulation.

3. In the case of off-hours sessions, the quotations noted in each of the following items;

(a) In the case of pre-hours session, the quotations received during the regular session;

(a-2) In the case of off-hours closing price trade, quotations for auction-based block trade; and

(a-3) In the case of off-hours auction-based block trade, quotations for off-hours closing price trade.

(b) In the case of the after-hours session, the quotations received during the pre-hours session and the regular session; and

(c) In the case of off-hours call auction, the quotations for off-hours closing price trade.

4. Among the quotations participated in the determination of the first trading price of an issue using the first trading price as the base price, the quotations with the prices that are above the upper limit price or below the lower limit price after the determination of the first trading price;

4-2. Mid-price quotations received before the quotation receiving hours for call auction to determine the price at the time of market closing noted in [§23(1)4] of the Regulations, but for which no transaction has been concluded by the quotation reception time; and [February 27, 2025]

5. Additionally, the quotations that the Exchange deems it improper to recognize their validity.

(2) A quotation falling under any of the following subparagraphs shall be suspended its validity until the resumption time specified in the relevant subparagraph: (Amended on March 19, 2009; February 27, 2025)

1. In case of suspension of trading during the quotation receiving hours for call auction or suspension of quotation reception in accordance with [§50] of the Regulations, quotations received before the relevant measures: When trading is resumed [February 27, 2025]

2. Mid-price quotation in cases where there is no quantity of quotation other than the mid-price quotation on either the sell side or the buy side during the time of trading by means of continuous auction: When there is a quantity of quotation other than the mid-price quotation on both bid and ask sides; and [February 27, 2025]

3. Mid-price quotation in cases where no transaction is made during the quotation receiving hours for call auction: When the method of executing transactions is changed to continuous auction and there are quotations other than mid-price quotation on both the bid and ask sides. [February 27, 2025]

(3) In the case of quotations affixed with the conditions stipulated in subparagraph 2(a) of [§108], among the quantity of such quotations, the quantity of quotations falling under each of the following subparagraphs shall be construed as cancelled: (Amended on March 19, 2009)

1. In cases where the condition of immediate or cancel (“IOC”) is affixed, the quantity that are not executed;

2. In cases where the condition of fill or kill (“FOK”) is affixed, if the total quantity quoted cannot be executed, the total quantity of such quotation.

§13-2. Validity of Quotations with Self-match Prevention Condition

(1) Pursuant to the proviso to [§12(1)] of the Regulation, in the case where, among the quotations of high-speed algorithmic traders, the high-speed algorithmic trading numbers of quotations are the same and it is possible to execute transactions between such quotations affixed with the following conditions, the quantity of the relevant quotation shall be deemed to be cancelled according to each of the following subparagraphs based on the condition imposed on the quotation received later:

1. A condition to cancel all of the balance of previously received quotation;
2. A condition to cancel the entire quantity of quotation received later; and
3. A condition to cancel each quantity that can be executed between buy and sell quotations.

(2) Paragraph (1) shall apply only to the case of continuous trading under [§24] of the Regulation during the regular trading session. Provided that this shall not apply if the relevant quotation is subject to the trading priority for simultaneous quotations pursuant to [§34(3)1].

(3) In the case of quotations to which both the self-match prevention conditions under paragraph (1) and the IOC condition under subparagraph 12(a)(i) of [§108] are simultaneously affixed, the self-match prevention condition shall take priority over the IOC condition. (Amended on February 27, 2025)

[December 22, 2022]

§14. Restrictions on Placement of Quotations

(1) In accordance with [§12(2)] of the Regulation, a member shall not submit quotations falling under any of the following subparagraphs: (Amended on August 26, 2005; February 3, 2009; March 19, 2009; July 16, 2009; July 1, 2010; July 29, 2010; January 27, 2011; December 2, 2011; April 20, 2012; May 13, 2013; February 28, 2014; April 7, 2014; July 10, 2014; September 2, 2014; July 16, 2015; September 13, 2018; December 6, 2018; July 11, 2019; November 28, 2019; May 26, 2020; July 23, 2020; June 8, 2021; June 8, 2022; December 22, 2022; April 12, 2023; August 8, 2023)

1. In the case of determining the opening price of the issues using the first trading price as the base price: Any quotation of which price is above the maximum quotation price or below the minimum quotation price;

2. [Deleted on April 12, 2023]

2-2. In the case of a quotation for covered short sale that is subject to price restriction pursuant to [§18] of the Regulation, when falling under any of the followings:

(a) Case of determining the first price of an issue using the first trading price as the base price and a newly-listed issue noted in [§30(1)2a]; and

(b) Case of determining the opening price of initially listed issue of subscription right certificates, subscription warrants and ELWs;

2-3. In the case of a limit-to-market-on-close quotation: Any quotation falling under any of the following items:

(a) Bid quotation placed at the upper limit price;

(b) Offer quotation placed at the lower limit price; and

(c) [Deleted on July 11, 2019]

2-4. In the case of a stop-limit quotation: Any quotation falling under any of the following items: [February 27, 2025]

(a) A quotation whose stop price exceeds the upper limit price or falls below the lower limit price; and [February 27, 2025]

(b) A quotation whose stop price does not match the quotation price unit noted in [§32(2)]. [February 27, 2025]

3. In the case of stocks, etc.: Any quotation with a quantity exceeding the amount specified in each of the following items (excluding quotations for regular session auction-based block trading, regular session basket trading, regular session block trading, off-hours auction-based block trading, off-hours block trading, off-hours basket trading, or the quotations under [§22] of the Securities Market Clearing and Settlement Business Regulation.): (Amended on February 27, 2025)

(a) Where the amount calculated by the Exchange for every trading day by multiplying the base price determined in [Annex 1-2] (referred to as “base price for the date of quotation placement” hereinafter in this Subparagraph) by the number of listed securities (referred to as “market capitalization for the date of quotation placement” hereinafter in this Subparagraph) is KRX 10 trillion or more; a quantity calculated by dividing KRW 100 billion by the base price for the date of quotation placement (a quantity less than the trading unit of the regular session shall be rounded off to the trading unit; the same hereinafter in this Subparagraph);

(b) Where the market capitalization for the date of quotation placement is KRX 100 billion or more but less than KRW 10 trillion; a quantity equivalent to 1/100 of the number of listed securities;

(c) Where the market capitalization for the date of quotation placement is KRX 20 billion or more but less than KRW 100billion; the quantity calculated by dividing KRW 1 billion by the base price for the date of quotation placement; and

(d) Where the market capitalization for the date of quotation placement is less than KRW 20 billion; the quantity equivalent to 5/100 of the number of listed securities.

4. In the case of debt securities, the quotations falling under any of the following items:

(a) In the case of a quotation per issue, a quotation with a quantity exceeding the outstanding balance of listed amount. Provided that when an order is entrusted from an individual under item (h) of [§104(1)6], it shall be a quotation with a quantity that exceeds the lesser of KRW twenty (20) billion (twenty (20) billion points for foreign currency-denominated debt securities) and the outstanding balance of listed amount.

(b) In the case of quotation quantity per person under [§61] exceeding KRW 50 million. Provided that this shall not apply to offer quotations specified in the sales entrustment contract under [§95] of the Regulation and to market-making quotations under [§99-4(1)2].

(c) In the case of bid quotations per class (bid quotations per issue in the case of LPBs mentioned in subparagraph 1 of [§61]) placed by LPB dealers pursuant to [§74], a quotation with a quantity exceeding KRW 15 billion (in the case of excellent LPB dealers noted in [§62-3(1)], a quotation quantity separately set by the Exchange within KRW 22.5 billion). (Amended on November 27, 2025)

(d) Bid quotations with prices exceeding the previous day's closing price {if no previous day's closing price is available, it shall be the mark-to-market price under [§65(2)] of the Regulation, however, if no mark-to-market price is available, it shall be KRW 10,000 at face value for an initially-listed issue only on the date of listing and 10,000 points for foreign currency-denominated debt securities} by the following ratio or offer quotations with the prices lower than the previous day's closing price by the following ratio. Provided that this provision shall not be applicable during the period when trading is allowed pursuant to [§9] of the KOSPI Market Listing Regulation and when the Exchange deems it necessary for market management, the ratio may be set differently. (Amended on December 24, 2025)

(i) For debt securities, excluding equity-related bonds: 30/100; and

(ii) For equity-related bonds: 50/100.

(e) Where the first trading price of an initially listed issue as equity linked bonds (including the beneficiary certificate noted in [§7(2)]) is determined: Any quotation for covered short sales for which the price is restricted pursuant to [§44-3] of the Regulation.

(f) Notwithstanding the main sentence of item (d), for the issue of which closing price of the day and mark-to-market price are not available, the quotations that exceed KRW 15,000.

5. In the case of falling under each of the following subparagraphs, quotations with self-match prevention condition pursuant to [§13-2]:

(a) Issues that are permitted to be traded for a certain period of time in accordance with [§9] of the KOSPI Market Listing Regulations (hereinafter referred to as “issue scheduled to be delisted”); (Amended on February 27, 2025)

(b) Issues whose the method of trade execution is changed pursuant to item 2 of [§38-2] of the Regulation (hereinafter referred to as “issue subject to call auction due to abnormally soaring price”); (Amended on February 27, 2025)

(c) Temporary overheated issues under [§106-2(1)] of the Regulation (hereinafter referred to as “temporary overheated issues”; (Amended on February 27, 2025)

(d) Investment precaution issues under [§106-4(1)] of the Regulation (hereinafter referred to as “investment precaution issue”); and (Amended on February 27, 2025)

(e) Low liquidity issues subject to periodic call auction noted in [§56-3(1)] and different classes of stock issues subject to periodic call auction noted in [§56-4(1)]. (Amended on February 27, 2025)

(2) No member shall place quotations falling under any of the followings for each quotation type and condition: (Amended on May 13, 2005; March 19, 2009; July 29, 2010; October 22, 2012; May 13, 2013; March 25, 2016; February 28, 2017; July 11, 2019; July 23, 2020, November 26, 2020; December 22, 2022; April 12, 2023; May 23, 2024)

1. Market quotations and limit-to-market-on-close quotations that fall under any of the following items:

(a) Quotations for covered short sales that are subjected to the price restriction pursuant to [§18] of the Regulation;

(b) Liquidity providing quotations;

(c) Market-making quotations

(d) Quotations for purchasing or disposing the treasury stocks;

(e) Quotations for off-hours closing price trade or off-hours call auction;

(f) Quotations for regular session block trading, regular session basket trading, off-hours block trading or off-hours basket trading;

(g) Quotations for determination of the first price of the issues using the first trading price as the base price and a newly-listed issue noted in [§30(1)2a];

(h) Case of an issue scheduled to be delisted; (Amended on February 27, 2025)

(i) Case of temporary overheated issues and investment precaution issues (limited to the limit-to-market-on-close quotations); (Amended on February 27, 2025)

(j) Quotations for auction-based block trade;

(k) Case of the quotation receiving hours stipulated in [§35(1)3] (limited to the limit-to-market-on-close quotations);

(l) Quotations with self-match prevention condition pursuant to [§13-2];

(m) Cases of call auction issues with abnormally soaring price, the low liquidity issues subject to call auction noted in [§56-3(1)] and the different classes of stock issues subject to call auction noted in [§56-4(1)] (limited to the limit-to-market-on-close quotations); (Amended on February 27, 2025)

(n) Quotations affixed with conditions noted in item 12(a) of [§108] (limited to the limit-to-market-on-close quotations); and [February 27, 2025]

(o) Additionally, cases where the Exchange deems it necessary for the market management.

2. Immediately executable limit quotations, best limit quotations and quotations affixed with the conditions specified in subparagraph 12(a) of [§108], which fall under any of the following items:

(a) Case falling under items (a) through (j), item (l), and item (m) of subparagraph 1. Provided that, the relevant quotations can be submitted in the following cases:

(i) In the case of subparagraph 1(c): Best limit quotations;

(ii) In the case of subparagraph 1(j): Quotations affixed with IOC and FOK noted in subparagraph 12(a) of [§108]; and (Amended on February 27, 2025)

(iii) In the case of subparagraph 1(l): Immediately executable limit quotations, best limit quotations, and quotations affixed with IOC under subparagraph 12(a)(i) of [§108]. (Amended on February 27, 2025)

(b) Case of quotation receiving hours for the quotations participating in call auction pursuant to [§35(1)];

(c) Best limit order affixed with a condition noted in subparagraph 12(a) of [§108]; and [February 27, 2025]

(d) Additionally, the cases where the Exchange deems it necessary for the market management.

3. Quotations for auction-based block trade that fall under any of the following items:

- (a) Quotations for individual auctions under [§23] and [§24] of the Regulation;
- (b) Case of falling under items (e), (f) and (h) of subparagraph 1; and
- (c) Case for trading of issues designated as administrative issues.

4. Limit quotation falling under quotation for auction-based block trade.

4-2. Mid-price quotations that fall under any of the following items: [February 27, 2025]

- (a) In the case of falling under items from (a) to (m) of subparagraph 1; [February 27, 2025]
- (b) In the case of falling under item (b) of subparagraph 2; [February 27, 2025]
- (c) In the case where an investment alert issue noted in [§5-3(1)] of the Market Oversight Regulation or an investment risk issue noted in [§5-3(2)] of the same Regulation is subject to measures under [§135(1)1]; [February 27, 2025]
- (d) In the case where there is no quantity of quotation other than the mid-price quotation for either the sell or buy side or both sides during the continuous auction; and [February 27, 2025]
- (e) Additionally, cases where the Exchange deems it necessary for the market management. [February 27, 2025]

4-3. Stop-limit quotations that fall under any of the following items: [February 27, 2025]

- (a) In the case of falling under items from (a) to (j) and from (l) to (m) of subparagraph 1; [February 27, 2025]
- (b) In the case where an investment alert issue noted in [§5-3(1)] of the Market Oversight Regulation or an investment risk issue noted in [§5-3(2)] of the same Regulation is subject to measures under [§135(1)1]; and [February 27, 2025]
- (c) Additionally, cases where the Exchange deems it necessary for the market management. [February 27, 2025]

5. In the case of bond market-making quotations, quotations subject to conditions falling under [§108(12)a].

(3) When receiving an order with the quantity exceeding the amount noted in each of paragraph (1)3, the member shall place the quotations after dividing the order into a smaller quantity. (Amended on March 19, 2009)

(4) In the case falling under subparagraphs 1 and 2-2(a) of paragraph (1) and subparagraphs 1(g) and 2(a) (referring to the cases falling under subparagraph 1(g) of the same paragraph) of paragraph (2), the relevant quotation shall not be inputted until the opening price is determined and notified. [May 7, 2021] (Amended on April 12, 2023)

§15. Conversion of Limit-to-market-on-close Quotations

(1) Limit-to-market-on-close quotations shall be deemed, in accordance with [§12(2)] of the Regulation, to have been converted into the market quotations according to the following priority:

1. Lower price offer quotation shall have priority over the higher price offer quotations and higher price bid quotation shall have priority over the lower price bid quotations; and
2. In case of same price quotations, the priority shall be assigned according to the time when the quotations are received, thus the quotation received earlier having priority over the ones received later.

(2) In cases where a limit-to-market-on-close quotation is converted into a market quotation pursuant to paragraph (1), the converted market quotation shall be deemed to have been received at the opening time of quotation receiving hours pursuant to the forepart of the main sentence of [§35(1)3]. Provided that it shall be deemed to have been received at the relevant resuming time in the case of the latter part of the main sentence of [§35(1)3], and it shall be deemed to have been received ten (10) minutes before the market closing in the case of the proviso to [§35(1)4]. (Amended on May 19; December 22, 2022)

§15-2. Priority of Occurrence of Validity from Stop-limit Quotation to Limit Quotation

(1) Pursuant to [§12(2)] of the Regulation, the priority of occurrence of validity from stop-limit quotations to limit quotations shall be as follows:

1. In stop-limit sell quotations, a stop-limit quotation with a higher stop price takes precedence over a stop-limit quotation with a lower stop price;
2. In stop-limit buy quotations, a stop-limit quotation with a lower stop price takes precedence over a stop-limit quotation with a higher stop price; and
3. In cases where stop prices are the same, the stop-limit quotation received first takes precedence over the stop-limit quotation received later, based on the time the stop-limit quotation was received.

(2) In applying [§22(2)2] of the Regulation to the stop-limit quotation whose validity as a limit quotation is triggered pursuant to paragraph (1), the time at which the stop-limit

quotation triggers into a limit quotation shall be deemed as the time of receiving the stop-limit quotation.

[February 27, 2025]

§16. Conversion Method between Quotation Price and Yield of Debt Securities

The Exchange may, pursuant to [§12(2)] of the Regulation, convert the quotation prices and yields of debt securities by the following methods and disclose them. In such cases, the numbers after the fourth decimal place shall be discarded: (Amended on February 3, 2009; February 28, 2014)

1. Discount bonds and compound interest bonds
 - (a) Odd period less than a year: By simple discount method; and
 - (b) Period per annum: By compound discount method.
2. Coupon bonds
 - (a) Period less than a unit interest payment period: By simple discount method; and
 - (b) Unit interest payment period: By compound discount method.

§17. Cancellation and Correction of Quotations

(1) Members may, pursuant to [§13(2)] of the Regulation, cancel or correct all or a part of the quoted quantity. Provided that the cancellation of a part of quotation for auction-based block trade shall be allowed only in cases where the quotation quantity remaining after the cancellation satisfies the quantity requirement pursuant to [§48-2(3) and §51-3(3)]. (Amended on March 19, 2009; July 29, 2010)

(2) Members may, pursuant to [§13(2)] of the Regulation, correct the quotations according to any of the following methods: (Amended on March 19, 2009; July 11, 2019)

1. In cases where a limit quotation, limit-to-market-on-close quotation, immediately executable limit quotation or best limit quotation is corrected into the same type of quotation, all or a part of quoted quantity may be corrected using a different price. In such cases, in case of an immediately executable limit quotation or best limit quotation, it shall refer to the case where the price before the correction is different from the price after the correction; and

1-2. In cases of correcting a stop-limit quotation to a quotation of the same type, all or part of the quantity of the quotation shall be corrected using any one method of the following items: [February 27, 2025]

- (a) If a stop-limit quotation is corrected before it triggers into a limit quotation, either

the price of quotation before the correction shall be different from the price of the quotation after the correction, or the stop price before the correction shall be different from the stop price after the correction; or [February 27, 2025]

(b) If a stop-limit quotation is corrected after it triggers into a limit quotation, the price of the quotation shall be different. [February 27, 2025]

2. In cases where a limit quotation, market quotation, limit-to-market-on-close quotation, immediately executable limit quotation or best limit quotation is corrected into a different type of quotation (mid-price quotation and stop-limit quotation are excluded; the same hereinafter in this subparagraph), whole or a part of quoted quantity may be corrected into a different type of quotation. Provided that, as a case falling under any of the following items, it shall exclude the case where the price before the correction is the same as the price after the correction. (Amended on February 27, 2025)

(a) Case of correcting a limit quotation to an immediately executable limit quotation or best limit quotation;

(b) Case of correcting an immediately executable limit quotation to a limit quotation or best limit quotation; and

(c) Case of correcting a best limit quotation to a limit quotation or immediately executable limit quotation.

(3) In the case of correction of quotations pursuant to paragraph (2), such correction shall be valid from the time of receiving such corrected quotation. (Amended on March 19, 2009)

§17-2. Mass Order Cancellation

(1) Members may apply to the Exchange to cancel all quotations received before application at once (hereinafter referred to as the “mass order cancellation”) by designating conditions for each high-speed algorithmic trading number only if all of the following subparagraphs are met. In such case, matters necessary for the application of the mass order cancellation, such as classification of securities, conditions for cancellation, etc. shall be as specified in the Annex 1-3:

1. Cases for managing risks; and

2. Cases for submitting quotations through high-speed algorithmic trading account reported pursuant to [§104-3(3)] of the Regulation.

(2) Notwithstanding paragraph (1), the Exchange may not process the mass order cancellation in case of a system failure or other cases when it is deemed necessary for market management.

(3) Members shall record and maintain data related to the mass order cancellation for ten

(10) years and submit the data when the Exchange request for the relevant data for market management, etc.

[December 22, 2022]

§17-3. Methods to Apply for Cancellation of Disconnected Quotations, etc.

(1) The “case where it is stipulated in the Enforcement Rules” in [§13-2(1)] of the Regulation shall refer to the case where, as a case in which the connection between the member system and the Exchange system is disconnected during the regular trading session and electronic transmission and reception does not occur, there is a determination in advance between the member applying for the cancellation of disconnected quotations and the Exchange.

(2) Pursuant to [§13-2(1)] of the Regulation, the range of cancellation of disconnected quotations shall be the number (excluding the number changed or cancelled through other sessions) of quotations not executed among quotations submitted through the session requested in advance pursuant to paragraph (4).

(3) Pursuant to [§13-2(2)] of the Regulation, trades of debt securities shall be excluded from the application for the cancellation of disconnected quotations.

(4) Pursuant to [§13-2(2)] of the Regulation, the methods to apply for the cancellation of disconnected quotations and for the termination thereof shall be as specified in [§8(5)] of the Guidelines for Connection, etc. of Member System.

(5) The Exchange may not apply the cancellation of disconnection quotations in case of system failure or other cases where it deems necessary for market management.

[December 22, 2022]

§18. Records of Quotations

(1) Pursuant to [§14(2)] of the Regulation, the record of quotations shall be kept in the order book in accordance with [Annex: Form No. 2].

(2) The total quantity per price, upon specifying the bid or offer, shall be recorded in the order book pursuant to paragraph (1).

CHAPTER III. TRADING OF STOCKS, ETC.

Section 1. Common Provisions

§19. Scope of Application

This Chapter shall apply to the trading of stocks, DRs of foreign stocks, collective investment securities of ETFs, ETNs, subscription right certificates, subscription warrants, ELWs and beneficiary certificates. (Amended on February 3, 2009; July 16, 2009; September 2, 2014))

Section 2. Administration of Quotations and Price Limit

§20. Prior Notice on Suspension of Validity of Program Trading Quotations, etc.

(1) The Exchange may, when the price of the contract whose trading volume is the largest pursuant to [§16(1)] of the Regulation (hereinafter in this Article referred to as “the base contract”) rise (or fall) 5/100 or more over (or below) the base price, issue a prior notice about the fact that the validity of bid (or offer) quotations for program trading may be suspended. (Amended on February 3, 2009)

(2) The Exchange may call off the prior notice on the suspension of quotation validity in cases where the price of base contract drops within 5/100 of the base price after issuing the prior notice under paragraph (1) or in cases where the trading of the base contract is halted pursuant to [§76] of the Derivatives Market Business Regulation. (Amended on February 3, 2009)

(3) Notwithstanding paragraphs (1) and (2), when a temporary failure of the Exchange computer system occurs, the Exchange may not issue or call off a prior notice on the suspension of validity of program trading quotation. (Amended on February 3, 2009)

§21. [Deleted on December 6, 2018]

§22. [Deleted on December 6, 2018]

§23. [Deleted on February 3, 2009]

§24. [Deleted on February 3, 2009]

§24-2. Methods of Verifying Covered Short Sale

(1) The “manner stipulated in the Enforcement Rules” in [§17(3)3] of the Regulation shall refer to the preservation of the documents, tape recordings or electronic storage devices that validate the date and details of orders, which the member received from a customer, for a period of longer than three (3) years that is determined by the member.

(2) [Deleted on February 28, 2017]

[March 6, 2009]

§24-3. Restrictions of Quotations for Covered Short Sale

(1) The “covered short sale quotations placed to conduct the trades stipulated in the Enforcement Rules” in the proviso to the part other than subparagraphs of [§17(6)] of the Regulation shall refer to any of the following subparagraphs: (Amended on March 12, 2021)

1. Quotations falling under any of subparagraphs 6 through 8 of [§18(2)] of the Regulation;
2. Liquidity providing quotations pursuant to [§20-2(1)] of the Regulation and market-making quotations pursuant to [§20-9(1)] of the Regulation; and
3. Other quotations placed for the trades that the Exchange deems necessary.

(2) The “issues falling under the criteria set forth in the Enforcement Rules” in [§17(6)1] of the Regulation shall refer to the issues that fall under any of the following requirements (limited to the stock certificates and the DRs of foreign stocks, and hereinafter referred to as the “overheated short sale issues”). (Amended on September 7, 2017; August 26, 2022; April 12, 2023; February 27, 2025)

1. Issues of which the stock price decline rate, the proportion of short sale trading value to the market, and the increase rate of short sale trading value meet all of the following Items:

- (a) The closing price of the day shall not less than 90/100 and not more than 95/100 of the base price of the day;
- (b) The proportion of the trading value of covered short sale to the trading value of the day shall be at least three (3) times (if the value is greater than 20%, it shall be set at 20%) the proportion of the trading value of covered short sale (numbers shall be rounded off to the third decimal point) for the quarter immediately preceding the quarter in which the relevant trading day falls to the total trading value of listed stocks (limited to stocks and DRs of foreign stocks) for the same period; and
- (c) The trading value of covered short sale of the day shall be at least six (6) times the average of the trading value of covered short sale for the latest forty (40) trading days.

2. Issues of which the price decline rate and the increase rate of short sale trading value meet all of the following Items:

- (a) The closing price of the day shall be 90/100 or lower of the base price of the day; and

(b) The increase rate in Subparagraph 1(c) shall be satisfied.

3. Issues of which the price decline rate and the proportion and the increase rate of the trading value of covered short sale meet all of the following Items:

(a) The closing price of the day shall be 97/100 or lower of the base price of the day;

(b) The proportion of trading value of covered short sale to trading value of the day is 30% or more; and (Amended on February 27, 2025)

(c) The trading value of covered short sale of the day shall be at least two (2) times the average of the trading value of covered short sale for the latest forty (40) trading days.

(3) The “trading value of covered short sale”, “trading value of the day”, and “trading value of listed stocks (limited to stocks and DRs of foreign stocks)” in each subparagraph of paragraph (2) shall be calculated by including each trading value (limited to each trading value during trading hours when covered short sale is possible; the same hereinafter in the paragraph) of multilateral trading companies. Provided that, in cases where the Exchange cannot receive information on each trading value from a multilateral trading company due to system failure, etc., such information may be excluded from the calculation. [February 27, 2025]

(4) Notwithstanding paragraphs (2) and (3), stocks falling under each of following subparagraphs shall be excluded from the overheated short sale issues: [February 27, 2025]

1. Issues using the first trading price as the base price; and [February 27, 2025]

2. Newly listed issues noted in [§30(1)2(a)];. [February 27, 2025]

3. Issues for which trading is not established during the regular market hours of the Exchange or the multilateral trading company within the regular market hours of the Exchange. In this case, if the trading information of the multilateral trading company cannot be received due to system failure, etc., the establishment of trading at the multilateral trading company may not be taken into consideration; [February 27, 2025]

4. Issues scheduled to be delisted; [February 27, 2025]

5. Issues for which the number of trading days with executed trades during each trading hour, where covered short sale is possible during trading hours of the Exchange and multilateral trading companies, is less than twenty (20) days within the latest forty (40) trading days. In this case, if transaction information from the multilateral trading company cannot be received due to system failure, etc., the day on which trading was established at the multilateral trading company may not be taken into consideration. [February 27, 2025]

(5) The Exchange may officially announce the overheated short sale issues specified in paragraph (2) and restrict the quotations for covered short sale for one (1) day of the next trading day. Provided that, if the closing price of the relevant issue on the day when the restriction of covered short sale quotation is terminated is 95/100 or less of the base price of the day, the restriction of covered short sale quotation shall be extended until the next trading day and applied repeatedly at the end of every extension period. (Amended on August 26, 2022) (Moved from Paragraph (4), previous Paragraph (3) deleted on August 26, 2022)

(6) Notwithstanding paragraphs (2) through (5), if deemed necessary for the purposes of market management due to drastic changes in market conditions etc., the Exchange may set differently the criteria for overheated short sale issues under paragraph (2) and adjust the period of restrictions on quotations for covered short sales under paragraph (5). [March 9, 2020] (Amended on August 26, 2022; February 27, 2025)

(Wholly amended on February 28, 2017)

§25. Restriction of Quotation price for Covered Short Sales

(1) Pursuant to [§18(3)] of the Regulation, the proviso to [§18(1)] of the Regulation shall not apply to the case falling under any of the following subparagraphs: (Amended on August 28, 2007; February 3, 2009)

1. Case where the opening price is not yet determined; and
2. When the opening price is the same as the most recent price (it shall be the closing price of the most recent trading day, but, if there exists the base price, it shall be the base price), the case where no price that is different from the relevant price has been determined.

(2) [Deleted on August 28, 2007]

(3) The provisions of [§18(1)] of the Regulation shall not apply to the regular session auction-based block trade, regular session block trading, regular session basket trading and off-hours trading (excluding the off-hours call auction). (Amended on May 13, 2005; February 3, 2009; July 29, 2010)

§25-2. Arbitrage Trading of Index, etc.

(1) “A trade that is stipulated in the Enforcement Rules” in [§18(2)1] of the Regulation shall refer to a trade falling under any of the following subparagraphs: (Amended on December 28, 2018; March 12, 2021)

1. An index arbitrage trade under [§2(21)1] of the Regulation;
2. A trade where the sale (including the final settlement of a buying contract) of index

futures based on sector index is conducted at the same time or immediately before/after the purchase of the basket of stocks linked to the sector index; and

3. A trade where the purchase (including the final settlement of a selling contract) of index futures based on sector index is conducted at the same time or immediately before/after the sales of the basket of stocks linked to the sector index.

(2) The provisions of [§6-4(4)] shall apply *mutatis mutandis* to the case of the sale or the purchase under paragraph (1). (Amended on December 28, 2018)

[December 10, 2014]

§26. Stock Arbitrage Trading

(1) “A trade that is stipulated in the Enforcement Rules” in [§18(2)2] of the Regulation shall refer to a trade falling under any of the following subparagraphs: (Amended on December 27, 2007; December 28, 2018)

1. A trade where the sale (including the final settlement of a buying contract) of single stock futures (including the synthetic stock futures) based on the relevant underlying stocks is conducted at the same time or immediately after/before the purchase of underlying stocks; and

2. A trade where the purchase (including the final settlement of a selling contract) of single stock futures (including the synthetic stock futures) based on the relevant underlying stocks is conducted at the same time or immediately after/before the sale of underlying stocks.

(2) The “sale of synthetic stock futures” mentioned in paragraph (1) shall refer to the purchase of a put option while selling a call option, and the “purchase of synthetic stock futures” shall refer to the sale of a put option while buying a call option. (Amended on December 28, 2018)

(3) The provisions of [§6-4(4)] shall apply *mutatis mutandis* to the case of the purchase or sale under paragraph (1).

§27. [Deleted on March 12, 2021]

§27-2. [Deleted on March 12, 2021]

§28. DR Arbitrage Trading

(1) “A trade that is stipulated in the Enforcement Rules” in [§18(2)4] of the Regulation shall refer to a trade falling under any of the following subparagraphs: (Amended on February 3, 2009)

1. A trade where the sale of the underlying stocks is conducted simultaneously with or

immediately after/before the purchase of DRs (including the DRs for foreign stocks: the same hereinafter in this Article); and

2. A trade where the purchase of the underlying stocks is conducted simultaneously with or immediately after/before the sale of DRs.

(2) The provisions of [§6-4(4)] shall apply *mutatis mutandis* to the case of the purchase or sale under paragraph (1). (Amended on February 3, 2009; December 28, 2018)

§28-2. Follow-up Management of Short Sale Quotations

(1) Each member shall preserve the records and relevant materials pursuant to [§18-2(1)] of the Regulation for the period determined by the member, which is longer than three (3) years.

(2) In verifying the balance of securities held and the quantity of securities to be settled pursuant to [§18-2(1)] of the Regulation, if the customer has electronically registered the relevant securities through trust companies or depository institutions, members shall obtain a notification on the status of settlement shortage from the trust companies or the depository institutions in accordance with [Annex: Form No. 2-2], by 12:00 noon on the settlement date. In such cases, if a trust company or a depository institution notifies the customer of the information on settlement shortage via the information network of the Korea Securities Depository (hereinafter referred to as “KSD”) (limited to the case where reasons for the settlement failure are stated according to the classifications in [Annex: Form No. 2-2]), it shall be deemed that such notification has been made in accordance with [Annex: Form No. 2-2]. (Amended on September 20, 2012, December 18, 2013; September 10, 2019)

(3) “The latest six (6) months” in the part other than each subparagraph of [§18-2(3)] of the Regulation shall be calculated by counting from the day when the Exchange verified the fact that the customer had sold the securities not in possession or the securities that cannot be settled by the settlement date. (Amended on September 20, 2012)

(4) When the entire selling securities are collected as the entrustment guarantee money during the 120-day period from the trading day following the settlement date pursuant to [§89(1)2], each item under [§18-2(3)] of the Regulation shall not apply. [December 18, 2013] (Amended on December 28, 2018)

[March 6, 2009]

§29. [Deleted on December 1, 2005]

§30. Base Prices

(1) The base prices of stocks, DRs of foreign stocks, collective investment securities of ETFs, exchange-traded notes and beneficiary certificates pursuant to [§20(1)] of the Regulation, shall be the prices under each of the following subparagraph: (Amended on

August 26, 2005; February 3, 2009; July 16, 2009; January 27, 2011; December 28, 2011; April 20, 2012; May 12, 2014; December 10, 2014; September 10, 2019; June 23, 2020; July 23, 2020; February 14, 2022; April 12, 2023)

1. In the case of issues other than those mentioned in subparagraphs 2 through 6, it shall be the closing price of the previous day (if this price does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit, and if the closing price of the previous day is not available, the base price of previous day; the same hereinafter); (Amended on February 27, 2025)

2. The base prices of initially listed issues shall be as follows:

(a) For stocks and DRs of foreign stocks: The price calculated according to [Annex 1-4]

(b) For stocks transferred from the KOSDAQ Market: The closing price of the last trading day in the KOSDAQ Market. Provided that, if no closing price is available, the base price of the relevant trading day.

(c) For collective investment securities of ETFs and beneficiary certificates noted in Article 189 of the Act: The base price calculated pursuant to Article 238(6) of the Act. In this case, it shall be the most recently announced base price as of the listing date, and if the announcement takes place on the day before the listing date, it shall be limited to the price announced by 17:00 hours.

(d) For ETNs: The indicative value per share calculated pursuant to [§149-3(2)4] of the KOSPI Market Listing Regulation.

(e) For beneficiary certificates other than beneficiary certificates under item (c): The public offering price at the recent initial public offering (excluding cases deemed as an initial public offering pursuant to Article 11(2) of the Enforcement Decree of the Act; the same hereinafter) or the secondary distribution.

3. The base price of an issue using the first trading price as the base price shall be the first price determined in accordance with [§37(1)] of the Regulation. In this case, if the first price is not determined by the time of market closing, the lowest offer price if the offer prices which are lower than the appraisal price [in case of no appraisal price, the lowest quotation price shall be regarded as the appraisal price, and in the case of an issue using the first trading price as the base price noted in Subparagraph 3(b) of [§2], the price (if the relevant price is not positive, the lowest price among quotation price units) obtained by subtracting the amount of distribution or dividend per share from the closing price on the day before the two (2) trading day from the record date noted in [§132(1)] shall be regarded as the appraisal price; the same hereinafter and [§36]] determined according to [Annex 1] (the lowest quotation price shall be deemed the appraisal price in case the appraisal price is not available; the same hereinafter in this Article and [§36]) are available, the highest bid price if the bid prices which are higher

than the appraisal price are available, and the appraisal price in any other cases shall be the base price of the next trading day, respectively.

3-2. In the case of issues listed after a merger, the base price shall be as follows:

(a) In the case where the special purpose acquisition company survives the merger pursuant to [§2(1)1(d)(i)] of the KOSPI Market Listing Regulation:

The base price shall be the stock price under subparagraph 1 of the surviving special purpose acquisition company.

(b) In the case where the special purpose acquisition company does not survive the merger pursuant to [§2(1)1(d)(ii)] of the KOSPI Market Listing Regulation:

The base price shall be the price obtained by dividing the stock price under subparagraph 1 of the non-surviving special purpose acquisition company by the merger ratio (the number of new shares issued per share of the non-surviving special purpose acquisition company) of the corporation that is the counterpart to the merger in the report on completion of merger, etc. or the report on the issuance of securities submitted in connection with the merger.

4. For the issues falling under any of the following items, from among the issues that have undergone ex-dividends or ex-rights, the base prices shall be the prices calculated according to the formulas in [Annex 2]. In the case of an issue to which such formulas cannot apply, from among the formulas under [Annex 2], the formula applicable to the issue most similar to the relevant issue shall be used.

(a) Issues undergone ex-dividends following a prior notice for stock dividend for the relevant business year;

(b) Issues undergone ex-rights following the capital increase without consideration; and

(c) Issue undergone ex-rights following the capital increase with consideration where the closing price of the day before ex-rights is higher than the issuing price of new shares.

4-2. [Deleted on April 12, 2023]

5. In the case of stocks of collective investment securities of ETFs or ETNs, which have reported the cash distribution to the Exchange, the base price shall be the price obtained by subtracting amount of cash distribution per share (or per unit) (in case the distributable amount is not determined, it shall be the estimated distribution amount determined by taking into account the base price calculated pursuant to Article 238(6) of the Act, which was published by 17:00 hours) from the closing price on two (2) trading days before the record day pursuant to [§132(1)];

5-2. [Deleted on December 10]

6. For issues undergone a stock split or a reverse stock split, the base price shall be the price obtained by multiplying the closing price of the previous day by the ratio of such split or reverse split;

6-2. [Deleted on April 12, 2023]

7. [Deleted on April 12, 2023]

8. [Deleted on April 12, 2023]

9. [Deleted on April 12, 2023]

(2) [Deleted on April 12, 2023]

(3) In cases where the price under subparagraphs 2(b) through 2(e), 3-2(b) and 4 through 6 of paragraph (1), and paragraph (4) (the amount less than KRW 1 shall be discarded; the same hereinafter in [Annex 1] and [Annex 1-4]) does not match the quotation price unit, it shall be the price closest to that price among the prices that are higher than that price and match the quotation price unit. (Amended on August 26, 2005; February 3, 2009; January 27, 2011; September 2, 2014; December 10, 2014; February 14, 2022; April 12, 2023; February 27, 2025)

(4) Notwithstanding paragraph (1)1, in cases where stocks of an investment company have not been traded from the first day of the previous month to one (1) day prior to the second Monday of the current month, the most recently published price of the base prices calculated in accordance with Article 238(6) of the Act shall be the base price applicable on the second Monday of that month (if the market is temporarily closed on the second Monday, it shall be the first trading day thereafter; the same hereinafter). (Amended on February 3, 2009; January 27, 2011)

(5) Notwithstanding paragraphs (1) through (4), in the case of falling under any of the following subparagraphs, the Exchange may apply a different base price for each case: (Amended on February 3, 2009; May 12, 2014)

1. Case where the market is reopened after being closed for an extensive period; and

2. [Deleted on May 12, 2014]

3. Case where the Exchange deems that the application of the base price mentioned in paragraphs (1) through (4) is clearly difficult because of the reasons such as no trading for an extended period, material changes in the details of rights, or drastic changes in the market conditions.

§31. Daily Price Change Limit

(1) Pursuant to the latter part of [§20(1)] of the Regulation, in cases where the price obtained by adding the daily price limit to the base price does not match the quotation price unit, among the prices that are lower than such price and that match the quotation price unit, the price closest to such price shall be the upper limit price, and in cases where the price obtained by deducting the daily price limit from the base price does not match the quotation price unit, among the prices that are higher than such price and that match the quotation price unit, the price closest to such price shall be the lower limit price, and in cases where the base price is the lowest among the quotation price units, such price shall be the lower limit price. (Amended on February 27, 2025)

(2) Pursuant to latter part of [§20(3)] of the Regulation, the case in which the price change limits can be determined differently are as follows: (Amended on October 13, 2022; April 12, 2023)

1. In the case where the market situation falls under any of the following items, the price change limit may be set differently each time;

(a) Case where the market is reopened after being closed for an extensive period;
and

(b) Other cases where it is recognized that it is extremely inappropriate to apply the price change limit specified in [§20(2)] of the Regulation due to other reasons such as sudden change in market situation.

2. In the case where the absolute value of the linked multiplier specified in the former part of [§20(2)] of the Regulation is less than 1, the multiplier shall not be multiplied when calculating the price change limit.

(3) Pursuant to [§20(3)] of the Regulation, in the case of a newly-listed issue noted in [§30(1)2(a)], the highest price limit and the lowest price limit on the date of new listing shall be as follows: [April 12, 2023]

1. In the case of the highest limit price: The price obtained by adding the price limit amount, which is an amount (amount less than the quotation price unit of the base price from the relevant amount shall be rounded down; the same hereinafter in this paragraph) produced by multiplying the base price by 3, to the base price.

2. In the case of the lowest limit price: The price obtained by subtracting the price limit amount, which is an amount produced by multiplying the base price by 0.4, from the base price.

Section 2-2. Liquidity Providing Quotations

[December 1, 2005]

§31-2. [Deleted on June 21, 2016]

§31-3. Liquidity Providing Members

(1) Each member shall notify the Exchange the name of staff-in-charge of tasks of liquidity provision, after having designated the staff responsible for and in charge of the liquidity provision pursuant to [§20-2(2)1(b), 2(b), 2-2(c)&3(d)] of the Regulation and shall do the same in cases where the staff-in-charge is changed thereafter. (Amended on December 27, 2007; April 16, 2009; April 20, 2012; September 2, 2014)

(2) Pursuant to [§20-2(4)] of the Regulation, any member who intends to provide the liquidity for collective investment securities of ETFs, ETNs, and ELWs shall enter an agreement for the provision of liquidity with the Exchange. [August 20, 2021] (Amended on December 22, 2022)

(3) Pursuant to [§20-2(4)] of the Regulation, any member who has entered an agreement for provision of liquidity for ETNs and ELWs shall not arbitrarily stop the liquidity provision during the term of agreement, except for a case recognized by the Exchange. [April 20, 2012] (Amended on September 2, 2014)

(4) The “case recognized by the Exchange” in paragraph (2) shall refer to the case where there exists no concern about the investor protection as the documents noted in each of the following subparagraphs are submitted: [April 20, 2012] (Amended on September 2, 2014)

1. Documents related to the termination of agreement for liquidity provision because of a justifiable reason according to the agreement for liquidity provision for the relevant ETNs or ELWs;
2. Plans describing that the issuer of the relevant ETNs or ELWs intends to provide the liquidity as a liquidity provider;
3. Comport letters stating that the liquidity provider will not resume the liquidity provision for ETNs or ELWs before at least three (3) years have elapsed from the time of terminating the agreement for liquidity provision; and
4. In addition, any other documents that the Exchange deems necessary for the investor protection.

(5) With respect to the matters noted in each subparagraph of paragraph (4), liquidity providing members shall have prior consultation with the Exchange. [April 20, 2012]

[December 1, 2005]

§31-4. Agreement for Liquidity Provision

(1) The “details that are stipulated in the Enforcement Rules” in [§20-3(1)] of the

Regulation shall refer to details under each of the following subparagraphs: (Amended on November 27, 2008)

1. Names of the member and the listed corporation;
2. Matters about the quotation spread ratio that the member has to maintain during the regular session;
3. Matters about the quotation quantity that the member must submit per quotation;
4. Term of the agreement for liquidity provision;
5. Matters about the service charges relating to liquidity provision;
6. In the case of including a clause specifying that, when the daily trading volume resulting from the liquidity providing quotations placed by a member reaches to certain level, such member is exempted from the obligation to place the liquidity providing quotations, such level. In such cases, one of the following criteria shall be satisfied:
 - (a) It shall exceed 50/100 of the average daily trading volume of the previous month of the quotation submission day; and
 - (b) It shall be at least 5/1000 of the total number of listed shares.
- 6-2. In the case of including a clause that, if the member holds more than 2/100 of total number of shares listed for an issue after acquiring the shares through the liquidity providing quotations it has placed (based on the settlement date), the member is exempted from the obligation to submit the liquidity providing bid quotations from the next trading day until the time when the ratio drops below 15/1000, such details.
7. The clause stating that in conjunction with the liquidity provision, the securities related the laws and regulations and the regulations governing the business of the Exchange shall be observed.

(2) When entering into an agreement for liquidity provision pursuant to [§20-3(2)] of the Regulation, terminating the relevant agreement thereafter, or changing the material details of the agreement, such facts shall be notified to the Exchange in accordance with [Annex: Form No. 2-3] at least 3 trading days before the relevant agreement becomes effective. Provided that, in the case of unavoidable circumstances where the agreement for liquidity provision has to be terminated without delay, the Exchange may be notified at the time when such circumstances occur. (Amended on March 6, 2009)

(3) In cases where multiple members enter into an agreement for liquidity provision with an identical stock-listed corporation, the details specified in paragraphs (1)2 and (1)3 shall be the same.

[December 1, 2005]

§31-5. Obligation to Submit Liquidity Providing Quotations

(1) The “quantity stipulated in the Enforcement Rules” in the latter part of [§20-4(1)] of the Regulation shall refer to the quantity noted in the following subparagraphs: [July 23, 2020]

1. In cases where the total number of listed stocks is ten (10) million or less: A quantity equivalent to 20/100 of the total number of listed stocks;
2. In cases where the total number of listed stocks is more than ten (10) million but less than or equal to fifty (50) million: The larger of two (2) million stocks and 15/100 of the total number of listed stocks;
3. In cases where the total number of listed stocks is more than fifty (50) million but less than or equal to two hundred (200) million: The larger of seven point five (7.5) million stocks and 10/100 of the total number of listed stocks; and
4. In cases where the total number of listed stocks exceeds two hundred (200) million: Twenty (20) million stocks.

(2) “In cases where it is specified in the Enforcement Rules” in [§20-4(5)] of the Regulation shall refer to cases falling under any of the following subparagraphs: (Amended on May 29, 2006; August 28, 2007; December 27, 2007; November 27, 2008; July 16, 2009; July 23, 2020; December 22, 2022)

1. Case where the quotation spread ratio is within the limit pursuant to each subparagraph of [§20-4(1)] of the Regulation. In such cases, when only offer (or bid) quotation has been submitted, the lower (or upper) limit price shall be deemed to be the best bid (or offer) quotation;

1-2. Case where the quotation spread ratio cannot be reduced below the range stipulated in each subparagraph of [§20-4(1)] of the Regulation because the quotation spread based on the best quotation price corresponds to one (1) quotation price unit;

2. Case where, when the price is determined by call auction under [§23] of the Regulation, no more than five (5) minutes has elapsed since the close of the quotation receiving hours pursuant to each subparagraph of [§35(1)] and closing of such hours;

3. [Deleted on December 27, 2007]

3-2. [Deleted on December 27, 2007]

4. Case where, in the event that a stock for which the details noted in [§31-4(1)6] has been specified in the agreement for liquidity provision, the volume of trade executed as a result of the liquidity providing quotations placed by the member has exceeded the relevant quantity;

4-2. For a stock, in cases where the matter noted in [§31-4(1)6-2] has been specified in the agreement for liquidity provision, if the quantity that the member holds after acquiring the shares through the liquidity providing quotations has reached the condition specified in the relevant agreement, the liquidity providing bid quotation;

5. Case of ELWs that fall under any of the followings:

(a) The most recent price of a stock that is the underlying asset is the upper or lower limit price;

(b) In cases where the price of underlying asset is determined by periodic call auction under [§23] of the Regulation (including [§18] of the KOSDAQ Market Business Regulation), no more than five (5) minutes have been elapsed since the closing of quotation receiving hours pursuant to each subparagraph of [§35(1)] (including each subparagraph of [§20(1)] of the Enforcement Rules of the KOSDAQ Market Business Regulation), and the determination of such price; or

(c) The cases where the placement of liquidity providing quotations at the price higher than the lowest quotation price unit is deemed difficult because of the significant difference between the exercise price (referring to the predetermined price used in the trade executed by the right exercise or the value of the stock price index) and the price of underlying asset.

6. Cases that the Exchange deems them necessary for the market management for the reasons such as the sudden change in quotation conditions or trading conditions (in case of ELWs, quotation and trading conditions of underlying assets shall be included).

[December 1, 2005]

§31-6. Methods of submitting Liquidity Providing Quotations

(1) In cases where it is difficult to determine the price range of liquidity providing quotations on the basis of the best quotation price pursuant to the proviso to [§20-5(1)] of the Regulation, each of the following subparagraphs shall apply: (Amended on March 3, 2011)

1. Case of quotation receiving hours for call auction, the price range determined pursuant to each subparagraph (excluding the proviso of each subparagraph) of [§20-5(1)] of the Regulation shall apply by assuming that the expected best quotation price is the best quotation price; and

2. Case where there are no quotations on both of the offer and the bid sides, the provisions of [§20-5(1)] of the Regulation shall apply to the case of determining the range of offer (bid) quotation, by assuming that the most recent price is the best bid (offer) price. In such cases, when the most recent price and the base price is different during the quotation receiving hours for the determination of first price, the most recent

price shall be deemed the base price.

(2) In cases where the liquidity providing quotations of the relevant member have not been submitted pursuant to the provisions of [§20-5(5)] of the Regulation, and where the liquidity providing quotations on either side of offer or bid for collective investment securities of ETFs, ETNs or ELWs are submitted, the member may place such quotations at a price that is deemed reasonable by taking into consideration such factors as the net asset value, indicative value or theoretical price. [August 28, 2007] (Amended on July 16, 2009; September 2, 2014; July 20, 2021)

(3) In cases where a liquidity providing quotation has already been submitted on any one side of offer or bid by the relevant member quotation pursuant to the provisions of [§20-5(5)] of the Regulation, and where the liquidity providing quotations are submitted on the other side, the quotations shall be placed at a price where the quotation spread ratio calculated according to the method specified in each of the following subparagraphs are within the range pursuant to each subparagraph of [§20-4(1)] of the Regulation. In such cases, the quotation spread ratio of one (1) quotation price unit exceeds the range specified in each subparagraph of [§20-4(1)] of the Regulation, it shall be the price falling under one (1) quotation price unit. (Amended on August 28, 2007; December 27, 2007; July 16, 2009; September 2, 2014; July 20, 2021)

1. In the case of stocks, collective investment securities of ETFs and ETNs, the quotation spread ratio calculated on the basis of the best quotation on the side to which the relevant member has placed the liquidity providing quotation; and

2. In the case of ELWs, the quotation spread ratio calculated on the basis of liquidity providing quotation that the relevant member placed. In such cases, when the relevant member has placed more than two (2) liquidity providing quotations, it shall be based on the best quotation in terms of the price.

(4) In cases where a member submits the liquidity providing quotations according to [§20-5(3)] of the Regulation, the quantity of quotation shall exceed the quantity specified in each of the following subparagraphs. Provided that, in cases where the number of quantity, which is calculated by subtracting the number of quantity held by the member from the listed quantity, is less than the quantity specified in each of the following subparagraphs, the number of bid quotations among liquidity providing quotations shall be the quantity specified in each of the following subparagraphs and in cases where the best quotation price on the counter side is submitted as the price of liquidity providing quotation of stock, the quantity shall be higher than the quantity specified in subparagraph 1 and lower than the quantity of best quotation on the counter-side (if bid and offer quotations are not available on both side, this shall not apply): (Amended on April 16, 2009; July 16, 2009; March 3, 2011; February 28, 2014; September 2, 2014; October 1, 2015)

1. In the case of stocks, as a quantity larger than ten (10) times the trading quantity unit, the quantity that the member who entered the agreement for liquidity provision with the company that listed the relevant stock has reported to the Exchange;

2. In the case of collective investment securities of ETFs and ETNs, the quantity corresponding to one hundred (100) times the trading quantity unit; and

3. In the case of ELWs, the quantity corresponding to ten (10) times the trading quantity unit for off quotation; and the quantity corresponding to ten (10) times the trading quantity unit and KRW 5,000 for bid quotation. Provided that, as a bid quotation, in cases where the quantity held by the member (including the quantity to be held subsequent to trade execution or borrowing; the same hereinafter in [§31-8]) exceeds the quantity obtained by subtracting the quantity equivalent to KRW 5,000 from the listed quantity, it shall be the quantity corresponding to ten (10) times the trading quantity unit.

(5) In cases where a member corrects the prices of the liquidity providing quotations which are not yet executed, the quotation quantity shall be larger than the smaller of the quantities specified in each of the following subparagraphs. Provided that, in cases where the price of liquidity providing quotation of stock is corrected to the price of best quotation on the counter side, the quantity shall be higher than the smaller quantity noted in each of following subparagraphs and less than the quantity of best quotation on the counter side: (Amended on August 28, 2007; March 3, 2011)

1. The total unexecuted quantity; and

2. The quantity specified in each subparagraph of paragraph (4).

(6) Any member intending to place the liquidity providing quotations for ELWs pursuant to the provisions of paragraphs (2) and (3) shall notify the Exchange the guidelines, which were established in accordance with the internal procedures in advance, for the modification and calculation of implied volatility that are required for the determination of fair price within five (5) trading days after putting it into effect. [December 27, 2007]

(7) After calculating the implied volatility on the basis of bid and offer quotations submitted for ELWs by the liquidity providing members pursuant to paragraphs (2) and (3), the Exchange may make public the changes in daily implied volatility. [December 27, 2007]

(8) The liquidity providing members shall not entrust the submission of liquidity providing quotations to another member. [May 7, 2021]

(9) In cases where the liquidity providing members open, change (including the cases where an issue for which liquidity providing is conducted through the concerned account is changed) or close a liquidity providing account (including the account for hedge trades related to the submission of the liquidity providing quotations under [§18(2)6 through 7-2] of the Regulation) pursuant to [§20-5(2)] of the Regulation, the matters concerning the account shall be reported to the Exchange in accordance with [Annex: Form No. 2-8] no later than two (2) trading days prior to the date of submitting the liquidity providing quotations (or hedge trade quotations) through the account. [July 20, 2021]

[December 1, 2005]

§31-7. Exceptions to Submission of Quotations on Both Sides

Pursuant to the proviso to [§20-5(4)] of the Regulation, the liquidity providing quotations falling under any one of the following subparagraphs may not be submitted: (Amended on May 29, 2006; August 28, 2007; December 27, 2007; February 3, 2009; July 16, 2009; April 7, 2011; December 28, 2011; September 2, 2014; July 20, 2021)

1. In the case of stocks, when either side of bid or offer quotations includes a liquidity providing quotation submitted by the relevant member, the quotations for that side;
2. [Deleted on April 7, 2011]
3. In the case of collective investment securities of ETF, ETNs and ELWs, when, as a result of submitting a liquidity providing quotation for either side of offer or bid quotation, the quotation price spread ratio to the liquidity providing quotation that the relevant member has already submitted on the other side falls below the ratio stipulated in [§20-4(1)] of the Regulation (in case of falling under the latter part of [§31-6(3)], it shall be the ratio corresponding to one (1) quotation price unit), the quotations for such other side;
4. Offer quotations that fall under [§31-8(1-2)] or bid quotation falling under [§31-8(1-3)]. In such cases, even in cases where the submission of bid or offer quotation on either side is restricted, the liquidity providing quotation on the other side shall be submitted; and
5. In the case of submitting ask quotation for ELW pursuant to the proviso to [31-8/4], bid quotation.

[December 1, 2005]

§31-8. Restrictions on Submission of Liquidity Providing Quotations

Pursuant to [§20-5(5)] of the Regulation, members shall not submit liquidity providing quotations in the case of falling under any of the following subparagraphs: (Amended on December 27, 2007; February 3, 2009; April 16, 2009; December 6, 2010; December 28, 2011; October 1, 2015; July 20, 2021)

1. Case of falling under subparagraph 2 of Article 71 of the Act;
- 1-2. Case where the quantity held by the member is below the quantity specified in each subparagraph of [§31-6(4)], the offer quotation;
- 1-3. Case where the quantity held by the member corresponds to the total listed quantity, the bid quotation;

2. In the case of stocks, when quotations have been already submitted on any one side of offer or bid quotation, the liquidity providing quotations for the relevant side;
3. In the case of ELWs, during the last five (5) trading days before the termination date of the right exercise period. Provided that this provision shall not apply to the case of ELWs based on the stock price indices;
4. In the case of ELWs, when the quotation spread ratio based on the best quotation during the regular session is within the ratio pursuant to [§20-4(1)3] of the Regulation. Provided that this provision shall not apply to the case of submitting an ask quotation that is below the best quotation while no liquidity providing quotation of member has been submitted; and
5. In the case of ELWs, in cases where, as a result of the member submitting a liquidity providing quotation on either bid or ask side, the quotation spread ratio with the liquidity providing quotation already submitted on the other side by the relevant member drops below the minimum ratio specified by the Exchange.

[December 1, 2005]

§31-9. Assessment of Liquidity Providing Members

(1) The Exchange may assess the members who provide liquidity pursuant to the former part of [§20-6(1)] of the Regulation for the matters specified in each of the following subparagraphs on each quarter (in the case of ETNs, it shall be monthly; the same shall apply from this Article through [§31-11]) and make public the assessment result; (Amended on December 27, 2007; July 16, 2009; September 2, 2014; December 16, 2015; December 28, 2018; January 24, 2019; July 23, 2020)

1. In the case of stocks:

- (a) The extent to which the obligation to submit the liquidity providing quotations has been fulfilled;
- (b) The degree of contribution to improving the quotation spreads of a relevant issue by submitting the liquidity providing quotations;
- (c) How active in submitting the liquidity providing quotations; and
- (d) Compliance with the securities-related laws and regulations and the Exchange's business-related regulations with respect to the liquidity provision.

2. In the case of collective investment securities of ETFs, ETNs and ELWs:

- (a) The matters specified in subparagraphs 1(a) and 1(c). Provided that, in applying subparagraph 1(a) to collective investment securities of ETFs and ETNs, the

disparate ratio shall be calculated and assessed by the method determined by the Exchange based on the price that is formed during the regular trading session;

(b) The size of spread of the quotation submitted as a liquidity providing quotation;

(c) The quantity of liquidity providing quotations submitted; and

(d) Compliance with the securities-related laws and regulations and the business-related regulations of the Exchange with respect to the liquidity provision.

(2) When making an assessment pursuant to paragraph (1), in cases where a member falls under any of following subparagraphs, a lowest grade shall be assigned to the relevant member regardless of the performance of other issues which the relevant member supplies the liquidity for: (Amended on July 16, 2009; September 2, 2014; June 30, 2022)

1. In the case of stocks and ELWs, if no liquidity providing quotation has been submitted to the issues, for which the member is obliged to submit liquidity providing quotation, for at least thirty (30) minutes on the average per day;

2. In the case of collective investment securities of ETFs and ETNs, if there is an issue that falls under [§31-10(1)1(a)] for consecutive two (2) quarters among the issues for which members submit liquidity providing quotations. Provided that this provision shall not apply in cases where the Exchange deems it necessary due to reasons such as a sudden change in market conditions, etc.

(3) Members shall notify the details that the Exchange requires for the assessment, including the specifics about the non-submission of liquidity providing quotations during the concerned quarter as a result of falling under subparagraphs 4, 4-2 and 6 of [§31-5(2)] or subparagraphs 1 through 1-3 of [§31-8] pursuant to [§20-6(2)] of the Regulation to the Exchange by the end of the concerned quarter. (Amended on August 28, 2007; December 27, 2007; November 27, 2008; December 28, 2018; July 23, 2020)

(4) In addition to the provisions of paragraphs (1) through (3), assessment criteria, announcement methods, and other matters necessary for the assessment of liquidity providing members shall be separately determined by the Exchange. (Amended on December 28, 2018)

[May 29, 2006]

§31-10. Conditions for Replacement of Liquidity Providing Members

(1) The “conditions stipulated in the Enforcement Rules” in the latter part of [§20-6(1)] of the Regulation shall refer to the cases falling under each of the following subparagraphs: (Amended July 16, 2009; September 2, 2014; July 23, 2020)

1. In the case of collective investment securities of ETFs and ETNs, any of the cases falling under the followings:

(a) Case where the number of trading days when the obligation to submit the liquidity providing quotations pursuant to [§20-4(1)2] of the Regulation has not been complied for at least one (1) hour or the number of days when the disparate ratio pursuant to [§20-4(2)&(3)] of the Regulation was not observed is twenty (20) days (in the case of ETNs, seven (7) days every month) or more in a quarter; and

(b) Case where there is a liquidity providing member who has received the lowest grade (in the case of ETNs, the lowest grade for two (2) consecutive times) as a result of the assessment carried for each quarter (in the case of collective investment securities of ETFs, the assessment of the quarter in which the initial listing date belongs shall be excluded, and in the case of ETNs, the assessment of the month in which the initial listing date belongs shall be excluded) pursuant to [§31-9(1)2].

2. In the case of ELWs, case where the number of trading days when the obligation for submission of liquidity providing quotations pursuant to [§20-4(1)3] of the Regulation was not complied with for one (1) hour or longer is five (5) or higher per month (excluding the month which includes the initial listing date).

(2) Notwithstanding paragraph (1), in cases where, the Exchange deems it necessary because of falling under any of the following subparagraphs, each subparagraph of paragraph (1) may not apply:

1. Case where, as a result of the failure of computer systems of the Exchange or members who supply the liquidity providing quotations, it is not possible to apply paragraph (1)1;

2. Case where the price of underlying asset fluctuates drastically; and

3. Case where it is not possible to submit the liquidity providing quotations due to the sudden changes in the political and economic conditions.

[December 27, 2007]

§31-11. [Deleted on August 20, 2021]

Section 2-3. Market Makers

[March 25, 2016]

§31-12. Submission Methods of Market-making Quotations, etc.

(1) The “quotations that make the market as stipulated in the Enforcement Rules” in the main sentence of [§20-9(1)] of the Regulation shall refer to a quotation submitted through market-making accounts in the manner of meeting all the requirements of each of the following subparagraphs:

1. It shall be a limit quotation or a best limit quotation;
2. It shall be submitted during the quotation receiving hours in a regular session; and
3. In the case of a bid quotation, the quotation shall be submitted at a price lower than the price of the best offer quotation at the time of submission and in case of an offer quotation, the quotation shall be submitted at a price higher than the price of the best bid quotation at the time of submission. Provided that this provision shall not apply to the case where there is no residual quantity of quotations on the other side of the quotation to be submitted.

(2) In cases where the quotations under paragraph (1) are submitted at a call auction under [§23] of the Regulation, “the best offer quotation” and “the best bid quotation” in paragraph (1)3 shall be construed as “the expected best offer quotation” and “the expected best bid quotation”, respectively, which are officially announced pursuant to [§126(1)1]. (Amended on December 6, 2018)

(3) Notwithstanding paragraph (1)3, in cases where a market maker submits an offer quotation at a price lower than the price of the best bid quotation at the time of submission or a bid quotation at a price higher than the price of the best offer quotation at the time of submission, only a quotation that falls under any of the followings shall be deemed as a market-making quotation: (Amended on November 28, 2019)

1. A quotation that has not been executed after having been submitted; and
2. An offer quotation of a stock which is subject to the market-making agreement and meets all of the requirements under each of the following items. In such cases, the quantity of quotations of a market maker that are executed in excess of 70/100 of the market maker’s balance held {referring to the daily balance held specified in [§31-19(4)]; the same hereinafter in [§31-18]} on the previous day shall be excluded.
 - (a) Single stock futures or single stock options of which underlying assets include the relevant stock shall not be listed on the market; and
 - (b) The executed price of the quotation shall decrease by more than 4/100 in comparison with the base price of the day.

(4) In cases where a market maker intends to open, change or close a market-making account, he/she shall report the matters related to the account to the Exchange by no later than two (2) trading days prior to the date of opening, changing or closing the account in accordance with [Annex: Form No. 2-4].

(5) “Issues stipulated in the Enforcement Rules” in the proviso to the main sentence of [§20-9(1)] of the Regulation shall refer to the issues specified in [Annex 2-2].

(6) The market makers shall not entrust the submission of market-making quotations under paragraphs (1) through (3) to another member. [May 7, 2021]

[March 25, 2016]

§31-13. Qualifications of Market Makers

(1) “Other requirements stipulated in the Enforcement Rules” in [§20-9(2)3] of the Regulation shall refer to each of the following subparagraphs: (Amended on March 13, 2021; July 15, 2022)

1. In the case of falling under any of followings, one (1) year or more shall have elapsed since then:

(a) Case where the qualification of market maker has been suspended pursuant to [§31-21]; and

(b) Case where a member has a record of having been subject to a criminal sanction, or any measures equivalent to or heavier than penalty surcharge, business suspension, trading suspension, or member fine (limited to a fine amounting to KRW 10 million or more), on account of a violation of the relevant statutes on securities businesses and the business regulations of the Exchange in the course of performing the tasks of market-making related to stocks (referring to market-making tasks for stocks in the KOSPI and KOSDAQ markets and equity derivatives in the derivatives market).

2. The person in charge of market-making tasks shall have no record of having been subject to a criminal sanction or any measures equivalent to or heavier than penalty surcharge or suspension within the latest one (1) year on account of violation of the relevant laws on securities businesses and the business regulations of the Exchange.

3. Two (2) or more persons in charge of market-making tasks shall be appointed to perform market-making tasks.

4. An internal control device shall be available to allow the quotations for covered short sales under [§17(2)] of the Regulation only if the relevant listed stocks are borrowed.

(2) In cases where a market maker designates or changes the person in charge of market-making tasks, such fact shall be reported to the Exchange in advance in accordance with [Annex: Form No. 2-5].

[March 25, 2016]

§31-14. Selection of Market-making Target Issues

(1) Pursuant to [§20-9(3)] of the Regulation, the Exchange shall assess the liquidity of eligible issues based on the criteria specified in [Annex 2-2], select and publish the low-liquidity issues subject to market-making agreements (hereinafter referred to as the

“market-making target issues”).

(2) [Deleted on September 7, 2017]

[March 25, 2016]

§31-15. Selection of Market Makers and Allocation of Market-making Target Issues

(1) Each member may apply for market-making after the Exchange officially announces the list of market-making target issues pursuant to [§20-9(3)] of the Regulation.

(2) The Exchange may determine the number of market makers by taking into account the number of members applied pursuant to paragraph (1) and the number of market-making target issues.

(3) The Exchange shall assess eligibility of the applicants noted in paragraph (1) based on the criteria specified in [Annex 2-3] to select market makers and the selected market makers may choose market-making target issues by the order of priority.

(4) The Exchange shall allocate market-making target issues in accordance with the selections made by the market makers pursuant to paragraph (3). Provided that, in cases where it is deemed necessary, the Exchange may change the allocation method in consultation with market makers.

[March 25, 2016]

§31-16. Conclusion or Termination, etc. of Market-making Agreements

(1) Any person who was selected by the Exchange as a market maker pursuant to [§31-15(3)] shall enter into a market-making agreement in advance with the Exchange in accordance with [Annex: Form No. 2-6] in order to submit the market-making quotations for the market-making target issues that have been allocated pursuant to [§31-15(4)] (hereinafter referred to as the “market-making issues”).

(2) The Exchange may terminate a market-making agreement as determined in the market-making agreement entered into with a market maker.

(3) The Exchange may terminate the market-making agreement for the relevant issue in cases where any of the following causes occurs: [March 12, 2021]

1. Case where the average daily turnover ratio (excluding the last seven (7) trading days of each quarter) is assessed every quarter pursuant to [Annex 2-4], and it exceeds 15% for two (2) consecutive quarters. In such cases, the market-making for the relevant issue shall terminate at the end of the concerned quarter;
2. Case where the relevant issue is delisted;

3. Case where the liquidity provision agreement pursuant to [§20-3] of the Regulation was concluded and is in force; and
4. Other cases that the Exchange deems necessary for market management.

(4) In cases where the market-making for a market-making is terminated according to a market-making agreement, the market maker cannot submit quotations of the relevant issue through the market-making account after the date of termination. Provided that, where a market-making agreement has newly been entered into for the same issue before the market-making agreement expires, this provision shall not apply thereto. (Amended on November 28, 2019)

(5) The Exchange may newly enter into a market-making agreement with other market makers for an issue of which market-making agreement has been terminated pursuant to paragraph (2) or for an issue which has not been allocated as a market-making issue pursuant to [§31-15(4)], as stipulated by the Exchange separately. Provided that this provision shall not apply to the case where the remaining period from the effective date of the termination of the market-making agreement to the expiry date of the previous market-making agreement is shorter than two (2) months. (Amended on February 28, 2017)

[March 25, 2016]

§31-17. Obligation to maintain Market-making Quotations

(1) Pursuant to [§20-10] of the Regulation, a market maker shall maintain the market-making quotations in the manner of satisfying all the requirements under each of the following subparagraphs. In such cases, the quotations that have been submitted during the hours for the trading by the method of continuous auction under [§24] of the Regulation shall be deemed as having been submitted to perform the obligation of maintaining market-making quotations, notwithstanding [§31-12(2)].

1. Quotations shall be maintained on both of offer and bid sides;

2. The figure, which is obtained from dividing the difference between the price of an offer quotation and the price of a bid quotation of a market maker by the quotation price unit (hereinafter referred to as the “quotation price unit spread”), shall be within the obligatory spread that is determined in the market-making agreement. Provided that, in cases where the obligation to maintain market-making quotations on either side of bid or offer is exempted and the quotation situation falls under any of the following items, the figure specified in the relevant item shall be deemed as the quotation price unit spread:

- (a) Where there is a quotation on one side: The figure that is obtained from dividing the difference between the price of the best quotation on one side and the price of the market-making quotation on the other side by the quotation price unit; and

(b) Where there is no quotation on one side: The figure that is obtained from dividing the difference between the price of the best quotation on the other side and the price of the market-making quotation on the other side by the quotation price unit.

3. The sum of the amount of offer market-making quotations and the sum of the amount of bid market-making quotations shall be at least the minimum amount for quotation maintenance specified in the market-making agreement, respectively.

(2) “Cases specified in the Enforcement Rules” in the proviso to [§20-10(1)] of the Regulation shall refer to the cases falling under each of the following subparagraphs: (Amended on November 28, 2019)

1. Where it is within three (3) minutes after the market opening;
2. Where it is the quotation receiving hours when the prices are determined by call auction under [§23] of the Regulation;
3. Where there are only the bid quotations at the upper limit price or the offer quotations at the lower limit price for the relevant market-making issue;
4. When the value of trades of the relevant market-making issue concluded by the market-making quotations during a day exceeds 50/100 of the average daily trading value {limited to the value of traded concluded during the trading hours of regular sessions by the methods of individual auction under [§23(1)2,3 & 5] of the Regulation and [§24] of the Regulation} during the assessment period specified in [Annex 2-2], where it is the period from such time to the time of market closing of the day;
5. Where the relevant market-making issue was designated as an investment caution issue pursuant to [§5-2] of the Market Oversight Regulation, or as an investment alert issue or an investment risk issue pursuant to [§5-3] of the same Regulation;
6. Where the relevant market-making issue was designated as an administrative issue;
7. Where it is from the time when a cause for delisting has occurred to the relevant market-making issue to the time when the cause was resolved; and
8. Other cases where the Exchange deems it is difficult to submit the market-making quotations due to the system failure, etc.

[March 25, 2016]

(3) Notwithstanding paragraph (1) above, if deemed necessary by the Exchange due to sudden changes in market conditions, etc., the obligatory spread under subparagraph 2 of the same paragraph may be widened, or the minimum amount for quotation maintenance under subparagraph 3 of the same paragraph may be reduced. [March 25, 2020]

§31-18. Exceptions in Obligation to maintain Two-sided Market-making Quotations

Pursuant to [§20-10(2)] of the Regulation, in cases when a market maker falls under each of the following subparagraphs, the market maker may not be obligated to maintain either a bid or offer quotation in accordance with the provisions of the relevant subparagraph:(Amended on November 28, 2019)

1. In the case of a bid quotation falling under any of the following items:

(a) Where the balance held (excluding the quantity held by borrowing) for the relevant market-making issue exceeds 2/1000 of the number of listed stocks or the amount of balance held (referring to the amount calculated by multiplying the most recent price by the balance held excluding the quantity held by borrowing) exceeds KRW 100 million;

(b) Where the quantity, which is calculated by subtracting the balance held of a market maker from the number of listed stocks of the relevant market-making issue, falls short of the minimum quotation quantity (referring to the quantity that is needed to meet the minimum quantity for quotation maintenance specified in the market-making agreement pursuant to the criteria of [Annex 2-4]; the same hereinafter in this Article); and

(c) Where the price difference between the best offer quotation and the lower limit price of the day is within the scope of obligatory spread specified in the market-making agreement.

2. In the case of an offer quotation that falls under any of the following items:

(a) [Deleted on November 28, 2019]

(b) Where the balance held of a market maker for the relevant market-making issue falls short of the minimum quotation quantity; and

(c) Where the price difference between the best bid quotation and the upper limit price of the day is within the scope of obligatory spread specified in the market-making agreement.

[March 25, 2016]

§31-19. Management of Balance of Market-making Account

(1) Pursuant to [§20-10(2)] of the Regulation, a market maker shall report to the Exchange the number of stocks of each market-making issue held in the market-making account as of the day before the starting date for market-making specified in the market-making agreement, on the starting date for market-making in accordance with [Annex: Form No.

2-7]. Provided that, this provision shall not apply to the issue for which the market-making agreement has been entered into for the first time.

(2) Market makers shall report the changes in quantity and the balance held in market-making accounts for each market-making issue to the Exchange in accordance with [Annex: Form 2-7] from the date of commencement of the market-making by the time of market opening on the following trading day. (Amended on November 28, 2019)

(3) In cases where it needs to make corrections to the contents of the report made pursuant to paragraph (2), market makers shall report the corrections by 12:00 noon on the day which includes the reporting deadline. (Amended on November 28, 2019)

(4) The Exchange shall manage the quantities reported by market makers for each market-making issue pursuant to the provisions of paragraphs (1) through (3) as the daily balance held of the relevant market-making issue. [November 28, 2019]

[March 25, 2016]

§31-20. Assessment, etc. Of Market Makers

(1) Pursuant to [§20-11(2)] of the Regulation, the Exchange may make assessment of each market maker on a quarterly basis for each market-making issue in accordance with the assessment criteria under [Annex 2-4] on the extent to which the obligation to maintain market-making quotations was fulfilled and the activeness in market-making activities, etc. (hereinafter referred to as the “assessment of market-making performance”). Provided that, this provision shall not be applicable to the market-making issues of which the number of days for obligatory market-making is less than five (5) during the relevant quarter.

(2) The Exchange may notify the relevant market maker of the result of assessment of his/her market-making performance.

(3) The Exchange may request a market maker to submit materials that are deemed necessary for the assessment of market-making performance. In such cases, the market maker shall comply with the request without delay.

(4) Notwithstanding the provisions of paragraph (1), in the case of each of the following subparagraphs, the assessment of the market-making performance may not be conducted. [December 6, 2018]

1. Where it is necessary to be excluded from the assessment of the market-making performance for a certain period in order to secure a preliminary test period for participating as a market maker, and such period is specified in the market-making agreement; and

2. Where a market maker who has failed to submit market-making quotations for any reasons that are not attributable to the market maker’s intent or negligence, such as

compliance with related statutes and internal control procedures, computer problems, market fluctuation, etc. requests the Exchange to exclude it from the assessment of market-making performance by specifying the reason and the exclusion period, and the Exchange recognizes it necessary.

[March 25, 2016]

§31-21. Suspension of Market Maker's Qualification

(1) Pursuant to [§20-11(2)] of the Regulation, in cases where a market maker falls under the criteria for suspension of qualifications stipulated in [Annex 2-4] as a result of the assessment of market-making performance, the Exchange may suspend the qualification of the relevant market maker.

(2) The Exchange shall not designate the person whose qualification as a market maker has been suspended pursuant to paragraph (1) as a market maker for one (1) year period from the month following the month in which the suspension date falls.

[March 25, 2016]

§31-22. Payments to Market Makers

(1) Pursuant to §20-11(2)] of the Regulation, the Exchange may make payments to market makers (hereinafter referred to as the “payment for market-making”) as stipulated in [Annex 2-4] differentially reflecting the results of assessment of market-making performance during the term of market-making agreement. Provided that the criteria on the payments for market-making may be set differently when the Exchange deems it necessary. (Amended on September 7, 2017)

(2) The Exchange shall make the payments for market-making in accordance with the time for making the payments specified in [Annex 2-4] after the end of the quarter when the assessment of market-making performance was conducted. (Amended on February 28, 2017)

[March 25, 2016]

Section 3. Units of Quotation and Trading Quantity

§32. Quotation Unit

(1) The quotation quantity units under [§21] of the Regulation shall be the quantity under each of the following subparagraphs: (Amended on August 26, 2005; February 3, 2009; July 16, 2009; September 2, 2014; December 22, 2022)

1. For stocks: one (1) share;
2. For DRs of foreign stocks: one (1) certificate;
3. For collective investment securities of ETFs: one (1) share (for the beneficiary certificates of ETFs investment trust: one (1) unit; the same hereinafter);
- 3-2. For ETNs: one (1) share
4. For subscription right certificates: one (1) certificate;
5. For subscription warrants: one (1) warrant;
- 5-2. For ELWs: one (1) warrant; and
6. For beneficiary certificates: one (1) unit.

(2) The quotation price units under [§21] of the Regulation shall be the quantity under each of the following subparagraphs.: (Amended on May 13, 2005; February 3, 2009; July 16, 2009; July 29, 2010; September 2, 2014; December 22, 2022; October 17, 2023)

1. For stocks, DRs of foreign stocks, subscription right certificates, subscription warrants, and beneficiary certificates: Price specified in the following subparagraphs
 - (a) For an issue of which the price per share (including the price per certificate, warrant and unit: the same hereinafter in this Article) is less than KRW 2,000: KRW 1.
 - (b) For an issue of which the price per share is higher than or equal to KRW 2,000, but less than KRW 5,000: KRW 5;
 - (c) For an issue of which the price per share is higher than or equal to KRW 5,000, but less than KRW 20,000: KRW 10;
 - (d) For an issue of which the price per share is higher than or equal to KRW 20,000, but less than KRW 50,000: KRW 50;
 - (e) For an issue of which the price per share is higher than or equal to KRW 50,000, but less than KRW 200,000: KRW 100;
 - (f) For an issue of which the price per share is higher than or equal to KRW 200,000, but less than KRW 500,000: KRW 500; and
 - (g) For an issue of which the price per share is higher than or equal to KRW 500,000: KRW 1,000.
2. For collective investment securities of ETFs and ETNs: Price specified in the following subparagraphs
 - (a) For an issue of which the price per share is less than KRW 2,000: KRW 1.
 - (b) For an issue of which the price per share is higher than or equal to KRW 2,000: KRW 5.

3. For ELWs: KRW 5.

§33. Trading Quantity Unit

(1) The trading quantity units for under [§21] of the Regulation shall be the quantity under each of the following subparagraphs: (Amended on August 26, 2005; December 1, 2005; February 8, 2006; May 29, 2006; February 3, 2009, July 16, 2009; August 3, 2009, December 5, 2013, February 28, 2014, September 2, 2014)

1. For stocks: One (1) share;
2. For DRs of foreign stocks: One (1) certificate;
3. For collective investment securities of ETFs: One (1) share;
- 3-2. For ETNs: One (1) share;
4. For subscription right certificates: One (1) certificate;
5. For subscription warrants: One (1) warrant;
- 5-2. For ELWs: Ten (10) warrants; and
6. For beneficiary certificates: One (1) unit

(2) [Deleted on February 8, 2006]

(3) Notwithstanding each subparagraph of paragraph (1), if there is possibility of any system failure due to excessive influx of quotations or if the Exchange deems it necessary for market management, the trading quantity units may be adjusted from the date determined by the Exchange: (Amended on July 25, 2007; January 30, 2008; February 3, 2009; February 28, 2014)

1. [Deleted on February 28, 2014]
2. [Deleted on February 28, 2014]
3. [Deleted on February 28, 2014]

(4) [Deleted on February 28, 2014]

(5) In cases where the trading quantity unit is adjusted pursuant to paragraph (3), such fact shall be publicly notified in advance. [January 30, 2008] (Amended on February 3, 2009, February 28, 2014)

Section 4. Execution of Trades

§34. Priority of Simultaneous Quotations

(1) Pursuant to the part other than each subparagraph of [§22(3)] of the Regulation, among the simultaneous quotations, the quotations with larger quantities shall have a priority over the quotations with smaller quantities (in the case of quotations with the same quantity, the quotation received earlier by the Exchange computer system has a priority) until the quotation quantity reaches to the quantity under following subparagraph 1. In such case, for the quotations of which quantities exceed the quantity under subparagraph 1, the priority shall be applied in a sequential order from subparagraph 2 in the same manner as stated in the former part. (Amended on December 22, 2022)

1. 100 times the trading unit;
2. 1/2 of the residual quantity. In such cases, the quantity below the trading unit shall be rounded to the trading unit; and
3. The total residual quantity.

(2) Notwithstanding paragraph (1), for ETF collective investment securities, ETNs and ELWs, quotations for customer account transactions shall have a priority over the quotations for the self-account transactions. In such case, in applying paragraph 1, the priority is applied between quotations for customer account transactions and between quotations for self-account transactions. (Amended on December 22, 2022)

(3) The priorities among simultaneous quotations under paragraphs (1) and (2) shall apply until the point of time under each of the following subparagraphs: (Amended on March 19, 2009; April 12, 2023)

1. In the case of a bid quotation placed at the upper limit price or an offer quotation placed at the lower limit price noted in [§22(3)] of the Regulation, until the whole quantity thereof is executed;
2. In the case of the market quotation noted in [§22(3)] of the Regulation, until the time such quotation price is regarded as a price other than the upper limit price or the lower limit price; and
3. In the case of the quotation at the highest or lowest price of an issue using the first trading price as the base price pursuant to [§22(3)] of the Regulation, until the time when the first trading price pursuant to [§37(1)] of the Regulation is determined. Provided that, in cases where that first trading price is the lowest price of quotation price unit, it shall be until the entire quantity of offer quotations with the lowest quotation price is executed.

§35. Range of Quotations Participating in Call Auctions, etc.

(1) The range of quotations to be included in call auction pursuant to [§23(2)] of the

Regulation shall be the quotations received during each of the hours specified in the following subparagraphs and during the time which the Exchange randomly specifies within thirty (30) seconds since then, and shall include the quotations received earlier, but not yet executed, if there are any.: (Amended on July 25, 2007; June 24, 2014; May 19, 2015; December 22, 2022)

1. In the case of determining the price pursuant to [§23(1)1] of the Regulation, from the beginning of the quotation receiving hours of the regular session mentioned in [§11] to the market opening time; Provided that, in the case of being applied with [§26-2(1)2], it shall be until the time extended for 2 minutes from the point of market opening;

2. In the case of determining the price pursuant to [§23(1)2&3] of the Regulation, for the first ten (10) minutes from the time of reopening of the market or resumption of trading. Provided that, in cases where, in view of such factors as the quotation condition, the extension of the relevant period is deemed necessary, it may be the period determined by the Exchange;

3. In the case of price determination pursuant to [§23(1)4] of the Regulation, for the last ten (10) minutes before the market closing, and in cases where the time of the market reopening or trading resumption pursuant to subparagraph 2 is within the last twenty (20) minutes before the market closing time, from such point of time to the market closing time. Provided that, in the case of being applied with [§26-2(1)], it shall be until the time extended for 2 minutes from the point of market closing; and

4. In the case of price determination pursuant to [§23(1)5] of the Regulation (excluding the case where the relevant price falls under [§23(1)1&4]), for the two (2) minutes from the time when the trade execution method is changed. Provided that, in cases where the periodic call auction to determine the prices at the time of market close pursuant to subparagraph 3 has started before passing two (2) minutes from the time when the trade execution method is changed, it shall be until ten (10) minutes before the market closing, but the quotation received during that time shall be deemed to be the quotation participated in deciding the price pursuant to [§23(1)4].

(2) Pursuant to the proviso to [§23(1)] of the Regulation, in the case where the price of each subparagraph (excluding subparagraph 4) of the same paragraph is not determined with the quotations noted in paragraph (1), the price shall be determined by switching to continuous trading specified in [§24] of the Regulation. [December 22, 2022] (Amended on February 25, 2025)

§36. Base Prices Used for Determination of Prices at Call Auctions

The “prices determined in the Enforcement Rule” in the proviso to the part other than each subparagraph of [§23(5)] of the Regulation shall be each of followings: (Amended August 26, 2005; January 27, 2011; September 2, 2014; December 10, 2014, November 26, 2020; April 12, 2023; February 27, 2025)

1. In the case of determining the first trading price of the issues using the first trading

price as the base price, if there is a price equal to the appraisal price determined pursuant to [§30(1)3] and [Annex 1], such appraisal price; and, if there is no price equal to the appraisal price, the price closest to such appraisal price;

2. In the case of determining the first trading price of issues falling under subparagraphs 2, 4, 5, and 6 of [§30(1)] and [§30(4)], if there is a price equal to the base price, such base price; and if there is no price equal to base price, the price closest to the base price; and

3. In the case of determining the first trading price of issues listed as a subscription right certificate, subscription warrant, and ELW, the simple arithmetic average of the highest and lowest prices. In such cases, if such price does not match the quotation price unit, it shall be the price closest to such price, among the prices that are higher than such price and that match the quotation price unit. (Amended on February 27, 2025)

§37. Range of Quotations Excluded from Determination of Special Quotations

Pursuant to the [§23(7)] of the Regulation, in cases where the trading does not resume during the day after having been halted or suspended during the quotation receiving hours under each subparagraph of [§35(1)], no quotations received during the day shall participate in the determination of special quotations. (Amended on December 22, 2022) (Wholly amended on March 19, 2009)

§38. [Deleted on May 19, 2015]

§39. Trading Halt, etc. in Stock Market, etc.

(1) The “cases specified in the Enforcement Rules” in the proviso to the part of [§25(1) other than each subparagraph] shall refer to the cases falling under any of the following subparagraphs, and in this case, the trading in the stock market, etc. shall not be halted. [May 19, 2015]

1. In applying [§25(1)2], case where it does not fall by 1% or more from the KOSPI at the time of the trading halt under [§25(1)1], or where, though it does fall by 1% or more, it does not last for one (1) minute; and

2. In applying [§25(1)3], case where it does not fall by 1% or more from the KOSPI at the time of the trading halt under [§25(1)2], or where, though it does fall by 1% or more, it does not last for one (1) minute.

(2) The trading halt under [§25(1)1&2] of the Regulation shall apply only to the cases where the trading falls under the halt criteria for the first time in a trading day, and the trading shall not be halted during the last forty (40) minutes before the market closing time. Provided that the halt or conclusion of the trading under [§25(1)3] shall apply during the last forty (40) minutes before the market closing time. (Amended on May 19, 2015)

(3) In cases where trading cannot be resumed because the computer system failure has occurred just before the trading resumption, the trading shall be resumed at the time when the computer system is fully recovered from such failure.

(4) The trading halt for one (1) minute under [§25(1)1] of the Regulation shall start and calculate from one (1) minute after the market opening. [November 26, 2020]

§40. Trading Resumption after Trading Suspension of Individual Issues, etc.

(1) [Deleted on February 28, 2014]

(2) The timing of resuming the trading after having been suspended pursuant to [§26(1)] of the Regulation shall be set as specified in each of the following subparagraphs: (Amended on August 26, 2005; February 3, 2009; December 6, 2010; October 22, 2012; December 10, 2015; November 23, 2016; July 23, 2020)

1. [Deleted on December 10, 2015]

2. Where it was suspended pursuant to [§26(1)2] of the Regulation: The timing of trading resumption shall be determined considering the quotation situations and trading conditions;

2-2. [Deleted on July 23, 2020]

2-3. Where it was suspended pursuant to [§26(1)2-3] of the Regulation: On the following trading day. Provided that, the timing of trading resumption may be determined differently considering the market situations if the Exchange deems necessary for investor protection; and

3. Where it was suspended pursuant to [§26(1)3] of the Regulation: The timing of trading resumption shall be determined considering the market situations and trading conditions.

(3) [Deleted on December 6, 2010]

(4) Pursuant to [§26(3)] of the Regulation, the methods of trading resumption under paragraphs (2) and [§42] shall apply *mutatis mutandis* to the methods of resuming the trading after suspending the trading of subscription right certificates, subscription warrants, ELWs, single-stock ETF securities under [§113(2)4(c)(v)] of the KOSPI Market Listing Regulation and single-stock ETNs under [§149-3(2)2(c)] of the same Regulation. (Amended on August 26, 2005; February 3, 2009; December 6, 2010; April 27, 2026)

(5) “The criteria stipulated in the Enforcement Rules” in [§26(1)2-3] of the Regulation shall refer to cases falling under any of the following subparagraphs: [July 23, 2020]

1. In cases where the disparate ratio calculated in accordance with [§20-4(2) or (3)] of

the Regulation (hereinafter referred to as the “immediate disparate ratio at the market closing”) between the net asset value or indicative value per a collective investment security of ETFs or a security of ETNs calculated immediately at the closing of the market and the closing price of the concerned security on the day when the designated unit period noted in [§134-7(1)] ends is three (3) times or more than the ratio stipulated in [§20-4(2) or (3)] of the Regulation; and

2. Other cases where it is deemed necessary to suspend trading for investor protection and market stabilization due to a sudden change in market situations, etc.

§41. Public Announcement of Trading Halt/Suspension and Resumption Thereafter

(1) In cases where trading has been suspended, halted or resumed pursuant to [§25] and [§26] of the Regulation, the Exchange shall officially announce such fact immediately.

(2) [Deleted on February 28, 2014]

§41-2. Change of Trade Execution Methods by Issue

(1) “Rates specified in the Enforcement Rules” in [§26-2(1)1] shall be as noted in each of the following subparagraphs. Provided that, in applying subparagraphs 1 through 3, the rates of 3% and 6% shall be adjusted to 2% and 4% respectively for the quotation receiving hours for the determination of closing prices, and, in the case of the quotation receiving hours for the determination of closing prices of underlying assets (in the case of stock indices, it refers to the constituents of the relevant index; the same hereinafter in this Article) on the last trading day of the futures or options in the equity derivatives markets under [§3(2)1] of the Derivatives Market Business Regulation, the rates of 2% and 4% shall be adjusted to 1% for the relevant underlying assets. (Amended on September 2, 2014; May 19, 2015; September 7, 2017; July 11, 2019; October 13, 2022)

1. Stocks

(a) For KOSPI 200 constituents: 3%

(b) For other issues: 6%

2. Collective investment securities of ETFs and ETNs

(a) Where the changes in KOSPI 200, KOSPI 100 (referring to a stock price index that is calculated by the Exchange based on the market capitalization method where the index for the top 100 issues in descending order of market capitalization from among the KOSPI 200 constituents as of the base date falling on January 4, 2000 is put at 1,000 points; the same hereinafter), KOSPI 50 (referring to a stock price index that is calculated by the Exchange based on the market capitalization method where the index for the top 50 issues in descending order of market capitalization from among the KOSPI 200 constituents as of the base date falling on January 4, 2000 is put at 1,000 points; the same hereinafter), KRX 100 (referring to a market capitalization weighted stock price index based on 100 issues, from among the

stocks listed on the KOSPI Market and the stocks listed on the KOSDAQ Market, which is calculated by the Exchange using the base index of 1,000 on the base date of January 2, 2001; the same hereinafter), **indices composed only of debt securities (including indices that are deemed similar thereto by the Exchange), and securities pursuant to Article 4-52, Paragraph (1) of the Regulations on Financial Investment Business and the derivatives that use the relevant securities as underlying assets are linked to one (1x) time or less (including the cases where indices are linked in the negative direction): 3% (Amended on April 27, 2026)**

(b)Where other prices or indices are linked: 6%

3. For DRs of foreign stocks and beneficiary certificates: 6%

(2) “Rates specified in the Enforcement Rules” of [§26-2(1)2] shall refer to 10% respectively for stocks, ETFs, ETNs, DRs of foreign stocks and beneficiary certificate. [May19, 2015]

(3) The change of trade execution methods, etc. noted in [§26-2(1)] of the Regulation means to take the measures falling under any of the following subparagraphs during the time specified in subparagraph 4 of [§35(1)4]: (Amended on December 22, 2022)

1. In the case of continuous auction: Conversion into the call auction; or

2. In the case of call auction: Expansion of the participating quotation range.

(4) Notwithstanding [§26-2(1)] of the Regulation, when falling under any of the following subparagraphs, no change in the trade execution methods, etc. shall be made. (Amended on May 19, 2015; March 25, 2016; February 28, 2017; September 13, 2018; July 11, 2019; July 23, 2020; September 22, 2020, November 26, 2020; September 29, 2021; December 22, 2022)

1. Issues scheduled to be delisted2. Temporary overheated issues; (Amended on February 27, 2025)

2-2. Call auction issues with abnormally soaring price;

2-3. Investment precaution issues;

2-4. Low liquidity issues subject to call auction noted in [§56-3(1)] and different classes of stock issues subject to call auction noted in [§56-4(1)];

2-5. Issues newly listed (limited to the day of the listing date of stock or DRs and excludes stocks that a KOSDAQ market-listed corporation newly lists on the KOSPI market).

3. Where the call auction is conducted to determine the prices noted in subparagraphs

2 and 3 of [§23(1)] of the Regulation when resuming the halted or suspended trading before the day's market closing time. Provided that this provision shall not apply to the case where the execution method was changed to the call auction under [§23] of the Regulation pursuant to [§56-3(2)];

4. Where the trade execution method, etc. is changed as it falls under any of the subparagraphs of paragraph (1) or paragraph (2), and the first price determined pursuant to [§23(1)5] of the Regulation falls again under any of the subparagraphs of paragraph (1) or paragraph (2);

5. [Deleted on May 19, 2015]

6. Where a provisional matching price based on the quotation is determined within the three (3) quotation units on the basis of the most recent price (restricted to a case where the price is less than KRW 1,000) as at the time when the relevant quotation is received; or

7. Other cases that are deemed necessary by the Exchange in consideration of market conditions, etc.

(5) Pursuant to [§26-2(3)] of the Regulation, the Exchange may set the ratio standards under paragraph (1) or (2) differently in cases where it is deemed significantly difficult to apply them in consideration of quotation and market conditions, etc. (Amended on May 19, 2015)

(6) Pursuant to [§26-2(1)] of the Regulation, the change of trade execution method by issue shall apply after applying the self-match prevention condition noted in [§13-2]. [December 22, 2022]

[June 24, 2014]

(6) [Deleted on July 23, 2020]

§41-3. Public Announcement on Changes of Trade Execution Methods etc. by Issue

(1) In cases where it has changed the trade execution methods, etc. pursuant to [§26-2(1) & (3)] of the Regulation, the Exchange shall officially announce such fact immediately. (Amended on May 19, 2015)

(2) In making the public announcement pursuant to paragraph (1), the Exchange shall include the name of issue, the timing of the change or release therefrom and the details of the change of the trade execution methods, etc. in the announcement.

[June 24, 2014]

§42. Methods of Trade Execution in Case of Computer System Failures

(1) Pursuant to [§27] of the Regulation, in cases where a computer system failure has been confirmed and it is deemed that the system failure is likely to continue, the Exchange may take any of the following measures: (Amended on February 28, 2014; January 15, 2026)

1. Cancellation of quotations that caused computer system failure; or [January 15, 2026]
2. Suspension of receiving quotations (referring to the suspension of receiving new quotations, correction quotations, and cancellation quotations; the same hereinafter) or halt of trading. In this case, if the restoration of details of quotations is impossible or it is necessary to promptly recover from a computer system failure, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled. [January 15, 2026]

(2) When the computer system is back to normal operation after the quotation receiving was suspended or trading was halted pursuant to paragraph (1)2, the receipt of quotations or trading shall resume from the time determined by the Exchange. In such cases, if the quotations and trade details cannot be recovered due to natural disasters or for inevitable reasons that are comparable to natural disasters, restoration may proceed except for such areas. [February 28, 2014] (Amended on January 15, 2026)

(3) In cases where the failure of the member computer system continues for an extended period of time and it is expected that the member system would not be recovered well after the market closing, or failure of the member computer system has occurred during the last thirty (30) minutes before the market closing time and it is unlikely that the system would be back to normal operation before the market closing, the Exchange may close the day's trading at the time when such failure occurs.

(4) In cases where the Exchange computer system is not back to normal operation for an extended period of time, the receipt of quotation or trading may be resumed by using a backup system. Provided that, when it is deemed that the execution of trade by the use of backup system is difficult due to the failure of such backup system, the day's trading may be closed at the time when such system failure occurs.

(5) The first trading price, when trading is resumed pursuant to the foreparts of paragraphs (2) and (4), shall be determined by the method of call auction. In such cases, the range of quotations participating to determine the relevant price shall be decided by the Exchange at each time. (Amended on February 28, 2014)

(6) In cases of computer system failure other than those mentioned in paragraphs (1) through (5), the method of executing trades shall be those determined by the Exchange at each time such failure occurs. (Amended on February 28, 2014)

§43. Methods of Trade Execution of Excessively Quoted Issues

(1) [Deleted February 28, 2014]]

(2) [Deleted February 28, 2014]

(3) Pursuant to [§27] of the Regulation, in cases where there is a possibility of a computer system failure due to excessive influx of quotations, the Exchange may take any of the following measures: (Amended on February 28, 2014; January 15, 2026)

1. Suspension of receiving quotations or halt of trading. In this case, if the restoration of details of quotations is impossible or there is a risk of computer system failure during restoration, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled; or [January 15, 2026]

2. Closing of trading of the day. [January 15, 2026]

(4) If the Exchange determines that the computer system is back to normal operation and the risk of computer system failure due to excessive influx of quotations has been eliminated following the suspension of receiving quotations or the halt of trading under paragraph (3)1, the receiving of quotations or trading shall resume at a time determined by the Exchange. [February 28, 2014] (Amended on January 15, 2026)

(5) In the case where trading is resumed pursuant to paragraph (4), [§42(4)] of the Regulation shall apply to the determination of the first price *mutatis mutandis*. [February 28, 2014] (Amended on January 15, 2026)

(6) In cases where trading is closed due to the excessive influx of quotations during the quotation receiving hours for call auction, the trading may be executed, taking into account the quotation conditions, with the quotations received until the time when such trading is closed.

(7) Provisions of [§42(6)] shall apply *mutatis mutandis* to the method of executing trade of excessively quoted issues. (Amended February 28, 2014)

§44. Extent of Correction of Transaction Errors

Transaction errors under [§28] of the Regulation shall be classified into either transaction errors made by the Exchange or transaction errors made by a member, and the extent of correction thereof shall be each of the followings: (Amended on December 22, 2022)

1. For the errors made by the Exchange: Transactions where the details of trade are not consistent with the details of quotations, which resulted from an error caused by system failure, failure in program execution or an error occurred in the course of inputting the details of trade execution; and

2. For the errors made by members: Transactions where the details are not consistent with the details of orders, which resulted from an error caused while processing the orders received from customers, inputting such order details into the member's system

or transmitting the quotation details to the Exchange computer system. In such case, if there is an error of an overseas affiliate, etc. of a member in the course of the member's receiving of customers' orders of the overseas affiliates, etc., this error is considered as an error of the member.

§45. Methods of Correcting Transaction Errors

(1) The Exchange shall correct the transaction errors by each of the following methods. (Amended on June 21, 2016)

1. In the case of transaction errors made by the Exchange:

If it is possible, the Exchange shall correct the transaction details according to the original quotation information, and in other cases, the correction shall be made after having the member to take over the relevant trade as a self-account transaction; and

2. In the case of transaction errors made by a member:

In the case of errors relating to the issue, quantity, price or sell/buy classification, such errors shall be corrected after the relevant member took over the relevant trade as a self-account transaction, and in cases of the errors relating to classification of the customer account transaction and self-account transaction resulted from such causes as the breakdown in program execution, the correction shall be made as required. Provided that, this provision shall not apply to the case of large-scale transaction errors specified in [§47-2].

(2) When taking over the issue pursuant to paragraph (1), in case of a member who have not obtained business permit for investment dealing business, it shall be accomplished by way of such member entrusting the trade as a self-account transaction to another member. (Amended on February 3, 2009)

(3) In the case of the transaction errors made by a member, the correction shall be made only in cases where the relevant member submits to the Exchange a request for correction of transaction error according to [Annex: Form No. 3], via the electronic information delivery medium chosen separately by the Exchange by the time of market closing on the following trading day. (Amended on July 7, 2006; August 3, 2009; June 21, 2016; November 28, 2019)

§46. Agreement for Correction of Transaction Errors

In correcting an error made by the Exchange, the Exchange shall enter into an agreement with its members in accordance with [Annex: Form No. 4], in order to process the portion of a trade where an error has occurred as the relevant member's self-account transaction.

§47. Settlement of Profits and Losses

(1) In cases where transaction errors are corrected by letting the relevant member to take

over the relevant issue as its self-account transactions, the Exchange shall settle any profit or loss incurred in the course of error correction.

(2) Securities transaction tax, all commissions, and the amount equivalent to member fees relating to the correction of transaction errors shall be counted as a loss when settling profits and losses pursuant to paragraph (1).

(3) The Exchange shall settle all profits and losses without delay, upon receiving the bills for settlement of transaction errors in accordance with the agreement for correction of transaction errors. Provided that, of the transaction errors made by the Exchange, the profits and losses incurred due to the errors made by the company operating the Exchange computer system shall be settled separately.

§47-2. Requirements for Relief of Large-scale Transaction Errors

The “transactions that meet the requirements stipulated in the Enforcement Rules” in the main sentence of [§28-2(1)] of the Regulation shall refer to the trades that satisfy all of the requirements under each of the following subparagraphs for each account (hereinafter referred to as the “large-scale transaction errors”). (Amended on February 28, 2017)

1. It shall not be a trade that was executed by the method of call auction under [§23] of the Regulation;
2. It shall not be a trade that was executed by the market-making quotations;
3. The time period between the first occurrence and the conclusion of the trade shall be within thirty (30) minutes;
4. Out of the issues with transaction errors of the relevant account, there shall be one (1) or more of issues of which execution price falls under each of the following items (hereinafter referred to as the “issues subject to relief”):
 - (a) In the case of having purchased by error: The price that went up by over ten (10) percent (in the case of ELWs, 15/100; the same hereinafter in this subparagraph and [§47-4(3)]), compared to the most recent price immediately before the execution of the relevant trade (in cases where there is no most recent price, it shall be the first execution price and shall hereinafter be referred to as the “base price for the relief of transaction errors”); and
 - (b) In the case of having sold by error: The price that went down by over ten (10) percent, compared to the base price for the relief of transaction errors.
5. The sum of the amounts obtained by multiplying the difference between the execution price of the issue with transaction errors of the relevant account and the base price for the relief of transaction errors (referring to the amount obtained by subtracting the selling execution price from the base price for the relief of transaction errors or the

amount obtained by subtracting the base price for the relief of transaction errors from the buying execution price) by the execution quantity of the relevant trade shall be KRW 10 billion or more. In such cases, the sum shall be calculated by each of the stock market, the collective investment securities of ETFs market, the ETN market, the ELW market and the beneficiary certificate market;

6. The trades shall continuously be executed by same kind of errors; and

7. Additionally, there shall be a need for relief of the trades for the reliable and efficient settlement.

[June 21, 2016]

§47-3. Requesting for Relief of Large-scale Transaction Errors

(1) Any member intending to request for relief of large-scale transaction errors pursuant to [§28-2(2)] of the Regulation (hereinafter referred to as the “request for relief”) (including a case where the request for relief is made by the customer who caused the large-scale transaction errors) shall make the request for relief by way of inputting the details of the relevant large-scale transaction errors into the Exchange computer system via the member computer system or the member securities terminals. Provided that, in the case of emergencies including system failures, etc., the request for relief may be made by way of submitting a request prepared in accordance with [Annex: Form No. 5] to the Exchange.

(2) The request for relief shall be made within thirty (30) minutes from the time when the large-scale transaction errors occurred. Provided that the Exchange may extend the deadline for the request in cases that are deemed unavoidable including member computer system failures, etc.

(3) The member who has made the request for relief shall submit the explanatory materials concerning the large-scale transaction errors to the Exchange without delay.

(4) In cases where some of the details of the request for relief are omitted or the details of the relevant explanatory materials are deemed insufficient, the Exchange may require resubmission.

(5) When receiving the request for relief from a member, the Exchange shall make public the fact of receiving the relevant request for relief, etc. without delay and shall notify such fact to the counter party member.

[June 21, 2016]

§47-4. Methods of Relieving Large-scale Transaction Errors

(1) Pursuant to [§28-2(2)] of the Regulation, after reviewing the details of the request for

relief and the explanatory materials, the Exchange may relieve the large-scale transaction errors, in cases of satisfying all of the requirements noted in each of the subparagraphs of [§47-2].

(2) The Exchange shall make the decision on whether or not to relieve the large-scale transaction errors by 17:00 hours on the next trading day of the day when the request for relief was received (hereinafter referred to as the “date of the request for relief”) and make it public without delay and shall notify it to the member who requested for the relief and the counter party member. The relevant member shall, in cases where the large-scale transaction errors occurred from customer account transactions, notify it to the relevant customer without delay.

(3) When it was decided to relieve the large-scale transaction errors, the Exchange may change the settlement prices of the issues subject to relief between the Exchange and the clearing member to the prices noted in each of the following subparagraphs:

1. In the case of having bought by error: The price (if this price does not match the quotation price unit, it shall be the price closest to that price, among the prices that are higher than that price and that match the quotation price unit) that is ten (10) percent higher than the base price for the relief of transaction errors; and (Amended on February 27, 2025)

2. In the case of having sold by error: The price (if this price does not match the quotation price unit, it shall be the price closest to that price, among the prices that are lower than that price and that match the quotation price unit) that is ten (10) percent lower than the base price for the relief of transaction errors. (Amended on February 27, 2025)

(4) Notwithstanding paragraph (3), in cases where the counter party member has traded the issues subject to relief before the fact of receiving the member’s request for relief was made public pursuant to [§47-3(5)] (hereinafter referred to as the “sequential transaction”) and the relevant trade satisfies all the requirements noted in each of the following subparagraphs, the Exchange may determine the settlement prices differently.

1. The counter party member shall make the request for change of settlement prices to the Exchange in accordance with [Annex: Form No. 5-2]. In such cases, provisions of [§47-3(1), (3)&(4)] shall apply *mutatis mutandis*, but the deadline for the request shall be from 08:00 to 10:00 hours on the next trading day of the date of the request for relief stipulated in [§47-3] (the deadline for the customer’s request to the member shall be by the date of the request for relief);

2. It shall be the cases of trading the issue purchased or sold as a result of the large-scale transaction errors within the executed quantity of the relevant transaction through the same account, and of falling under each of the following items:

- (a) Case of having sold the issues purchased; or

(b) Case of having purchased the issues sold.

3. It shall be a trade executed by way of continuous auction under [§24] of the Regulation during the trading hours of the regular session.

(5) When determining the settlement prices pursuant to paragraph (4), the Exchange shall consider the calculation of trading volume weighted average based on the sequence of trade executions and the prices specified in each of the following subparagraphs, etc.:

1. For the case of paragraph (4)2(a), the price specified in each of the following items:

(a) Where the execution price is lower than the price specified in paragraph (3)2, but higher than the execution price of large-scale transaction errors: the execution price (if the prices does not match the quotation price unit, it shall be the price closest to that price, among the prices that are higher than that price and that match the quotation price unit); and (Amended on February 27, 2025)

(b) Where the execution price is equal to or lower than the execution price of large-scale transaction errors: the execution price of large-scale transaction errors (if this price does not match the quotation price unit, it shall be the price closest to that price, among the prices that are lower than that price and that match the quotation price unit). (Amended on February 27, 2025)

2. For the case of paragraph (4)2(b), the price specified in each of the following items:

(a) Where the execution price is higher than the price specified in paragraph (3)1, but lower than the execution price of large-scale transaction errors: the execution price (if this price does not match the quotation price unit, it shall be the price closest to that price, among the prices that are higher than that price and that match the quotation price unit); and (Amended on February 27, 2025)

(b) Where the execution price is equal to or higher than the execution price of large-scale transaction errors: the execution price of large-scale transaction errors (if this price does not match the quotation price unit, it shall be the price closest to that price, among the prices that are lower than that price and that match the quotation price unit). (Amended on February 27, 2025)

(6) The counter party member who was notified of the receipt of the request for relief from the Exchange pursuant to [§47-3(5)] shall, if there are customers who fall under subparagraphs 2 and 3 or paragraph (4), notify them of the details of paragraph (4)1 on the date of request for relief.

(7) In cases where the Exchange determines to relieve large-scale transaction errors resulted from customer account transactions, the member shall calculate the settlement prices for the customers by applying the settlement prices that were changed pursuant to paragraph (3) or (5).

(8) Notwithstanding paragraphs (3) and (5), in the event that it is deemed necessary for the market management considering the trading and market conditions comprehensively, the Exchange may change the prices specified in paragraphs (3) and (5).

(9) The Exchange shall keep the records and documents related to the relief of large-scale transaction errors for ten (10) years.

[June 21, 2016]

Section 5. Special Cases concerning Trade Execution

§48. [Deleted July 7, 2006]

§48-2. Regular Session Auction-based Block Trade

(1) Pursuant to the latter part of [§30-2(1)1] of the Regulation, the guidelines to be used in calculation of trading volume weighted average price shall be each of the following subparagraphs:

1. It shall be calculated by dividing the total trading value of relevant issue for the period from the time of execution of relevant auction-based block trade to the market closing time of regular session by the total trading volume of the same period;
2. In calculating the total trading value and trading volume noted in subparagraph 1, the regular session auction-based block trade, regular session block trade and regular session basket trade shall be excluded; and
3. From among the amounts calculated pursuant to subparagraph 1, the amount less than KRW 1 shall be discarded, but in cases where the trading volume weighted average price is lower than the closing price, the amount less than KRW 1 shall be rounded off.

(2) “Price stipulated in the Enforcement Rules” in the proviso to [§30-2(1)2] of the Regulation shall refer to the base price (including the appraisal price).

(3) The quotations participating in the regular session auction-based block trade pursuant to [§30-2(3)] of the Regulation shall satisfy the quantity requirement where the amount obtained by multiplying the quotation quantity by the base price (the appraisal price, if the base price is not available) of the relevant issue is KRW 500 million or higher.

(4) Pursuant to [§30-2(3)] of the Regulation, the trading unit of regular session auction-based block trade shall be one-hundred (100).

(5) Pursuant to [§30-2(3)] of the Regulation, the regular session auction-based block trade shall not be executed for the issues designated as administrative issue and issue scheduled

to be delisted.

[July 29, 2010]

§49. Regular Session Block Trading

(1) The regular session block trading pursuant to [§31(1)] of the Regulation shall be applied by inputting the details negotiated by the selling and buying parties, such as the issue, quantity, and price, in accordance with any of the following subparagraphs: (Amended on December 22, 2022)

1. Method in which details of negotiation are notified to the member system and Exchange system via the electronic network for block trading, etc. (referring to the electronic system operated by the Exchange for the purpose of notifying and confirming the agreement or negotiated details of block trading and basket trading; the same hereinafter) and the member places the quotations in accordance with the negotiated details; or
2. Method in which the member places the quotations by inputting details of negotiation to the Exchange system via the member system or the member securities terminal.

(2) The provisions of [§52(2) through (7)] shall apply *mutatis mutandis* to the regular session block trading. (Amended on December 22, 2022)

§50. Regular Session Basket Trading

(1) A request for regular session basket trading pursuant to [§31(1)] of the Regulation shall be made by notifying the details negotiated, including the name of issue, quantity and price, between the selling and buying parties to the member system and the Exchange system via the electronic network for block trading, etc. and the member placing the quotations in accordance with the negotiated details.

(2) In making a request for regular session basket trading under paragraph (1), if there are no trades executed in the regular session by the individual auction methods under [§23] and [§24] of the Regulation until the relevant quotation was received, the quotation shall be made at the base price of the day. [July 11, 2019]

(3) The provisions of [§52(3) through (7)] and [§53(2) through (4)] shall apply *mutatis mutandis* to the regular session basket trading. (Amended on July 7, 2006; July 11, 2019)

§51. Off-hours Closing Price Trading

(1) When applying [§34(1)] of the Regulation, in the case of the pre-hours session for an issue whose the previous day's closing price does not match the quotation price unit and an issue that undergoes an ex-dividend, ex-right or ex-distribution on the day when the quotations are placed, be the closing price of the previous day shall be deemed to be the

base price of the day. (Amended on February 3, 2009; February 27, 2025)

(2) [Deleted February 28, 2014]

(3) Pursuant to [§34(2)] of the Regulation, from among the quotations for the off-hours closing price trade, a quotation received earlier shall have priority over a quotation received later. (Amended on February 3, 2009)

§51-2. Off-hours Call Auction

(1) The “cases stipulated in the Enforcement Rules” in the proviso to [§34-2(1)] of the Regulation shall refer to any of the following subparagraphs: [February 27, 2025]

1. Issues for which no trading was made during the regular market trading hours on the Day; and [February 27, 2025]

2. Issues notified by the multilateral trading company as those to be traded on the day. In this case, KRX may exclude stocks if it is unable to receive notification on or confirm the stocks subject to trading at the multilateral trading company due to system failure, etc. [February 27, 2025]

(2) The range of quotations that participate in the determination of price by off-hours periodic call auction pursuant to [§34-2(2)] of the Regulation shall be those quotations received during the period from the beginning of quotation receiving hours for off-hours periodic call auction to the each time when ten (10) minutes have elapsed (hereinafter referred to as “unit-execution time in this Article, and in the case applied by [§26-2(1)1], it shall be until the time extended for two (2) minutes after the unit execution time), followed by the time the Exchange randomly decides within thirty (30) seconds and when there are unexecuted portion of quotations received earlier, those unexecuted quotations shall be included. (Amended on June 24, 2014; May 19, 2015)

(3) [Deleted on May 19, 2015]

(4) [Deleted February 28, 2014]

(5) The provision of [§22(2)] of the Regulation shall apply *mutatis mutandis* to the priority of quotations for the off-hours periodic call auction pursuant to [§34-2(4)] of the Regulation.

[May 13, 2005]

§51-3. Off-hours Auction-based Block Trade

(1) Pursuant to the latter part of [§34-3(1)1] of the regulation, the trading volume weighted average price shall be calculated according to the guidelines noted in each for the following subparagraphs:

1. It shall be calculated by dividing the total trading value of the relevant issue for the period from the opening time to the closing time of regular session by the total trading volume for the same period; and
 2. The provision of [§48-2(1)2 & 3] shall apply *mutatis mutandis* to off-hours auction-based block trade.
- (2) The “price specified in the Enforcement Rules” in the proviso to [§34-3(1)2] of the Regulation shall refer to the base price.
- (3) The provisions of [§48-2(3) through (5)] shall apply *mutatis mutandis* to the off-hours auction-based block trade.

[July 29, 2010]

§52. Off-hours Block Trade

- (1) The off-hours block trade pursuant to [§35(1)] of the Regulation shall be applied by inputting the details of negotiation, such as the name of issue, quantity and price agreed between the buying and selling parties, in accordance with any of each item of [§49(1)] during the quotation receiving hours for off-hours sessions. In such cases, when a member receives an entrustment from a stock-listed corporation which intends to trade the treasury stocks by method of off-hours block trading after having obtained an approval from the Financial Services Commission pursuant to [§39(4)2] of the Regulation, the member shall submit the documents proving such fact before placing quotations. (Amended on February 3, 2009; December 22, 2022)
- (2) In the case of submitting a request pursuant to paragraph (1), either the bid or offer quotation shall be made by a single member, and the quotation quantity shall be at least 5,000 times (500 times in the case of collective investment securities of ETFs and ETNs) the trading unit of regular session or the amount obtained by multiplying the quotation quantity by the share price shall be at least KRW 50 million. In the case of the trading between foreigners under Article 6-7(1)6 of the Regulations on Financial Investment Business, both of the customers entrusting bid order and offer order shall be foreigners. (Amended on August 28, 2008; February 3, 2009; December 30, 2009; February 28, 2014; May 12, 2014; September 2, 2014; January 27, 2026)
- (3) The details of negotiation determined according to the agreement between the buying and selling parties pursuant to paragraph (1) may be changed only in the event when both parties have consented before the member places the quotation according to such negotiated details. (Amended on July 7, 2006; February 3, 2009)
- (4) Quotation price unit for off-hours block trade shall be KRW 1.
- (5) [Deleted February 28, 2014]
- (6) In cases where, due to such reasons as the failure of interface system of the electronic

network for block trading, it is deemed difficult to submit the request for off-hours block trade, the member may accomplish the trade by submitting the negotiated details of off-hours block trade by using such methods as electronic mail to the Exchange and placing the quotation according to the negotiated details notified. (Amended on March 19, 2009)

(7) Notwithstanding paragraphs (1) and (6), in cases where the details of negotiation for off-hours block trade cannot be notified due to such reasons as the failure of the interface system of electronic network for block trading, the relevant off-hours block trading shall not be executed. (Amended on March 19, 2009)

(8) In the case of placing the quotations for the issues that their closing prices on the previous day do not match the quotation price unit and that undergo ex-dividends, ex-rights, share-split or reverse stock split on the day when the quotation is placed pursuant to the latter part of [§35(5)] of the Regulation, it shall be applied based on the base price. (Amended on September 8, 2006; February 3, 2009; April 20, 2012; February 28, 2017; February 27, 2025)

(9) The provisions of [§57(1)1] shall apply *mutatis mutandis* to the cases where a member received an entrustment from a stock-listed corporation that intends to trade its treasury stocks by way of off-hours block trade (including the selling of treasury stocks by trust company). [September 8, 2006] (Amended on February 3, 2009)

§53. Off-hours Basket Trade

(1) A request for off-hours basket trading pursuant to [§36(1)] of the Regulation shall be made by notifying the details of negotiation, including the name of issue, quantity and price, agreed between the buying and selling parties to the member system and the Exchange's system via the electronic network for block trading, etc. during the quotation receiving hours for off-hours sessions, and the member placing the quotation according to such negotiated details. (Amended on February 3, 2009)

(2) In the case of making a request pursuant to paragraph (1), either side of the bid quotation or offer quotation shall be made by a single member, and on the other side, the quotation for each issue comprising the basket shall have been placed by a single member. In the case of trading between foreigners under Article 6-7(1)6 of the Regulations on Financial Investment Business, both of the customers entrusting bid order and offer order shall be foreigners. (Amended on August 28, 2008; February 3, 2009)

(3) The same basket number shall be given to the issues comprising the same basket, and when a member places more than two (2) quotations for off-hours basket trade, a different number shall be assigned to each basket.

(4) Pursuant to [§36(3)] of the Regulation, the number of issues comprising a basket and quantity requirement shall be each of the followings: (Amended on February 3, 2009)

1. The number of issues comprising a basket shall be no less than five (5); and

2. The quantity requirement of basket shall be that the sum of the amounts, which is obtained by multiplying the quotation quantity of each issue comprising the basket by its price, is at least KRW 200 million. (Amended on January 27, 2026)

(5) The provisions of [§52(3) through (7)] shall apply *mutatis mutandis* to the off-hours basket trade. (Amended on July 7, 2006; February 3, 2009)

§54. Exceptions in Off-hours Trading

In the case of falling under any of the following cases, the Exchange may not execute the off-hours closing price trade, off-hours call auction, off-hours auction-based block trade, off-hours block trade and off-hours basket trade pursuant to [§33] of the Regulation: (Amended on May 13, 2005; May 13, 2008; July 29, 2010; January 27, 2011; February 28, 2014; September 2, 2014, November 26, 2020; April 12, 2023)

1. Where the trading hours of the regular session are changed pursuant to [§8(1)1 & 2];
2. Where trading of all issues is conducted using the backup system pursuant to [§42(4)];
3. Case of the basket trade where trading of some of the issues comprising a basket for off-hours basket trade is executed using the backup system;
4. For the issues falling under any of the following items, the cases where such issue was traded in the pre-hours session; and
 - (a) The issues using the first trading price as the base price and initially listed issues under [§30(1)2];
 - (b) Issues, the trading of which is resumed after having been suspended;
 - (c) Issue scheduled to be delisted (limited to the first trading day, except for the off-hours auction-based block trading); and
 - (d) Issues designated as administrative issue (limited to the off-hours auction-based block trading).
5. In addition, the cases where the Exchange deems it necessary for the market management.

§55. Methods of Determining First Trading Price of Initially Listed Issues

(1) "Issue specified in the Enforcement Rules" in [§37(1)] of the Regulation shall be an issue using the first trading price as the base price: (Amended on August 26, 2005; February 3, 2009; January 27, 2011; April 20, 2012; May 12, 2014; December 10, 2014; July 23, 2020)

(2) Pursuant to [§37(2)] of the Regulation, the range of quotations shall be the quotations received from the beginning of quotation receiving hours of the regular session to the market opening time and the time randomly set by the Exchange within 30 seconds thereafter. Provided that, in cases where the price is not determined with the quotations noted in the main clause, the price shall be determined by switching to continuous trading noted in [§24] of the Regulation. (Amended on February 3, 2009; December 22, 2022)

(3) The quotations noted in paragraph (2) shall be the quotation received within the following prices: (Amended on February 3, 2009)

1. An issue using the first trading price as the base price (excluding an issue scheduled to be delisted); The lowest quotation price and the highest quotation price pursuant to [Annex 1]

2. A newly-listed issue noted in [§30(1)2a]: The highest price limit and the lowest price limit pursuant to [§31(3)]

[Wholly amended on April 12, 2023]

§56. Methods of Executing Trade of Issues Scheduled to Be Delisted

(1) The method of trade execution of the issues scheduled to be delisted under [§38] of the Regulation shall be the call auction. In such cases, [§23(4) through (6)] of the Regulation shall apply *mutatis mutandis*. (Amended on October 22, 2012; May 19, 2015)

(2) The range of quotations participating in the determination of prices under paragraph (1) shall be the quotations received by the time when the Exchange randomly decides within thirty (30) seconds after each of the following time: (Amended on March 19, 2009; October 22, 2012; February 28, 2014; May 19, 2015, February 27, 2025)

1. Market opening time;

2. The unit execution times according to each of following items:

(a) The time occurring every thirty (30) minutes from the market opening time. Provided that, in cases where trading is resumed pursuant to [§40(5)] of the KOSPI Market Disclosure Regulation and [§40(2)], and if the period from the trading resumption time to the execution time unit is less than ten (10) minutes, it shall be until the next execution time unit; and

(b) In cases where the trading has been resumed pursuant to [§6(2)] and [§25] of the Regulation and [§42(2)], the time occurring every thirty (30) minutes from the trade resumption time. Provided that, if the execution time unit is ten (10) minutes before the market closing time, it shall be until the market closing time.

3. Market closing time.

(3) Notwithstanding paragraphs (1) and (2), the provisions of [§29], [§31] through [§34-2], [§35] and [§36] of the Regulation shall apply *mutatis mutandis* to the trades executed by the methods other than the individual auction during the trading hours of regular sessions. In such cases, “ten (10) minutes” in [§51-2(2)] of these Enforcement Rules shall be construed as “thirty (30) minutes”. Provided that [§34-2(3)], [§35(2)] and [§36(2)] of the Regulation shall not apply. (Amended on May 13, 2005; July 29, 2010; October 22, 2012; May 19, 2015; February 27, 2025)

§56-2. Trade Execution Methods, etc. of Temporary Overheated Issues, etc.

(1) The method of trade execution of temporary overheated issues and investment precaution issues under [§38-2] of the Regulation shall be the call auction. In such cases, [§23(3) through (7)] of the Regulation shall apply *mutatis mutandis*. (Amended on May 19, 2015; February 28, 2017; July 23, 2020)

(2) The provisions of [§56(2)] shall apply *mutatis mutandis* to the temporary overheated issues, investment precaution issues and the call auction issues with abnormally soaring price. (Amended on February 28, 2017; July 23, 2020)

(3) Notwithstanding paragraphs (1) and (2), the provisions of [§29] through [§36] of the Regulation shall apply *mutatis mutandis* to the trades executed by the methods other than the individual auction during the trading hours of regular sessions. In such cases, “ten (10) minutes” in [§51-2(2)] of these Enforcement Rules shall be construed as “thirty (30) minutes.” (Amended on May 19, 2015; February 27, 2025)

(4) Notwithstanding paragraph (1), in applying [§23(7)] of the Regulation, if the trading does not resume during the day after having been halted or suspended during the quotation receiving hour under paragraph (2), the quotations restricted to participate in the determination of special quotation prices shall refer to the quotations received during the day.

(5) The periods for changing the trade execution methods of the call auction issues with abnormally soaring prices shall be as follows. Provided that, in cases where it is deemed necessary for the market management, the Exchange may determine such periods differently: [February 28, 2017]

1. In the case of falling under [§7-2(1)1] of the Enforcement Rules of the Market Oversight Regulation: Three (3) trading days from the day following the date of request; and

2. In the case of falling under [§7-2(1)2] of the Enforcement Rules of the Market Oversight Regulation: From the day following the date of designation as investment risk issue pursuant to [§3-4] of the Enforcement Rules of the Market Oversight Regulation to the previous day of the date of release therefrom.

(6) In cases where it is deemed necessary for the investor protection and market stability due to sudden changes in the market situation, etc., the following additional measures

may be taken pursuant to the proviso to the part other than subparagraphs of [§38-2] of the Regulation: [February 28, 2017]

1. Change of the price change limits pursuant to [§20(2)] of the Regulation;
2. Change of the rates specified in paragraphs (1) and (2) of [§41-2]; and
3. Other measures that are deemed necessary for the market management.

(7) When making changes in the trade execution methods pursuant to the part other than each subparagraph of paragraph (5) or taking additional measures pursuant to paragraph (6), the Exchange shall officially announce such fact immediately. [February 28, 2017]

[October 22, 2012]

§56-3. Methods of Trade Execution of Low Liquidity Issues

(1) “An issue of which the trade frequency is deemed to be significantly low according to the criteria set by the Enforcement Rules” in [§38-3(1)] of the Regulation shall refer to an issue with low liquidity subject to period call auction that is selected according to the criteria specified in [Annex 2-2] (hereinafter referred to as the “low liquidity issue subject to call auction”). (Amended on December 28, 2018; September 22, 2020)

(2) The trade execution of a low liquidity issue subject to call auction shall be conducted by the way of call auction under [§23] of the Regulation. Provided that this provision shall not apply to an issue that falls under the criteria for exclusion under [Annex 2-2] or is released from the list of low liquidity issues subject to periodic call auction during the applicable period.

(3) [Deleted on December 28, 2018]

(4) The provisions of [§23(3) through (7)] of the Regulation and [§56(2)] shall apply *mutatis mutandis* to the low liquidity issues subject to call auction. (Amended on November 26, 2020)

(5) Notwithstanding paragraphs (2) and (4), the provisions of [§29] through [§36] of the Regulation shall apply to the trades executed by the methods other than the individual auction during the trading hours of regular sessions. In such cases, “ten (10) minutes” in [§51-2(2)] shall be construed as “thirty (30) minutes”. (Amended on February 27, 2025)

(6) The matters necessary for the application of the selection, additional selection, applicable period, etc. of the low liquidity issues subject to periodic call auction other than those stipulated in paragraphs (1) and (2) shall be set forth in [Annex 2-2]. (Amended on December 28, 2018)

[March 25, 2016]

§56-4. Trade Execution Methods of Different Classes of Stock Issues with

Insufficient Number of Listed Stocks

(1) “An issue whose number of listed stocks falls short of the criteria set by the Enforcement Rules” in [§38-3(2)] of the Regulation shall refer to different classes of stock issue with less than five hundred thousand (500,000) listed stocks (hereinafter referred to as the “different classes of stock issue subject to call auction”).

(2) The number of listed stocks in paragraph (1) shall be assessed on the last trading day of each quarter, and in cases where it falls under the criteria in paragraph (1), the concerned issue shall be selected as the different classes of stock issue subject to call auction during the following quarter of the quarter in which the assessment date belongs.

(3) The trade execution method of the different classes of stock issue subject to call auction shall be the call auction pursuant to [§23] of the Regulation.

(4) [§23(3) through (7)] of the Regulation and [§56(2)] of the Enforcement Rules shall apply *mutatis mutandis* to the different classes of stock issues subject to call auction.

(5) Notwithstanding paragraphs (3) and (4), the provisions of [§29] through [§36] of the Regulation shall apply to trades other than those executed by the individual auction during the trading hours of regular sessions. In such cases, “ten (10) minutes” in [§51-2(2)] shall be construed as “thirty (30) minutes”. (Amended on February 27, 2025)

(6) In cases where the low liquidity issue subject to call auction pursuant to [§56-3(1)] is selected as the different classes of stock issue subject to call auction pursuant to paragraph (1), paragraphs (1) through (5) shall have priority over [§56-3] during the selected period.

[September 22, 2020]

§57. Methods of Trading Treasury Stocks of Stock-listed Corporations

(1) Pursuant to [§39(3)] of the Regulation, in cases where a member intends to trade the treasury stocks of a stock-listed, the quotation methods for such trade shall be each of the following subparagraphs: (Amended on December 1, 2005; December 27, 2007; February 3, 2009; April 20, 2012; April 12, 2023)

1. The member shall submit to the Exchange an application for trading of treasury stocks of stock-listed corporations in accordance with [Annex: Form No. 6] on the day before placing the quotations (it shall be from the market closing time to 18:00 hours). In such cases, the member may submit the relevant details through the electronic information delivery medium, which the Exchange designates separately;

2. The quotations shall be placed at the price in accordance with each subparagraph of [§39(1)] of the Regulation, and in the following cases, the “previous day’s closing price” in each subparagraph of [§39(1)] of the Regulation shall be the price specified in each item. In such cases, for the issues undergoing ex-dividends, ex-rights, stock split,

reverse stock split, and for the newly-listed issues on the same day of placing such quotation, the base price of the day shall deem to be the closing prices of the previous day, and for the issues using the first trading price as the base price, the appraisal prices of the day shall deem to be the closing prices of the previous day, respectively: (Amended on February 27, 2025)

(a) For issues using the first trading price as the base price: Appraisal price of the day; and [February 27, 2025]

(b) For issues whose previous day's closing prices do not match the quotation price unit, for issues undergoing ex-dividends, ex-rights, stock split, reverse stock split, and for the newly-listed issues on the day of placing such quotation: Base price of the day. [February 27, 2025]

3. The quotation quantity shall be less than the largest of the following quantities (the quantity below the trading unit shall be discarded; the same hereinafter in this subparagraph). Provided that, in cases where such quantity exceeds 1/100 of the total number of shares issued, it should be the amount less than 1/100 the total number of shares issued:

(a) The quantities equivalent to 10/100 of the number of treasury stocks to be acquired (or disposed of), which the stock-listed corporation reported to the Financial Services Commission for such purpose; and

(b) The quantities equivalent to 25/100 of the average daily trading volume of one (1) month retroactive from one (1) day before the day when the board of the stock-listed corporation made the decision on the acquisition (or disposal) of the treasury stocks.

4. In cases where "higher price of the last price and the best bid quotation" in [§39(1)2(a)] of the Regulation or "lower price of the last price and the best offer quotation" in [§39(1)2(b)] of the Regulations is "the last price" but does not match the quotation price unit, the upper limit and the lower limit shall be calculated in the following manner: [February 27, 2025]

(a) In the case of higher limit:

Among the price that is lower than the last price and matches the quotation price unit, the price that is five (5) quotation price unit higher than the closest price to such price. [February 27, 2025]

(b) In the case of lower limit:

Among the price that is higher than the last price and matches the quotation price unit, the price that is five (5) quotation price unit lower than the closest price to such price. [February 27, 2025]

(2) After placing a quotation pursuant to paragraph (1), the member shall be prohibited to cancel such quotation. (Amended on February 3, 2009)

(3) In cases of the issues where no transactions occurred during the regular session, “the most recent execution price” in [§39(1)2] of the Regulation shall be construed as “the base price of the day”. When the expected best quotation price is announced pursuant to [§126(1)1] of the Regulation, “the best bid quotation” and “the best offer quotation” in the same subparagraph shall be construed as “the expected best bid quotation” and “the expected best offer quotation”, respectively. [September 8, 2006] (Amended on February 3, 2009, April 25, 2013; May 19, 2015; February 27, 2025)

§58. Special Cases Concerning Trading Methods of Treasury Stocks of Stock-listed Corporations

(1) In cases where a member intends to purchase the treasury stocks of stock-listed corporations in accordance with the methods specified in [§40(1)] of the Regulation, the quotation shall be placed in accordance with each of following methods: (Amended on April 20, 2012; February 27, 2025)

1. Quotation prices shall be the prices specified in each subparagraph of [§40(2)] of the Regulation. In such cases, [§57(1)2] of the Regulation shall apply *mutatis mutandis*; and (Amended on February 27, 2025)

2. Quotation quantity shall be equal to or less than the number of shares intended to acquire.

(2) For the matters concerning the trading other than those mentioned in paragraph (1), [§57] shall apply thereto.

§59. Trading Methods of Treasury Stocks of Stock-listed Corporations under Trust Contract and Special Cases Thereof

Provisions of [§57] and [§58] shall apply *mutatis mutandis* to the case where a member intends to trade the treasury stocks under money trust contract by a method stipulated in [§41] of the Regulation. In such cases, “purchase of treasury stocks” shall be construed as “purchase of treasury stocks under money trust contract”, the quotation quantity mentioned in [§57(1)3] shall be the quantity that is less than 1/100 of total number of shares issued, and the quotation quantity mentioned in [§58(1)2] shall be less than the quantity where the amount obtained by multiplying such quantity by its price does not exceed the total of the relevant trust asset.

CHAPTER IV. TRADING OF DEBT SECURITIES

Section 1. Common Provisions

§60. Application Scope

This Chapter shall apply to the trading of debt securities. (Amended on February 3, 2009)

§61. License & Permit Bonds

The LPBs under subparagraph 2 of [§43] of the Regulation shall be, from among the bonds noted in each of the following subparagraphs, the bonds which are issued during the current or previous month based on the trading date, and the quotation quantity per person (referring to the sum of new quotation quantity and the unexecuted quotation quantity; the same hereinafter in this Article.) being equal to or below KRW 50 million in par value. In such cases, the quotation quantity per person shall apply to the bid and offer quotations by bond respectively and be calculated by totaling the quotation quantity placed in the joint account for LPBs under [§77(1)] of the Regulation: (Amended on December 1, 2005; July 21, 2006; July 10, 2014)

1. National Housing Bonds Type I;
2. Seoul Railroad Bonds and Seoul Regional Development Bonds (hereinafter referred to as “the Seoul Railroad Bonds, etc.”);
3. Regional development bonds issued by the metropolitan cities and provinces under the Local Public Enterprises Act; and
4. Busan Railroad Bonds, Daegu Railroad Bonds, Incheon Railroad Bonds, Gwangju Railroad Bonds and Daejeon Railroad Bonds (hereinafter referred to as “the metropolitan railroad bonds, etc.”).
5. [Deleted on December 1, 2005]

§62. Designations of LPB Dealers

(1) Pursuant to [§44] of the Regulation, the Exchange shall designate a person as a new LPB dealer when the person submits to the Exchange an application for designation of LPB dealer in accordance with [Annex: Form No. 7] (hereinafter referred to as “application form” in this Article) during the period specified by the Exchange in December of each year (hereinafter referred to as “application period”) and meets all of the following requirements: (Amended on December 18, 2007; November 27, 2025)

1. The net capital ratio under Article 3-6, Paragraph 3 of the Financial Investment Business Regulations for the half year immediately preceding the half year in which the application date falls shall be 100% or higher; [November 27, 2025]
2. Equity capital for the half year immediately preceding the half year in which the application date falls must be at least KRW 300 billion; [November 27, 2025]
3. As of the end of the year in which the application date falls, there shall be at least

three (3) employees with at least three (3) years of experience in bond trading and at least one (1) employee with at least one (1) year of experience in securities and fund settlement; and [November 27, 2025]

4. The performance of proprietary trading of LPBs from December of the year preceding the year in which the application date falls to November of the year in which the application date falls (limited to trading concluded through continuous trading pursuant to Article 48 of the Regulations) shall be KRW 400 billion or more. [November 27, 2025]

(2) The Exchange shall redesignate as an LPB dealer a person who is an LPB dealer as of the application closing date, if the person meets all of the following requirements: Provided that, even if the person does not meet the requirements in subparagraph 2, the Exchange may redesignate the person as an LPB dealer if it deems necessary for market management due to reasons such as a rapid increase in the issuance of LPBs, a sudden change in the financial market, etc. (Amended on December 18, 2007; November 17, 2010; March 25, 2016; June 8, 2021; December 4, 2023; November 27, 2025)

1. All requirements of each subparagraph of paragraph (1) (excluding subparagraph 4) shall be met. [November 27, 2025]
2. The annual assessment score pursuant to [§62-3(1)] shall be 150 points or higher. [November 27, 2025]

(3) The Exchange shall designate LPB dealers each December. In this case, the designation period shall be one (1) year, starting January 1 of the following year. (Amended on November 27, 2025)

(4) The Exchange shall not designate any member who falls under any of the following subparagraphs as an LPB dealer for three (3) years from the following year: (Amended on November 27, 2025)

1. Members who were not redesignated as an LPB dealer pursuant to paragraph (2); or [November 27, 2025]
2. Members whose designation as an LPB dealer has been revoked pursuant to [§63]. [November 27, 2025]

(5) In addition to paragraphs (1) through (4), the matters necessary for the designation of LPB dealers shall be determined separately by the Exchange. [December 18, 2007] (Amended on November 27, 2025)

§62-2. Assessment of LPB Dealers

(1) The Exchange shall conduct semi-annual assessments of LPB dealers in accordance with Annex 2-5 and calculates semi-annual assessment scores. In this case, the Exchange may notify the relevant member of the semi-annual assessment scores.

(2) The Exchange may request LPB dealers to provide any information deemed necessary for the assessment under paragraph (1). In such cases, LPB dealers must respond without delay.

[November 27, 2025]

§62-3. Designations of Excellent LPB Dealers

(1) The Exchange may designate LPB dealers whose annual assessment scores (referring to the sum of the first and second half assessment scores of the year in which the assessment was conducted pursuant to [§62-2(1)]; the same hereinafter) are within the top 30% as excellent LPB dealers. Provided that this excludes LPB dealers who violate any of the provisions of Article 74, Paragraphs 1 through 3 for six or more trading days during the annual assessment score calculation period.

(2) Provisions of [§62(3)] shall apply to the designation and designation period of excellent LPB dealers mutatis mutandis.

[November 27, 2025]

§63. Revocation of Designation as LPB Dealer

The Exchange may revoke the designation as LPB dealer in any of the following cases. Provided, however, that where subparagraph 2 applies, the designation may not be revoked if the Exchange deems it necessary for market management due to reasons such as a rapid increase in the issuance of LPBs, a sudden change in the financial market, etc.: (Amended on December 18, 2007; March 23, 2011; February 28, 2014; March 25, 2016; December 4, 2023; November 27, 2025)

1. Where an LPB dealer applies for withdrawal from such designation;
2. Where the sum of the most recent two (2) semiannual assessment scores (referring to the score calculated by adding the assessment score for the first half of the year in which the evaluation was conducted pursuant to [§62-2(1)] and the assessment score for the second half of the previous year; the same hereinafter) of an LPB dealer (excluding LPB dealers who have been designated for the first time) is less than 150 points;
3. Where any of paragraphs (1) through (3) of [§74] are violated for ten (10) or more trading days by type of bond during the period for calculating the sum of the most recent two semiannual assessment scores or the period for calculating the annual assessment scores; or
4. Where it is deemed that in conjunction with the trading of LPBs, an LPB dealer hinders the market operation or seemingly undermines the fairness in the market.

§64. Working Group for LPB Dealers

(1) The Exchange may establish and operate a working group for LPB dealers (hereinafter in this Article referred to as "the working group") consisting of the following persons:

1. Heads of the bond departments of LPB dealers; and
2. Head of the Bond Market Operations of the Exchange.

(2) The working group shall deliberate the following matters:

1. The operational method of LPB dealers;
2. The quantity of bid quotation pursuant to [§74(1)]; and
3. In addition, the matters necessary for the trading of LPBs.

Section 1-2. Administration of Quotations and Price Limits

§64-2. Notification Method of Quotations for Covered Short Sales

(1) Pursuant to [§44-2(6)] of the Regulation, each member shall submit to the Exchange the notification of quotations for covered short sales in accordance with [Annex: Form No. 7-2] via the postal service, in-person or facsimile on the day the quotation for covered short sale was placed.

(2) In cases where the member has inputted the quotation for covered short sales pursuant to [§12(1)8(b)], it shall be deemed that the notification noted in paragraph (1) has been submitted. (Amended on March 19, 2009)

[February 3, 2009]

§64-3. Price Limit on Quotations for Covered Short Sales, etc.

Pursuant to [§44-3(3)] of the Regulation, in the case of falling under any of the following subparagraphs, the proviso to [§18(1)] of the Regulation shall not apply: (Amended on March 6, 2009; July 10, 2014)

1. Case where the opening price has not been determined; and
2. Case where, when the opening price is the same as the immediately preceding price (referring to a price that is the base for restricting the input of quotation price noted in [§14(1)4(d)], the price that is different from the relevant price has not been determined.

[February 3, 2009]

Section 2. Units of Quotation and Trading Quantity

§65. Quotation Units

(1) The quotation quantity units of debt securities under [§45] of the Regulation shall be each of the following subparagraphs: (Amended on February 3, 2009)

1. For debt securities except those denominated in foreign currencies: KRW 10,000 at par value; and
2. Foreign currency denominated debt securities: 10,000 basis points (the lowest denomination of a certificate shall be deemed 10,000 basis points).

(2) The quotation price units of debt securities under [§45] of the Regulation shall be each of following subparagraphs: (Amended on February 3, 2009; June 21, 2016; June 14, 2023)

1. For debt securities except those denominated in foreign currencies and the benchmark issues stipulated in subparagraph 3(a) of [§55] of the Regulation (hereinafter referred to as the “benchmark issues”), the quotation price units classified in each of the following items:

- (a) Where the term to maturity is shorter than two (2) years: KRW 0.1;
- (b) Where the term to maturity is two (2) years or longer but shorter than ten (10) years: KRW 0.5; and
- (c) Where the term to maturity is ten (10) years or longer: KRW 1.

2. For foreign currency denominated debt securities, the quotation price units classified in each of the following items:

- (a) Where the term to maturity is shorter than two (2) years: 0.1 point;
- (b) Where the term to maturity is two (2) years or longer but shorter than ten (10) years: 0.5 point; and
- (c) Where the term to maturity is ten (10) years or longer: 1 point.

3. For benchmark issues, the quotation price units classified in each of the following items:

- (a) Where the term to maturity is shorter than ten (10) years: KRW 0.5; and
- (b) Where the term to maturity is ten (10) years or longer and in the case of the inflation indexed treasury bonds: KRW 1.

§66. Trading Quantity Units

The trading quantity units of debt securities (excluding debt securities traded on the KRX KTB) under [§45] of the Regulation shall be each of the followings: (Amended on October 12, 2006; February 3, 2009; December 13, 2012; February 28, 2014; September 10, 2019; May 23, 2024)

1. LPBs: KRW 1,000 at par value;
2. Foreign currency denominated debt securities: 10,000 basis points;
3. [Deleted on February 28, 2014]
4. Short-term bonds, etc. under Article 59 of the Act on Electronic Registration of Stocks, Bonds, etc.: KRW 100 million at par value; and
5. Debt securities other than those mentioned in subparagraphs 1 through 4: KRW 10,000 at par value. (Amended on December 24, 2025)

Section 3. Execution of Trades

§67. Priority of Simultaneous Quotations

(1) The simultaneous quotations stipulated in [§46(2)3] of the Regulation shall apply only to LPBs, and the priority thereof shall be determined in the manner prescribed in each of the followings: (Amended on February 28, 2014; December 22, 2022)

1. Bid quotations by issue shall have priority over those by class;
2. [Deleted on December 22, 2022]
3. Among the bid quotations, the bid quotations for customer account transactions and the bid quotation for self-account transactions placed by LPB dealers shall have priority over other bid quotations; and
4. Among the ask quotations, the bid quotation noted in [§76(5)] shall have priority over other ask quotations.

(2) Among the quotations that do not take priority over each other after applying the order of priority pursuant to each subparagraph of paragraph (1), the quotation with the larger quantity has priority (in the case of the same quantity, the quotation received earlier by the Exchange computer system has priority over those received later) over the quotations with smaller quantity until the quantity reaches the figure in subparagraph 1 below. For the quotations that exceed the quantity specified in subparagraph 1, their priority is determined according to the same method mentioned above, in a sequential order, starting from with the quantity specified in subparagraph 2. (Amended on February 28, 2014; December 22, 2022)

1. KRW 10 million;
2. KRW 50 million;
3. KRW 100 million;
4. KRW 300 million;
5. KRW 500 million; and
6. Residual quantity.

§67-2. Call auction

“Debt securities specified in the Enforcement Rules” in the proviso to [§47(1)3] of the Regulation refers to LPBs. [November 18, 2015]

§68. Range of Simultaneous Quotations

The range of simultaneous quotations prescribed in [§47(2)] of the Regulation (including the quotations that participate in the periodic call auction of debt securities except for LPBs) shall be the quotations received during the period specified in each of the following subparagraphs and include, if any, unexecuted quotations that were received earlier. Provided that, in cases where trades have not been executed with the quotations mentioned above, the range shall include all quotations until the time when the first price is determined: (Amended on February 28, 2014)

1. In the case of determining the price pursuant to [§47(1)1] of the Regulation, the range shall be from the beginning of the quotation receiving hours of the regular session mentioned in [§11] to the market opening; and
2. In the case of determining the price pursuant to [§47(1)2&3] of the Regulation, the range shall be quotations received during the first ten (10) minutes from the time of reopening of the market or the resumption of trading.

§69. Resumption of Trading after Trading Suspension of Individual Issues

(1) In cases where the trading resumes after having been suspended pursuant to [§49(1)] of the Regulation, the timing of trading resumption shall be determined according to the following subparagraphs: (Amended on July 23, 2020)

1. In the case of trading suspension pursuant to [§49(1)1] of the Regulation: The timing of trading resumption shall be determined considering the quotation situations and trading conditions;
2. In the case of trading suspension pursuant to [§49(1)2] of the Regulation: the timing of trading resumption shall be the trading day after the day on which an issue is designated as an investment precaution bond issue; and

3. In the case of trading suspension pursuant to [§49(1)3] of the Regulation: The timing of trading resumption shall be determined considering the market situations and trading conditions.

(2) When suspending or resuming trading pursuant to [§49] of the Regulation, such fact shall be officially announced immediately.

(Wholly amended on November 18, 2015)

§70. Measures to Take and Methods of Trade Execution in Case of Computer System Failure

(Amended on January 15)

(1) Pursuant to [§50] of the Regulation, when the occurrence of a computer system failure has been confirmed and it is deemed that the failure is likely to continue, the Exchange may take any of the following measures: (Amended on January 15, 2026)

1. Cancellation of quotations that caused computer system failure; or [January 15, 2026]

2. Suspension of receiving quotations or halt of trading. In this case, if the restoration of details of quotations is impossible or it is necessary to promptly recover from a computer system failure, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled. [January 15, 2026]

(2) When the computer system is back to normal operation after the quotation receiving was suspended or trading was halted pursuant to paragraph (1)2, the receipt of quotations or trading shall resume from the time determined by the Exchange. [January 15, 2026]

(3) In cases where the computer system failure persists for a prolonged period, the trade shall be executed in accordance with each of the following methods: (Amended on August 24, 2017)

1. Execution of trade during the failure of member computer system:

In cases where the computer system failure has not been restored by specified time before the market closing, it shall be deemed that the day's trading has been closed at the time when the system failure occurred.

2. Execution of trade during the failure of Exchange computer system:

In cases where it is deemed that the computer system failure would continue well into the market closing time and the trade execution would not be possible, it shall be deemed that the day's trading has been closed at the time when the system failure occurred.

(4) In cases where the trading resumes pursuant to paragraph (2), the first price shall be

determined by the methods of trade execution set forth in each of the following subparagraphs: [February 28, 2014] (Amended on August 24, 2017; January 15, 2026)

1. Trading under [§71-3(2)4] of the Regulation (hereinafter referred to as “trades in the KRX BondsAll”)

The method of call auction under [§47] of the Regulation. In such cases, the range of quotations participating in determining the relevant price shall be determined by the Exchange each time. (Amended on January 15, 2026)

2. Trading of LPBs

The method of continuous trading under [§48] of the Regulation. (Amended on January 15, 2026)

(5) The methods of trade execution in the event of computer system failures other than those stipulated in paragraphs (3) and (4) shall be determined by the Exchange for each time when a failure occurs. (Amended on February 28, 2014; January 15, 2026)

§71. Measures to Take and Method of Trade Execution in Case of Excessive Influx of Quotations

(Amended on January 15, 2026)

(1) [Deleted on February 28, 2014]

(2) [Deleted on February 28, 2014]

(3) In cases where there is a possibility of a computer system failure due to excessive influx of quotations, the Exchange may take any of the following measures: (Amended on February 28, 2014; January 15, 2026)

1. Suspension of receiving quotations or halt of trading. In this case, if the restoration of details of quotations is impossible or there is a risk of computer system failure during restoration, quotations that have not been concluded by the time of suspension of receiving quotations or halt of trading may be cancelled; or [January 15, 2026]

2. Closing of trading of the day. [January 15, 2026]

(4) If the Exchange determines that the risk of computer system failure due to excessive influx of quotations has been eliminated following the suspension of receiving quotations or the halt of trading under paragraph (3)1, the receiving of quotations or trading shall resume at a time determined by the Exchange. [January 15, 2026]

(5) In the case where trading is resumed pursuant to paragraph (4), [§70(4)] of the Regulation shall apply to the determination of the first price mutatis mutandis. [January 15, 2026]

(6) In cases where trading is closed due to the excessive influx of quotations during the quotation receiving hours for call auction under [§47] of the Regulation, the trading may be executed, taking into account the quotation conditions, with the quotations received by the time when such trading is closed. [January 15, 2026]

(7) In addition to paragraphs (5) and (6), the method of trade execution in the event of excessive influx of quotations shall be determined by the Exchange at each time.(Amended on February 28; January 15, 2026)

§72. Provisions Applied *Mutatis Mutandis*

The provisions of [§44] through [§47] shall apply *mutatis mutandis* to the case of transaction errors of debt securities. (Amended on February 3, 2009)

Section 4. Special Cases concerning Trade Execution

§73. Reporting of Dealing of LPBs

(1) Each member shall, when trading LPBs as a self-account transaction in OTC market pursuant to [§52] of the Regulation, report the details such as the issue name, quantity, price, classification for bid or offer, and trading time of each trade to the Exchange without delay. In such cases, the reporting shall be made by way of transmitting such information to the Exchange computer system via the member computer system.

(2) The market price, which is the base of the self-account transaction of LPBs in OTC market pursuant to paragraph (1), shall be the reported market price.

§74. Bid Quotation, etc. of LPB Dealers

(1) Each LPB dealer shall, for the trading of LPBs, place the bid quotations by class with amounts no less than those specified in each of the following subparagraphs, for each issuing month of LPBs, before the market opening and during the last twenty (20) minutes before the market closing time each day. In such cases, subparagraph 1 shall apply to the first trading day of bonds issued in the previous month. (Amended on December 1, 2005; July 21, 2006; May 7, 2010; December 4, 2023)

1. Bonds issued during the current month:

- (a) Type I National Housing Bonds: KRW 2.4 billion before market opening and KRW 1.2 billion during the last twenty (20) minutes before the market closing time;
- (b) Seoul Railroad Bonds, etc.: KRW 200 million;
- (c) Regional Development Bonds: KRW 400 million; and
- (d) Metropolitan Railroad Bonds: KRW 200 million.

(e) [Deleted. December 1, 2005]

2. Bonds issued in the previous month:

- (a) National Housing Bonds Type I: KRW 200 million;
 - (b) Seoul Railroad Bonds, etc.: KRW 100 million;
 - (c) Regional Development Bonds: KRW 100 million; and
 - (d) Metropolitan Railroad Bonds: KRW 100 million.
- (e) [Deleted on December 1, 2005]

(2) LPB dealers are obligated to submit bid quotations for the offer orders entrusted pursuant to [§75(1)1] and offer quotations for self-account transaction placed pursuant to [§76(5)]. In such cases, the Exchange may request LPB dealers to place necessary quantity of bid quotations after taking into consideration the prevailing quotation situation in the market. (Amended on December 18, 2007)

(3) LPB dealers shall notify the price required to calculate the reported market price (hereinafter referred to as the “price reported by LPB dealers”) by 17:30 after the market closing by transmitting the price into the Exchange computer system. (Amended on June 21, 2016; November 23, 2016)

§75. Trading of LPBs at Market Closing

(1) The range of quotations noted in [§53(3)] of the Regulation shall be each of the followings. In such cases, it shall be deemed that such quotations have been placed at the reported market prices: (Amended on February 28, 2014)

1. Offer Quotations

Offer quotations for customer account at the price lower than the reported market price, which are received during the last twenty (20) minutes before the market closing time (including the unexecuted quotations among the offer quotations for customer account at the price lower than the reported market price, which were received earlier).

2. Bid Quotations

Each of the following quotations. In such cases, if bid quotations by class under [§10] is feasible, the bid quotations by issue shall be excluded:

- (a) Bid quotations for self-account transaction of LPB dealers that are received during the last twenty (20) minutes before the market closing time (including the unexecuted quotations among the bid quotations with a price higher than the reported market prices for dealing of LPB dealers that were received earlier); and (Amended on February 28, 2014)

(b) From among the quotations with a price higher than the reported market price, which are received during the last twenty (20) minutes before the market closing time, the bid quotations for customer orders noted in [§104(1)6h] (including the unexecuted quotations among the entrusted bid quotations at the price higher than the reported market price, which were received earlier).

(2) The priority among the quotations pursuant to paragraph (1) shall be each of the followings. In such cases, the time sequence shall not be considered; in cases where the quotation quantity is the same, the priority shall be assigned in the order they are registered in the Exchange computer system: (Amended on February 28, 2014; November 18, 2015; November 23, 2016; December 22, 2022)

1. In cases where total quantity of offer quotations exceeds total quantity of bid quotations: The offers, which were submitted through a joint account for LPB (hereinafter referred to as “the joint account”) noted in the proviso to [§77(1)] of the Regulation by the members (hereinafter referred to as the “selling agent”) who entered into a selling agent contract pursuant to [§95] of the Regulation, shall have priority over other offers, and the offers with a smaller quantity shall have priority over the offers with larger quantities.

2. In cases where total quantity of bid quotations exceeds total quantity of offer quotations, the following items shall apply:

(a) The own bid quotations of an LPB member shall have the priority over other bid quotations until the own bid quotations reach 45/100 of the total offer quotation quantity (the quantity below the trading unit, if any, shall be discarded). In such cases, between the own bid quotations of an LPB member, the bid quotation with a larger quantity shall have the priority over the bid quotation with a smaller quantity up to the quantity determined by the proportional distribution.

(b) In the case of the offer quotation quantity except item (a), the bid quotation with a higher quantity, among bid quotations based on the residual quantity, shall have the priority over the bid quotation with a lower quantity up to the quantity determined by the proportional distribution (the quantity below the trading unit, if any, shall be added to the quotation with the highest quantity at first).

§75-2. Negotiated Trade

(1) “Trading of debt securities stipulated in the Enforcement Rules” in [§53-2(2)3] of the Regulation shall be the trading in the KRX BondsAll. (Amended on January 15, 2026)

(2) The quotation for negotiated trades under [§53-2(1)] of the Regulation (hereinafter referred to as “negotiated trade”) shall be classified as follows:

1. Request quotation: A quotation which is placed by a person who requests for a quotation (hereinafter referred to as “quotation requester”) by designating the

quantity or the price (in the case of Repo trades, it refers to the Repo rate; the same hereinafter in this Article). Provided that, for the Repo trades and the trading in the KRX BondsAll, both of quantity and price shall be designated.

2. Proposal quotation: A quotation which is placed by a person who proposes a quotation in response to a request quotation (hereinafter referred to as “quotation proposer”) by designating the price or the quantity. Provided that, for the Repo trades, only the price can be designated, and for the trading in the KRX BondsAll, either the price or quantity shall not be designated.

(3) The quotation quantity unit of negotiated trades shall be each of the followings:

1. For Repo trades, KRW 10,000 in purchase price; and
2. For the trades other than subparagraph 1, KRW 10,000 in face value.

(4) The quotation price unit of negotiated trades shall be each of the following:

1. For Repo trades, Repo rate stipulated in [§89(2)]; and
2. For the trades other than subparagraph 1, the quotation price units specified in [§65(2)].

(5) The trading unit of negotiated trades shall be each of the followings: (Amended on May 23, 2024)

1. For the trading in the KRX KTB, KRW 100 million in face value;
2. For Repo trades, KRW 100 million in purchase price; and
3. For the trading in the KRX BondsAll, KRW 100 million in face value.

(6) When submitting a request quotation, the quotation requester shall designate quotation proposers within the numbers specified in each of the following. Provided that, in case of Repo trades, a quotation proposer may not be designated.

1. For the trading in the KRX KTB, ten (10) proposers;
2. For Repo trades, five (5) proposers; and
3. For the trading in the KRX BondsAll, one (1) proposer.

(7) The effective time period of a request quotation shall be the time in each of the followings and a transaction shall become valid when an agreement is made in accordance with the method set by the Exchange.

1. For the trading in the KRX KTB, five (5) minutes after the receipt of request quotation; and
2. For Repo trades, thirty (30) minutes after the receipt of request quotation. In such

cases, if a proposal quotation is submitted, the effective time restarts from the submission of such quotation and the quotation requester may extend the effective time by five (5)-minute intervals.

(8) In the case of the trading in the KRX BondsAll, the quotation of negotiated trades for foreign currency denominated debt securities and the quotation of negotiated trades for a foreign customer shall not be submitted.

(9) In the case of Repo trades, the trading period shall be within 365 days (market holidays shall be included in calculating trading periods). The quantity of bonds that are used as collateral shall be the quantity of which the appraisal amount calculated by the following formula exceeds the purchase price and the minimum bond quantity shall be the amount in the unit of KRW 10,000.

· Appraisal amount = (Total face value of collateral bonds x Market value/10,000)/ (1+Haircut)

(10) Other necessary matters with regard to negotiated trades than those stated in paragraphs (1) through (9) shall be determined by the Exchange.

[March 24, 2016]

§76. Reported Trading of Debt Securities

(Amended on February 3, 2009)

(1) The reported trading of debt securities under [§54] of the Regulation can be conducted when it falls under any of the following subparagraphs: (Amended on August 26, 2005; December 20, 2006; February 3, 2009; December 6, 2010; March 23, 2011; November 18, 2015; March 24, 2016; September 10, 2019; December 22, 2022; May 23, 2024)

1. Where the trading of convertible bonds pursuant to subparagraph 1 of [§43] of the Regulation is executed after the market closing;

2. Where a selling agent places a bid quotation at the reported market price of the day for a sell order received from the sales agent after the market closing;

3. Case of executing the trade of debt securities, which the foreigners or foreign corporations intend to trade pursuant to Article 168 of the Act;

4. Case where, among the bonds stipulated in each subparagraph of [§61], the trade of the bonds issued during the current and previous months on the basis of a trading day is executed;

4-2. Where the trade, as when issued trade, is executed on the bidding day;

4-3. Where the trade is executed in the KRX KTB;

5. Where the treasury bond primary dealers noted in [§55(2)] of the Regulation (hereinafter referred to as “primary dealer”) enters the repurchase agreements

(hereinafter referred to as “Repos”) with the Korean government or the Bank of Korea in order to resolve the concern about unsteady supply of and demand for treasury bonds noted in Article 4(1)1(a) of the State Bond Act (hereinafter referred to as “treasury bonds”);

6. Where the government bond financing agencies trade Repos with primary dealers, for the government bond financing under the “Regulations on Issuance of Treasury Bonds and Operation of Primary Dealer System” of the Ministry of Strategy and Finance (hereinafter referred to as “Regulation on Operation of Treasury Bonds”); and

7. Case where, besides the Repo trades in accordance with subparagraphs 5 and 6, the parties that submitted the participation agreement pursuant to [§71] of the Regulation trade Repos among them.

(2) The trading hours for reported trading of debt securities shall be each of the followings: (Amended on August 26, 2005; December 20, 2006; February 3, 2009; November 18, 2015; March 24, 2016; June 21, 2016; February 21, 2019; April 3, 2019)

1. From the market closing to 18:00 hours in the case of subparagraphs 1 and 2 of paragraph (1);

2. From the market opening to 18:00 hours in the case of subparagraphs 3 and 4 of paragraph (1). Provided that the trading hours under subparagraph 1 shall apply to the cases falling under subparagraphs 1 and 2 of paragraphs (1);

2-2. From the market opening to 16:00 hours in the case of paragraph (1)4-2;

2-3. From 08:30 to 16:00 hours in the case of paragraph (1)4-3;

3. From the market opening to the market closing time in the case of subparagraphs 5 and 6 of paragraph (1); and

4. From the market opening to 15:40 hours in the case of paragraph (1)7.

(3) Any member who intends to conduct the reported trading of debt securities shall request such trading by way of transmitting the name of issue, quantity, bid and offer quotations at the same price to the Exchange computer system via the member computer systems or member debt securities terminals during the trading hours mentioned in paragraph (2). Provided that, in the case of the reported trade pursuant to paragraph (1)6, while considering that a bid quotation is a general collateral Repo transaction, the issue name may be substituted with another issue until the day before the repurchase date pursuant to [§25] of the Securities Market Clearing and Settlement Business Regulation. (Amended on February 3, 2009; April 27, 2009; May 23, 2024; February 27, 2025)

(4) Once the reported trading pursuant to paragraph (3) is requested, the Exchange shall deem that the relevant trade has been executed at the quotations reported and the settlement has been concluded at the same time. Provided that, this provision shall not

apply to subparagraphs 4-2, 4-3, 6 and 7 of paragraph (1). (Amended on August 26, 2005; December 20, 2006; November 18, 2015; March 24, 2016)

(5) Any member who has requested the reported trading falling under paragraph (1)2 shall submit an offer quotation for the entire quantity before the market opening on the following day at price not more than the price obtained by adding KRW 1 for each elapsed day to the reported market price of the previous day. (Amended on May 7, 2010; June 21, 2016; September 10, 2019; November 20, 2020; December 4, 2023)

(6) The trading under the provisions of paragraph (1)5 shall be governed by the Agreement for Participation under the provisions of [§71] of the Regulation.

(7) In the case of reported trading pursuant to paragraphs (1)6 and (1)7, the trading period shall be less than 360 days. [December 20, 2006] (Amended on April 27, 2009)

Section 5. Trading in KRX KTB

§77. Definitions

The terms used in this section shall have the same meanings given to them in the Regulation.

§78. Designation of Non-Benchmark Issues

(1) “Issues specified in the Enforcement Rules” in subparagraph 3(b) of [§55] of the Regulation shall refer to issues in each of the followings; (Amended on May 23, 2024)

1. Treasury bonds that are not the benchmark issues. In this case, they shall include the strip bond in which the principal amount and coupon payment are sold separately [hereinafter referred to as the “STRIPS (Separate Trading of Registered Interest and Principal of Securities)”] prescribed in Subparagraph 12 of [§2] of the “Regulation on Operation of Treasury Bonds”; and

2. Foreign exchange stabilization fund bonds (limited to those denominated in Korean won) noted in Article 13(7) of the Foreign Exchange Transaction Act.

(2) “Issues specified in the Enforcement Rules” in subparagraph 3(c) of [§55] of the Regulation shall refer to the monetary stabilization bonds and deposit insurance fund bonds. (Amended on February 28, 2014)

§79. Receipt of Quotations, etc.

(1) Notwithstanding [§11(1)1], the quotation-receiving hours for the trading in the KRX KTB pursuant to [§57(1)] of the Regulation shall be the trading hours of the regular session.

(2) “Within the range specified in the Enforcement Rules” in the latter part of [§57(2)] of the Regulation shall mean “within the price specified in each subparagraph of Article 31(3) of the “Regulation on Operation of Treasury Bonds for each benchmark issue”. (Amended on May 23, 2024)

(3) The number and quantity of market-making quotations on both sides pursuant to [§57(2)] of the Regulation shall be the number and quantity specified in Article 31(1) and (2) of the Regulation on Operation of Treasury Bonds. In this case, if the quantity of quotations exceeds KRW 1 billion, it shall be considered that as many quotations as the quantity of quotations divided by KRW 1 billion have been submitted. [May 23, 2024] (Previous paragraph (3) moved to paragraph (5) on May 23, 2024)

(4) Notwithstanding paragraphs (2) and (3), the Exchange may determine the spread, number or quantity of market-making quotations on both sides if it deems necessary given the market conditions, etc. [May 23, 2024] (Previous paragraph (4) moved to paragraph (6) on May 23, 2024)

(5) The one-sided market-making quotations pursuant to [§57(4)] may be submitted only if they are deemed necessary by the Exchange given the market conditions, etc. [February 28, 2014] (Moved from previous paragraph (3), previous paragraph (5) moved to paragraph (7) on May 23, 2024)

(6) The primary dealer who has placed the market-making quotations on both sides pursuant to [§57(2)] of the Regulation shall place the market-making quotations for both sides again within ten (10) minutes, if either of the relevant market-making bid or offer has been executed in full quantity (including the case where the remaining quantity on either one side is less than the number or quantity of the market-making quotations pursuant to paragraph (3). (Amended on October 23, 2009; May 23, 2024) (Moved from previous paragraph (4), previous paragraph (6) moved to paragraph (8) on May 23, 2024)

(7) With respect to the quotations under [§57(4)] of the Regulation, a condition that falls under any of the following subparagraphs may be affixed. [February 28, 2014] (Moved from previous paragraph (5), previous paragraph (7) moved to paragraph (9) on May 23, 2024)

1. IOC condition: The quantity of which trade can be executed at the time of receiving relevant quotations shall be subject to trade execution, while the unexecuted remainder shall be cancelled.

2. FOK condition: If the entire quantity can be executed for trading at the time of receiving relevant quotations, trading will be executed. Otherwise, the entire quantity shall be cancelled.

(8) No member can input quotations falling under each of the following subparagraphs for the trading in the KRX KTB: [November 28, 2019] (Moved from previous paragraph (6) on May 23, 2024)

1. For individual auctions: Any quotation, the amount of which exceeds the outstanding balance of listed amount or is KRW 100 billion or more; and

2. For negotiated trading or reported trading under [§76]: Any quotation, the amount of which exceeds the outstanding balance of listed amount or KRW 999 billion.

(9) Notwithstanding the main sentence of [§14(1)4(d)], in the case of trading in the KRX KTB, members may not input bid quotations with prices higher or offer quotations with prices lower than the following ratios based on the previous day's closing price; [November 28, 2019; November 23, 2021] (Amended on December 24, 2025)

1. Benchmark issue (excluding 50-year treasury bonds) and when-issued security under Article 2, Subparagraph 14 of the Regulation on Operation of Treasury Bonds: Ratios in each of the followings: [December 24, 2025]

(a) If the maturity is 10 years or less: 5 % [December 24, 2025]

(b) If the maturity is more than 10 years: 10% [December 24, 2025]

2. Issues other than those in subparagraph 1: [December 24, 2025]

(a) If the remaining maturity is 10 years or less: 10% [December 24, 2025]

(b) If the remaining maturity is more than 10 years: 20% [December 24, 2025]

(10) A primary dealer may file an application with the Exchange for the designation of a bond market-making account pursuant to [§99-9(5)] to place market-making quotations on both sides pursuant to [§57(2)] of the Regulation. [May 23, 2024]

§79-2. Special Cases for Submitting Market-making Quotations on Both Sides, etc.
(Amended on May 23, 2024)

(1) Pursuant to [§57(6)] of the Regulation, the primary dealers shall, during the trading hours of the regular session, submit the two-sided market-making quotations for issues that the Exchange designates pursuant to Subparagraph 1 of Article 19-2(1) of the Regulation on Operation of Treasury Bonds. In this case, the spread, the number, and the quantity of the two-sided market-making quotations shall be as follows and the method of designating an issue subject to the two-sided market-making quotations shall be as stipulated in [Annex 2-6], however, the Exchange may determine the spread, the number and/or the quantity, and the issue designation method of the two-sided market-making quotations differently if it deems necessary considering the market conditions, etc.: (Amended on August 24, 2017; May 23, 2024; October 29, 2024; March 25, 2026)

1. Quotation spread: Price specified in each item of Subparagraph 5 of Article 19-2(1) of the Regulation on Operation of Treasury Bonds; and

2. Number and quantity of quotations: The number and the quantity specified in

Subparagraph 2 and 4 of Article 19-2(1) of the Regulation on Operation of Treasury Bonds. In this case, if the quantity of quotations exceeds KRW 1 billion, it shall be considered that as many quotations as the quantity of quotations divided by KRW 1 billion have been submitted.

(2) Pursuant to [§57(6)] of the Regulation, a preliminary primary dealer in charge of market-making quotations pursuant to Articles 31 and 39 of the Regulation on Operation of Treasury Bonds (hereinafter referred to as “preliminary primary dealer”) shall submit the two-sided market-making quotations for benchmark issues during the trading hours of the regular session. In this case, with respect to the matters relating to the spread, the number, and the quantity of two-sided market-making quotations, the provisions of [§79(2) through (4)] shall apply *mutatis mutandis*.

(3) Pursuant to [§57(6)] of the Regulation, primary dealers and preliminary primary dealers may submit the two-sided market-making quotations for non-benchmark issues (excluding treasury bonds with a remaining maturity of less than one (1) year, 50-year maturity treasury bonds, and inflation-linked treasury bonds) under Article 2, Subparagraph 4 of the Regulation on Operation of Treasury Bonds during the trading hours of the regular session. In this case, main sentence of [§99-6(1)2], main sentence of [§99-6(2)2], and [§99-6 (3)] shall apply *mutatis mutandis* to the spread, number, and quantity of the two-sided market-making quotations. [March 25, 2026]

(4) If either of the bid or offer market-making quotations pursuant to paragraph (1) through (3) has been executed in full quantity (including the case where the remaining quantity on either one side is less than the number or quantity of the market-making quotations pursuant to paragraph (1)2, [§79(3)], or the main sentence of [§99-6(2)2], the primary dealer shall place the market-making quotations for both sides again within ten (10) minutes. [May 23, 2024] (Amended on March 25, 2026)

(5) A STRIPS primary dealer or preliminary primary dealer may apply to the Exchange for the designation of a bond market-making account under [§99-9(5)] in order to place two-sided market-making quotations in accordance with paragraphs (1) or (2). [May 23, 2024] (Amended on March 25, 2026)

[June 21, 2016]

§80. Suspension of Validity of Two-sided Market-making Quotations and Restoration Thereafter

(1) [Deleted on February 28, 2014]

(2) Pursuant to [§58(2)] of the Regulation, the suspension of validity of two-sided market-making quotations submitted by primary dealers and preliminary primary dealers shall be limited to the quotation-receiving hours, and there shall be no limit on the frequency of suspension. (Amended on February 28, 2014; May 23, 2024; March 25, 2026)

(3) With respect to the suspended two-sided market-making quotations by primary

dealers and preliminary primary dealers, the validity of the relevant quotations shall be construed as having been suspended until their validity become reinstated. (Amended on February 28, 2014; May 23, 2024; March 25, 2026)

§81. Restriction on Quotations

For the trading in the KRX KTB, the two-sided market-making quotations shall not be placed if they fall into any one of the following subparagraphs:

1. Where an offer price is lower than or equal to a bid price;
2. Where the price or quantity of either an offer or a bid quotation is omitted; and
3. Where the spread between such quotations exceeds the quotation spread pursuant to [§79(2)], [§79-2(1)1], the latter part of [§79-2(2)], or the latter part of [§79-2(3)]. Provided that, in cases where the number of spread prices of the two-sided market-making quotations is multiple, it is limited to cases where the spread of market-making quotations exceeds the maximum spread based on the prices. (Amended on March 25, 2026)

(Wholly amended on February 28, 2014)

§81-2. Cancellation and Change of Two-sided Market-Making Quotations

(1) In the case of canceling the two-sided market-making quotations that have not been concluded in the trading of KRX KTB, the entire quantity shall be canceled, notwithstanding [§17(1)].

(2) In the case of changing the two-sided market-making quotations in the trading of the KRX KTB, the price of market-making quotations may be changed only if it satisfies the spread requirement pursuant to [§79(2)], [§79-2(1)1], the latter part of [§79-2(2)], or the latter part of [§79-2(3)]. Provided that, in the case where the number of spread prices of the two-sided market-making quotations is multiple, the price of market-making quotations may be changed only if the spread of market-making quotations satisfies the maximum spread based on the prices. (Amended on March 25, 2026)

[May 23, 2024]

§82. Measures to Take and Methods of Trade Execution in Case of Computer System Failures

(Amended on January 15, 2026)

(1) In cases where a computer system failure has been confirmed and it is deemed that

such system failure is likely to continue, the Exchange may take any of the following measures: (Amended on February 28, 2014; January 15, 2026)

1. Cancellation of quotations that caused computer system failure; or [January 15, 2026]

2. Suspension of receiving quotations or halt of trading. In this case, the validity of quotations received before the suspension of receiving quotation or of the quotations received before the halt of trading shall not be recognized. [January 15, 2026]

(2) When the computer system is back to normal operation after the suspension of receiving quotations or the halt of trading under paragraph (1)2, the receipt of quotations or trading shall resume from the time determined by the Exchange. [January 15, 2026]

(3) In cases where a computer system failure persists for a prolonged period, the trade shall be executed according to each of the followings methods:

1. Methods of trade execution during the failure of member computer system:

In cases where the system failure has not been restored until a specified time after the market closing, it shall be construed that the trading of the day was closed at the time when the system failure has occurred. Provided that, in cases where the computer system failed during the last thirty (30) minutes before the market closing time and it is deemed that the failure would be unlikely to be restored by the market closing time, the Exchange may close the trading of the day at the time such failure has occurred.

2. Methods of trade execution during the failure of Exchange computer system:

In cases where, due to a computer system failure, a normal execution of trades is difficult until a specified time after the market closing, the Exchange shall record all quotations received until such time and execute them by method of continuous auction under [§59] of the Regulation. Provided that, in cases where it is anticipated that trade execution would not be possible because the system failure would not be restored until the specified time after the market closing, it shall be construed that the trading of the day has been closed at the time when such system failure occurred.

(4) In cases where the trade execution is resumed pursuant to paragraph (2), the first price shall be determined by continuous auction under [§59] of the Regulation. [February 28, 2014] (Amended on August 24, 2017; January 15, 2026)

(5) [Deleted on May 23, 2024]

(6) In addition to paragraphs (3) and (4), the methods of trade execution in the event of a computer system failure shall be determined by the Exchange at each case. [February 28, 2014] (Amended on November 28, 2019; January 15, 2026)

§82-2. Mass Cancellation of Quotations

(1) In the case where there are unavoidable circumstances, such as system failure, error, etc., in relation with trading in the KRX KTB, a member may apply for mass cancellation of quotations to the Exchange, through the member debt securities terminal or the member computer system.

(2) A member who wishes to apply for mass cancellation of quotations through the member debt securities terminal may apply for quotations only submitted through the member debt securities terminal by some or all of traders affiliated to the member, and the Exchange may, after confirming the quotation status of the member, process the mass cancellation of quotations submitted by some or all of the traders affiliated to the member.

(3) A member who wishes to apply for mass cancellation of quotations through the member computer system shall report to the Exchange the account that submits the quotations (limited to quotations submitted through the member computer system) for mass cancellation and the manager of that account by 6 p.m. the day before the trading day using the Appendix Form 7-5.

(4) Paragraph (3) shall apply *mutatis mutandis* to the closure or change of an account and the change of the manager of the relevant account pursuant to paragraph (3).

(5) A member who applies for mass cancellation of quotations through the member computer system shall input matters in each of the followings into the Exchange computer system;

1. Account number reported to the Exchange pursuant to paragraph (3);

2. Quotation processing type and its contents. In this case, the quotation processing contents are classified as follows:

- (a) Cancellation of all quotations received by account noted in subparagraph 1; and

- (b) Blocking of additional new orders, correction orders, cancellation orders, suspension and resumption of the validity of two-sided market-making quotations (hereinafter referred to as “receipt of orders, etc.” in this Article).

3. Other matters that the Exchange deems necessary.

(6) In the case where a member applies for mass cancellation of quotations through the Exchange computer system, the Exchange shall conduct the mass cancellation of quotations, after verifying the details in each subparagraph in paragraph (5), and block the receipt of orders, etc. through the relevant account.

(7) After a member applies for mass cancellation of quotations through the member computer system, the member may request the Exchange to lift the block on the receipt of orders, etc. through the relevant account ten (10) minutes after the application has been made, and, if the member does not request the lifting of the block on the receipt of orders, etc., the Exchange may lift the block on the receipt of orders, etc. after the market closing

of the day.

(8) Notwithstanding paragraphs (1) through (7), the Exchange may not accept to process the mass cancellation of quotations or lift the block on the receipt of orders, etc. in case of a system failure or other cases when it deems necessary for market management.

(9) A member who applies for mass cancellation of quotations shall record and maintain data related to the mass cancellation of quotations, including details of system failures, etc., for ten (10) years.

[May 23, 2024]

§83. Measures to Take and Methods of Trade Execution in Case of Excessive Influx of Quotations

(Amended on January 15, 2026)

(1) [Deleted on February 28, 2014]

(2) In cases where there is a possibility of a computer system failure due to excessive influx of quotations, the Exchange may take any of the following measures: [February 28, 2014] (Amended on January 15, 2026)

1. Suspension of receiving quotations or halt of trading. In this case, the validity of quotations received before the halt of trading shall not be recognized; or [January 15, 2026]

2. Closing of trading of the day. [January 15, 2026]

(3) If the Exchange determines that the risk of computer system failure due to excessive influx of quotations has been eliminated following the suspension of receiving quotations or the halt of trading under paragraph (2)1, the receiving of quotations or trading shall resume at a time determined by the Exchange. [January 15, 2026]

(4) In the case where trading is resumed pursuant to paragraph (3), [§82(4)] of the Regulation shall apply to the determination of the first price mutatis mutandis. [February 28, 2014] (Amended on January 15, 2026)

(5) In addition to paragraph (4), the method of trade execution in the event of excessive influx of quotations shall be determined by the Exchange at each case. (Amended on February 28, 2014; November 28, 2019; January 15, 2026)

§84. Trading Quantity Unit in KRX KTB

(1) The trading quantity unit of the KRX KTB under [§59(2)] of the Regulation shall be KRW 1 billion at par value. Provided that, the par value of the STRIPS shall be KRW 100 million. (Amended on October 12, 2006; March 6, 2015; June 21, 2016)

(2) Notwithstanding paragraph (1), the trading quantity unit of negotiated trades and reported trades in the KRX KTB shall be as follows: [May 23, 2024]

1. Negotiated trades: Quantity in face value noted in [§75-2(5)1]; and
2. Reported trades: KRW 100 million in par value.

§84-2. When-Issued Trades

(1) The “cases that are stipulated in the Enforcement Rules” in [§59-2(3)] of the Regulation shall refer to the cases when the settlement date is the due date for holding reserve set by the Bank of Korea. (Amended on October 29, 2024)

(2) Pursuant to [§59-2(5)] of the Regulation, the party who are eligible for participating in the when-issued trade shall be the government bond dealers. (Amended on March 24, 2016)

(3) The issues eligible for the when-issued trade shall be newly issued the treasury bonds (inflation-indexed treasury bonds noted in the “Regulation on Operation of Treasury Bonds” shall be excluded). (Amended on June 21, 2016)

(4) The quotation unit for when-issued trade shall be KRW one (1).

(5) The trading amount of the when-issued trade shall be calculated by using the coupon rate that is decided by the bidding of the relevant treasury bonds.

(6) In cases where the Ministry of Strategy and Finance cancels the when-issued trade and notifies this to the Exchange as a case falling under any of the following subparagraphs, the trade shall be deemed as cancelled pursuant to [§59-2(4)] of the Regulation:

1. Where the relevant treasury bond is not issued;
2. Where the actual issuance amount of the relevant treasury bonds is significantly less than the issuance amount that was notified;
3. The net sales amount of the relevant when-issued trade exceeds the actual issuance amount significantly; and
4. Other cases where the ordinary settlement of the relevant when-issued trade is deemed impossible.

[November 18, 2015]

§85. *Mutatis Mutandis* Application

The provisions of the Sections 1 through 4 of Chapter IV shall apply *mutatis mutandis* to

the matters relating to trading in the KRX KTB, which are not stipulated in this Section. (Amended on February 3, 2009)

Section 6. Trading of Bond Repurchase Agreement

§86. Definitions

The terms used in this section shall have the same meanings given to them in the Regulation.

§87. Eligible Bonds

The “bonds specified in the Enforcement Rules” in subparagraph 4 of [§61] of the Regulation shall refer to the bonds (excluding the equity-related bonds) falling under each of the following subparagraphs: (Amended on May 18, 2007; December 6, 2010; December 26, 2016; February 21, 2019)

1. [Deleted on February 21, 2019]
2. Issues of which the credit ratings published by the credit rating companies that obtained authorization for credit rating business pursuant to Article 335-3 of the Act (hereinafter referred to as the “credit rating company”; when the credit ratings given by credit rating companies are different, the lowest rating shall apply; the same hereinafter) are AA or above.

§88. Repo Term and Repurchase Date

(1) The types of Repo terms noted in [§62(1)] of the Regulation shall be overnight, two (2) days, three (3) days, four (4) days, seven (7) days, fourteen (14) days, twenty one (21) days, thirty (30) days, sixty (60) days, and ninety (90) days. (Amended on December 6, 2010)

(2) The repurchase date for each Repo term noted in [§62 (1)] of the Regulation shall be the 2nd day, 3rd day, 4th day, 5th day, 8th day, 15th day, 22nd day, 31st day, 61st day, and 91st day, respectively, counting from the day on which the purchase price is settled. (Amended on December 6, 2010)

§89. Quotation Quantity Unit, etc.

(1) The quotation quantity unit under [§63] of the Regulation shall be KRW 10,000 in purchase price.

(2) The quotation price unit under [§63] of the Regulation shall be Repo rate expressed up to the second decimal place (figures below the second decimal place shall be discarded). Provided that, the quotation price unit for Repo trades pursuant to [§76(1)6] shall be the Repo rate expressed up to the third decimal place (numbers shall be rounded

up to the fourth decimal place). (Amended on February 28, 2014)

(3) The quantity unit for trading mentioned in [§63] of the Regulation shall be KRW 1 billion in face value. (Amended on February 28, 2014)

(4) The quotation receiving hours under [§63] of the Regulation shall, notwithstanding [§11(1)1], be the trading hours of a regular session. [February 3, 2009]

§90. Haircut and Calculation of Market Value

(1) The haircut under [§65(1)] of the Regulation shall be 2%.

(2) The market value under [§65(2)] of the Regulation shall be the previous day's mark-to-market price.

(3) The mark-to-market price under [§65(2)] of the Regulation (hereinafter referred to as "the mark-to-market price") shall be calculated by simply averaging the appraisal prices of the relevant purchased bonds, which were announced by the bond price appraisal agencies on each trading day. (Amended on February 3, 2009)

(4) Matters concerning the designation of the bond price appraisal agencies mentioned in paragraph (3) shall be determined by the Exchange, while taking into account such factors as the public confidence, both the national and international, in such agencies and the price appraisal models employed by them. (Amended on February 3, 2009)

(5) In the case of calculating the amount for Repo trade pursuant to [§76(1)5], the amount less than KRW 10 shall be discarded. [December 6, 2010]

§91. [Deleted on February 27, 2025]

§92. [Deleted on February 27, 2025]

§93. [Deleted on February 27, 2025]

§94. [Deleted on February 27, 2025]

§95. [Deleted on February 27, 2025]

§96. [Deleted on February 27, 2025]

§96-2. Procedures for Early Termination of Repo Trade

(1) In cases where it is necessary to terminate Repo trade according to [§70(1)7] of the Regulation, either the buyer or seller of the Repo shall inform the Exchange of its intention for early termination by 13:30 of the day of actual termination. In such cases, the Exchange shall notify the counterparty of the receipt of request for early termination without delay and the counterparty who has received the notification shall inform the

Exchange of whether or not to accept the request for early termination by 14:30 of the same day. (Amended on June 21, 2016)

(2) The requesting period for early termination of Repo trade according to paragraph (1) shall be the Repo trading period, excluding the trading days, repurchase days and market holidays.

[December 6, 2010]

§97. Return of Additional Margin

The return of additional margin under [§70(3)] of the Regulation shall be accomplished according to the method noted in each of the following subparagraphs:

1. In the case of margin bonds:

The sum of (a) the margin bonds, (b) the income not actually returned to the buyer and the seller, among the incomes received by the seller and the buyer during a period from the payment date of such margin bonds to the repurchase date, and (c) the accrued interest, which is calculated by applying the applicable interest rate to such income for a period from the income payment date to the repurchase date, shall be returned.

2. In the case of cash margin:

The sum of the cash margins and the accrued interest, which is calculated by applying the applicable interest rate to such cash margins for a period from the payment date of such cash margin to the repurchase date, shall be returned.

§98. Participation Agreement

The participation agreement under the provisions of [§71(1)] of the Regulation shall include each of the following details:

1. Details about the calculation of the net exposure, and the payment and handling of additional margin;
2. Details on handling of income;
3. Details about the methods and procedures for the conclusion of Repo trading;
4. Details about the settlement of purchase prices and repurchase prices; and
5. Other details necessary for the participation in Repo trading.

§99. Provisions Applicable *Mutatis Mutandis*

(1) With respect to the matters related to Repo trading which are not specified in this

Section, Section 1 through Section 4 (excluding §64-2, §64-3, §70 and §71) of Chapter IV shall apply *mutatis mutandis*.

(2) Notwithstanding paragraph (1), the provisions of [§82] shall apply *mutatis mutandis* to the methods of trade execution in the event of computer system failures, and the provisions of [§83] shall apply *mutatis mutandis* to the methods of trade execution for excessively-quoted issues.

Section 7. Bond Market-making Members

§99-2. Definitions

The terms used in this Section shall have the same meanings as given to them in the Regulation. (Wholly amended on July 16, 2015)

§99-3. Designation of Bond Market-making Members and Termination Thereof

(1) Pursuant to [§71-3] of the Regulation, a person who intends to be designated as a bond market-making member shall submit an application for designation in accordance with [Annex: Form No. 7-3] (referred to as “designation application” hereinafter in this Article) for trade of each subparagraph of [§71-3(2)] of the Regulation (excluding the Repo trade; the same hereinafter in this Article) to the Exchange within the period specified by the Exchange for each quarter of year. (Amended on March 24, 2016)

(2) In cases where a person who submitted the designation application is eligible for the participation in the trading specified in each subparagraph of [§71-3(2)] of the Regulation, the Exchange shall designate the person as a bond market-making member for the relevant trading type. Provided that, in order to be designated as a bond market-making member for the trading of LPBs, the person shall fall under any of the following subparagraphs: (Amended on December 22, 2022)

1. LPB dealers; and
2. Selling agents.

(3) Notwithstanding paragraphs (1) and (2), a person who is eligible for the participation in the Repo trading shall be deemed as a bond market-making member for Repo trades, and in cases where a person who is not a bond market-making member for trading in the KRX KTB or KRX BondsAll participates in the negotiated trades in such market, he/she shall be deemed as a bond market-making member for the relevant trade only. [March 24, 2016]

(4) In cases where a bond market-making member falls under any of the following subparagraphs, the Exchange may terminate the designation as a bond market-making member. (Amended on December 26, 2016; May 7, 2021; August 4, 2022; October 29, 2024)

1. In cases where the relevant member has filed an application for termination of the designation;
 2. In cases where, for the trading in the KRX KTB, the number of trading days that meet both the requirement of the basic number of market-making issues stipulated in subparagraph 1(a)(1) of [Annex 4] and the requirement of the basic market-making time stipulated in subparagraph 1(b)(1) of [Annex 4] is less than half (the first decimal place shall be rounded up) of the total trading days during the evaluation period;
 3. In cases where, for the trading of LPBs, the bond market-making member came under none of the subparagraphs of the proviso to paragraph (2);
 4. In cases where the relevant member receives a criminal sanction, a penalty surcharge, business suspension, trading suspension, or disciplinary measure of member fine (limited to cases of KRW 10 million or more) by violating securities laws and regulations and the Exchange's business regulations in the course of carrying out market-making tasks for debt securities [referring to market-making tasks in the debt securities market and interest rate product market (limited to the government bond futures market) in the derivatives market; and
 5. In cases where a member violates [§99-4(4)].
- (5) The Exchange shall not designate the bond market-making member whose designation has been terminated pursuant to subparagraphs 1, 2, 4 and 5 of paragraph (4), as a bond market-making member for four (4) quarters from the next quarter of the quarter to which the termination date belongs (referred to as the "period of restriction for re-designation" hereinafter in this Article). (Amended on March 24, 2016; December 26, 2016; May 7, 2021)
- (6) Notwithstanding paragraphs (4)2 and (5), the Exchange may not terminate the designation or may stipulate the period of restriction for re-designation differently in any of the following cases: (Amended on December 26, 2016; October 29, 2024)
1. In cases where it is necessary to continue to designate a bond market-making member due to concerns about a rapid decline in market liquidity, etc.;
 2. In cases where it is difficult for a bond market-making member to fulfill its obligation to place market-making quotations due to a sudden change in the financial market, a serious failure of electronic systems, etc.;
 3. In cases where the bond market-making member is a primary dealer or a preliminary primary dealer and it is necessary to continue to designate the relevant member as a bond market-making member; and (Amended on March 25, 2026)
 4. In other cases where the Exchange deems necessary for market management.

(7) The necessary matters related to the designation and termination of designation as a bond market-making member other than those stated in paragraphs (1) through (6) shall be determined by the Exchange. (Amended on March 24, 2016; December 26, 2016)

(Wholly amended on July 16, 2015)

§99-4. Submission methods, etc. of Market-Making Quotations

(1) Pursuant to [§71-4(1)] of the Regulation, the market-making quotations that may be submitted by bond market-making members are as follows. Provided that, in the case of market-making quotations of negotiated trades, only one-sided market-making quotations (referring to the request quotation stipulated in [§75-2(2)1] of the Regulation) may be submitted: (Amended on March 24, 2016)

1. Two-sided market-making quotations for the trading in the KRX KTB;
2. One-sided market-making quotations for each bid and offer for the trading of LPBs;
- 2-2. One-sided market-making quotations (referring to the quotation that is received first for the relevant trade) for the Repo trades; and
3. Two-sided market-making quotations for the trading in the KRX BondsAll.

(2) When submitting two-sided quotations pursuant to subparagraphs 1 and 3 of paragraph (1), quotations falling under any of the following subparagraphs shall not be submitted: (Amended on May 23, 2024)

1. Where the offer price is equal to or lower than the bid price;
2. Where the price or quantity of either the offer or the bid is omitted;
3. Where the quotations exceed the spread of market-making quotations stipulated in [§99-6(1)1,2 and 4]. Provided that, in the case where the number of spread prices of the two-sided market-making quotations pursuant to [§99-6(1)1 or 2] is multiple, it is limited to cases where the spread of market-making quotations exceeds the spread based on the maximum prices; and
4. Where the quantity falls short of the quantity of market-making quotations stipulated in [§99-6(2)3].

(3) When submitting one-sided quotations pursuant to paragraph (1)2, quotations falling under any of the following subparagraphs shall not be submitted: (Amended on May 23, 2024)

1. Where the price or quantity of bid or offer is omitted;
2. Where the spread exceeds the spread of market-making quotations stipulated in

[§99-6(1)3];

3. Where the quantity falls short of the quantity of market-making quotations stipulated in [§99-6(2)3];

4. Bid quotations by class of bonds; and

5. Case of trading of LPBs at market closing under [§75].

(4) The bond market-making members shall not entrust the submission of market-making quotations under paragraph (1) to a third party. [May 7, 2021]

(Wholly amended on July 16, 2015)

§99-5. Debt Securities Subject to Submission of Market-making Quotations

Bond market-making members may submit market-making quotations for any of the following debt securities: (Amended on March 24, 2016; June 21, 2016; December 26, 2016; August 24, 2017; September 10, 2019; May 23, 2024; October 29, 2024)

1. For the trading in the KRX KTB, issues in the followings;

(a) Benchmark issues;

(b) Non-benchmark issues (excluding STRIP bonds) under [§78(1)1]; and

(c) In the case where a bond market-making member is a primary dealer, among the STRIP bonds, bond issues designated by the Exchange pursuant to Article 19-2(1)1 of the Regulation on Operation of Treasury Bonds. In this case, the method of designating the relevant issue shall be as stipulated in [Annex 2-6], however, the Exchange may designate the relevant issue differently if necessary, taking into consideration market conditions, etc. (Amended on March 25, 2026)

2. For the trading of LPBs, LPBs under subparagraph 2 of [§43] of the Regulation;

2-2. For Repo trades, bonds under [§61] of the Regulation; and

3. For the trading of in the KRX BondsAll, the debt securities excluding those stated in the following items:

(a) Equity-related bonds;

(b) Foreign currency denominated debt securities;

(c) Corporate bonds with credit ratings that are below investment grades;

(d) Floating rate debt securities;

(e) Option embedded debt securities (this provision shall not apply to the bonds for which the creditors have the right to claim the redemption before the maturity); and

(f) Short-term bonds, etc. under subparagraph 4 of [§66].

4. For the negotiated trades, the listed debt securities.

[July 16, 2015]

§99-6. Spreads and Quantity of Market-making Quotations

(1) In cases where a bond market-making member places market-making quotations pursuant to [§71-4(2)], the spreads of the quotations shall be as follows: (Amended on March 24, 2016; June 21, 2016; December 26, 2016; August 24, 2017; December 4, 2023; May 23, 2024)

1. For the trades of benchmark issues in KRX KTB, the prices specified in each subparagraph of Article 31(3) of the Regulation on Operation of Treasury Bonds;

2. For the trades of non-benchmark issues in KRX KTB, the prices equivalent to not more than eight (8) basis points based on yields. Provided that, for STRIPS, the prices specified in each item of Article 19-2(1)5 of the Regulation on Operation of Treasury Bonds;

3. For the trades of LPBs, the prices corresponding to not more than quotation spread in each of the following items based on yields that fall under the mark-to-market prices stated in [§65(2)] of the Regulation;

(a) For National Housing Bonds Type I, ± 0.1 percent points; and

(b) For LPBs other than item (a), ± 0.2 percent points.

4. For the trades in KRX BondsAll, the prices corresponding to not more than the quotation spread, based on yields, classified in each of the following items:

(a) For government bonds, ten (10) basis points;

(b) For corporate bonds with credit ratings of below “AA-”, twenty (20) basis points; and

(c) Debt securities other than those noted in items (a) and (b), fifteen (15) basis points.

(2) In cases where a bond market-making member places market-making quotations pursuant to [§71-4(3)], the quantity, etc. of the quotation shall be as follows: (Amended on March 24, 2016; June 21, 2016; May 23, 2024)

1. For the trades of benchmark issues in KRX KTB, the number of quotations and the quantity of a quotation stipulated in Paragraphs (1) and (2) of Article 31 of the Regulation on Operation of Treasury Bonds. In such cases, if the quantity of a quotation exceeds KRW 1 billion, it shall be deemed that as many of quotations as the number obtained by dividing the quantity by KRW 1 billion have been submitted;

2. For the trading of the non-benchmark issues in KRX KTB, the quotation quantity shall be KRW 1 billion or higher based on face value. Provided that, for STRIPS, the number of quotations and the quantity of a quotation stipulated in subparagraphs 2 and 4 of Article 19-2(1) of the Regulation on Operation of Treasury Bonds. In such cases, if the quantity of a quotation exceeds KRW 1 billion, it shall be deemed that as many of quotations as the number obtained by dividing the quantity by KRW 1 billion have been submitted; and

3. For the trading of LPBs and trading in KRX BondsAll, the quotation quantity shall be KRW 100 million at minimum and KRW 10 billion at maximum based on face value.

(3) Notwithstanding paragraphs (1) and (2), in cases where it is deemed necessary for the reasons such as a sudden change in quotation conditions or trading conditions and for the market management, the Exchange may change the spread, quantity, etc. of market-making quotations. (Amended on May 23, 2024)

[July 16, 2015]

§99-7. Special Cases Concerning Submission of Market-making Quotations, etc.

(1) With respect to the trading in KRX KTB, a new market-making quotation shall be placed within three (3) minutes from the cancellation of an already submitted market-making quotation to be deemed that the quotation was placed continuously.

(2) With respect to the trading in KRX KTB, [§79(6)], [§79-2(4)], and [§80] shall apply *mutatis mutandis*. (Amended on May 23, 2024; March 25, 2026)

(3) With respect to the trading of LPBs and the trading in KRX BondsAll, if a part of market-making quotations were executed, it shall be deemed that the executed quantity of the market-making quotations of the relevant issue have been placed continuously during the day. (Amended on March 24, 2016)

(4) In cases where the Exchange deems it necessary for the reasons such as a sudden change in quotation conditions or trading conditions and for the market management, the submission of market-making quotations may be exempted.

[July 16, 2015]

§99-8. Cancellation and Modification of Market-making Quotations

(1) In cases where a bond market-making member intends to cancel market-making quotations that have not been executed, the whole quantity shall be cancelled, notwithstanding [§17(1)]. (Amended on May 23, 2024)

(2) The bond market-making members may change the price of a market-making quotation only in cases where the requirements on spreads stated in [§99-6(1)] are fulfilled. Provided that, in the case where the number of spread prices of two-sided market-making quotations is multiple, the price of a market-making quotation can be changed only if the spread price of the two-sided market-making quotations satisfy the spread based on the maximum spread based on prices. (Amended on May 23, 2024)

(3) The bond market-making members in the LPBs market may change the quantity of a market-making quotation only in cases where the requirements on quantity stated in [§99-6(2)3] are fulfilled. (Amended on March 24, 2016; May 23, 2024)

(Wholly amended on July 16, 2015)

§99-9. Designation and Termination of Designation of Market-making Dealers or Market-making Accounts

(Amended on May 23, 2024)

(1) The Exchange may designate a person of a bond market-making member who is eligible to submit market-making quotations (hereinafter referred to as the “bond market-making dealer”) through the member debt securities terminal for each of the trades stated in [§71-3(2)1 & 4] of the Regulation, by the application from the relevant market-making member. (Amended on May 23, 2024)

(2) The numbers of bond market-making dealers are as follows: (Amended on March 24, 2016; May 23, 2024)

1. For trading in KRX KTB, six (6); and
2. For trading in KRX BondsAll, two (2).

(3) In cases where a bond market-making member applies for the designation or the termination of designation of a bond market-making dealer, it shall submit to the Exchange an application for designation or termination of designation of a bond market-making dealer in accordance with [Annex: Form No. 7-4] for each of the trades stated in [§71-3(2)1 and 4] of the Regulation. (Amended on May 23, 2024)

(4) In cases where a bond market-making member applies for designation of a bond market-making dealer pursuant to paragraph (1), it shall appoint a staff-in-charge and notify it to the Exchange, and the same shall apply to the case where the staff-in-charge is changed. (Amended on May 23, 2024)

(5) In the case of trades in the KRX KTB or SLBs, the Exchange may designate an

account (hereinafter referred to as “bond market-making account”) through which market-making quotations can be submitted. In this case, the number of bond market-making accounts shall be a maximum of ten (10) by bond trade type per bond market-making member. (Amended on May 23, 2024)

(6) A member who intends to obtain the designation of a bond market-making account pursuant to paragraph (5) shall report the relevant account and the manager of the account to the Exchange using Appendix Form 7-6 by 18:00 on the day before the trading day. (Amended on May 23, 2024)

(7) Paragraph (6) shall apply *mutatis mutandis* to the closure or change of a bond market-making account or to a change in the manager of the relevant account. (Amended on May 23, 2024)

(Wholly amended on July 16, 2015)

§99-10. Assessment of Bond Market-making Members

(1) Pursuant to [§71-5] of the Regulation, the Exchange shall assess the market-making members on a quarterly basis by the trading type (excluding Repo trades) stated in [§71-3(2)] of the Regulation with regard to each of following subparagraphs: (Amended on March 24, 2016; October 29, 2024)

1. The performance of submission of market-making quotations (excluding the performance of submission of market-making quotations for negotiated trades in KRX KTB and KRX BondsAll); (Amended on December 24, 2025)

2. The performance of trading by market-making quotations (excluding the performance of trading for the negotiated trades in KRX KTB and KRX BondsAll). Provided that, in cases where the counterparty quotation is a market-making quotation placed by the same member, such trading shall be excluded from the trading record: and (Amended on December 24, 2025)

3. The validity of market-making quotations (limited to the market-making quotations in KRX KTB).

(2) The assessment of a bond market-making member shall be conducted in accordance with the method specified in [Annex 4].

(3) The matters necessary for the assessment of bond market-making members, other than those stated in paragraphs (1) and (2), shall be determined by the Exchange.

[July 16, 2015]

§99-11. Payment for Bond Market-making Members

(1) Pursuant to [§71-5(1)] of the Regulation, the Exchange shall make payment to bond

market-making members according to the criteria that are determined separately.

(2) The Exchange shall make payment within one (1) month from the closing of each quarter.

(3) In cases where a bond market-making member falls under any of the followings, the payment to the relevant member may be restricted: (Amended on March 24, 2016; December 26, 2016; October 29, 2024)

1. Where the performance of submitting market-making quotations stated in [§99-10(1)1] falls below the basic market-making score specified in subparagraph 1(d) of [Annex 4];

2. Where the performance of trading by market-making quotations stated in [§99-10(1)2] falls below the following ratios based on the trading performance by market-making quotations submitted by the total bond market-making members for each of trading types (excluding Repo trades) stated in [§71-3(2)] of the Regulation; and (Amended on December 24, 2025)

(a) For trading in KRX KTB: 0.5% [December 24, 2025]

(b) For trading of LPBs: 0.5% [December 24, 2025]

(c) For trading in KRX BondsAll: 1.0% [December 24, 2025]

3. Where the performance of validity of market-making quotations stated in [§99-10(1)3] is less than 1 point; and

4. Where the designation as a bond market-making member was revoked by falling under any of the subparagraphs of [§99-3(4)].

(4) The matters necessary with regard to the payment to bond market-making members and the restriction on such payment, other than those stated in paragraphs (1) through (3), shall be determined by the Exchange.

[July 16, 2015]

CHAPTER V. [Deleted on February 27, 2025]

Section 1. [Deleted on February 27, 2025]

§99-12. [Deleted on February 27, 2025]

[February 20, 2009]

§99-13. [Deleted on February 27, 2025]

[February 20, 2009]

Section 2. [Deleted on February 27, 2025]

§99-14. [Deleted on February 27, 2025]

[September 19, 2017]

§99-15. [Deleted on February 27, 2025]

[September 19, 2017]

§99-16. [Deleted on February 27, 2025]

[September 19, 2017]

§99-17. [Deleted on February 27, 2025]

(Wholly amended on November 27, 2019)

§99-18. [Deleted on February 27, 2025]

[September 19, 2017]

§99-19. [Deleted on February 27, 2025]

[September 19, 2017]

§99-20. [Deleted on February 27, 2025]

[September 19, 2017]

§99-21. [Deleted on February 27, 2025]

[September 19, 2017]

§99-22. [Deleted on February 27, 2025]

[September 19, 2017]

§99-23. [Deleted on February 27, 2025]

[September 19, 2017]

§99-24. [Deleted on February 27, 2025]

[September 19, 2017]

§99-25. [Deleted on February 27, 2025]

[November 27, 2019]

§99-26. [Deleted on February 27, 2025]

[November 27, 2019]

§99-27. [Deleted on February 27, 2025]

[November 27, 2019]

Section 3. [Deleted on February 27, 2025]
[September 19, 2017]

§99-28. [Deleted on February 27, 2025]

[February 20, 2009]

§100. [Deleted on February 27, 2025]

(Wholly amended on February 20, 2009)

§100-2. [Deleted on February 27, 2025]

[December 30, 2011]

§100-3. [Deleted on February 27, 2025]

[December 30, 2011]

§100-4. [Deleted on February 27, 2025]

[February 20, 2009]

§101. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§101-2. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§101-3. [Deleted on February 27, 2025]

[February 20, 2009]

§101-4. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§101-5. [Deleted on February 27, 2025]

[February 20, 2009]

§101-6. [Deleted on February 27, 2025]

[February 20, 2009]

§101-7. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§101-8. [Deleted on February 27, 2025]

[December 30, 2011]

§101-9. [Deleted on February 27, 2025]

[December 30, 2011]

§101-10. [Deleted on February 27, 2025]

[December 30, 2011]

§101-11. [Deleted on February 27, 2025]

[December 30, 2011]

§101-12. [Deleted on February 27, 2025]

[December 30, 2011]

§101-13. [Deleted on February 27, 2025]

[December 30, 2011]

§101-14. [Deleted on February 27, 2025]

[February 20, 2009]

§101-15. [Deleted on February 27, 2025]

[February 20, 2009]

§101-16. [Deleted on February 27, 2025]

(Wholly amended on December 30, 2011)

§101-17. [Deleted on February 27, 2025]

[February 20, 2009]

§101-18. [Deleted on February 27, 2025]

[November 13, 2014]

CHAPTER VI. RECEIVING OF TRADE ENTRUSTMENT

Section 1. Common Provisions

§102. Definitions

The terms used in this Chapter shall have the meanings given to them in each of the following subparagraphs: (Amended on February 8, 2006; February 3, 2009; June 24, 2014; September 19, 2017)

1. The term "KOSDAQ-listed securities" refers to the securities listed on the KOSDAQ Market established by the Exchange.

2. The term "base date for calculation" refers to the base date used in calculating the substitute price for beneficiary certificates and stocks of unlisted investment companies (indicating the stocks which are not listed as those of investment companies; the same hereinafter.) and comes five (5) trading days prior to the first application date.

(a) [Deleted on June 24, 2014]

(b) [Deleted on June 24, 2014]

3. The term "first application date" refers to the first trading day of each month, which is the first day to apply the substitute prices calculated for beneficiary certificates and unlisted stocks of investment companies.

(a) [Deleted on June 24, 2014]

(b) [Deleted on June 24, 2014]

Section 2. Methods and Conditions of Receiving Entrustment

§103. Establishment of Joint Account for LPBs

(1) Each member shall, when executing trades by opening a joint account under the proviso to [§77(1)] of the Regulation, record, on the order slip, the details of agreement for the use of joint accounts, and the customer shall print its name and sign or put its seal thereon. (Amended February 28, 2014)

(2) The joint account under the provisions of paragraph (1) shall make a clear distinction between the trade details of each customer.

§104. Customer Information to be Confirmed When Opening Trading Account

(1) “Matters stipulated in the Enforcement Rules” in [§77(3)] of the Regulation shall refer to the details under each of the following subparagraphs: (Amended on May 13, 2008; February 3, 2009; March 19, 2009; June 20, 2012; August 8, 2023; November 23, 2023)

1. Name or designation, resident registration number, business registration number, taxpayer number. in the case of foreigners, the number identifying the real name such as the number of foreigner identification means (in the case of a foreigner treated as a citizen, it refers the passport number, business registration number or taxpayer number);

2. Address and telephone number;

3. Password;

4. In the case of other investment traders or brokers, the type of account (customer account or self-account);

5. In the case of foreign investors, the matters specified in each of the following items:

(a) The nationality or permanent resident;

(b) [Deleted on November 23, 2023]

(c) The availability of residence in Korea

6. Investor classification code specified in each of the following items. Provided that, in the case of trading of stocks, etc. linked to the CFD, it is based on the investor who concluded the CFD:

(a) In the case of financial investment companies: 1000;

- (b) In the case of insurance companies: 2000;
- (c) In the case of collective investment vehicles:
 - (i) Collective investment vehicle other than the one noted in (ii) below: 3000; and
 - (ii) Privately placed funds: 3100.
- (d) Banks [the collective investment assets of collective investment business entities shall be classified into item (c)]: 4000;
- (e) Other financial institutions: 5000;
- (f) Pensions, funds, and cooperatives: 6000;
- (g) The Government, local governments, international organizations and public service institutions: 7000;
- (g-2) The corporation other than those specified in items (a) through (g): 7100;
- (h) Individuals: 8000.
- (i) [Deleted on March 19, 2009]

7. In cases where an agent has been designated, the name or designation of agent, ID number of agent identifying the real name such as the resident registration number or business registration number, the relationship with the customer, address, and the power of such agent.

(2) In cases where a customer falls under an investor classification code other than those mentioned in paragraph (1)6 at the time of opening a trading account, the member shall verify such fact immediately, and maintain a written record of such fact. (Amended on February 3, 2009)

§104-2. Publication of Order Placing Methods, etc.

(1) In cases where the member establishes the order placing method, etc. pursuant to [§77-2(4)] of the Regulation, the matters noted in each of the following subparagraphs shall be stated: (February 28, 2014; December 22, 2022)

1. With respect to the method of accepting entrustment of order, the matters noted in each of the following items:

- (a) Originator of order;
- (b) Location where the order originated;

- (c) Order input device;
- (d) Order routing device; and
- (e) Order receipt device.

2. With respect to order processing method, the matters under each of the following items:

- (a) Verification method of order suitability, etc. according to [§11-2] of the Regulation and physical location of system used for verification; and
- (b) Session type specified in the Guideline on Connection, etc. to Member System.

3. Conditions of use and user fees per method according to subparagraphs 1 and 2.

4. In addition, matters that the member deems necessary to explain the differences between the ordering methods.

(2) When establishing or changing the order placing method, etc., each member shall, pursuant to [§77-2(4)] of the Regulation, officially announce it through the medium such as the member's internet website in advance and notify it to the Exchange immediately.

[December 28, 2011]

§104-3. Terms and Conditions for High-speed Algorithmic Trading

Pursuant to [§78(1)8(b)] of the Regulation, in case where a customer of a member is a person who is required to registered as a high-speed algorithmic trader, the member shall include each of the following matters in the terms and conditions:

1. The customer shall identify and systemically manage risks that may arise from the high-speed algorithmic trading;
2. The customer shall prepare the procedures for developing and changing the electronic systems including an ordering system, etc. and the program related to the high-speed algorithmic trading, and shall comply with them when operating;
3. The customer shall cooperate in fulfilling the member's obligation to manage high-speed algorithmic traders, including checking the electronic system such as the ordering system, etc.;
4. The customer shall prepare an appropriate control and response system to effectively cope with accidents or system failures related to the high-speed algorithmic trading and to minimize damage therefrom;

5. The customer shall maintain a mutual contact system with members to respond promptly in the event of an emergency, such as errors in the electronic system such as the ordering system, etc.; and

6. In the case where the customer who has conducted the high-speed algorithmic trading through multiple members pursuant to [§131(3)] is suspended to submit the orders for high-speed algorithmic trading pursuant to [§104-3(5)], he/she shall notify all other members of the relevant fact and reason.

[December 22, 2022]

§105. Notification Deadline of Agreement for Receiving Trade Entrustment

The “period set forth in the Enforcement Rules” in [§78(3)] of the Regulation shall be five (5) trading days from the effective date of the relevant agreement.

§106. Methods of Receiving Entrustment of Order to Trade Treasury Stocks of Stock-listed Corporations

(1) Each member shall, when receiving an entrustment of order for trading treasury stocks from a stock-listed corporation pursuant to [§79(3)] of the Regulation, receive such entrustment in accordance with each of the following methods:

1. Shall receive orders from the stock-listed corporation during the quotation receiving hours for the regular session of the day;
2. Order price shall be the price pursuant to [§39(1)] of the Regulation. In such cases, when making corrections to such orders during the trading hours, the order prices shall be the ones mentioned [§39(2)] of the Regulation; and
3. Order quantity shall be the quantity pursuant to [§57(1)3].

(2) Notwithstanding paragraph (1), when receiving an entrustment of orders to purchase the treasury stocks from a stock-listed corporation pursuant to [§40(1)] of the Regulation, each member shall receive the orders in accordance with each of the following methods:

1. Shall receive orders from the stock-listed corporation during the quotation receiving hours of the regular session of the day;
2. Order price shall be the price mentioned in each subparagraph of [§40(2)] of the Regulation. In such cases, when making correction to such order, the order price shall be the one mentioned in [§40(2)2] of the Regulation; and
3. The quantity of order shall be equal to or less than the number of shares intended to purchase.

(3) The provisions of paragraphs (1) and (2) shall not apply to the cases where a member

has received an entrustment of an order from a stock-listed corporation for the trading of treasury stocks by way of off-hours trading under [§39(4)] of the Regulation. [September 8, 2006]

§107. Methods of Receiving Entrustment for Trading of Treasury Stocks of Stock-listed Corporations under Trust Contract

In cases where a member receives an entrustment of order for trading the treasury stocks of listed companies from a trust company, etc. pursuant to [§80(4)] of the Regulation, [§106] shall apply *mutatis mutandis*. In such cases, “stock-listed corporations” shall be construed as “trust companies” and “trading treasury stocks” shall be construed as “trading treasury stocks by trust company”, the order quantity mentioned in [§106(1)3] shall be less than 1/100 of the total number of shares issued, and the order quantity mentioned in [§106(2)3] shall be the quantity, for which the amount obtained by multiplying the relevant order quantity by its price does not exceed the total amount of the relevant trust asset. (Amended on February 3, 2009)

§108. Details of Entrustment

The “details specified in the Enforcement Rules” in [§81] of the Regulation shall be the details under each of the following subparagraphs: (Amended on May 13, 2005; July 7, 2006; February 3, 2009; March 19, 2009; July 16, 2009; July 29, 2010; January 27, 2011; September 2, 2014; December 10, 2014; July 11, 2019; December 22, 2022; August 8, 2023; February 27, 2025)

1. Classification of regular session, pre-hours session or after-hours session;
- 1-2. In the case of quotations for after-hours session, classification of trade type noted in each subparagraph of [§33] of the Regulation;
- 1-3. In the case of quotations for regular session auction-based block trade, regular session block trade or regular session basket trade, such classification;
- 1-4. In the case of quotation for cancellation or correction, such classification;
2. Issue or class;
3. Quantity;
4. Classification of bid or offer;
5. Classification of order type pursuant to [§2(5)] of the Regulation;
6. Price. Provided that this provision shall not apply to the market order, immediately executable limit order, best limit order, target price order, mid-price order, auction-based block trade order, off-hours closing price trade, or the quotation placed to correct or cancel the quotations already submitted; (Amended on February 27, 2025)

6-2. Stop price in the case of stop-limit order; [February 27, 2025]

7. In the case of an order related to arbitrage trading, each of the following classifications:

- (a) Index arbitrage trading;
- (b) Sector index arbitrage trading;
- (c) Stock arbitrage trading;
- (d) Arbitrage trading of collective investment securities of ETF, while it is non-arbitrage trading;
- (e) Arbitrage trading of collective investment securities of ETF, while it is not non-arbitrage trading;
- (f) DR arbitrage trading;
- (g) DR of foreign stock arbitrage trading;
- (h) Arbitrage trading of ETNs while it is non-arbitrage trading; and
- (i) Arbitrage trading of ETNs while it is not non-arbitrage trading.

8. In the case of an order for trading a basket of stocks, each of the following classifications:

- (a) Non-arbitrage trading;
- (b) Trading a basket of stocks for the purpose of creating ETFs, which is non-arbitrage trading; and
- (c) Trading a basket of stocks for the purpose of creating ETFs, which is not non-arbitrage trading.

8-2. [Deleted on July 11, 2019]

9. In the case of offer order, each of the following classifications:

- (a) Order for offer quotation falling under any subparagraph of [§17(1)] or [§44-2(1)] of the Regulation;
- (b) Order for covered short sale quotation pursuant to [§17(2)] or [§44-2(2)] of the Regulation; and

(c) Order for any other offer quotation.

10. In the case of an order to purchase or dispose the treasury stocks, classification according to each of the following items:

(a) Following classifications according to the purposes

(i) Trade for the purpose of distributing at the time when stock options is exercised;

(ii) Trade according to the money trust contract;

(iii) Trade for the purpose other than those noted in (i) and (ii).

(b) Following classifications according to the trading method

(i) Trade subject to [§35(4)] of the Regulation;

(ii) Of the treasury stock purchases under [§39(4)1&2] of the Regulation, those subject to [§35(2)] of the Regulation;

(iii) Trade other than those noted in (i) and (ii).

11. Classification for cash transaction or margin transaction;

11-2. In the case of trading of stocks, etc. linked to the CFD, such classification;

12. In cases where the condition falling under any of the following items is affixed to the orders, such conditions;

(a) In the case of limit order, market order, immediately executable limit order, auction-based block trade order, and mid-price order, the following conditions: (Amended on February 27, 2025)

(i) Immediate or cancel (IOC) condition: Condition specifying to execute the amount of quotation quantity of the order that can be executed at the time when the quotation is received, and to cancel any unexecuted quantity of the order; and

(ii) Fill or kill (FOK) condition: Condition specifying to execute the order if its entirety can be executed at the time when the quotation is received, and to cancel the order if it cannot be executed in its entire quantity.

(d) Following condition in the case of limit order, best limit order, and immediately executable limit order: Self-match prevention condition pursuant to [§13-2];

(c) Quotation placing time for the order; and

(d) In addition, other conditions concerning the order.

13. Valid period of the order, if any;
14. Time the order was received; and
15. Identification codes of order-inputting devices under the provisions of items (c) through (e) of [§12(1)27].
16. Specification of designated trading markets. Provided that, debt securities are an exception. [February 27, 2025]
17. In cases where a customer receives the short selling registration number, the short selling registration number (limited to stocks). [March 26, 2025]

§109. Methods for Receiving Orders

(1) [Deleted on December 28, 2011]

(2) When a member receives an entrustment of order in writing, it shall be done in the form of order slip in which the customer filled out the details of entrustment under [§81] of the Regulation and signed or imprinted his/her seal thereon. (Amended on February 3, 2009)

(3) When a member receives an entrustment of order by the telephone, etc., the person receiving the order shall fill out the order slip in such manner as noted in any of the following subparagraphs after verifying that such order is placed by the customer himself/herself, and such member shall keep a record that can prove the details of order by using such devices as a tape-recorder, etc. for a certain period of time: (Amended on February 3, 2009; December 28, 2011)

1. The order receiving staff shall write down the order details specified in [§81] of the Regulation on the order slip and sign or imprint his personal seal thereon; and

2. The order-receiving staff shall input the order details specified in [§81] of the Regulation into the member computer system and sign or affix his personal seal on the printed copy of the order slip (hereinafter referred to as "computer order slip").

(4) Each member shall, when intending to use the computer order slip, observe each of the following requirements:

1. The order details shall be input into the member computer system without delay as the order is received;

2. The member system shall be able to automatically record the time of input;

3. The member system shall be able to record the identification of the person inputting the order details into the system;

4. In cases where the order details inputted are corrected or cancelled, the member system shall be able to keep the record of such cancellation or correction; and

5. In cases where a customer or the Exchange requests for the details of an order, etc., the member shall be able to make available the requested information in a form that is easily understandable.

(5) When a member receives an order via electronic communication means, such order shall be placed by a system meeting the following requirements, and such member shall have entered into an agreement with the customer for the entrustment via electronic communication means in advance: (Amended on February 3, 2009; June 21, 2016)

1. The member shall be able to verify if the user is a legitimate user of the system;

2. It shall be possible for a customer to confirm the details of order when placing an order;

3. There shall be a system in place to record and maintain the details of the declined orders when a member refuses to receive an order because the details of the order do not meet the conditions of the entrustment agreement;

4. It shall be possible for a customer to make inquiries about the order and its execution;

4-2. When a customer request for, the member shall be able to submit cancellation quotations at once without delay as requested;

5. There shall be a system in place to prevent such practices as the unauthorized users from submitting orders, withdrawing or transferring cash or securities, or stealing information;

6. The member shall maintain the record of data processing, including the details of the order handling and trade execution, and keep the details of orders, etc. by using the paper copies or electronic device; and

7. The member shall be able to inform its customers any matter that the member or the Exchange deems it necessary to inform them.

(6) In accordance with [§82(3)] of the Regulation, a member shall, when the trade has been executed according to the order submitted by a customer, promptly notify each of the following details to the relevant customer (including the notification by the telephone, etc. or via electronic communication means): (Amended on February 3, 2009; July 29, 2010; December 28, 2011)

1. Name of issue;

2. Executed quantity and execution price. Provided that the member shall notify the

execution price of regular session auction-based block trade and off-hours auction-based block trade to the customer immediately after having been informed by the Exchange after the market closing;

3. Classification for sale or purchase; and

4. Other details that are deemed necessary by the member.

(7) “Case specified in the Enforcement Rules” in the proviso to [§82(2)] of the Regulation shall mean a case where a member receives or process orders in the KRX KTB using the member debt securities terminals. [November 28, 2019]

§110. Notification of Investment Risk, etc.

Pursuant to [§83(1)] of the Regulation, in the case of falling under any of the following subparagraphs, each member shall post a notice on the investment risks through the electronic communication means, so that the customers can be aware of such risks, or urge the customers to take precaution regarding investment risks: (Amended on April 20, 2012; July 23, 2020, September 22, 2020)

1. Where posting of notice is deemed necessary for the protection of investors or maintenance of trading order in the market as there is a sign of abnormal trading or abnormality in trading (referred to as "signs of abnormal trading, etc." hereinafter in this Article) of specific issues;

2. Where the Exchange requests the members to send a notice of investment risk to the customers or urge the customer to take precaution because of the occurrence of signs of abnormal trading, etc. mentioned in paragraph (1);

3. Where an issue is designated as an investment precaution issue;

4. Temporary overheated; and (Amended on February 27, 2025)

5. Where an issue is scheduled to be delisted.

Section 3. Good Faith Deposits

§111. Notification Deadline of Guidelines for Collection of Good Faith Deposits

“Period stipulated in the Enforcement Rules” in [§87(3)] of the Regulation shall refer to the period of five (5) trading days from the day when the relevant guidelines for collection of good faith deposits become effective.

§111-2. Separate Management of Good Faith Deposits and Restrictions on Use as Member Margins

(1) With regard to “shall manage the good deposits separately from their own assets” in [§87(5)] of the Regulation, members shall state the cash good faith deposits separately from the customer deposits in accounting.

(2) With regard to “shall not use the good faith deposits as member margins” in [§87(5)] of the Regulation, members shall maintain the current assets over the current liabilities under [Attached Table 10] and [Attachment 1] of the Detailed Regulations on Financial Investment Business.

(3) [Deleted on February 27, 2025]

[September 19, 2017]

§111-3. Amount of Basic Deposits

(1) “Cash amount stipulated in the Enforcement Rules” in [§87-2(1)] of the Regulation shall be the amount that the member determines per customer within the amount specified in any of following subparagraphs, by taking into account the customer’s object of investment, investment experiences, credit status and other matters necessary for understanding of customer. (Amended on July 23, 2020)

1. ELWs: The amount stated in each of the following items. Provided that, in cases where a retail customer opens an account for ELW trades for the first time, the amount stated in item b) or c) shall apply;

- a) Phase 1: Equal to or more than KRW 5 million, but less than KRW 15 million;
- b) Phase 2: Equal to or more than KRW 15 million, but less than KRW 30 million;
- and
- c) Phase 3: Equal to or more than KRW 30 million.

2. Securities noted in [§87-2(1)2] of the Regulation: The amount stated in each of the following items. Provided that, in cases where a retail customer opens an account for trades of securities noted in [§87-2(1)2] of the Regulation for the first time, the amount stated in item b) or c) shall apply.

- a) Phase 1: Less than KRW 10 million (including the exemption);
- b) Phase 2: KRW 10 million; and
- c) Phase 3: More than KRW 10 million, but less than KRW 30 million.

3. [Deleted on July 23, 2020]

(2) Members shall establish the application phase, applicable amount per phase, applicable period and other necessary matters under paragraph (1) (hereinafter referred to

as the “standards for application of basic deposit”).

(3) In cases where members establish or change the standards for application of basic deposit, they shall announce it in advance and notify the Exchange within seven (7) trading days from the application date. [July 23, 2020]

(4) Notwithstanding paragraph (1), the Exchange may change the amount noted in each subparagraph of paragraph (1) if it is deemed necessary for the market management in view of the trading circumstances.

[July 12, 2011]

§112. Substitute Securities

(1) “Other issues specified in the Enforcement Rules” in item (c) of [§88(2)2] of the Regulation shall refer to the ETNs with the condition of early redemption noted in [§149-7,3(c)] of the KOSPI Market Listing Regulation. [February 28, 2017] (Amended on July 23, 2020)

(2) “Other issues specified in the Enforcement Rules” in [§88(2)4] of the Regulation shall refer to the securities falling under any of the following subparagraphs: (Amended on August 26, 2005; February 3, 2009; September 13, 2013; February 28, 2017; September 7, 2017; September 19, 2017)

1. KOSDAQ-listed securities that were designated as substitute securities pursuant to the KOSDAQ Market Business Regulation;

1-2. KONEX-listed securities that were designated as substitute securities pursuant to the KONEX Market Business Regulation;

2. Beneficiary certificates under Article 189 of the Act and unlisted stocks of investment companies. Provided that the stocks and beneficiary certificates of privately placed funds under Article 9(19) of the Act shall be excluded; and

3. Listed beneficiary certificates other than those under Article 189 of the Act.

§112-2. [Deleted on February 27, 2025]

[September 19, 2017]

§113. [Deleted on February 27, 2025]

(Wholly amended on September 19, 2017)

§114. [Deleted on February 27, 2025]

§115. [Deleted on February 27, 2025]

§115-2. [Deleted on September 19, 2017]

§115-3. [Deleted on February 27, 2025]

[November 9, 2010]

§115-4. [Deleted on February 27, 2025]

(Wholly amended on September 19, 2017)

§116. [Deleted on February 27, 2025]

§117. [Deleted on February 27, 2025]

§118. [Deleted on February 27, 2025]

§119. [Deleted on February 27, 2025]

§120. [Deleted on February 27, 2025]

(Wholly amended on February 3, 2009)

§121. [Deleted on February 27, 2025]

§122. Special Cases concerning Collection of Good Faith Deposits

“Cases stipulated in the Enforcement Rules” in [§89(2)2] of the Regulation shall refer to a case where the number of days when the payment for the securities sold has not been made by the settlement date is five (5) or more during the latest six (6) months and the aggregate amount of settlement shortage exceeds KRW 1 billion. [December 18, 2013]

Section 4. Processing of Orders

§123. Order Processing

(1) Each member shall, when receiving orders in writing or by the telephone, etc. pursuant to [§91] of the Regulation, promptly and accurately input the details of orders into the input device of member computer systems (hereinafter referred to as "order input device") in the sequence of order receipt.

(2) Each member shall, in cases where the order input devices of some business offices have broken down, the orders received shall be processed by using the order input devices in its headquarters or other business offices.

(3) Each member may, when the failure of the order input device prevents the processing of orders using the methods noted in paragraphs (1) and (2), process the orders by the methods otherwise specified by the Exchange.

(4) [Deleted on December 28, 2011]

§124. Orders according to Sales Agent Contracts, etc.

(1) Each member shall, when entering into a sales agent contract for LPBs with a sales agent pursuant to [§95(2)] of the Regulation, specify each of the following matters. In such cases, the relevant member shall notify the details thereof to the Exchange without delay.

1. Matters relating to the methods of sales agent;
2. Matters relating to order price;
3. Matters relating to settlement of payment;
4. Matters relating to agent commission; and
5. Other matters necessary for sales agent.

(2) The LPBs eligible for sales agent pursuant to paragraph (1) shall be limited to those bonds that have been sold by the relevant sales agent; in this case, the member shall place an ask quotation at a reported market price at the time of the market closing. (Amended on July 16, 2015)

(3) Each member shall, when its sales agent has placed a quotation by aggregating orders submitted through a joint account, notify the Exchange the details of orders before the aggregation in person or by facsimile, in case the Exchange requests such details as they are deemed necessary for the market management.

(4) Any other matters necessary for sales agent shall be determined through the agreement between the contracting parties.

Section 5. Brokerage Commission

§125. Deadline for Notification of Brokerage Commission Schedule

“Period stipulated in the Enforcement Rules” in [§100(2)] of the Regulation shall mean five (5) trading days from the date when the relevant brokerage commission schedule become effective.

CHAPTER VII. MARKET MANAGEMENT

§126. Publication of Quotation Information, etc.

(1) Pursuant to [§101(1)5] of the Regulation, the Exchange shall officially announce the details of quotation information specified in each of the following subparagraphs: (Amended on May 29, 2006; February 3, 2009; July 29, 2010; September 2, 2014; February 27, 2025)

1. During the quotation receiving hours for call auction, the prices of three (3) successive expected best quotations and the quantities at such prices, including the expected matching price, expected matching quantity and the prices of best expected bid and offer quotations. Provided that, during the quotation receiving hours for the determination of opening price, such quotation information shall be published after twenty (20) minutes have elapsed from the beginnings of the quotation receiving hour. (Amended on February 27, 2025)

2. During the quotation receiving hours for continuous auction, ten (10) successive best quotation prices per bid and offer respectively, including the best expected bid and offer quotations, the quotation quantities at such prices and the total of such quotation quantities. Provided that, in cases where, for collective investment securities of ETFs, ETNs or ELWs, a liquidity providing quotation submitted is among the ten (10) successive best quotations, such information may be kept apart and published separately. (Amended on February 27, 2025)

2-2. During the quotation receiving hours for continuous auction, mid-price and the quantity of mid-price quotation. In this case, such price and quantity shall be announced separately from the price and quantity announced in accordance with the main sentence of subparagraph 2, but if the input of mid-price quotation is restricted, it shall not be announced. [February 27, 2025]

3. During the quotation receiving hours for off-hours closing price trading, total quotation quantity per bid and offer quotations.

4. During the quotation receiving hours for regular session auction-based block trade, among the ask quotation and bid quotation, the quotation with unexecuted quantity.

(2) The expected matching prices, etc. that are made public pursuant to paragraph (1) shall be calculated according to each of the following methods: (Amended on February 3, 2009; July 15, 2022)

1. Expected matching price and expected matching quantity: Of the quotations received as of the relevant time, the price and quantity of quotation that are expected to be matched by the methods under the provisions of paragraphs (3) through (6) of [§23] of the Regulation;

2. Prices and quantities of three (3) successive expected best quotations, including the price of expected best quotation: The prices of three (3) successive expected best quotations, including the price of expected best quotation per bid and offer, and the

quantities at such prices. In such cases, when it is possible to establish the expected matching price pursuant paragraph (1), it shall be based on the best quotation for the case where such trade has been executed; and

3. Notwithstanding subparagraphs 1 and 2, the Exchange may determine the calculation method and cycle of the expected execution price, etc. differently in case of excessive quotations, system failure, and other cases that it deems necessary for market management.

(3) Notwithstanding paragraph (1), in case of debt securities, the quotation information specified in each of the following subparagraphs shall be published: (Amended on May 29, 2006; May 18, 2007; February 3, 2009; February 28, 2014)

1. During the quotation receiving hours for call auction, total quotation quantity by bid and offer. Provided that, after the market opening, it shall be the prices of five (5) successive best quotations per bid and offer that include the best bid and offer quotation prices, the quotation quantities at such prices and the total of such quotation quantities; and

2. During the quotation receiving hours for continuous auction, the five (5) successive best quotation prices per bid and offer respectively, including the best expected bid and offer quotations, the quotation quantities at such prices and the total of such quotation quantities.

(4) [Deleted on February 28, 2014]

§127. Public Announcement of Reference Information for Investors

Pursuant to [§101(2)] of the Regulation, the Exchange shall officially announce any of the followings as the reference information for inventors: (Amended on July 7, 2006; August 28, 2007; May 13, 2008; July 29, 2010; June 21, 2016)

1. The issues traded by way of the regular session block trading, regular session basket trading, off-hours block trading or off-hours basket trading;

1-2. The issues traded by way of regular session auction-based block trade and off-hours auction-based block trade;

2. The issues for which the treasury stocks of stock-listed corporations were traded (including the trading of treasury stocks under trust contracts);

3. [Deleted on August 28, 2007]

4. The top twenty (20) issues in terms of daily turnover ratio; and

5. The matters to be disclosed with respect to net holding balance prescribed in Article 180-3 of the Act;

6. Details of the net holding balance aggregated by issue, which was reported to the Exchange pursuant to Article 180-2 of the Act; and
7. Additionally, the matters that the Exchange deems them useful for making the investment decisions.

§128. Publication Methods of Market Prices, etc.

The public announcement of market prices, etc. pursuant to [§101(3)] of the Regulation shall be made in accordance with any of the following methods:

1. Posting on the securities information devices;
2. Publication in the Daily Stock Market Review (available only in Korean); and
3. Posting on the electronic information dissemination medium operated by the Exchange.

§129. Notification to Members

(1) Pursuant to [§103] of the Regulation, the Exchange shall notify the matter falling under any of the following subparagraphs to its members: (Amended on August 28, 2007; October 22, 2012; February 28, 2017; July 23, 2020, November 26, 2020; April 12, 2023)

1. Amendments to the Membership Regulation, the KOSPI Market Business Regulation, the KOSPI Market Listing Regulation and the KOSPI Market Disclosure Regulation;
2. Issues of initial listing, relisting, listing change and delisting; administrative issues; temporarily overheated issue, investment precaution issues, issues of investment caution and investment risk; issues suspended from trading; issues scheduled to be delisted; low liquidity issues subject to call auction; different classes of stock issues subject to call auction; overheated short sale issues; and call auction issues with abnormally soaring prices;
3. Temporary closing of the market, temporary suspension of the market, trading halt and changes in trading hours;
4. Admission and withdrawal of members;
5. Suspensions of membership and termination of such suspensions;
6. Suspensions of members from trading and termination of such suspensions;
7. Measures for payment prior to placing quotation or payment prior to settlement; and

8. Additionally, other matters for which the disclosure is deemed necessary.

(2) The notification to members pursuant to paragraph (1) shall be made by any of the following methods: (Amended on February 28, 2017)

1. Posting on the electronic information delivery devices operated by the Exchange;
2. Posting on the securities information devices;
3. Publication in the Daily Stock Market Review (*available only in Korean*); and
4. Notification in writing.

§130. Method of Reporting Algorithmic Trading Account

The reporting of algorithmic trading accounts by members pursuant to [§104-2(2)] of the Regulation shall be made by inputting a report prepared in accordance with [Annex: Form No. 1-2] into the Exchange system via the member system by 18:00 hours.

[December 22, 2022]

§130-2. Methods and Trades for Application for Quotation Processing by Account, etc.

(1) The “case specified in the Enforcement Rules” in the proviso to [§104-2(3)] of the Regulation shall refer to regular the session auction-based block trade and the basket trade.

(2) The request for quotation processing by account by members pursuant to [§104-2(3)] of the Regulation shall be conducted by the way of entering the matters noted in each of the following subparagraphs into the Exchange system via member system or member securities terminals:

1. Algorithmic trading account number (limited to the account that was reported as an algorithmic trading account no later than the day before the date of request);
2. Types and details of the quotation processing by account. In such cases, the details shall be classified as follows:
 - (a) In the case of quotation processing by account pursuant to [§104-2(3)1] of the Regulation: Cancellation of all quotations received in the regular session; and
 - (b) In the case of quotation processing by account pursuant to [§104-2(3)2] of the Regulation: Blocking the receipt of additional new quotations, correction quotations and cancellation quotations (excluding cancellation quotations in the off-hours session).

3. Other matters that the Exchange deems necessary.

(3) Upon the request of members pursuant to paragraph (2), the Exchange shall perform the quotation processing by account after verifying the matters noted in each of the subparagraphs.

(4) The member who has requested for the quotation processing by account may request for the termination of such processing by the methods specified in paragraph (2) from the time when 10 minutes have elapsed since the request for the quotation processing by account, and, in cases where the member does not request for the termination, the Exchange may terminate the quotation processing by account at the closing time of off-hours sessions after the market close of the day.

(5) Notwithstanding paragraphs (2) and (4), the Exchange may, in the case of system failures and other cases that are deemed necessary for the market management, refuse a member's request for the quotation processing by account or request for the termination from such processing.

(6) When a member has requested for the quotation processing by account, the member shall keep the records and materials related to the quotation processing by account, including the details of system failures, etc., for 10 years.

[December 22, 2022]

§131. Registration of High-speed Algorithmic Trader, etc.

(1) Registration or reporting pursuant to [§104-3(1) and (2)] of the Regulation shall be made by a member's inputting all matters in each of the following subparagraphs through member system. Provided that, in the case where a member reports itself as a high-speed algorithmic trader, matters in subparagraphs 1 and 4 shall be excluded:

1. Matters concerning the fulfilment of the requirement in each subparagraph of [§104-3(1)] of the Regulation;
2. Information about a customer or member as information that can identify the subject of registration, such as mane or trade name;
3. Application for registration in accordance with [Annex Form 20];
4. Confirmation on inspection of registration information, etc. in accordance with [Annex Form 21]; and

5. Other matters that the Exchange deems necessary.

(2) In the case where there is a change in the matters registered or reported pursuant to paragraph (1), the member shall input the changed matter through the member securities terminal without delay.

(3) “The requirements specified in the Enforcement Rules” in [§104-3(1)3] of the Regulation shall refer to all of the following subparagraphs:

1. The customer shall have a management system such as an internal control organization and two (2) or more of professional personnel in order to efficiently manage risks that may arise from high-speed algorithmic trading. Provided that, with regard to the risks that occurs from high-speed algorithmic trading, any of the following items shall be deemed to meet the relevant requirement:

(a) When a member directly conducts risk management; and

(b) Where a member judges that the customer can recognize, evaluate, monitor, and control risks in a timely manner.

2. Other matters that the Exchange deems necessary for market management, etc.

(4) When a member registers or reports itself as a high-speed algorithmic trader pursuant to paragraph (1), the Exchange shall process it without delay. In such case, the Exchange may ask the member to supplement if there is a defect in the registration or report.

(5) The Exchange shall issue a trader registration number that can be commonly used in the KOSPI market, KOSDAQ market, KONEX market, and derivatives market for each high-speed algorithmic trader who has completed registration and reporting. In such case, the high-speed algorithmic trader can set the risk management number (referring to the two (2) digit number set by the high-speed algorithmic trader to distinguish the range for applying the self-match prevention condition pursuant to [§13-2] and the mass order cancellation pursuant to [§17-2]; the same hereinafter) to the relevant registration number.

(6) Pursuant to [§104-3(3)] of the Regulation, a member shall connect a high-speed algorithmic trading number and a high-speed algorithmic trading account through the member system and report it to the Exchange.

(7) The “case specified in the Enforcement Rules” in [§104-3(5)3] of the Regulation shall refer to each of the following subparagraphs:

1. Where a customer takes out the ordering system from the member computer center, etc.; or

2. Where the Exchange recognizes that it is necessary for investor protection or the

stability of trading order in the market and notifies it to the member.

(8) In case where all members that have received orders from a high-speed algorithmic trader cease to receive the orders pursuant to [§104-3(5)] of the Regulation, the Exchange may cancel the registration of the high-speed algorithmic trader of the relevant customer.

[December 22, 2022]

§131-2. Special Cases for Registration of High-speed Algorithmic Trader

(1) In the case where the registration or reporting of a high-speed algorithmic trader is completed in accordance with any of the regulations of the KOSDAQ market, KONEX market, or derivatives market operated by the Exchange, the registration and reporting are also deemed to have been completed in the KOSPI market.

(2) In the case where multiple customers of a member satisfy all of the following subparagraphs, the member can collectively register them as high-speed algorithmic traders. In such case, the Exchange may issue a single trader registration number that can be jointly used by the relevant customers to a specific customer:

1. The customer shall be an affiliated corporation (including a foreign corporation incorporated under foreign laws and regulations) of a specific customer;
2. The customer and the affiliated corporation shall use the same trade ordering system; and
3. The member shall verify whether the registration requirements stated in [§104-3(1)] of the Regulation are met for all of the multiple customers.

[December 22, 2022]

§131-3. High-speed Algorithmic Trading through Multiple Members

In case where a member intends to receiver orders for high-speed algorithmic trading from a customer who has completed the registration as a high-speed algorithmic trader, the member shall apply for the right to use the trader registration number of the relevant customer to the Exchange. In such case, the latter part of [§104-3(1)] of the Regulation and [§131(1) (excluding subparagraph 3) through (4)] of these Enforcement Rules shall apply mutatis mutandis to the relevant application.

[December 22, 2022]

§131-4. Member's Obligation to Manage High-speed Algorithmic Trading

(1) Pursuant to [§104-4(1)] of the Regulation, a member shall inspect electronic system in order to verify whether the electronic systems including ordering system, etc. used by a customer has sufficient stability and adequacy to carry out high-speed algorithmic

trading as specified in each of the following subparagraphs:

1. Matters concerning inspection of electronic system, etc. related to the registration stated in [§104-3] of the Regulation; A member shall prepare the standards and procedures for electronic system inspection, conduct the inspection of the electronic system thoroughly through the linkage tests with trade ordering system by the customer before applying for the registration, and file the results with the Exchange;
2. Matters concerning regular inspection: A member shall inspect the connection with the customer's electronic system on a regular basis every year. Provided that, if the member conducted the inspection on a timely basis due to the change of electronic system, etc. during the relevant year, it shall be deemed that the inspection pursuant to the main clause is completed and
3. Other matters that the Exchange deems necessary for the stable operation of the electronic system, etc.

(2) Pursuant to [§104-4(1)] of the Regulation, a member shall establish appropriate internal control mechanism for the management of risks and the prevention of financial accidents related to the high-speed algorithmic trading of customers as specified in each of following subparagraphs:

1. Matters concerning the granting of order limits: A member shall grant an appropriate order limit by evaluating the financial stability, credit rating, etc. and check the adequacy of the relevant limit on the regular basis;
2. Matters concerning the monitoring of trades: A member shall monitor and supervise whether a customer complies with relevant regulations and internal control standards through the monitoring of high-speed algorithmic trading; and
3. Matters concerning the response to accidents and failures: A member shall prepare appropriate control and response system including manuals to effectively cope with accidents or failures related to high-speed algorithmic trading of customers and minimize damage.

(3) With respect to the request for submitting materials pursuant to [§104-4(2)] of the Regulation, A member shall record and maintain the following materials for ten (10) years and submit them if the Exchange requests for the market management, etc.

1. Materials on the registration of high-speed algorithmic traders and their trades; and
2. Results of inspection and supervision conducted pursuant to paragraphs (1) and (2) and related materials.

[December 22, 2022]

§132. Action Dates of Ex-dividends, etc.

(1) The date of action for ex-dividends, ex-rights or ex-distribution under [§105] of the Regulation shall be each of the following dates:

1. It shall be the day before the record date on which a person who is entitled to exercise the right is determined (hereinafter referred to as "the record date"). In cases where the record date is a market holiday or in the middle of the closing period of the shareholder register, the record date shall be deemed one (1) day before the first day of market holidays or the commencement date of closing of the shareholder register; and

2. It shall be the day on which trading halt is called off, in cases where the record date falls in the middle of the trading halt (excluding the first day of trading halt).

(2) The date of action for ex-interests under [§105] of the Regulation shall be the date noted in each of the following subparagraphs: (Amended on December 30, 2011; September 10, 2019; October 29, 2024)

1. Same day settlement trade:

The interest payment date (referring to the commencement date of registration suspension in the case of registered bonds under the State Bond Act; the same hereinafter). Provided that, if the relevant date is a market holiday under subparagraph 4 of [§5] of the Regulation, it shall be the following day; and

2. Next day settlement trade:

It shall be the day immediately preceding the interest payment date. Provided that it shall be the day preceding the relevant date, if the relevant date is the due date for holding reserve set by the Bank of Korea. (Amended on December 30, 2011)

(3) The provisions of paragraph (1) shall apply *mutatis mutandis* to the case of determining the date of actions for ex-conversion of convertible bonds, ex-warrants of bonds with warrants, or ex-exchange of exchangeable bonds. In such cases, the record date shall be deemed the closing date of request for conversion in the case of convertible bonds, the closing date of exercising subscription rights in the case of bonds with warrant, and the closing date of request for exchange in the case of exchangeable bonds.

(4) The calculation of the date of actions specified pursuant to paragraphs (1) through (3) shall be based on trading day.

(5) The date of action where the provisions of paragraphs (1) through (4) are not applicable shall be set by the Exchange for each case.

§133. Designation of Temporary Overheated Issues

(1) "Standards specified in the Enforcement Rules" in each subparagraph of [§106-2(1)]

of the Regulation shall refer to the cases of falling under any of the following subparagraphs (excluding the different classes of stock issue subject to call auction specified in [§56-4(1)]) within ten (10) trading days from the day when the fact that there is a possibility of being designated as temporary overheated issue pursuant to [§133-2(1)] has been forewarned. (Amended on April 25, 2013; April 1, 2016; September 22, 2020)

1. In cases where all the requirements in [§133-2(3)1 through 3] are met (limited to cases where the closing price - of the day in which the decision on whether or not the requirements are met - is higher than the closing price of the trading day immediately preceding the date of decision, and is higher than the closing price of the trading day immediately preceding the date of forewarning of designation);

2. In cases where the different classes of stocks meet the requirements in [§133-2(3)4.]; and

3. For the issues other than subparagraphs 1 and 2 (excluding the issues that were forewarned to be designated as temporary overheated issues pursuant to [§133-2(1)1]): cases of satisfying all of the standards noted in each of the subparagraphs of [§133-2(3)]

(2) The Exchange may designate the issue falling under any subparagraph of [§106-2(1)] of the Regulation as temporary overheated issue on the next trading day. Provided that this provision shall not apply in cases where the designation of an issue as a temporary overheated issue is deemed manifestly inappropriate, such as for an issue ranked within the top 100 based on the value obtained by multiplying the closing price of the preceding trading day by the number of shares listed on the KOSPI or KOSDAQ Markets.

[October 22, 2012]

§133-2. Forewarning on Designation as Temporary Overheated Issue

(1) In cases where an issue falls under any of the following subparagraphs (excluding the different classes of stock issues subject to call auction noted in [§56-4(1)]), the Exchange may forewarn the fact that there is a possibility for the relevant issue to be designated as a temporary overheated issue. (Amended April 25, 2013; April 1, 2016; September 22, 2020)

1. In cases where, within ten (10) trading days from the day - when all of the standards noted in subparagraph 1 through 3 of paragraph (3) were met and the closing price of the same day was higher than that of the immediately preceding trading day (hereinafter referred to as the “base day” in this Article) - all of the standards noted in subparagraph 1 through 3 of paragraph (3) are once again met (limited to the cases where the closing price - of the day of deciding on whether the standards are once again met - is higher than the closing price of the immediately preceding day, and is higher than the closing price of the base day); and

2. In cases where the different classes of stocks once again meet the standards in

subparagraph 4 of paragraph (3) within ten (10) trading days from the next trading of the day when all of the standards noted in subparagraph 4 of paragraph (3) were met.

(2) Notwithstanding paragraph (1), in case of issue that falls under any of the following subparagraphs, the Exchange may not forewarn the fact that there is a possibility of being designated as temporary overheated issue: (Amended on December 10, 2015)

1. [Deleted on December 10, 2015]

2. In addition, the issue for which forewarning of the fact that there is a possibility of being designated as temporary overheated issue is obviously inappropriate.

(3) The Exchange shall calculate the standards noted in each of the following subparagraphs for each issue. In such cases, numbers shall be rounded up to the 4th decimal place. (Amended on September 22, 2020)

1. Rate of price increase:

The closing price of the day shall be at least 130/100 higher than the average closing prices of recent forty (40) trading days.

2. Turnover ratio:

The average daily turnover ratio (to be calculated using the formula noted below) of recent two (2) days (based on the trading day of issue), including the relevant day, shall be 600/100 higher than the average of daily turnover ratios of recent forty (40) trading days.

Daily turnover ratio = Total value of the trades executed by continuous auction during the trading hours of regular session of the day / (Closing price of the day X Total number of listed shares)

3. Stock price volatility:

The average of stock price volatility for recent two (2) days (based on the trading day of issue), including the relevant day, shall be at least 150/100 higher than the average of daily price volatility of recent forty (40) trading days.

Daily stock price volatility = [Highest price (referring to the price established by continuous auction during the trading hours of regular session of the day: the same hereinafter in this paragraph) – Lowest price] / {[Highest price + Lowest price] / 2}

4. Disparate ratio

The disparate ratio (calculated by the below formula) between the price of the different classes of stock and the price of the relevant common stock based on the closing price of the day shall exceed zero point five (0.5).

$$\text{Disparate ratio} = (\text{Price of different classes of stock} - \text{Price of relevant common stock}) / \text{Price of relevant common stock}$$

(4) Notwithstanding paragraph (3), for the issue falling under any of the following subparagraphs, the criteria noted in each subparagraph of paragraph (3) shall not be calculated: (Amended on April 25, 2013; April 1, 2016; February 28, 2017; September 22, 2020)

1. A temporary overheated issue;
2. An issue scheduled to be delisted;
3. An issue suspended from trading;
4. An issue for which the number of days with trades executed by continuous auction during the trading hours of regular sessions (including trading hours corresponding to the regular market of the Exchange among the trading hours of the multilateral trading company) during the latest forty (40) days is twenty (20) or less; and (Amended on February 27, 2025)
5. An investment alert issue or an investment risk issue (including issues scheduled to be designated the next day as investment alert issues or investment risk issues) noted in [§5-3] of the Market Oversight Regulation.

(5) For the issue that was released from the designation as temporary overheated issue pursuant to [§134], the base day (including the day when the issue under subparagraph 2 of paragraph (1) first meets the standards in subparagraph 4 of paragraph (3)) may again be determined after the release date. (Amended on September 22, 2020)

(6) “Average closing price” in paragraph (3)1, the “average of daily turnover ratio” in paragraph (3)2 and the “average of daily price volatility” in paragraph (3)3 shall be calculated on the basis of trading day of the relevant issue.

(7) The “total value of the trades executed by continuous auction during the trading hours of regular session of the day” in paragraph (3)2 shall be calculated by including the trading value of the multilateral trading company (limited to the trading value during the trading hours corresponding to the regular market of the Exchange; the same hereinafter in this paragraph), however, in the case where the Exchange is unable to receive information on trading value from a multilateral trading company, due to system failure, etc., such information may be excluded from the calculation. [February 27, 2025]

[October 22, 2012]

§134. Release from Designation as Temporary Overheated Issue, etc.

(1) The Exchange shall release the issues designated as temporary overheated issues from

such designation on the trading day after the three (3) trading days from the day of designation. (Amended on April 25, 2013; December 10, 2015; April 1, 2016; September 22, 2020)

1 [Deleted on September 22, 2020].

2. [Deleted on September 22, 2020]

(2) Notwithstanding paragraph (1), in cases where the closing price of the day when the period specified in paragraph (1) expires counting from the day of designation is higher than 120/100 of the closing price of the trading day immediately preceding the day of designation (excluding temporary overheated issues designated pursuant only to [§133(1)2]), the issue shall be released from the designation on the trading day that follows the day when the period specified in paragraph (1) expires counting from the next trading day immediately after. (Amended on April 15, 2013; December 10, 2015; April 1, 2016; September 22, 2020)

(3) Notwithstanding paragraph (1), in cases where the closing price of the issues designated as temporary overheated issues pursuant to [§133(1)2] (including the temporary overheated issues that fall under both [§133(1)1] and [§133(1)2]) meets the standard in [§133-2(3)4] on the day when the period specified in paragraph (1) ends, the designation shall be extended for the period specified in paragraph (1). In such cases, if the closing price meets the standard in [§133-2(3)4] on the day when the extended period ends, the designation shall be extended for the period specified in paragraph (1), and this provision shall apply repeatedly whenever the extended period ends. [September 22, 2020]

(4) In cases where there has been ex-dividends, ex-rights, stock split-off or reserve stock split, etc., the “closing prices” noted in [§133(1)] and [§133-2(1)•(3), (2) and (3)] shall be determined by taking such event into consideration. (Amended on September 22, 2020)

[October 22, 2012]

§134-2. Forewarning on Designation as Investment Precaution Bond Issue

(1) Pursuant to the provisions of [§106-3(2)] of the Regulation, in cases where a corporation falls under any of the following subparagraphs, the Exchange may issue a forewarning on the fact that the listed debt security issued by the relevant corporation may be designated as an investment precaution bond issue, by the trading day following the day on which the relevant ground has occurred: (Amended on March 17, 2017; November 29, 2018; September 7, 2021)

1. In cases where a bond-listed corporation has made a disclosure on the fact or decision about the matter that falls under any of the followings:

(a) Filing of an application for corporate rehabilitation procedures;

(b) Forfeiting of the benefits of time of listed debt securities;

(c) [Deleted on September 7, 2021]

(d) Resolution at the meeting of bondholders.

2. In cases where the closing price of an issue of corporate bonds falls under any of the followings. Provided that this provision shall not apply when the day's trading volume is less than KRW 100 million.

(a) Case of falling below 80/100 of the face value; and

(b) Case of rising or falling by 15% or more from the closing price of the immediately preceding trading day.

(2) Notwithstanding paragraph (1), in cases where it is deemed inappropriate to view that the matter disclosed is related to the rights, earnings or handling of listed debt securities, or where it falls under the issue scheduled to be delisted, the Exchange may not issue the forewarning on the possible designation as an investment precaution bond issue. (Amended on November 29, 2018)

(3) In the case of falling under any of the following subparagraphs, the Exchange may release the relevant issue from the forewarning on designation. (Amended on March 17, 2017; November 29, 2018; September 7, 2021)

1. Case of having been forewarned on designation as an investment precaution bond issue pursuant to paragraph (1)1 and falling under any of the following items. Provided that, when the Exchange deems it necessary for public interests and protection of investors, or maintaining of trading order in the market, the release from the forewarning on designation may not be carried out.

(a) For a case of having been forewarned on the ground noted in paragraph (1)1(a); when the relevant bond-listed corporation has made a disclosure of the fact or decision on the closing of the corporate rehabilitation procedures;

(b) For a case of having been forewarned on the ground noted in paragraph (1)1(b); when the revocation of the forfeiting of benefits of time takes effect by the resolution of the bondholders' meeting, or when the fact of revocation of the forfeiting of benefits of time is recognized by the Exchange; or

(c) For a case of having been forewarned on the grounds noted in paragraph (1)1(d); when the resolution of the bondholders' meeting takes effect.

2. In cases where an issue that was forewarned on designation as an investment precaution bond issue pursuant to paragraph (1)2 meets all of the following requirements:

(a) The closing prices in the latest six (6) months shall remain above 80/100 of the

face value (including the cases with no trades; the same hereinafter in this Subparagraph); and

(b) The closing prices for the latest five (5) trading days shall not rise or fall by 8% or more from the closing price of the immediately preceding trading day.

[November 23, 2016]

§134-3. Designation as Investment Precaution Bond Issues

“Requirements specified in the Enforcement Rules” in [§106-3(1)] of the Regulation shall refer to the case when the closing price of an issue that was forewarned on the possible designation as an investment precaution bond issue pursuant to [§134-2] has risen or fallen by 15% or more from the closing price [it shall be the closing price of the day before two (2) trading days, only if there was no closing price on the immediately preceding trading day as the trading was suspended pursuant to [§49(1)2] of the Regulation] of the immediately preceding trading day (excluding a case where the day’s trading volume is less than KRW 100 million or an issue scheduled to be delisted). In such cases, the designation date shall be the following trading day. (Amended on March 17, 2017; November 29, 2018; July 23, 2020)

[November 23, 2016]

§134-4. Release from Designation as Investment Precaution Bond Issues

Pursuant to [§106-3(2)] of the Regulation, the Exchange shall release the issue designated as an investment precaution issue from such designation on the trading day following the date of designation.

[November 23, 2016]

§134-5. Forewarning on Designation as Investment Precaution Issue

(1) Pursuant to [§106-4(2)] of the Regulation, in cases where an issue falls under all of the following subparagraphs, the Exchange may, on the next trading day, forewarn the fact that the concerned issue may be designated as an investment precaution issue :

1. The immediate disparate ratio at the market closing is two (2) times or higher than the ratio specified in [§20-4(2) or (3)] of the Regulation; and
2. Falls under the situation in subparagraph 1 again within ten (10) trading days after falling under the situation in subparagraph 1.

(2) Notwithstanding paragraph (1), the Exchange may not forewarn the fact that there is a possibility of being designated as an investment precaution issue in cases where the issue falls under any of the following subparagraphs:

1. An issue designated as an investment precaution issue;
2. An issue suspended from trading;
3. In cases where an error occurs in calculating the immediate disparate ratio at the market closing due to the computer system failure of the Exchange or the institution that calculates the underlying index and the immediate disparate ratio at the market closing; and
4. In cases where it is deemed inappropriate to forewarn the possible designation as an investment precaution issue.

[July 23, 2020]

§134-6. Designation as Investment Precaution Issue

(1) “The criteria stipulated in the Enforcement Rules” in [§106-4(1)] of the Regulation shall refer to cases falling under any of the following subparagraphs. In such cases, the following trading day shall be the designation day.

1. In cases where the issue that has been forewarned to be designated as an investment precaution issue pursuant to [§134-5(1)] falls under [§134-5(1)1] within ten (10) trading days from the day of the forewarning; and
2. In cases where the Exchange deems the designation as an investment precaution issue is necessary for investor protection in consideration of the quotation situations and the trading conditions.

(2) Notwithstanding paragraph (1), the Exchange may not designate the concerned issue as an investment precaution issue in cases where it falls under any of the subparagraphs in [§134-5(2)].

[July 23, 2020]

§134-7. Release from Designation as Investment Precaution Issue

(1) The issues designated as investment precaution issues pursuant to [§134-6(1)1] shall be released from such designation on the trading day after three (3) trading days from the date of designation (hereinafter referred to as the “designated unit period” in this Article). Provided that, in cases where the issue falls under any of the following subparagraphs, a new designated unit period shall begin from the date specified in the concerned subparagraph:

1. In cases where the immediate disparate ratio at the market closing exceeds the ratio

specified in [§20-4(2) or (3)] of the Regulation for one (1) or more days during the designated unit period: The trading day after the day on which the designated unit period ends; and

2. In cases where the trading of the issue is suspended pursuant to [§26(1)2-3] of the Regulation: The day on which the trading is resumed.

(2) The issues designated as investment precaution issues pursuant to [§134-6(1)2] shall be released from the designation considering the quotation situation and the trading situation.

[July 23, 2020]

§135. Suspension of Trading of Investment Risk Issues, etc.

(1) Pursuant to [§107(2)] of the Regulation, upon receiving the request for trading suspension pursuant to [§5-3] of the Market Oversight Regulation, the Exchange may suspend the trading of the relevant issue for the period requested. Provided that, in cases where it is deemed necessary for the investor protection and market stability due to sudden changes in the market situation, etc., the Exchange may set the period of trading suspension differently or take the following additional measures from the date of release from the trading suspension:(Amended on January 30, 2008; March 8, 2012; February 28, 2017)

1. Change of the trade execution methods specified in paragraphs (1) through (4) of [§56-2];
2. Change of the price change limits specified in [§20(2)] of the Regulation;
3. Change of the rates specified in paragraphs (1) and (2) of [§41-2]; and
4. Other measures that are deemed necessary for the market management.

(2) When taking the measure of trading suspension or any additional measures pursuant to paragraph (1), the Exchange shall officially announce such fact immediately. [February 28, 2017]

(Wholly amended on August 28, 2007)

CHAPTER VIII. SUPPLEMENTARY PROVISIONS

§136. Notification of Trade Details

(1) Pursuant to [§110(1)] of the Regulation, the Exchange shall, when a trade has been

executed, notify its members of each of the following trade details without delay: (Amended on February 3, 2009; July 29, 2010)

1. Member's ID number;
2. Name of issue;
3. Executed quantity and execution price. Provided that the Exchange shall notify the execution price of regular session auction-based block trade and off-hours auction-based block trade to the member immediately after the market closing;
4. Classification of purchase or sale;
5. Classification of self-account transaction or customer-account transaction; and
6. Any other details that the Exchange deems them necessary.

(2) Pursuant to [§110(2)] of the Regulation, the Exchange shall notify the designated clearing members each of the following details of the trades executed under the names of non-clearing members after the market closing: (Amended on July 7, 2007; February 3, 2009)

1. ID number of non-clearing member;
- 1-2. Name of issue;
2. Quantities sold, and quantities purchased;
3. Sale amount and purchase amount; and
4. Any other details that the Exchange deems them necessary. Provided that it shall be limited to the details for which the prior consent of the non-clearing member has been obtained.

(3) Notification of trade details pursuant to paragraphs (1) and (2) shall be accomplished by transmitting the details to the member computer systems. In such cases, when the members received the notification of trade details, it shall be deemed that the members have confirmed the relevant trade details. (Amended on February 3, 2009)

§137. Request for Auction, etc.

(1) The request for auction pursuant to [§112(1)] of the Regulation shall be restricted to those securities that are not listed on the KOSPI Market and KOSDAQ Market. Provided that, when the Exchange deems it necessary, listed securities may also be auctioned. (Amended on February 3, 2009)

(2) Any person who is not a securities member shall not be allowed to submit bids on an

auction. Provided that, if the Exchange deems it necessary, anyone who wishes to purchase may be allowed to participate. (Amended on February 3, 2009)

(3) When the Exchange receives an entrustment of auction, the information necessary for such auction, including the name of issue, quantity, proposed price, time of auction and commission, shall be determined in writing in advance.

(4) Any person who entrusts an auction shall deposit the security to be auctioned with the Exchange after taking necessary steps for the transfer of rights. Provided that, if the security to be auctioned is a security that is electronically registered pursuant to the Electronic Securities Act, such security shall be electronically registered with an electronic registry with a restriction on transfer between accounts, instead of being deposited, until the rights are transferred subsequent to the auction. (Amended on September 10, 2019)

(5) The quantity unit, quotation units and any other necessary matters relating to auctioning of the securities shall be determined by the Exchange. (Amended on February 3, 2009)

(6) In cases where the government is the one who entrusted the auction and the entrustment conditions are different from this Article, the entrustment conditions of the government shall take precedence, except the conditions stipulated in [§141]. (Amended on February 3, 2009)

§138. Methods for Determining Bidders, etc.

(1) As a case of bidding method pursuant to [§112(4)] of the Regulation, when bidders with the same unit price compete, the bidders shall be determined according to proportional allocation in cases where there is insufficient remaining quantity.

(2) The successful bidders shall enter into a bid agreement in accordance with the agreement specially devised by the Exchange by the date determined by the Exchange.

(3) Auction shall be carried out at the time and date determined by the Exchange, and the Exchange shall make public the time, date and place of auction and other necessary matters at least five (5) days before the auction date. Provided that the duration of announcement may be shortened if the Exchange deems it necessary.

(4) While making announcement pursuant to paragraph (1), the expenses for advertizing in the publications such as newspaper and other special expenses shall be borne by the person who entrusts the auction. Provided that an exception may be made in cases where the government is the consignor.

(5) The Exchange shall prepare a register, record the details of each auction, and keep them.

§139. Bid Guarantee

- (1) Anyone who intends to bid on auction shall deposit with the Exchange the bid guarantee in cash or cashier's check issued by the banks, which is equivalent to 10/100 of bid price on auction by the date determined by the Exchange.
- (2) The bid guarantee deposited by the successful bidders shall be appropriated as a part of bid price. Provided that, in cases where a successful bidder does not enter into the bid agreement pursuant to [§138(2)], the relevant bid shall be made invalid, and the bid guarantee deposited shall not be returned.
- (3) When the successful bidders at the lowest unit price according to the bidding method were determined according to the proportional allocation method, the amount exceeding the bid guarantee applicable to the successful bid quantity may be refunded.
- (4) The Exchange shall refund the bid guarantee deposited by the unsuccessful bidders without delay.

§140. Successful Bidding Amount

- (1) A successful bidder shall pay the successful bidding amount, after deducting the amount of bid guarantee money deposited pursuant to [§139], within five (5) days from the successful bidding and receive the relevant security (in the case of a security that is electronically registered pursuant to the Electronic Securities Act, it shall be accomplished by the electronic registration of transfer to the successful bidder's customer account). (Amended on September 10, 2019)
- (2) In cases where the successful bidder fails to make the payment of remaining successful bidding amount by the date specified in paragraph (1), such bid shall be made invalid, and the bid guarantee money deposited shall not be returned.

§141. Commission Fee for Auction Entrustment

Any person who entrusted the auction shall pay the commission fee for auction entrustment to the Exchange, which is sum of the amounts calculated by applying each of successive rates to the successful bidding amount of each issue, at the time of receiving the successful bidding amount. Provided that, in cases where the consignor is the government or a corporation that is equivalent thereto and recognized by the Exchange as necessary, 1/2 of the respective rate shall apply. (Amended on September 10, 2019)

- For a successful bidding amount equal to or less than KRW 100 million: 3/1,000;
- For a successful bidding amount more than KRW 100 million, but equal to or less than KRW 500 million: 2/1,000; and
- For a successful bidding amount more than KRW 500 million: 1/1,000

§142. Public Opinion Gathering

Public opinion gathering pursuant to [§112-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

[May 7, 2020]

ADDENDA

(Regulation No. 17 / January 24, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on the date when the Exchange is incorporated. Provided that [§12(1)6, (13), (15) & (17)], [§14(1)1&3], [§23] through [§25], [§27(1)3], [§28], [§48(1)2], [§49], [§50], [§52(2)], subparagraphs 6, 7(d) and 9 of [§108], [§127(1)] and [§131] shall become effective on March 28, 2005.

§2. Abolition of Previous Enforcement Rules

Beginning with the date when these Enforcement Rules became effective, the Enforcement Rules of the Business Regulation of the Korea Stock Exchange shall be abolished. Provided that the relevant provisions of the Enforcement Rules of the Business Regulation of the Korea Stock Exchange shall apply until the effective date of provisions specified in the proviso to [§1] of Addendum.

§3. Interim Measures for Agreement for Correction of Transaction Error

At the time when these Enforcement Rules become effective, the agreement for correction of transaction error that the members signed previously with the Korea Stock Exchange shall be construed as the agreement that was signed by the members and the Exchange pursuant to these Enforcement Rules.

§4. Interim Measures for Application for Trading of Treasury Stocks

At the time when these Enforcement Rules become effective, the application for trading of treasury stocks that was submitted under the Business Regulation of the Korea Stock

Exchange shall be construed as the application submitted pursuant to these Enforcement Rules.

§5. Interim Measures for LPB Dealers

At the time when these Enforcement Rules become effective, LPB dealers who have been designated pursuant to the Enforcement Rules of Business Regulation of the Korea Stock Exchange shall be construed as those designated pursuant to these Enforcement Rules.

§6. Interim Measures for Surveillance Issues

At the time when these Enforcement Rules become effective, the issues designated as surveillance issue pursuant to the Enforcement Rules of the Business Regulation of the Korea Stock Exchange shall be construed as the issues designated as abnormally rising issues pursuant to these Enforcement Rules.

ADDENDUM

(Regulation No. 88 / May 13, 2005)

These Enforcement Rules shall become effective on May 30, 2005. Provided that the amended provisions of [§12 {except paragraph (1) 6} and §32] shall become effective on July 18, 2005.

ADDENDA

(Regulation No. 103 / August 26, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on October 31, 2005. Provided that the amended provisions of [§76] shall become effective on August 29, 2005, and the amended provisions of [§30], [§55] and [§135], [Annex 1] and [Annex 2] shall become effective September 1, 2005.

§2. Provision about the Effective Date of the Regulation

“The date specified in the Enforcement Rules” mentioned in the proviso to Addendum (July 22, 2005) of the Regulation shall be September 26, 2005.

§3. Interim Measure relating to the issues using the first trading price as the base price

The issues that have not established the base price when these Enforcement Rules become effective shall be deemed that they are listed on the effective date of these Enforcement Rules. In such cases, the issues of which trading has been halted shall be deemed that they are listed on the day its trading is resumed.

ADDENDA
(Regulation No. 123 / December 1, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2006. Provided that the amended provisions of [§33] and [§57] shall become effective on January 16, 2006.

§2. Application of Provisions about the Quantity of Liquidity Providing Quotations for ETFs

Notwithstanding [§31-6(3)2], the quantity of liquidity providing quotation for ETFs shall be 100 shares until January 16, 2006

§3. Interim Measures for Busan Railroad Bonds

Notwithstanding the amended provisions of [§61/5 and §74(1)2], the previous provisions of the Enforcement Rules shall apply to the Busan Railroad Bonds that were issued before the effective date of these Enforcement Rules.

ADDENDUM
(Regulation No. 143 / February 8, 2006)

These Enforcement Rules shall become effective on February 9, 2006. Provided that the amended provisions of [§14] shall become effective on March 2, 2006.

ADDENDA
(Regulation No. 164 / May 29, 2006)

§1. Effective Date

These Enforcement Rules shall become effective on June 5, 2006. Provided that the amended provisions of [§31-9], [§133] through [§135] shall become effective on July 3, 2006.

§2. Application of Provisions Concerning the Release from the Designation of Abnormally Rising Issue

In applying the amended provisions of [§134(1)1(b)&2(c)], the issues that have been designated as abnormally rising issue before the effective date of these Enforcement Rules, shall be construed that they are designated as abnormally rising issue on the effective date of these Enforcement Rules and each specification of release shall apply.

ADDENDUM
(Regulation No. 172 / July 7, 2006)

These Enforcement Rules shall become effective on August 28, 2006. Provided that the amended provisions of [§27], [§127/3] and [§136] shall become effective on July 10, 2006, and the amended provision of [§45] shall be effective on September 11, 2006.

ADDENDUM
(Regulation No. 178 / July 21, 2006)

These Enforcement Rules shall become effective on August 1, 2006.

ADDENDA
(Regulation No. 187 / September 8, 2006)

§1. Effective Date

These Enforcement Rules shall become effective on October 30, 2006.

§2. Interim Measures Concerning Method of Trading Treasury Stocks of Stock-listed Corporations

The amended provision shall also apply to the cases where a member receives and places the quotations for the entrustment for trading of treasury stocks from a stock-listed corporation that has submitted the report on disposal of treasury stocks before the effective date of these Enforcement Rules.

ADDENDUM
(Regulation No. 195 / October 12, 2006)

These Enforcement Rules shall become effective on November 6, 2006.

ADDENDUM
(Regulation No. 216 / December 20, 2006)

These Enforcement Rules shall become effective on January 2, 2007.

ADDENDA
(Regulation No. 259 / May 18, 2007)

§1. Effective Date

These Enforcement Rules shall become effective on the date that the Exchange determines by taking into account such factors as the time required for computer system development.

§2. Effective Date of Stock Market Business Regulation

“The date stipulated in the Enforcement Rules” in the Addenda of the Stock Market Business Regulation (dated May 11, 2007) shall be the effective date pursuant to [§1] of this Addenda.

§3. Special Cases concerning Designation of the First Retail Primary Dealer

When designating a retail primary dealer for the first time, it shall be done on the basis of assessment of the submission records of market-making quotations and trading records for the three (3) months from the effective date pursuant to paragraph (1) of this Addenda and the designation period shall be from the designation date to December 31, 2008.

§4. Special Cases concerning Composition of Retail Primary Dealer Designation Committee

In cases where the Retail Primary Dealer Designation Committee is established to designate the retail primary dealers for the first time, the members noted in [§99-10/4] shall be excluded.

§5. Interim Measures Relating to the Designation of Retail Primary Dealers for the First Time

The retail dealers, who have been participating in trading of retail bonds before the designation of retail primary dealers for the first time, shall be deemed to have been designated as retail primary dealer.

ADDENDA

(Regulation No. 275 / July 25, 2007)

§1. Effective Date

These Enforcement Rules shall become effective on July 26, 2007.

§2. Examples in Raising the Trading Quantity Unit

The amended provision of [§33(3)] shall also apply to the issue of which the trading is suspended before the effective date of these Enforcement Rules pursuant to [§26(1)2 or 3] of the Stock Market Business Regulation if there is such an issue.

ADDENDUM

(Regulation No. 282 / August 28, 2007)

These Enforcement Rules shall become effective on September 3, 2007. Provided that the amended provisions of [§9-2, §12, §25, §52 and §53] shall become effective on September 17, 2007.

ADDENDUM

(Regulation No. 301 / December 18, 2007)

These Enforcement Rules shall become effective on December 18, 2007. Provided that the amended provisions of [§62 and §63] shall become effective on January 1, 2008.

ADDENDA

(Regulation No. 313 / December 27, 2007)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2008. Provided that the amended provisions of [§26(1), §31-5, §31-6(6) & (7), §31-7/4, §31-8, §31-9(1)2, §57(1)1 and §135(2)] shall become effective on the date specified in each of the following subparagraphs:

1. In case of [§31-5/3 & 3-2], [§31-6(6) & (7)], [§31-7/4], [§31-8/1-2 & 1-3] and [§31-9(1)2], on April 1, 2008;
2. In case of [§31-5/5(b)] and [§135(2)], on May 6, 2008;
3. In case of [§26(1)], on the day when single stock futures are launched pursuant to the Futures Market Business Regulation;
4. In case of the proviso to [§31-8/3], on February 4, 2008; and
5. In case of [§57(1)1], on January 14, 2008.

§2. Effective Date of the Stock Market Business Regulation

The “date stipulated in the Enforcement Rules” noted in the proviso to Addenda of the Stock Market Business Regulation amended on December 21, 2007 shall refer to the date specified in each of the following subparagraphs:

1. In case of [§18(2)2] of the Stock Market Business Regulation, on the day when single stock futures are launched pursuant to the Futures Market Business Regulation; and
2. In case of [§26(3)] of the Stock Market Business Regulation, on May 6, 2008.

§3. Examples to the Application of Restrictions on Submission of Liquidity Providing Quotations

The amended provisions of the proviso to [§31-8(3)] shall also apply to the issues of ELWs using the stock price indices as underlying assets, for which the submission of liquidity providing quotations was restricted pursuant to the former provisions of [§31-8(3)] before the date specified in [(1)/4] of this Addenda

ADDENDUM

(Regulation No. 325 / January 30, 2008)

These Enforcement Rules shall become effective on February 11, 2008.

ADDENDUM

(Regulation No. 342 / May 13, 2008)

These Enforcement Rules shall become effective on June 23, 2008.

ADDENDUM

(Regulation No. 344 / May 27, 2008)

These Enforcement Rules shall become effective on May 27, 2008.

ADDENDUM

(Regulation No. 371 / September 19, 2008)

These Enforcement Rules shall become effective on October 1, 2008.

ADDENDA

(Regulation No. 379 / September 30, 2008)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2008.

§2. Period of Validity

The amended provisions of [§24-2(4)2] shall be valid until October 10, 2008.

ADDENDUM

(Regulation No. 382 / October 20, 2008)

These Enforcement Rules shall become effective on October 20, 2008.

ADDENDA

(Regulation No. 390 / November 27, 2008)

§1. Effective Date

These Enforcement Rules shall become effective on December 1, 2008.

§2. Interim Measures

In cases where, as of the effective date of these Enforcement Rules, after acquiring the shares through the liquidity providing quotation submitted by a member, the number of shares held by a member exceeds 2/100 of the total number of listed shares (on the basis of the settlement date) of the relevant issue, the obligation for submission of liquidity providing bid quotation may be exempted after specifying the details noted in [§31-4(1)6-2] in the agreement for liquidity provision.

ADDENDA

(Regulation No. 458 / February 3, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on February 4, 2009. Provided that the amended provisions of [§12(1)15 (limited to the case of classifying pursuant to [§44-2] of the Regulation), §28 and §64-2(2)] shall become effective on March 23, 2009.

§2. Effective date of the KOSPI Market Business Regulation

The date stipulated in the Enforcement Rules noted in the proviso to [§1] of the Addenda of the KOSPI Market Business Regulation (Amended on January 28, 2009) shall refer to March 23, 2009.

§3. Example in Restriction of Covered Short Sales

Notwithstanding the amended provision of [§24-2], [§24-2(3) through (5)] of the former Regulation shall apply until the time the measures on restriction of covered short sales pursuant to [§17(4)2] of the former KOSPI Market Business Regulation has been concluded.

§4. Interim Measure for Substitute Price of Listed Debt Securities

The substitute prices of the corporate bonds noted in [§116(3)1d] that have been

calculated pursuant to the former Enforcement Rules as of the effective date of these Enforcement Rules shall be deemed to be those calculated pursuant to these Enforcement Rules.

ADDENDA

(Regulation No. 474 / February 20, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on March 23, 2009. Provided that the amended provisions of [§101-4, §101-5 and §101-10] shall become effective on May 4, 2009.

§2. Interim Measures relating to clearing and settlement Staff

The persons who have completed the practical courses on clearing and settlement offered by the Exchange before the effective date of these Enforcement Rules shall be considered that they have completed the course noted in [101-12(1)].

ADDENDUM

(Regulation No. 479 / March 6, 2009)

These Enforcement Rules shall become effective on March 16, 2009.

ADDENDUM

(Regulation No. 487 / March 19, 2009)

These Enforcement Rules shall become effective on March 23, 2009.

ADDENDUM

(Regulation No. 510 / April 16, 2009)

These Enforcement Rules shall become effective on April 20. Provided that the amended provisions of [§31-6 and §31-8] shall become effective on July 6, 2009.

ADDENDA

(Regulation No. 512 / April 20, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on May 4, 2009

§2. Special Cases concerning Application of Provisions concerning Liquidity Provision and Loss caused by Settlement Delay

Notwithstanding [§101-4 and §101-10(1)], until July 3, 2009, “the settlement payment subject to netting stipulated in the Enforcement Rules” in [§101-4] and “the settlement payment specified in the Enforcement Rules” in [§101-10(1)] shall be the amount determined by netting the same day settlement trades noted in [§100(1)2] and the next day settling trades and Repo trades noted in [§100(1)3].

ADDENDUM

(Regulation No. 514 / April 27, 2009)

These Enforcement Rules shall become effective on May 4, 2009. Provided that the amended provisions of [§76(7)] shall put into effect on June 22, 2009.

ADDENDUM

(Regulation No. 534 / July 16, 2009)

These Enforcement Rules shall become effective on May 4, 2009

ADDENDUM

(Regulation No. 536 / July 29, 2009)

These Enforcement Rules shall become effective on May 4, 2009

ADDENDUM

(Regulation No. 538 / August 3, 2009)

These Enforcement Rules shall become effective on August 10, 2009. Provided that the amended provisions of [§45(3)] shall put into effect on October 19, 2009.

ADDENDUM

(Regulation No. 545 / October 13, 2009)

These Enforcement Rules shall become effective on October 26, 2009.

ADDENDUM

(Regulation No. 548 / October 23, 2009)

These Enforcement Rules shall become effective on November 2, 2009.

ADDENDUM

(Regulation No. 572 / December 30, 2009)

These Enforcement Rules shall become effective on December 31, 2009. Provided that the amended provisions of [§99-3], [§99-5], [§99-8], [§99-9] and [§99-10] and [Annex 4] shall be put into effect on January 4, 2010 and the amended provisions of [§6-3] shall be put into effect on January 18, 2010.

ADDENDUM

(Regulation No. 596 / April 22, 2010)

These Enforcement Rules shall become effective on April 26, 2010. Provided that the amended provisions of [§101-4, §101-5, §101-6, §101-7 and §101-10] shall be put into effect on July 5, 2010.

ADDENDA

(Regulation No. 605 / May 7, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on July 1, 2010.

§2. Exceptions in Making Assessment for Termination of Designation, New-designation and Re-designation of LPB Dealers

In assessing the performance of LPB dealers noted in [§62(5)] for the first half of 2010 and making assessment for new-designation and re-designation of LPB dealers noted in [§62(2)], which are carried out for the first time after these Enforcement Rules becomes effective, notwithstanding the amended provisions of [Annex 2-2], the provisions of former Enforcement Rules shall apply to the reported market yield ratio, disparity ratio and trading record of LPBs for the performance assessment for the first-half of 2010.

ADDENDA

(Regulation No. 621 / July 1, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2010.

§2. Special Cases concerning Designation of Retail Bond Primary Dealers

Notwithstanding [§1] of this Addenda (dated July 1, 2010), when designating the retail bond primary dealers per quarter in accordance with the amended provisions of [§99-8],

the Exchange shall be able to designate them after specifying the designation period and receiving the application for designation as retail bond primary dealer before the effective date of the amended provisions.

§3. Examples concerning Termination of Designation as Retail Bond Primary Dealer

Notwithstanding the amended provisions of [§99-9], the provisions of former Enforcement Rules shall apply to the case where the designation as retail bond primary dealer is terminated for the first time after the effective date of these Enforcement Rules.

ADDENDUM

(Regulation No. 624 / July 29, 2010)

These Enforcement Rules shall become effective on November 29, 2010. Provided that the amended provisions of [§32] shall become effective on October 4, 2010.

ADDENDUM

(Regulation No. 645 / October 21, 2010)

These Enforcement Rules shall become effective on November 29, 2010.

ADDENDA

(Regulation No. 649 / November 9, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on November 29, 2010.

§2. Exceptions to Assessment Rate of Substitute Security

In applying these Enforcement Rules, the provisions of [§115-3 and §115-4] shall apply *mutatis mutandis* to the determination of assessment rates of substitute securities for the quarter to which the effective date of these Enforcement Rules belong.

ADDENDA

(Regulation No. 653 / November 17, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on December 1, 2010.

§2. Exceptions to Designation of LPB Dealers

Notwithstanding the amended provisions of [§62(2)], when designating LPB dealers for 2011, the number shall be kept up to twenty-two (22).

ADDENDA

(Regulation No. 664 / December 6, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on December 13, 2010. Provided that the amended provisions of [§40] shall be put into effect on January 1, 2011, the amended provisions of [§76, §87, §88, §90 and §96-2] shall be put into effect on February 14, 2011, and the amended provisions of [§11] shall be put into effect on May 20, 2011.

§2. Interim Measures Concerning Restriction on Submission of Liquidity Providing Quotation

The amended provisions of [§31-8/3] shall also apply to the issue for which the submission of liquidity providing quotation is restricted pursuant to [§31-8/3] of the former Enforcement Rules as of the effective date of these Enforcement Rules.

ADDENDUM

(Regulation No. 674 / December 30, 2010)

These Enforcement Rules shall become effective on January 3, 2011.

ADDENDUM

(Regulation No. 684 / January 27, 2011)

These Enforcement Rules shall become effective on February 28, 2011. Provided that the amended provisions of [§12], [§14], [§38], [§108], [§130] and [§131] shall be put into effect on May 30, 2011.

ADDENDUM

(Regulation No. 703 / March 3, 2011)

These Enforcement Rules shall become effective on May 30, 2011.

ADDENDA

(Regulation No. 707 / March 23, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on March 23, 2011. Provided that the amended provisions of [§76(1)5] shall be put into effect on April 11, 2011 and the amended provisions of [§99-4(1)6] shall be put into effect on May 2, 2011.

§2. Interim Measures Concerning Assessment of LPB Dealers

Notwithstanding the amended provisions of [Annex 2-2], the provisions of the former Enforcement Rules shall apply to the assessment of LPB dealers for the first half of 2011 with the assessment period from January to May of 2011.

§3. Interim Measures Concerning Assessment of Bond Retail Dealers

Notwithstanding the amended provisions of [Annex 4], the assessment of bond retail dealers for the quarter to which the effective date of these Enforcement Rules belongs shall be conducted pursuant to the former provisions, and the assessment period for the next quarter shall be the two (2) months immediately preceding the last month of the relevant quarter.

ADDENDUM

(Regulation No. 714 / April 7, 2011)

These Enforcement Rules shall become effective on April 11, 2011.

ADDENDUM

(Regulation No. 752 / July 8, 2011)

These Enforcement Rules shall become effective on July 25, 2011.

ADDENDUM

(Regulation No. 754 / July 12, 2011)

These Enforcement Rules shall become effective on October 4, 2011. Provided that the amended provisions of [§111-2(1)] shall be put into effect on August 1, 2011.

ADDENDUM

(Regulation No. 788 / December 2, 2011)

These Enforcement Rules shall become effective on December 7, 2011.

ADDENDA

(Regulation No. 802 / December 28, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on April 2, 2012. Provided that the amended provisions of [§12-2], [§30], [§131] and [Annex: Form No. 11] shall be put into effect on December 29, 2011, and the amended provisions of [§31-7] and [§31-8] shall be put into effect on March 12, 2012.

§2. Effective Date of KOSPI Market Business Regulation

The “day stipulated in the Enforcement Rules” noted in the proviso to the Addenda of the KOSPI Market Business Regulation dated July 6, 2011 shall refer to April 2, 2012. Provided that, in case of [§11-2], it shall refer to December 29, 2011.

ADDENDA

(Regulation No. 803 / December 30, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on January 16, 2012. Provided that the amended provisions of the proviso to [§100(2)2], [§100-2], the proviso to [§100-4(1)3], [§100-4(3)2b), [§101-4/2], [§101-7(4) through (6)], [§101-9], [§101-10] and [§101-16(1)3] shall be put into effect on February 20, 2012. (Amended on February 3, 2012)

§2. Effective Date of KOSPI Market Business Regulation

The “day stipulated in the Enforcement Rules” noted in the proviso to [§1] of the Addenda of the KOSPI Market Business Regulation that was amended on December 28, 2011 shall refer to February 20, 2012. (Amended on February 3, 2012)

§3. Exception in Payment of Loss caused by Settlement Delay

With regard to the loss caused by settlement delay that came about in the month which includes the effective date of these Enforcement Rules, the amended provisions of [§101-16(6)1] shall apply after adding the loss of the relevant month to the loss caused by settlement delay comes about in the next month.

ADDENDUM

(Regulation No. 812 / February 3, 2012)

These Enforcement Rules shall become effective on February 6, 2012.

ADDENDUM

(Regulation No. 819 / March 8, 2012)

These Enforcement Rules shall become effective on March 12, 2012. Provided that the amended provisions of [§12-2/5(b)] shall be put into effect on March 9, 2012.

ADDENDA

(Regulation No. 835 / April 20, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on April 23, 2012. Provided that the amended provisions of [§6-3] that are related to non-recognition of special quotation price ('two times') shall be put into effect on July 23, 2012.

§2. Exception in Calculation of Split Ratio of Net Asset

The amended provisions of the proviso to subparagraph 2(b)(i)(a) of [Annex 1], which is concerned with the calculation of split ratio of net asset, shall not apply to the case where the listed company with less than KRW 2 trillion of total asset at the end of the latest business year, which is subject to the preparation of consolidated financial statement, does not submit the quarterly and half-yearly report from the effective date of these Enforcement Rules until the end of the first business year that begins after January 1, 2012.

ADDENDUM

(Regulation No. 847 / June 20, 2012)

These Enforcement Rules shall become effective on July 16, 2012.

ADDENDUM

(Regulation No. 864 / September 20, 2012)

These Enforcement Rules shall become effective on October 30, 2012. Provided that the amended provisions of [§9-3(1)1-2 and §12(1)16] shall be put into effect on December 10, 2012.

ADDENDA

(Regulation No. 873 / October 22, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on November 5, 2012.

§2. Effective Date of the KOSPI Market Business Regulation

The date specified in Addenda of KOSPI Market Business Regulation (Amended on October 17, 2012) shall refer to November 5, 2012.

ADDENDUM

(Regulation No. 881 / December 13, 2012)

These Enforcement Rules shall become effective on January 15, 2013.

ADDENDUM

(Regulation No. 884 / December 26, 2012)

These Enforcement Rules shall become effective on January 7, 2013.

ADDENDA

(Regulation No. 912 / April 25, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on April 29, 2013

§2. Exception to Termination of Designation as Temporary Overheated Issues

In applying the amended provisions of [§134(2)], for the issue that was designated as a temporary overheated issue as of the effective date of these Enforcement Rules and subject to the former provisions of [§134(2)], such designation shall be terminated on the next day of the effective date of these Enforcement Rules.

ADDENDA

(Enforcement Rules of KOSPI Market Listing Regulation)
(Regulation No. 917 / May 13, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on May 20, 2013.

§2. ~§3. [Omitted]

§4. Amendment of Other Regulations

(1) Parts of the Enforcement Rules of KOSPI Market Listing Regulation shall be amended as follows:

“The proviso to [§2(9)] of the KOSPI Market Listing Regulation” in [§7(2)] shall be “[§111] of the KOSPI Market Listing Regulation”.

“[§94(2)] of the KOSPI Market Listing Regulation” in the proviso to [§14(1)4c] shall be “[§9] of the KOSPI Market Listing Regulation”, and “[§94(2)] of the KOSPI Market Listing Regulation” in [§14(2)1g] shall be “[§9] of the KOSPI Market Listing Regulation” “[§2(35)] of the KOSPI Market Listing Regulation” in [§30(1)2d] shall be “[§2(19)] of the KOSPI Market Listing Regulation”, and “[§36] of the KOSPI Market Listing Regulation” in [§30(2)] shall be “[§42] of the KOSPI Market Listing Regulation”

“The date of application for listing eligibility review pursuant to [§9] of the Listing Regulation” in [§2(A)i] of [Annex 1] shall be “the date of application for listing eligibility review pursuant to the Listing Regulation” and “stipulated in each subparagraph of [§2(24)] of the Listing Regulation” in [§2(A)iii] of [Annex 1] shall be “stipulated in each item of [§2(1)(20)] of the Listing Regulation”

(2) Parts of the Enforcement Rules of KOSPI Market Disclosure Regulation shall be amended as follows:

“[§66-2] of the KOSPI Market Listing Regulation” in the main sentence of [§16(3)4] shall be “[§144] of the KOSPI Market Listing Regulation”

ADDENDUM

(Regulation No. 975 / December 5, 2013)

These Enforcement Rules shall become effective on December 6, 2013.

ADDENDA

(Regulation No. 980 / December 18, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2014. Provided that the amended provisions of [§12(1)27] shall become effective on the date determined by the Exchange by taking into consideration the time required to develop computer system, etc.

§2. Examples concerning Special Cases of Collection of Good Faith Deposits

In applying the new provisions of [§122], “the recent six (6) months” shall apply to the case where a customer failed to deliver securities by the settlement date after the effective date of these Enforcement Rules.

ADDENDA

(Regulation No. 996 / February 28, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on March 3, 2014. Provided that the amended provisions concerning conversion of reported market prices and the yields of LPBs in the latter part of [§16], the amended provisions of [§31-6(4)1],[§33(1)1,2&6], [§34(2)] [§51], [§51-2], [§52] and [§101-13] shall become effective on the date determined by the Exchange by taking into consideration the time required to develop computer system, etc.

§2. Effective date of the KOSPI Market Business Regulation

The date stipulated in the Enforcement Rules in [§1] of Addenda of the KOSPI Market Business Regulation (Amended on February 19, 2014) shall refer to March 3, 2014.

§3. Exceptions to Termination of Designation as bond market-making members, etc.

(1) Notwithstanding the amended provision of [§99-9(1)1&2], the former provisions shall apply to the termination of designation as bond market-making members that is conducted for the first time after the effective date of these Enforcement Rules.

(2) The semi-annual assessment that is conducted pursuant to the amended provisions of [§99-9(1)1&2] shall apply starting the assessment in the second half of 2014.

§4. Interim Measures concerning Bond Market-making Members

The bond retail dealers who were designated pursuant to the former provisions as of the effective date of these Enforcement Rules shall be regarded as having been designated pursuant to these Enforcement Rules.

ADDENDUM

(Regulation No. 1010 / April 7, 2014)

These Enforcement Rules shall become effective on April 10, 2014.

ADDENDUM

(Regulation No. 1017 / May 12, 2014)

These Enforcement Rules shall become effective on June 2, 2014.

ADDENDUM

(Regulation No. 1035 / June 18, 2014)

These Enforcement Rules shall become effective on June 30, 2014.

ADDENDA

(Regulation No. 1043 / June 24, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on June 30, 2014. Provided that the amended provisions of [§35], [§38], [§41-2], [§41-3] and [§51-2] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop computer system, etc.

§2. Effective Date of the KOSPI Market Business Regulation

“The date stipulated in the Enforcement Rules” in the Addenda of KOSPI Market Business Regulation (Amended on June 18, 2014) shall refer to the effective date specified in the proviso to [§1].

ADDENDA

(Regulation No. 1053 / July 10, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on July 21, 2014.

§2. Exceptions to Re-designation and New-designation of LPB Dealers

(1) The amended provisions of [§1] of [Annex 2-2] shall apply starting the assessment in the second half of 2014 that is conducted for the first time since these Enforcement Rules became effective.

(2) The amended provisions of [§2] of [Annex 2-2] shall apply starting the new-designation of 2015 that is conducted for the first time since these Enforcement Rules became effective and, with regard to the market-making performance of bond market-making members for the new-designation in 2015, the market-making performance of bond market-making members in the second half of 2014 shall be used.

ADDENDUM

(Regulation No. 1080 / September 2, 2014)

These Enforcement Rules shall become effective on September 15, 2014.

ADDENDUM

(Regulation No. 1109 / November 13, 2014)

These Enforcement Rules shall become effective on January 1, 2015.

ADDENDA

(Regulation No. 1127 / December 10, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on December 15, 2014. Provided that the amended provisions of [§30], [§36], [§55] and [Annex 1] shall become effective on April 1, 2015.

§2. Effective Date of the KOSPI Market Business Regulation

“The date stipulated in the Enforcement Rules” in the Addenda of KOSPI Market Business Regulation (Amended on November 26, 2014) shall refer to December 15, 2014.

ADDENDUM

(Regulation No. 1149 / March 6, 2015)

These Enforcement Rules shall become effective on March 16, 2015.

ADDENDA

(Regulation No. 1185 / May 19, 2015)

§1. Effective Date

(1) These Enforcement Rules shall become effective on June 15, 2015. Provided that, in the case which is deemed necessary in terms of market management due to sudden change of economic situation, etc., they shall become effective from the date the Exchange specifies separately.

(2) Notwithstanding paragraph (1), the amended regulation of [§57] shall become effective from the date when the revised provisions on the price range of bids in [§5-

5(1)1a&b] of the Regulations on Issuance, Public Disclosure, etc. of Securities of the Financial Services Commission become effective.

§2. Effective Date, etc. of the KOSPI Market Business Regulation

(1) “The date specified in the Enforcement Rules” in Addenda of KOSPI Market Business Regulation, which is amended on April 29, 2015, refers to the enforcement date pursuant to [§1(1)] of the Addenda. Provided that the effective date of the amended provisions of [§39] of the KOSPI Market Business Regulation (Amended on April 29, 2015) refers to the effective date specified in [§1(2)] of the Addenda.

(2) The amended provisions of [§88] of the KOSPI Market Business Regulation shall apply starting with the investment alert issue that is first designated after the effective date of the Regulation.

ADDENDA

(Regulation No. 1213 / July 16, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on July 27, 2015. Provided that the amended provisions of [§99-3(1)], [§99-9], [Annex: Form No. 7-3] and [Annex: Form No. 7-4] shall become effective on July 20, 2015, and the amended provisions of the matter relating to the net capital ratio in [§2A(2) and (4)] of [Annex 2-2] shall become effective on January 1, 2016.

§2. Effective Date of the KOSPI Market Business Regulation

“The date stipulated in the Enforcement Rules” in the proviso to Addenda of KOSPI Market Business Regulation (amended on February 11, 2015) refers to July 27, 2015. Provided that the amended provisions of [§31(1)] of the same Regulation shall become effective on July 20, 2015.

§3. Transitional Measures relating to Designation of LPB Dealers

(1) At the time when these Enforcement Rules enters into force, the previous Regulation shall be effective for the person whose designation as an LPB dealer is cancelled notwithstanding the amended provision of [§62(6)].

(2) In applying the amended provisions of [Annex 2-2], the former provisions shall apply to the assessment period before the effective date of these Enforcement Rules. Provided that, this provision shall not apply with respect to the imposition of additional scores in [1A2] of [Annex 2-2].

(3) Notwithstanding amended provisions of [Annex 2-2], the amended provision of

matters related to net capital ratio in 2A2) and 4) of the same subparagraph shall apply from the effective date of these Enforcement Rules for the member who has applied the net capital ratio in early stage pursuant to the Regulations on Financial Investment Business.

(4)The bond market-making members at the time when these Enforcement Rules enters into force, shall be deemed as bond market-making members in the application of [Annex 2-2 2B3]).

§4. Interim Measures related to the Assessment of Market-making and Payment for Bond Market-making Member

The first assessment and costs payment from the effective date of these Enforcement Rules shall be as of the end of third quarter of 2015.

§5. Interim Measures related to the Designation of Bond Market-making Member

In case of a bond market-making member whose designation is cancelled by the assessment of bond market-making member before these Enforcement Rules, the party shall not be designated as a bond market-making member noted in [§71-3(2)4] from the next half-year of the cancellation date to one (1) year period.

ADDENDA

(Regulation No. 1224 / August 20, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on October 1, 2015.

§2. Special Cases concerning Liquidity Coverage Ratios

The liquidity coverage ratio pursuant to amended provision of [§101-2] shall apply to the ratio noted in Addenda [§3] of the Banking Business Supervision Regulation (No.2014-43 of disclosure by the Financial Services Commission) until the end of December, 2018.

ADDENDA

(Regulation No. 1233 / October1, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on October 5, 2015.

§2. Applicable Example of Support for Liquidity Providing Member

The amended provision of [§31-11] shall apply at the time of providing monetary support

in accordance with the assessment of liquidity providing member during the quarter that the effective date of these Enforcement Rules falls under.

ADDENDUM

(Regulation No. 1251 / November 9, 2015)

These Enforcement Rules shall become effective on November 9, 2015

ADDENDA

(Regulation No. 1253 / November 18, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on November 23, 2015.

§2. Effective Date of the KOSPI Market Business Regulation

“The date specified by the Enforcement Rule” in Addenda of KOSPI Market Business Regulation (No. 1246, amended on November 4, 2015) refers to November 23, 2015 in case of [§47], [§49], [§59-2] and [§104] of the amended provision.

ADDENDA

(Regulation No. 1261 / December 10, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on December 14, 2015.

§2. Effective Date etc. of the KOSPI Market Business Regulation

“The date specified by the Enforcement Rules” in Addenda of KOSPI Market Business Regulation (No. 1246, amended on November 4, 2015) refers to December 14, 2015 in case of [§26], [§106-2] and [§107] of the amended provision.

§3. Applicable Example of Release from Designation as Temporary Overheated Issue

(1) In cases where the Market Oversight Commission requests the trading suspension of an issue on the trading day before the effective day pursuant to [§2] of Addenda, the relevant issue shall not be designated as a temporary overheated issue notwithstanding [§106-2(1)2].

(2) The amended provision of [§134] shall apply to the temporary overheated issue that is designated at the first since the effective date of the Enforcement Rules.

§4. Interim Measures related to the Trading Suspension of Investment Risk Issues, etc.

In cases where an issue is designated as a temporary overheated issue as of the trading day before the effective day pursuant to [§2] of Addenda, the trading suspension may not be in effect pursuant to [§107(3)] of the previous Enforcement Rules of KOSPI Business Regulation.

ADDENDA

(Regulation No. 1270 / December 16, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on December 28, 2015.

§2. Applicable Example of Assessment for Liquidity Providing Member

The amended provision of [§31-9(1)2] shall apply to the assessment of liquidity providing member in the next quarter of the quarter that the effective date of these Enforcement Rules falls under.

ADDENDUM

(Regulation No. 1275 / December 24, 2015)

These Enforcement Rules shall become effective on the day determined by the Exchange by taking into consideration the time required to develop computer system, etc.

ADDENDUM

(Regulation No. 1294 / February 24, 2016)

These Enforcement Rules shall become effective on February 29, 2016.

ADDENDA

(Regulation No. 1301 / March 24, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on March 28, 2016. Provided that the amended provisions of [Annex: Form No. 2-5] shall become effective on April 1, 2016.

§2. Effective Date of the KOSPI Market Business Regulation

The “date specified by the Enforcement Rules” in Addenda of KOSPI Market Business Regulation (No. 1246, amended on November 4, 2015) refers to November 23, 2015 in

case of the amended provisions of [§2(16)], [§44-2] and [§53-2].

§3. Applicable Example for Assessment of Bond Market-making Members

The amended provisions of [§99-10(1)2] and [Annex 4] shall apply from the assessment in the second quarter of 2016.

§4. Interim Measures related to the Designation of Quotation Proposer for Negotiated trades

Notwithstanding the amended provision of [§75-2(6)3], the number of quotation proposers for the trading in the KRX Bonds shall be calculated based on the members until the day that the Exchange determines otherwise.

§5. Interim Measures related to the Designation of LPB Dealers

Notwithstanding the amended provision of [Annex 2-5], the former provisions shall apply for the assessment period prior to the effective date of these Enforcement Rules. Provided that, this provision shall not apply to the matters related to the distribution of scores for each assessment item and the designation of competing applicants.

ADDENDA

(Regulation No. 1303 / March 25, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on March 28, 2016. Provided that the amended provisions of [§41-2], [§56-3] and [§3 of Annex 2-2] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop the computer systems, etc.

§2. Effective Date of the KOSPI Market Business Regulation, etc.

The “date stipulated in the Enforcement Rules” in Addenda of the Regulation (No.1246, amended on November 4, 2015) shall refer to the date specified in each of the followings:

1. For the amended provisions of [§18] and [§20-9] through [§20-11] of the Regulation; March 28, 2016; and
2. For the amended provisions of [§38-3] of the Regulation, the effective date as stipulated in the proviso to [§1] of this Addenda.

§3. Special Cases concerning the Term of Market-making Agreement

Notwithstanding the amended provisions of [§31-16(3)], the applicable period of the market-making agreement that is entered into for the first time after the effective date of

these Enforcement Rules shall be the period from the effective date noted in the main body of [§1] of this Addenda to the last trading day of the year to which the effective date belongs.

§4. Interim Measures related to Market Makers

Based on the effective date of these Enforcement Rules, selection of issues for market-making, reception of applications for market makers, conclusion of market-making agreements and other actions taken by the Exchange beforehand with respect to market makers for the purpose of implementation of the market maker system shall be deemed to have been conducted in accordance with the amended provisions.

§5. Special Cases concerning Applicable Period of Low Liquidity Issue subject to Call auction

Notwithstanding the amended provision of [§3 of Annex 2-2], the applicable period of the low liquidity issue subject to call auction that was selected for the first time after the effective date of this Enforcement shall be the period from the effective date noted in the proviso to [§1] of this Addenda to the last trading day of the year to which the effective date belongs.

§6. Interim Measures related to the Selection of Low Liquidity Issue subject to Call auction, etc.

Notwithstanding the effective dates noted in the proviso to [§1] and [§2(2)] of this Addenda, selection of low liquidity issues for call auction and other actions taken by the Exchange beforehand for the purpose of changing the trading method of the low liquidity issues into the call auction shall be deemed to have been conducted in accordance with the amended provisions.

ADDENDA

(Regulation No. 1306 / April 1, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on April 4, 2016.

§2. Special Cases concerning the Number of Circulating Stocks

In applying the amended provisions of [§133(1)1], until the stock-listed corporation submits the ‘status of stock distribution’ as of the end of the business year to which the effective date of these Enforcement Rules belongs, the number of circulating stocks shall be calculated by subtracting the number of circulating stocks held by the largest shareholder, etc. from the number of circulating stocks stated in the ‘status of stock distribution’ submitted before the effective date of these Enforcement Rules.

ADDENDUM

(Regulation No. 1312 / April 22, 2016)

These Enforcement Rules shall become effective on April 25, 2016.

ADDENDA

(Regulation No. 1338 / June 21, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on June 21, 2016. Provided that the amended provisions of [§17-2], [§17-3], [§45(1)], [§47-2 through §47-4], [§65], [§75-2], [§76(5)], [§100-2], [§109] and [Annex 2-2] shall become effective on June 27, 2016, and those of [§127] shall become effective on June 30, 2016. The amended provisions of [§78], [§79-2], [§84], [§84-2], [§99-5], [§99-6] and item (a) of subparagraph 1 of [Annex 4] shall become effective on July 1, 2016 and those of [§11], [§45(3)], [§74], [§76(2)], [§94], [§95], [§96], [§96-2] and item (b) of subparagraph 1 of [Annex 4] shall become effective on August 1, 2016.

§2. Effective Date of the KOSPI Market Business Regulation, etc.

The “date stipulated in the Enforcement Rules” in Addendum of the Regulation (No.1246, amended on November 4, 2015) shall refer to June 27, 2016 for the amended provisions of [§13-2], [§28-2], [§38-3] and [§78]. Provided that the amended provisions of [§9] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop the computer systems, etc.

§3. Exceptions in applying Provisions concerning Market-making of STRIPS

Notwithstanding the amended provisions of item (b)(1) of subparagraph 1 of [Annex 4], the basic market-making time for STRIPS shall apply from July 1, 2016. In such cases, the market-making time during the period from July 1, 2016 to July 31, 2016 shall be one hour or longer during 10:00 ~ 11:30 hours and one hour or longer during 13:10 ~ 15:00 hours.

ADDENDUM

(Regulation No. 1342 / June 24, 2016)

These Enforcement Rules shall become effective on June 27, 2016. Provided that the amended provisions of [§100-4(3)], [§101-4(1)], [§101-7(7)], [§101-13] and [§101-16(1)] shall become effective on August 1, 2016.

ADDENDA

(Regulation No. 1380 / November 23, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on November 28, 2016.

§2. Effective Date of the KOSPI Market Business Regulation

The “date stipulated in the Enforcement Rules” in Addendum of the Regulation (No.1367, amended on October 5, 2016) shall refer to November 28, 2016 for the amended provisions of [§26] and [§106-3].

ADDENDA

(Regulation No. 1387 / December 26, 2016)

§1. Effective Date

These Enforcement Rules shall become effective on December 26, 2016. Provided that the amended provisions of [§99-3(4)2] shall become effective on January 2, 2017, and the amended provisions of [§99-6] and [Annex 4] shall become effective on March 27, 2017.

§2. Interim Measures concerning Assessment of Bond Market-making Members

Notwithstanding the amended provisions of [§99-6] and [Annex 4], the assessment period for the bond market-making members of the KRX BondsAll shall be from the first day of the quarter to the day before the enforcement date of these Enforcement Rules for the 1st Quarter of 2017, and from the enforcement date of these Enforcement Rules to the last day of the quarter for the 2nd Quarter of 2017.

ADDENDA

Regulation No. 1422 / (February 28, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on March 6, 2017. Provided that the amended provisions of [§14], [§41-2], [§56-2] and [§129(1)2 (limited to the periodical call auction issues with abnormally soaring price)] shall become effective on March 13, 2017, those of [§21], [§24-2], [§24-3], [§31-16], [§31-22], [§112], [§117], [§120], [§129(1)2 (limited to the overheated short sale issues)], [§135], [Annex 2-2] through [Annex 2-4] and [Annex: Form No. 2-6] shall become effective on March 27, 2017, and those of item (f) of [§12(1)16] shall become effective on the date determined by the Exchange separately by taking into consideration the time required to develop the computer systems, etc.

§2. Effective Date of the KOSPI Market Business Regulation, etc.

The “date stipulated in the Enforcement Rules” in the ADDENDA of the KOSPI Market Business Regulation (No.1412) shall refer to the date specified in each of the followings:

1. For the amended provisions of [§38-2] and [§107] of the Regulation; March 13, 2017; and
2. For the amended provisions of [§17] and [§18-2] of the Regulation; March 27, 2017.

ADDENDUM

(Regulation No. 1435 / March 17, 2017)

These Enforcement Rules shall become effective on March 20, 2017.

ADDENDUM

(Regulation No. 1437 / March 24, 2017)

These Enforcement Rules shall become effective on March 27, 2017.

ADDENDA

(Regulation No. 1458 / June 9, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on June 26, 2017.

§2. Exceptions in applying Provisions concerning Assessment of Market-making Performance

Notwithstanding the amended provisions of the proviso to item (b)(1) under subparagraph 1 of [Annex 4], in conducting the assessment of market-making performance of the bond market-making members for 2nd quarter of 2017, the former provisions shall apply until June 25 of the assessment period.

ADDENDA

(Regulation No. 1483 / August 24, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on September 25, 2017.

§2. Exceptions in applying Provisions concerning Assessment of Market-making

Performance

The amended provisions of subparagraph 2(c) of [Annex 4] shall apply from the Repo trades executed after the effective date of these Enforcement Rules.

ADDENDUM

(Regulation No. 1481 / September 7, 2017)

These Enforcement Rules shall become effective on September 8, 2017. Provided that the amended provisions of [§24-3] and [§112] shall become effective on September 25, 2017. The amended provisions of subparagraph 3 of [Annex 2-2] shall become effective on December 1, 2017, and those of subparagraph 2(c) and subparagraph 2(d) of the same Annex shall become effective on March 1, 2018 and April 1, 2018, respectively.

ADDENDA

(Regulation No. 1489 / September 19, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on September 25, 2017.

§2. Special Cases concerning the Timing for Calculating and Applying Assessment Rates

Notwithstanding the amended provisions of [§115(5)], [§115-3(1)] and [§115-4(2)] of these Enforcement Rules, the assessment rates of the quarter in which the effective date falls shall be calculated on the day preceding the effective date and applied from the effective date to the end of the quarter following the quarter in which the effective date falls.

§3. Special Cases concerning Invalidation of Substitute Securities Ineligible for Member Margins

Notwithstanding the amended provisions of [§99-20(1)] of these Enforcement Rules, the substitute prices for the substitute securities ineligible for member margin shall be adjusted as follows:

1. The adjustment rate shall be 25% from the effective date of these Enforcement Rules to September 24, 2018; and
2. The adjustment rate shall be 50% from September 25, 2018 to September 24, 2019.

§4. Special Cases concerning Deposit Limits per Issue of Substitute Securities

Notwithstanding the amended provisions of [§99-21(1)] of these Enforcement Rules, the rates applied for calculation of deposit limits per issue or issuer of substitute securities

shall be as follows:

1. In the case of subparagraph 1 of [§99-21(1)]: 100/100 from the effective date of these Enforcement Rules to September 24, 2018; and 75/100 from September 25, 2018 to September 24, 2019. Provided that, in the case of a security falling under subparagraph 1(b) of [§112-2], it shall be 200/100 and 150/100, respectively; and

2. In the case of subparagraphs 3 and 4 of [§99-21(1)]: 20/100 from the effective date of these Enforcement Rules to September 24, 2018; and 15/100 from September 25, 2018 to September 24, 2019.

ADDENDA

(Regulation No. 1583 / September 13, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on September 17, 2018.

§2. Interim Measures concerning Assessment of Market-making Performance

When assessing the market-making performance of the bond market-making members for 3rd Quarter of 2018, the former provisions shall apply for the performance for the period from July 1 to September 16 of 2018, notwithstanding the amended provisions of subparagraph 1(b) of [Annex 4].

ADDENDA

(Regulation No. 1595 / November 29, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on December 10, 2018.

§2. Exceptions in applying Provisions concerning Release from Forewarning on Designation as Investment Precaution Bond Issue

In cases where an issue that was forewarned on designation as investment precaution bond issue pursuant to the former provisions before the enforcement date of these Enforcement Rules falls under the amended provisions of [§134-2(3)1], the forewarning on designation as investment precaution bond issue shall be released therefrom.

§3. Exceptions in applying Provisions concerning Designation as Investment Precaution Bond Issue

In cases where an issue that was forewarned on designation as investment precaution bond issue pursuant to the former provisions before the enforcement date of these

Enforcement Rules falls under the amended provisions of [§134-3], the amended provisions shall apply concerning designation of investment precaution bond issues.

ADDENDUM

(Regulation No. 1597 / December 5, 2018)

These Enforcement Rules shall become effective on December 10, 2018.

ADDENDA

(Regulation No. 1608 / December 6, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on December 10, 2018.

§2. Effective Date of the KOSPI Market Business Regulation

The “date set by the Enforcement Rules” in Addendum of KOSPI Market Business Regulation (No.1601, amended on December 5, 2018) refers to the effective date under [§1] of this Addenda. Provided that, the amended provisions of [§17], [§18-2] and [§89] of the Regulation shall take effect on the trading day following the effective date of the amendments to the related matters in [Table 1] of the General Credit Information Management Agreement of the Korea Credit Information Services.

§3. Exceptions in applying Provisions concerning Market Makers

Notwithstanding [§1] of this Addenda, the amended provisions on market makers of [§31-12], [§31-20], [Annex 2-2], [Annex 2-3] and [Annex 2-4] shall apply starting with the market-making agreement concluded after the effective date of these Enforcement Rules. Provided that, the activities carried out in advance by the Exchange in order to conclude new market-making agreements after the effective date of these Enforcement Rules, such as selection of market-making target issues, acceptance of applications for market makers and others relating to market makers shall be deemed to be in compliance with the amended provisions.

§4. Exceptions in applying Provisions concerning Selection of Low Liquidity Issues subject to Call auction, etc.

Notwithstanding [§1] of this Addenda, the amended provisions on low liquidity issues subject to periodic call auction of [Annex 2-2] of these Enforcement Rules shall be effective on January 2, 2019. Provided that the activities carried out in advance by the Exchange in order to apply these Enforcement Rules on January 2, 2019, such as selection of low liquidity issues subject to call auction and others shall be deemed to be in compliance with the amended provisions.

ADDENDA

(Regulation No. 1619 / December 28, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on January 2, 2019. Provided that the amended provisions of [§28-2(4)] and [§112] shall become effective on September 25, 2017. The amended provisions of subparagraph 3 of [Annex 2-2] shall take effect on the trading day following the effective date of the amendments to the related matters in [Table 1] of the General Credit Information Management Agreement of the Korea Credit Information Services.

§2. Exceptions in applying Provisions of the KOSPI Market Business Regulation, etc.

(1) The amended provisions of [§17-4] of the KOSPI Market Business Regulation (Regulation No. 1601, amended on December 5, 2018; referred to as “the Regulation hereinafter in this Addenda) shall apply starting with the case when the customer became aware of the fact that a short-selling has been made through the relevant account after the effective date under the proviso to [§1] of this Addenda.

(2) The amended provisions of [§18-2(3)] of the Regulation shall apply starting with the case when the customer information was notified from the Exchange after the effective date under the proviso to [§1] of this Addenda.

(3) The amended provisions of [§89(1)2] of the Regulation and [§28-2(4)] of the Enforcement Rules shall apply starting with the case where the settlement date comes after the effective date under the proviso to [§1] of this Addenda, and the customer has not delivered the securities sold by the settlement date.

§3. Exceptions in applying Provisions concerning Determination of the First Trading Price of Initially Listed Issues, etc.

Notwithstanding [§1] of this Addenda, the amended provisions of [Annex 1] shall apply starting with the corporation that files an application for listing eligibility review after the effective date of these Enforcement Rules.

ADDENDUM

(Regulation No. 1633 / January 24, 2019)

These Enforcement Rules shall become effective on January 28, 2019. Provided that the amended provisions of [§31-9(1)] shall become effective on the date set by the Exchange separately in consideration of the time required to develop the computer systems, etc.

ADDENDUM

(Regulation No. 1639 / February 21, 2019)

These Enforcement Rules shall become effective on April 29, 2019. Provided that the amended provisions of subparagraph 1 of [§87] shall become effective on the date set by the Exchange separately in consideration of the time required to develop the computer systems, etc. (Amended on April 3, 2019)

ADDENDUM

(Regulation No. 1658 / April 3, 2019)

These Enforcement Rules shall become effective on April 4, 2019. Provided that the amended provisions of [§11] and [§76] shall become effective on April 29, 2019.

ADDENDA

(Regulation No. 1698 / July 11, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on July 15, 2019. Provided that the amended provisions of [§12], subparagraph 7 of [§12-2], [§14(1)], [§14(2)1], [§108] and [§130] shall become effective on September 23, 2019

§2. Effective Date of the KOSPI Market Business Regulation

The “date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSPI Market Business Regulation, Regulation No. 1697 (amended on July 10, 2019), in the case of the amended provisions of [§104] of the Regulation concerning the abolition of the reporting of program trading, shall refer to September 23, 2019.

ADDENDA

(Regulation No. 1704 / July 22, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on July 29, 2019.

§2. Effective Date of the KOSPI Market Business Regulation

“Date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSPI Market Business Regulation, Regulation No. 1697 (amended on July 10, 2019), in the case of the amended provisions of [§72-3] of the Regulation concerning restrictions on deposit of member margins in the securities issued by members or related companies of members, shall refer to July 29, 2019.

ADDENDUM

(Regulation No. 1726 / September 10, 2019)

These Enforcement Rules shall become effective on September 16, 2019.

ADDENDA

(Regulation No. 1749 / November 27, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on December 2, 2019. Provided that the amended provisions of [§99-17] shall take effect on July 1, 2020.
(Amended on March 17, 2020; June 15, 2020)

§2. Effective Date of the KOSPI Market Business Regulation

“Date set by the Enforcement Rules” in the proviso to the ADDENDUM of the KOSPI Market Business Regulation, Regulation No. 1697 (amended on July 10, 2019), in the case of the amended provisions of [§72-8] and [§72-9] of the Regulation concerning imposition and release from imposition of additional intraday member margins, shall refer to December 2, 2019.

ADDENDUM

(Regulation No. 1753 / November 28, 2019)

These Enforcement Rules shall become effective on December 2, 2019. Provided that the amended provisions of [§31-12(3)2], [§31-16(4)], [§31-17(2)4], subparagraph 1(a) of [§31-18], [§31-19], [§45(3)] and [Annex: Form No. 2-7] shall become effective on January 2, 2020; and the amended provisions of [§14(1)4(a)] and [§79(7)] shall become effective on September 7, 2020.

ADDENDUM

(Regulation No. 1780 / March 9, 2020)

These Enforcement Rules shall become effective on March 9, 2020.

ADDENDUM

(Regulation No. 1787 / March 17, 2020)

These Enforcement Rules shall become effective on March 18, 2020.

ADDENDUM
(Regulation No. 1794 / March 25, 2020)

These Enforcement Rules shall become effective on March 27, 2020.

ADDENDUM
(Regulation No. 1798 / April 10, 2020)

These Enforcement Rules shall become effective on April 10, 2020.

ADDENDUM
(Regulation No. 1801 / April 27, 2020)

These Enforcement Rules shall become effective on April 29, 2020.

ADDENDA
(Regulation No. 1818 / May 7, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on May 8, 2020.

§2. Amendment of Other Regulation

(1) The new provisions of [§134] of the Enforcement Rules of KOSPI Market Listing Regulation stipulated below shall be established:

§134. Public opinion gathering

Public opinion gathering pursuant to [§166-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

(2) The new provisions of [§26] of the Enforcement Rules of KOSPI Market Disclosure Regulation stipulated below shall be established:

§26. Public opinion gathering

Public opinion gathering pursuant to [§91-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

ADDENDA

(Regulation No. 1831 / May 26, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on May 27, 2020.

§2. Interim measures concerning methods for assessment of market-making performance of bond market-making members

Notwithstanding the amended provisions of Annex 4, the assessment of market-making performance of bond market-making members for the 2nd quarter of 2020 shall be conducted pursuant to former provisions.

ADDENDA

(Regulation No. 1832 / May 28, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on June 1, 2020.

§2. Interim measures concerning methods for assessment of market-making performance of bond market-making members

Notwithstanding the amended provisions of item 1(b)(1)a of Annex 4, the assessment of market-making performance of KRX KTB bond market-making members prior to the effective date of these Enforcement Rules for the 2nd quarter of 2020 shall be conducted pursuant to former provisions.

ADDENDA

(Regulation No. 1837 / June 15, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on June 12, 2020.

ADDENDA

(Regulation No. 1847 / June 23, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on July 6, 2020.

ADDENDA

(Regulation No. 1856 / July 23, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on September 7, 2020. Provided that the amended provisions of [§112] and [Annex: Form No. 2] shall become effective on July 27, 2020, the amended provisions of [§31-5(1)], [§31-9] and [§31-10] shall become effective on October 5, 2020, and the amended provisions of item2(b) of [§12-2] and [§111-3] (limited to orders received from individual customers' accounts for the purpose of trading securities pursuant to [§87-2(1)2] before these Enforcement Rules take effect) shall become effective on January 4, 2021.

§2. Exceptions in applying Provisions concerning Assessment and Conditions for Replacement of Liquidity Providing Members of ETNs.

The amended provisions of [§31-9] and [§31-10] of the Enforcement Rules shall apply starting with the liquidity providing member assessment and results of the month in which the effective date under the proviso to [§1] of this Addenda belongs.

§3. Interim measures concerning Assessment and Conditions for Replacement of Liquidity Providing Members of ETNs.

Notwithstanding the amended provisions of [§31-10], concerning the conditions for replacement of liquidity providing members of ETNs according to assessment results of the quarter in which the effective date of these Enforcement Rules belongs, the previous provisions shall apply.

ADDENDA

(Regulation No. 1869 / September 22, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on September 28, 2020. Provided that the amended provisions of [§6-3], [§110], [§133], [§133-2] and [§134] shall become effective on December 7, 2020.

§2. Effective Date of KOSPI Market Business Regulation

“Date set by the Enforcement Rules” in the proviso to [§1] of the ADDENDUM of the

KOSPI Market Business Regulation, Regulation No. 1850 (amended on July 22, 2020), shall refer to the dates in the following subparagraphs:

1. In case of [§38-3] of KOSPI Market Business Regulation, on September 28, 2020.
2. In case of [§106-2] of KOSPI Market Business Regulation, on December 7, 2020.

§3. Exceptions in Applying Provisions concerning Selection of Different Classes of Stock Issue Subject to Call Auction

Notwithstanding the amended provisions of [§56-4(2)], the number of listed stocks of different classes of stock issue of the quarter in which the effective date of these Enforcement Rules belongs, shall be assessed as of September 25, 2020, and as a result, if the number of listed stocks is less than five hundred thousand (500,000), the different classes of stock issue from the effective date of these Enforcement Rules to the following quarter shall be selected. In such cases, the assessment of the number of listed stocks of the last trading day of the quarter in which the effective date of these Enforcement Rules belongs, shall be deemed to have been assessed on September 25, 2020.

ADDENDA

(Regulation No. 1883 / November 20, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on November 23, 2020.

ADDENDA

(Regulation No. 1885 / November 26, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on December 7, 2020.

ADDENDUM

(Regulation No. 1916 / March 8, 2021)

These Enforcement Rules shall become effective on March 15, 2021.

ADDENDA

(Regulation No. 1932 / March 12, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on March 15, 2021.

§2. Interim Measures concerning Qualification of Market Makers, Termination of Market-making Agreement and Selection Criteria for Market-making Target Issues, etc.

Notwithstanding the amended provisions of [§31-13(1)3 and 4], [§31-16], [Annex 2-2/2] and [Annex 2-4], the previous provisions shall apply concerning the person who has entered into a market-making agreement pursuant to the previous Regulation during the period in which the effective date of these Enforcement Rules belongs.

§3. Interim Measures concerning Selection Criteria for Low Liquidity Issues Subject to Periodic Call Auction, etc.

Notwithstanding the amended provisions of [Annex 2-2/1], in the case of selection criteria for low liquidity issues subject to periodic call auction in 3 of the same Annex, etc., the previous provisions shall apply up to December 31, 2021.

ADDENDUM

(Regulation No. 1954 / May 6, 2021)

These Enforcement Rules shall become effective on June 7, 2021.

ADDENDUM

(Regulation No. 1958 / May 7, 2021)

These Enforcement Rules shall become effective on May 10, 2021.

ADDENDA

(Regulation No. 1966 / June 8, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on June 14, 2021.

§2. Application of Provisions concerning Designation Limit of LPB members

The amended provisions of [§62(2)] shall apply from the first evaluation for the designation of LPB members after the effective date of these Enforcement Rules.

ADDENDA

(Regulation No. 1974 / July 20, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on August 2, 2021.

§2. Exceptional Cases for Reporting Liquidity Providing Accounts

Notwithstanding the amended provisions of [§31-6(9)], liquidity providing members for ETFs, ETNs and ELWs listed as of the effective date of these Enforcement Rules shall report to the Exchange the matters on the liquidity providing accounts no later than two (2) trading days from the effective date of these Enforcement Rules.

ADDENDUM

(Regulation No. 1980 / August 20, 2021)

These Enforcement Rules shall become effective on August 23, 2021.

ADDENDUM

(Regulation No. 1981 / September 7, 2021)

These Enforcement Rules shall become effective on September 13, 2021.

ADDENDUM

(Regulation No. 1984 / September 29, 2021)

These Enforcement Rules shall become effective on October 18, 2021.

ADDENDUM

(Regulation No. 1997 / November 23, 2021)

These Enforcement Rules shall become effective on November 29, 2021.

ADDENDA

(Regulation No. 1999 / November 25, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on November 29, 2021. Provided that,

the amended provisions of 2 and 3 under [Annex 5] shall apply from January 3, 2022.

§2. Exceptional Cases for Adjustment Factor of Member Margin for Customer Account Group

Notwithstanding the amended provision of 4 under [Annex 6], the adjustment factor of member margin for customer account group shall be 0.9 until June 30, 2022.

ADDENDUM

(Regulation No. 2021 / February 14, 2022)

These Enforcement Rules shall become effective on February 15, 2022.

ADDENDA

(Regulation No. 2041 / June 8, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on June 13, 2022.

§2. Application of Provisions concerning the Quantity Limit on Bid Quotations per Class of Outstanding LPB Dealers

The amended provision of [§14(1)4(c)] shall apply from the outstanding LPB dealer designated after the effective date of these Enforcement Rules.

§3. Application of Provisions concerning the Designation Methods of Outstanding LPB Dealers

The amended provision of [Annex 2-5] shall apply from the outstanding LPB dealer designated after the effective date of these Enforcement Rules.

ADDENDUM

(Regulation No. 2050 / June 30, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on July 1, 2022.

ADDENDUM

(Regulation No. 2054 / July 15, 2022)

These Enforcement Rules shall become effective on July 18, 2022.

ADDENDUM

(Regulation No. 2059 / August 4, 2022)

These Enforcement Rules shall become effective on August 4, 2022.

ADDENDUM

(Regulation No. 2064 / August 26, 2022)

These Enforcement Rules shall become effective on October 24, 2022.

ADDENDUM

(Regulation No. 2072 / October 13, 2022)

These Enforcement Rules shall become effective on October 20, 2022.

ADDENDUM

(Regulation No. 2074 / October 19, 2022)

These Enforcement Rules shall become effective on October 24, 2022.

ADDENDUM

(Regulation No. 2076 / November 11, 2022)

These Enforcement Rules shall become effective on November 14, 2022.

ADDENDA

(Regulation No. 2094 / December 22, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on January 25, 2023.

§2. Enforcement Date of KOSPI Market Business Regulation

“The date stipulated in the Enforcement Rules” in [§1] of Addenda of the KOSPI Market Business Regulation, Regulation No. 2082 (amended on December 7), shall be January 25, 2023.

ADDENDUM

(Regulation No. 2123 / April 12, 2023)

These Enforcement Rules shall become effective on June 26, 2023.

ADDENDUM

(Regulation No. 2128 / June 14, 2023)

These Enforcement Rules shall become effective on June 26, 2023.

ADDENDUM

(Regulation No. 2150 / August 8, 2023)

These Enforcement Rules shall become effective on September 1, 2023.

ADDENDUM

(Regulation No. 2181 / October 17, 2023)

These Enforcement Rules shall become effective on December 11, 2023.

ADDENDUM

(Regulation No. 2185 / November 23, 2023)

These Enforcement Rules shall become effective on December 11, 2023

ADDENDA

(Regulation No. 2192 / December 4, 2023)

§1. Effective Date

These Enforcement Rules shall become effective on December 11, 2023.

§2. Interim Measures concerning Reporting of Submission of Trust Quotations

If a member notifies the Exchange of a trust account for bond market settlement registered with the Korea Securities Depository before the enforcement date of these Enforcement Rules, the report pursuant to the amended provisions in the latter part of [§9-3(1)1-2] shall be deemed to have been made.

§3. Application of Provisions concerning Re-designation and New Designation of LPB Dealers

The amended provision of [Annex 2-5] shall apply from the assessment in the first half of 2024.

ADDENDA

(Regulation No. 2231 / May 23, 2024)

§1. Effective Date

These Enforcement Rules shall become effective on May 27, 2024.

§2. Special Cases concerning Reporting of Bond Market-making Account

Members who are using an account to submit market-making quotations for the trading of SLBs prior to the enforcement of these Enforcement Rules shall report the account and its manager to the Exchange pursuant to the amended provisions of [§99-9(6)] by the trading day immediately preceding the effective date of these Enforcement Rules.

ADDENDA

(Regulation No. 2256 / October 29, 2024)

§1. Effective Date

These Enforcement Rules shall become effective on November 4, 2024. Provided that, the amended provisions of [§99-10(1)3], [§99-11(3)3], and [Annex 4] (excluding the amended provisions of subparagraphs 1(b) and 2(b)2) shall take effect from January 2, 2025.

§2. Special Cases Concerning Designation of Market-making STRIP Bond Issue

Notwithstanding the amended provisions of subparagraphs 1 and 2 of [Annex 2-6], the designation date and designation notice of a market-making STRIP Bond issue until March 31, 2025 shall be as follows: (Amended on March 25, 2025)

1. Designation date: March 9, June 9, September 9, and December 9 every year. Provided that, if necessary for market management, considering a market holiday, the repayment schedule of STRIPS, the due date for holding reserve, etc., the designation date may be set differently.
2. Designation notice: Designation notice shall be made within five (5) trading days from the first trading day of the month in which the designation date falls.

ADDENDA

(Enforcement Rules of the Securities Market Clearing and Settlement

Business Regulations)
(Regulation No. 2297 / February 27, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on March 4, 2025.

§2. Revision of Other Regulations

1. The Enforcement Rules of the KOSPI Market Business Regulations shall be partially amended as follows:

[§91 through 96] shall be deleted. Chapter 5 ([§99-12 through 101-18]) shall be deleted. [§111-2(3)] shall be deleted. [§112-2 through 121] shall be deleted. [Annex 5 through 10] and [Annex: Form No. 14 through 18] shall be deleted.

2. Omitted

3. Omitted

ADDENDA
(Regulation No. 2303 / February 27, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on March 4, 2025.

§2. Effective Date of KOSPI Market Business Regulations

The “date set by the Enforcement Rules” in the Addenda of the KOSPI Market Business Regulations (revised on February 5, 2025), Regulation No. 2285, shall refer to March 4, 2025.

ADDENDUM
(Regulation No. 2315 / March 25, 2025)

These Enforcement Rules shall become effective on April 1, 2025.

ADDENDUM
(Regulation No. 2318 / March 26, 2025)

These Enforcement Rules shall become effective on March 31, 2025.

ADDENDA
(Regulation No. 2377 / November 27, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on December 1, 2025.

§2. Interim Measures concerning Designation of LPB dealers, etc.

The assessment, new designation, re-designation, and cancellation of designation of LPB dealers and the designation of excellent LPB dealers conducted by the Exchange in December 2025 shall be governed by the previous regulations.

§3. Interim Measures concerning Restrictions on Inputting of Quotations

At the time of enforcement of these regulations, Excellent LPB dealers designated in accordance with subparagraph 1(a)(4) of Annex 2-5 of the previous regulations shall be deemed as excellent LPB dealers designated in accordance with the amended regulations of the main sentence of [§62-3(1)].

ADDENDA
(Regulation No. 2381 / December 24, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on January 12, 2026. Provided that the amended provisions of [§99-10], [§99-11], and [Annex 4] shall take effect from January 1, 2026.

§2. Application of Provisions concerning Assessment of Market-making Performance of Bond Market-making Member and Payment of Compensation.

The amended provisions of [§99-10], [§99-11], and [Annex 4] shall apply from the time of assessing the performance of market-making in the first quarter of 2026.

ADDENDUM
(Regulation No. 2383 / December 29, 2025)

These Enforcement Rules shall become effective on January 12, 2026.

ADDENDUM
(Regulation No. 2390 / January 7, 2026)

These Enforcement Rules shall become effective on January 12, 2026.

ADDENDUM

(Regulation No. 2393 / January 15, 2026)

These Enforcement Rules shall become effective on February 9, 2026.

ADDENDUM

(Regulation No. 2396 / January 15, 2026)

These Enforcement Rules shall become effective on February 9, 2026.

ADDENDUM

(Regulation No. 2399 / January 27, 2026)

These Enforcement Rules shall become effective on February 9, 2026.

ADDENDUM

(Regulation No. 2423 / March 25, 2026)

These Enforcement Rules shall become effective on April 1, 2026.

ADDENDA

(the Enforcement Rules of the KOSPI Market Listing Regulation)

(Regulation No. 2436 / April 27, 2026)

These Enforcement Rules shall become effective on April 1, 2026.

§1. Effective Date

These Enforcement Rules shall become effective on April 28, 2026.

§2. Amendment of Other Regulations

(1) Parts of the Enforcement Rules of KOSPI Market Listing Regulation shall be amended as follows:

In [§40(4)], “of subscription warrants and ELWs” shall be replaced with “of subscription warrants, ELWs, single-stock ETF securities under [§113(2)4(c)(v)] of the KOSPI Market Listing Regulation and single-stock ETNs under [§149-3(2)2(c)] of the same Regulation”.

In [§41-2(1)2(a)], “of indices composed only of debt securities and indices that are deemed similar thereto by the Exchange” shall be replaced with “of indices (including indices that are deemed similar thereto by the Exchange) and the prices of securities under Article 4-52, Paragraph (1) of the Financial Investment Business Regulations and derivative products that use the relevant securities as underlying assets”.

Determining First Trading Price of Issues Using First Trading Price as Base Price

(Amended on May 13, 2005; August 26, 2005; February 3, 2009; August 3, 2009; April 20, 2012; May 12, 2014; December 10, 2014; April 22, 2016; December 28, 2018; June 23, 2020; July 23, 2020; April 12, 2023; August 8, 2023; February 27, 2025)

Guidelines for Calculation of Lowest and Highest Quotation Prices for Determining First Trading Price of Issues Using First Trading Price as Base Price (Pertaining to [§14(1)], [§30(1) and (3)], [§36], and [§55(3)] of the Enforcement Rules)

1. Calculation method

Except those cases defined otherwise, the lowest and highest quotations for the determination of the first trading price for an issue using the first trading price as a base price shall be calculated in accordance with following formula.

- Lowest and highest quotation prices = Appraisal price according to paragraph 2 x
Applicable rate according paragraph 3

Note: If the appraisal price and the lowest and highest quotation prices do not match the quotation price unit, each price shall be the closest prices to those prices among prices that are higher than those prices and that match the quotation price units; the same hereinafter in this Annex 1.

2. Appraisal price, etc.

The appraisal price of an issue using the first trading price as a base price shall be each of the following subparagraphs, and for the issues falling under at least two (2) among subparagraphs 2(a) through 2(e) excluding 2(d), the appraisal prices are calculated by applying the relevant calculation method in consecutive order on the basis of respective effective date. In such cases, except the cases otherwise stipulated in each of the following subparagraphs, the corporations subject to preparation of consolidated financial statements pursuant to the Act on External Audit of Stock Companies shall be based on the consolidated financial statements and the audit reports thereon.

A. Re-listed issues and issues with listing change (including a class of stocks)

(1) Re-listing of stocks of the corporations established after split-off or merger after split-off of listed corporations and changing of the listing status of stocks of the surviving corporations:

(a) When the net asset value of the re-listed issue and the issue with listing change at the time of split-off decision is “positive”, the price calculated in accordance with the following formula for each issue. Provided that, in cases where it conducts a capital increase with consideration by the method of third party allocation, merger, stock swap or business/asset takeover (hereinafter referred to as the “capital increase with consideration by the method of third party allocation, etc.”) before the listing date (if the trading is suspended on

the listing date, it shall be the day when trade suspension is lifted), and the number of the stocks issued with the issuing price lower than 50/100 of the appraisal price exceeds the number of stocks before the relevant capital increase with consideration by the method of third party allocation, etc., the lowest value among the quotation price units shall be the lowest quotation price.

- Appraisal price at the time of split-off = $\text{Sum of market capitalization per class of stocks of the company on the last trading day before the split-off} \times \text{Split ratio determined at the shareholders' meeting} / \text{Sum of shares per class of stocks after split-off}$
- Appraisal price at the time of merger after split-off = $\text{Sum of appraisal values determined for each company before merger after split-off (referring to the values obtained by multiplying the split ratio determined at the shareholders' meeting by the market capitalization per class of stocks of the company before split-off on the last trading day)} / \text{Sum of shares per class of stocks after merger after split-off}$
- Split ratio determined at the shareholders' meeting: The split ratio that was determined at the time of making decisions on the split-off or the merger after split-off at the shareholders' meeting and publicly disclosed.

Note:

1. Net asset value: The value calculated in accordance with the following formula on the basis of the statement of financial position (it does not necessarily require the consolidated statement of financial position) on which the calculation of the split ratio determined at the shareholders' meeting on the split-off or merger after split-off was based. In such case, calculation shall be based on the latest statement of financial position submitted to the Exchange for the purpose of listing. Provided that, in cases where, during the period from the relevant base date to the listing application date, an increase in the capital has resulted due to the paid-in capital increase, the amount of the capital increased (including the amount exceeding the issuing amount) shall be added; and in cases where a reduction in the capital has resulted, the amount of the capital reduction shall be subtracted; the same hereinafter in b).

- Net asset value: $\text{Total assets} - \text{Total liabilities (to add the amount of debt-to-equity swap under the capital adjustments on the statement of financial position)} + \text{Value of treasury stocks} - \text{non-controlling interest}$

2. Market capitalization refers to the amount obtained by multiplying the closing price by the total number of shares issued; the same hereinafter

(b) In cases where the net asset value of an issue with listing change at the time of split-off decision is not "positive," the price set forth in the followings for each issue:

1) Issues with listing change

The lowest quotation price shall be the lowest value from among the quotation price units; the highest quotation price shall be the closing price of the last trading day before the split-off.

2) Re-listed issues

- a) Cases where the net asset value is positive: The net asset value per share (refers to the value obtained by dividing the net asset value by the number of shares issued as of the date of listing application; the same hereinafter in this Annex 1). In such cases, the proviso to the part other than the calculation formula of (a) above shall apply mutatis mutandis.
- b) Cases where the net asset value is not positive: The lowest quotation price shall be the lowest value among the quotation price units and the highest quotation price shall be the value obtained by dividing the amount of market capitalization of each class on the last trading day before the split-off by the number of stocks issued for each stock type of the newly established corporation (when such price do not match the quotation price unit, it shall be the closest prices to such price among prices that are higher than such price and that match the quotation price units). In such cases, the calculation shall take into account the case of allocating the stocks other than those of the company before the split-off to the newly established company.

(2) Re-listing of new company incorporated by merger between listed corporations:

The price calculated in accordance with the following formula

• Appraisal price = Sum of market capitalization by the class of stocks on the last trading day of the company before merger / Sum of shares by the class of stocks of the company after merger
--

B. Of the stocks of investment companies, real estate investment companies, and ship investment companies, those falling under [§2(3)2]

The lowest quotation price shall be the lowest value from among the quotation price units; the highest quotation price shall be the closing price on the trading day before the two (2) trading days from the record date noted in[§132(1)].

C. Issues that underwent reduction of paid-in capital

(1) In the case of capital reduction without consideration for minority shareholders

The appraisal price shall be the amount determined by multiplying the closing price of previous day by the merger or write-down ratio applicable to the minority shareholders. In such cases, the proviso to the part other than calculation formula of subparagraph A(1)(a) shall apply *mutatis mutandis*, and, in case there has been stock split-off or ex-right before listing, it shall be the amount calculated by taking into account such factors.

(2) In the case of capital reduction with consideration for minority shareholders

- (a) The price determined according to following formula. In such cases, the proviso to the part other than calculation formula of subparagraph A(1)(a) shall apply *mutatis mutandis*, and, in case there has been stock split-off or ex-right before listing, it shall be the amount calculated by taking into account such factors.

• Appraisal price = [(Closing price of previous day × Number of shares before capital reduction) – (Amount per share paid to minority shareholders × Total number of shares written-down)] / Number of shares after capital reduction
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Note: In the case where there has been stock split, ex-rights, etc. before the listing, the closing price of previous day refers to the price calculated by taking into account such factors.

- (b) If the amount produced by multiplying the appraisal price in a) above by 150% is less than the closing price of previous day, the closing price of previous day shall be the highest quotation price; and if the appraisal price is not “positive”, the lowest value of quotation price units shall be the and the closing price of previous day shall be the highest quotation price.

(3) In the case of capital increase with consideration by allocation to third party before the date of listing after the capital reduction

- (a) Notwithstanding items (1) and (2) above and paragraph 3, in cases where a capital increase with consideration by the method of third party allocation, etc. is conducted before the date of listing (referring to the date of supplementary listing as a result of the capital increase with consideration by the method of third party allocation, etc. and the date of listing change due to capital reduction, and including the date of release from trading suspension in case of an issue under trading suspension; the same hereinafter in this item) after capital reduction, and the number of stocks issued at the price less than 10/100 of the appraisal price stipulated in items (1) and (2) exceeds the number of shares before the aforesaid capital increase with consideration by the method of third party allocation, etc., the appraisal prices shall be as follows. In such cases, the appraisal price shall be calculated on the relevant listing date, and in the case where there has been stock split, ex-rights, etc. before the listing, it shall be the amount calculated by taking into account such factors.

- 1) In the case of capital reduction without consideration: the price obtained through weighted calculation by the following formula

• Appraisal price = [(Closing price of the previous day × Number of shares before the capital reduction) + Sum of issuance amounts of new stocks resulting from the capital increase with consideration by the method of third party allocation, etc.] / Number of shares on the relevant listing date

- 2) In the case of capital reduction with consideration: the price obtained through weighted calculation by the following formula

• Appraisal price = [(Closing price of previous day × Number of shares before the capital reduction) + Sum of issuance amounts of new stocks resulting from the capital increase with consideration by the method of third party allocation, etc. – Sum of payments to the shareholders for capital reduction]/Number of shares on the relevant listing date

- (b) The lowest value among the quotation price units according to the appraisal price in subitem (a) above shall be the lowest quotation price, and when calculating the highest quotation price, the applicable rate shall be 300%. Provided that, in the case of the appraisal price calculated according to subitem (a)2), if the price calculated by multiplying the relevant appraisal price by 300% is lower than the closing price of the last trading day, the closing price of previous day shall be the highest quotation price, and if the appraisal price is not “positive”, the closing price of previous day shall be the highest quotation price.

D. ETNs undergone a split or a reverse split

The price obtained by the following formula

• Assessment price: Closing price on the last trading day before split or reverse split x (1+ Indicative value change ratio) x Split or reverse split ratio

• Indicative value change ratio: [(Indicative value on the day before the trading resumption / Split or reverse split ratio) – Indicative value per security calculated at the time of market closing on the last trading day] / Indicative value per security calculated at the time of market closing on the last trading day

E. Issue resuming trading after halt or suspension for at least thirty (30) trading days

The closing price of the last trading day. Provided that, in cases where stock split or ex-rights occur before trading resumes, it shall be the amount calculated taking into account such factor, and the proviso to the part other than calculation formula of subparagraph A(1)(a) shall apply *mutatis mutandis*.

3. Applicable rate

When calculating the and highest quotation price, the applicable rates in the followings shall be applied. In such cases, for the issues falling under at least two (2) among items 2(a) through 2(e) excluding 2(d), the lowest applicable rate among the relevant applicable rates shall be applied.

A. Applicable rate for the calculation of the lowest quotation price: 50%

B. Applicable rate for the calculation of highest quotation price

(1) In the case of issues undergone capital reduction or ETNs undergone a split or a reverse split: 150%

(2) Other issues: 200%

4. In cases where the appraisal prices or the lowest and highest quotation prices calculated pursuant to subparagraphs 1 through 3 are deemed to be significantly unreasonable or the application of the relevant regulations is deemed difficult, the Exchange may set them differently.

**Guidelines for Calculation of the Base Price for the Date of Quotation Placement
for the Calculation of Quotation Quantity Limits**

(Pertaining to [§14(1)3] of Enforcement Rules of KOSPI Market Business Regulation)

1. For the issues other than those noted in subparagraphs 2 through 4; the base prices calculated in accordance with [§30].
2. For the issues using the first trading price as the base price; the appraisal prices determined in [Annex 1].
3. For the issues scheduled to be delisted; the closing price on the date the transaction was last made. Provided that, in cases where an issue scheduled to be delisted has undergone ex-dividends, ex-rights, stock split or reverse stock split, the price shall be calculated by taking such event into account.
4. For ELWs, subscription warrants and subscription right certificates; the closing price on the date the transaction was last made. Provided that, in cases where there is no closing price on the date the transaction was last made, it shall be the price under each of the following items:
 - (a) For ELWs; the issuing prices.
 - (b) For subscription warrants; the price calculated by deducting the exercise price from the base price for the date of quotation placement of the stocks to which the warrants are entitled (hereinafter referred to as the “entitled stocks”) under [§150] of the KOSPI Market Listing Regulation. Provided that, if the price calculated is not positive, the base price for the date of quotation placement shall not be calculated. In such cases, the quotation quantity limits noted in subparagraph 3 of [§14(1)] shall apply with the quantity determined in item (d) of the same subparagraph. The same shall apply hereinafter to subscription right certificates.
 - (c) For subscription right certificates; the price calculated by subtracting the issuing price from the base price for the date of quotation placement of the entitled stocks.

[Annex 1-3] Application for Mass Order Cancellation, etc.
[December 22, 2022]

Application for Mass Order Cancellation, etc.
(Pertaining to [§17-2(1)] of the Enforcement Rules)

Matters for applying mass order cancellation		Remarks
Member number		Mass order cancellation applies only to quotations submitted by the member
High-speed algorithmic trading number		A six-digit number combining the trader registration number with the risk management number used by high-speed algorithmic traders pursuant to [§131(5)] of the Enforcement Rules
Securities*		a. Stock b. Foreign stock c. Depositary receipts (DRs) d. Investment company stock e. Infra fund company stock f. Real estate investment company stock g. Ship investment company stock h. Beneficiary certificate i. Collective investment securities of Exchange-Traded Fund j. Foreign collective investment securities of Exchange-Traded Fund k. Exchange-traded note l. Subscription warrant m. Subscription right certificate n. Equity-linked warrant
Condition	Issue	Specific issue or all issues Security code is in accordance with the Guidelines on Standard Code Management for Securities and Related Financial Products
	Ask/Bid	a. Asks b. Bids c. Bids and asks
	Account number	A specific account or all accounts reported by a high-speed algorithmic trader pursuant to [§104-3(3)] of the Regulation
	Quotation group number	A specific group number or the entire group number designated by the member to classify quotations when inputting those quotations

* Securities shall be entered by selecting one from the securities list.

[\[Annex 1-4\] Base Price for Trading of Initially Listed Stocks and DRs of Foreign Stocks](#)

[April 12, 2023] (Amended on August 8, 2023; February 27, 2025)

Base Price for Trading of Initially Listed Stocks and DRs of Foreign Stocks

(Pertaining to [§30(1)2] and [§55] of the Enforcement Rules)

1. Stocks (Excluding stocks falling under paragraphs 2 and 3)

- A. Case of stocks that have been offered through an initial public offering or a secondary distribution after one (1) year retrospectively from the date of application for the preliminary listing review pursuant to the KOSPI Market Listing Regulation

The issuing price at the time of the initial public offering or the secondary distribution immediately before the date of listing (if there are two (2) or more issuing prices at the time of the initial public offering or the secondary distribution, it shall be the amount obtained by dividing the total issuing amount by the relevant total number of shares issued ; the same hereinafter in this Annex 1-4). Provided that, in the case where an investment company, a real estate investment company, and a ship investment company falls under followings, it shall be the following price.

- (1) In the case where the issuing price of an investment company is lower than the base price calculated in accordance with Article 238(6) of the Act: The base price calculated in accordance with Article 238(6) of the Act. In this case, it shall be the base price that is the most recently announced based on the date of listing, and if it is announced on the day before the date of listing, it shall be limited to the base price announced by 17:00.
- (2) In the case where a real estate investment company or a ship investment company pays money to minority shareholders after an initial public offering or the secondary distribution before the date of listing: The value after deducting the amount paid.

- B. In the case of stocks issued by a holding company which owns a corporation whose stocks are listed on the KOSPI market (including corporations listed whose stocks are listed on the KOSDAQ market; the same hereinafter in this paragraph) as a wholly-owned subsidiary [referring to a subsidiary held by a holding company (referring to the holding company noted in each subparagraph of [§2(1)20] of the KOSPI Market Listing Regulation; the same hereinafter in this Annex 1-4) that owns the total number of shares of the subsidiary through stock swap or stock transfer; the same hereinafter in this Annex 1-4]

The price calculated according to the following formula. In such cases, the price of a corporation subject to the preparation of consolidated financial statements in accordance with the Act on External Audit of Stock Companies, etc. shall be based on the consolidated financial statements and the audit report, except as otherwise provided in the following relevant items (the same hereinafter in this Annex 1-4).

• Base price = (Sum of market capitalization by class of stocks on the last trading day of a wholly-owned subsidiary which is a corporation that listed its stocks on the stock market before the date of listing of its holding company + Sum of net asset value by class of stocks of a wholly-owned subsidiary which is not a corporation that listed its stocks on the stock market) / Sum of shares issued by class of stocks as of the date of listing application

Note.

1. A wholly-owned subsidiary which is a corporation that listed its stocks on the stock market before the date of listing of its holding company: Limited to the case of the relevant stock swap or stock transfer.
2. Market capitalization: Amount obtained by multiplying the closing price by the number of shares issued.
3. A wholly-owned subsidiary which is not a corporation that listed its stocks on the stock market: Limited to the case of the relevant stock swap or stock transfer, and in the case of the stock swap, an unlisted holding corporation before the relevant stock swap shall be included.
4. Net asset value by class of stocks: The value obtained by distributing the net asset value in proportion to the number of shares issued by class of stocks.
5. Net asset value: Total assets – total liabilities (adding debt-to-equity swap amount in the capital adjustment account on the statement of financial position) + treasury stock value – non-controlling interests

In this case, calculation shall be made based on the latest statement of financial position submitted to the Exchange for listing, but the increased capital (including paid-in capital in excess of par value) due to the capital increase with consideration conducted for the period from the base date of the statement of financial position to the date of listing application shall be added, and if the capital is decreased, the reduced capital amount is subtracted.

C. Case of stocks that do not fall under subparagraphs A and B

Net asset value per share (referring to the figure obtained by dividing the net asset value by the number of shares issued as of the date of listing application; the same hereinafter in this Annex 1-4.)

2. Class of Stocks

A. Case of a class of stocks that have been offered through an initial public offering or a secondary distribution after one (1) year retrospectively from the date of application for the preliminary listing review pursuant to the KOSPI Market Listing Regulation

The issuing price at the time of an initial public offering or a secondary distribution immediately before the date of listing.

B. Case of a class of stocks that have no initial public offering or secondary distribution noted in subparagraph A above

(1) In the case where the same type of a class of stocks to be listed together have been offered through an initial public offering or a secondary distribution noted on subparagraph A above: The price obtained by the simple arithmetic average of the base prices under subparagraph A of stocks of the relevant class.

(2) In the case that does not fall under item (1) above: the base price on the date of listing. Provided that, if the same class of stocks are listed, it shall be the price obtained by the simple arithmetic average of the base prices of stocks of the relevant class.

3. Foreign Stocks and DRs of Foreign Stocks

A. The issuing price at the time of an initial public offering or a secondary distribution after one (1) year retrospectively from the date of application for the preliminary listing review pursuant to the KOSPI Market Listing Regulation. Provided that, if the price (referred to as the “converted price” in this subparagraph) converted by applying the basic rate of exchange designated and announced in accordance with the Foreign Exchange Transaction Regulation to the closing price (limited to the closing price confirmed before 17:00 on the day before the listing date) on the latest trading day on a foreign stock exchange before listing is lower than the price obtained by multiplying the offering price at the time of an initial public offering or a secondary distribution to the rate specified below, it shall be converted price.

(1) For common stocks (including DRs whose underlying stocks are common stocks): 90%; and

(2) For other issues: 50%

B. In the case where the price of an issue newly issued pursuant to paragraph (A) has not been determined from the first day of the previous month to the day before the second Monday of the current month, the base price may be recalculated as it is considered newly listed on the second Monday of the current month.

4. Re-listing of Delisted Company and New Company Established by Split-offs

The price calculated according to any of subparagraphs 1 through 3

5. In cases where the base price calculated pursuant to paragraphs 1 through 4 does not match the quotation price unit, it shall be the closest price to such price among prices that are higher than such price and match the quotation price unit, and if it is recognized that the base price is significantly unreasonable or the application of the relevant regulations is difficult, the Exchange may set them differently.

Base Prices of Ex-dividends or Ex-rights

1. Ex-dividends

(a) Cases of paying dividend with the stocks whose class is the same as that of already-listed stocks:

- Base price of common stocks = (Closing price of cum dividend common stocks × Number of shares of common stocks before dividend) / (Number of shares of common stocks before dividend + Number of common stocks paid as dividend to shareholders of common stocks)
- Base price of other type of stocks = (Closing price of cum dividend other type of stocks × Number of shares of other type of stocks before dividend) / (Number of shares of other type of stocks before dividend + Number of other type of shares paid as dividend to shareholders of other type of stocks)

(b) Cases of paying dividend with either common stocks or other type of stocks to the already-listed common stocks and other type of stocks:

(i) Case of paying dividend with common stocks

- Base price of common stocks = (Closing price of cum dividend common stocks × Number of shares of common stocks before dividend) / (Number of shares of common stocks before dividend + Number of common stocks paid as dividend to shareholders of common stocks)
- Base price of other type of stocks = (Closing price of cum dividend other type of stocks × Number of shares of other type of stocks before dividend – Base price of common stocks × Number of shares of common stocks paid as dividend to shareholders of other type of stocks) / Number of shares of other type of stocks before dividend

(ii) Case of paying dividend with other type of stocks

- Base price of common stocks = (Closing price of cum dividend common stocks × Number of shares of common stocks before dividend – Base price of other type of

stocks x Number of other type of stocks paid as dividend to shareholders of common stocks) / Number of shares of common stocks before dividend

- Base price of other type of stocks = (Closing price of cum dividend other type of stocks × Number of shares of other type of stocks before dividend) / (Number of shares of other type of stocks before dividend + Number of shares of other type of stocks paid as dividend to shareholders of other type of stocks)

2. Ex-rights

(a) Cases of allocating stocks whose class is the same as that of already-listed stocks:

- Base price of common stocks = (Closing price of cum rights common stocks × Number of shares of common stocks before capital increase + Issuing price of common stocks x Number of shares of common stocks allocated to shareholders of common stocks) / (Number of shares of common stocks before capital increase + Number of shares of common stocks allocated to shareholders of common stocks)
- Base price of other type of stocks = (Closing price of cum rights other type of stocks × Number of shares of other type of stocks before capital increase + Issuing price of other type of stocks x Number of shares of other type of stocks allocated to shareholders of other type of shares) / (Number of shares of other type of stocks before capital increase + Number of shares of other type of stocks allocated to shareholders of other type of shares)

(b) Cases of allocating either common stocks or pother type of stocks to the already-listed common stocks and other type of stocks:

(i) Case of allocating common stocks

- Base price of common stocks = (Closing price of cum rights common stocks × Number of common stocks before capital increase + Issuing price of common stocks x Number of common stocks allocated to shareholders of common stocks) / Number of common stocks before capital increase + Number of common stocks allocated to shareholders of common stocks
- Base price of other type of stocks = [(Closing price of cum rights common stocks × Number of other type of stocks before capital increase + (Issuing price of common stocks – Base price of common stocks) x Number of common stocks allocated to shareholders of other type of stocks] / Number of shares of other type of stocks before capital increase

(ii) Case of allocating other type of stocks

- Base price of common stocks = $\left[\text{Closing price of cum rights common stocks} \times \text{Number of common stocks before capital increase} + (\text{Issuing price of other type of stocks} - \text{Base price of other type of stocks}) \times \text{Number of other type of stocks allocated to shareholders of common stocks} \right] / \text{Number of common stocks before capital increase}$
- Base price of other type of stocks = $\left(\text{Closing price of cum rights other type of stocks} \times \text{Number of other type of stocks before capital increase} + \text{Issuing price of other type of stocks} \times \text{Number of other type of stocks allocated to shareholders of other type of stocks} \right) / \left(\text{Number of other type of stocks before capital increase} + \text{Number of other type of stocks allocated to shareholders of other type of stocks} \right)$

Notes:

1. In cases of paying dividend with or allocating the stocks whose class is different from that of already-listed stocks, it shall be deemed that among the already-listed stocks, the stocks whose class is most similar to that already-listed are paid as dividend or allocated.
2. The term "closing price of cum dividend" or "closing price of cum rights" refers to the closing price of one (1) day before the action date of ex-rights or ex-dividend. Provided that, in the case of the first ex-dividend for an initially-listed issue, the closing price of cum dividend shall be the closing price of an issue whose trading volume during the period until one (1) month prior to the end of the relevant listing year is the largest, from among the listed issues of the relevant companies; when such company is listed during the last month of the business year, it shall be the closing price of an issue whose trading volume is the largest during such month.
3. The term "issuing price" shall be the value falling under any of the followings and the issuing price at the time of capital increase without consideration shall be "zero".
 - (a) Of the issuing prices (referring to the expected issuing prices or final issuing price) that the listed company published by calculating them before the action date of ex-rights, the most recent price; and
 - (b) In cases where no price equivalent to those noted in a) above is available, the price that the Exchange calculated using the following formula (in cases where the listed company has made public the formula for calculation of issuing price, such formula shall be used: the same hereinafter), while taking into consideration such factors as the

base price that the listed company published most recently and discount rate. In such cases, in the event that the reckoning date for the calculation of base price using the following formula is after the action date of ex-rights, if the capital increase is carried out by way of “right offerings”, “3 trading days before the record date for new share allotment” and if the capital increase is carried out by way of “standby right offering”, “3 trading days before the closing date of shareholder register” shall be used, respectively, as the reckoning date for the calculation of base price.

Issuing price= [Base price x (1- Discount rate)] / (1 + Ratio of capital increase without consideration + Ratio of capital increase with consideration x Discount rate)

4. The term “number of stocks paid as dividend or allocated to the shareholders of common stocks (other type of stocks) refers the number of shares calculated by multiplying the ratio of the number of common stocks (other type of stocks) to the total number of stock issued on the day before the action date of ex-rights or ex-dividend to the total number of stocks to be issued as a result of dividend or capital increase.

[\[Annex 2-2\] Criteria for Liquidity Assessment and Selection of Low-liquidity Issues](#)

[March 25, 2016] (Amended on June 21, 2016; February 28, 2017; September 7, 2017; September 13, 2018; December 6, 2018; November 28, 2019; November 26, 2020; March 12, 2021; July 15, 2022)

Criteria for Liquidity Assessment and Selection of Low-liquidity Issues, ETC

(Pertaining to §31-12, §31-14, §31-17 and §56-3)

1. Criteria for Liquidity Assessment

(a) Assessment target period and issues subject to assessment

(1) Assessment target period: From October of the year preceding the year which includes the selection date to September of the relevant year

(2) Issues subject to assessment: Stocks and DRs of foreign stocks (excluding common stocks issued by a SPAC under Article 2(1)25 of the KOSPI Market Listing Regulation, the issues scheduled to be delisted, and the issues with less than 60 trading days during the assessment target period)

(b) Parameters for liquidity assessment

Parameters are calculated by arithmetically averaging the daily figures of each of the following parameters over the number of trading days during the assessment target period excluding the days of trading suspension.

(1) Turnover ratios

The turnover ratio is calculated based on the value obtained by dividing the volume of trades {limited to the volume of trades concluded during the trading hours of regular sessions by the methods of individual auction under [§23(1)2, 3 & 5] of the Regulation and [§24] of the Regulation; the same hereinafter in this Annex} by the number of listed shares.

(2) Effective spread

An effective spread is the spread that reflects the average executed prices during the trading hours of call auction in regular sessions when the market-taking quotations in average size of each issue during the assessment period are submitted, and calculated by the following formula:

• Effective spread = (Effective bid spread ÷ Quotation price unit) + (Effective offer spread ÷ Quotation price unit), where

• Effective bid spread = Average purchasing price – Average of the best bid and offer quotations, and

• Effective offer spread = Average of the best bid and offer quotations – Average selling

price

(3) Trading cycle

Trading cycle refers to the time interval between executed trades during regular sessions and it is calculated by the following formula:

$$\bullet \text{Trading cycle} = \text{Regular trading hours} \div \text{Number of trades}^{(*)}$$

* The number of trades shall be based on the number of trades by call auctions, and in the case of those issues of which trading methods are stipulated differently pursuant to [§38-2] and [§38-3] of the Regulation, it refers to the number of trades during the trading hours of regular sessions (excluding the number of trades executed with extended scope of participating quotations as a result of the change in trading methods pursuant to [§26-2] of the Regulation).

2. Criteria for Selection of Market-making Target Issues, etc.

(a) Selection criteria

Market-making target issues shall be the issues of which the results of liquidity assessment conducted pursuant to subparagraph 1 satisfy any of the followings. Provided that issues that are newly listed or re-listed during the assessment target period so their number of trading days is less than 60 or issues that are newly listed or re-listed after the assessment target period may be designated as market-making target issues by a method separately specified by the Exchange even if any of the following criteria is not met:

(1) An issue meeting all of the following criteria

Assessment index	Criteria for selection
Turnover ratios	Within top 50% in the order of largest volume among total issues subject to assessment
Effective spreads	Below top 50% in the order of smallest effective spreads among total issues subject to assessment
Trading cycle	Within 600 seconds (10 minutes)

(2) An issue meeting all of the following criteria

Assessment index	Criteria for selection
Turnover ratios	Below top 50% in the order of largest volume among total issues subject to assessment
Effective spreads	Within top 50% in the order of smallest effective spreads among total issues subject to assessment
Trading cycle	Within 600 seconds (10 minutes)

(3) An issue meeting all of the following criteria

Assessment index	Criteria for selection
Turnover ratios	Within top 50% in the order of largest volume among total issues subject to assessment
Effective spreads	Within top 50% in the order of smallest effective spreads among total issues subject to assessment
Trading cycle	Within 600 seconds (10 minutes)

(b) Exclusion criteria

Notwithstanding item (a), any issue that falls under any of the following criteria shall be excluded from the list of market-making target issues:

- (1) An issue with a liquidity provision agreement in force as of the last day of the assessment target period;
- (2) An issue with a market capitalization of KRW ten (10) trillion or more as of the last trading day of the liquidity assessment target period; and
- (3) Other issues that the Exchange deems necessary to exclude from the list of market-making target issues for the purpose of market administration.

(c) Timing of selection

The selection and the public announcement of the result thereof shall be made by December of the year in which the end date of the assessment target period falls.

(d) Effective period

The selection shall be effective from January to December of the year following the year in which the selection date falls.

(e) Notwithstanding item (c) and item (d), in cases where it is deemed necessary for the market management, the Exchange may determine the selection timing and the effective period for market-making target issues differently.

3. Selection Criteria of Low Liquidity Issues subject to Call auction, etc.

(a) Selection criteria

The low liquidity issues subject to call auction shall be the issues of which the trading cycle exceeds 600 seconds or 10 minutes, according to the result of the liquidity assessment conducted pursuant to subparagraph 1.

(b) Exclusion criteria

Notwithstanding item (a), an issue for which a liquidity provision agreement was entered into and put in force during the period from the assessment target period to the trading

day immediately before the first trading day of the effective period, or an issue of which average trading cycle for the 3 months immediately preceding the first trading day of the effective period (the last trading day of the latest 3 months shall be excluded; the same hereinafter in this Subparagraph) is 60 seconds or shorter shall be excluded from the list of low liquidity issues subject to call auction.

(c) Timing of selection

The selection and the public announcement of the result thereof shall be made by December of the year in which the end date of the assessment target period falls.

(d) Effective period

The selection shall be effective from January to December of the year following the year in which the selection date falls.

(e) Notwithstanding items(c) and (d), in the case of an issue falling under any of the following cases after the effective period may be excluded from or additionally included to the list of low liquidity issues subject to call auction in accordance with the manner specified in each of such cases. In such cases, the effective period shall be from the relevant month to the last trading day of the month in which the period under item (d) ends.

(1) [Deleted on September 13, 2018]

(2) In the case of an issue that has entered into a liquidity provision agreement, the exclusion begins from the month following the month to which the effective date of the agreement belongs;

(3) In the case of an issue of which average trading cycle for the latest three (3) months is sixty (60) seconds or shorter, the exclusion begins from the month following the month when the average trading cycle was calculated;

(4) In the case of an issue of which liquidity provision agreement has been terminated or expired during the effective period after the assessment target period, the additional inclusion begins from the month following the month which the effective date of termination or the next day of the expiry date of the agreement belongs to; and

(5) In the case of an issue of which average trading cycle for the latest three (3) months is longer than sixty (60) seconds, the additional inclusion begins from the month following the month when the average trading cycle was calculated.

Criteria for Selection of Market Makers and Issues for Market-making

1. Basic Principles

The Exchange shall select a market maker based on its basic capabilities for market-making and its performance, etc.

2. Criteria for Selection of Market-making Issues

A selected market maker may choose the issue subject to market-making agreement in accordance with the following criteria:

- (a) Priority: The priority in selecting market-making issues shall be given in descending order of the assessment scores on the eligibility of each market maker.
- (b) Method of selection: Each market maker sequentially picks market-making issues one by one below the number of issues determined by the Exchange in consideration of the priority stated in Subparagraph (a) and the total number of market-making issues.

[\[Annex 2-4\] Guidelines for Assessment of Market Makers and Making Payments for Market-making](#)

[March 25, 2016] (Amended on February 28, 2017; September 7, 2017; December 6, 2018; December 28, 2018; March 25, 2020; March 12, 2021; August 4, 2022)

Guidelines for Assessment of Market Makers and Making Payments for Market-making

I. Market-making Obligation and Assessment

1. Assessment of fulfillment of obligations

(a) Daily fulfillment of obligations

In cases where the following requirement is met as quotations for an obligatory market-making issue are submitted during a day, the day shall be counted as an “obligation-fulfilled day”^(*)

* It refers the trading day when the time period for which market-making quotations have been maintained at the level of both the obligatory spread and the minimum amount for quotation maintenance during the day takes 80% or more (referred to as the day’s ratio of submission of minimum obligatory quotations) of the total time period for which the market-making obligation occurred.

$$\frac{\text{② Maintaining time of market-making quotation that fulfilled the obligation (in seconds)}}{\text{① Occurrence time of quotation obligation for obligatory issue (in seconds)}} \times 100 \geq 80\%$$

(1) Occurrence time of quotation obligations

i. Occurrence time of quotation obligations: The time period from market opening to 15:20, excluding the following time (in seconds)

(a) The time falling under each of the subparagraphs under [§31-17(2)]; and

(b) In cases where an issue falls under causes for suspension or termination of market-making pursuant to the market-making agreement, such time period of suspension or termination.

ii. Assessment period

All the trading days when the market-making obligations have occurred. Provided that, if the occurrence time of quotation obligation for a day is less than one hour (or 3,600 seconds), such day shall be excluded from the number of market-making days.

(2) Maintaining time for obligatory quotations

i. The time (in seconds) during which the market-making quotations that were submitted for market-making issues according to each of the subparagraphs under [§31-12(1)] have been maintained.

* The spread between the residual quantities of offer and bid quotations and the amount for minimum quotation maintenance shall be within the following scope:

<Size of obligatory quotation for each market-making product>

No.	Market	Issue code	Issue name	Obligatory spread (in ticks)	Minimum quotation maintenance amount (in KRW million)
1					
2					
3					
4					
5					

ii. Provided that the time during which the obligation to maintain two-sided market-making quotations is exempted pursuant to [§31-18] shall be excluded. In such cases, the minimum quotation quantity specified in subparagraph 1(b) of [§31-18] shall be calculated as follows:

(a) Standards for calculation of minimum quotation quantity

(i) Offer quotations

① In cases where the best bid quotation exists:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best bid quotation} + 1 \text{ tick}} = \text{Minimum quotation quantity}$$

② In cases where the best bid quotation does not exist:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best offer quotation}} = \text{Minimum quotation quantity}$$

③ In cases where either the best bid or the best offer quotation does not exist:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Immediately preceding price}} = \text{Minimum quotation quantity}$$

(ii) Bid quotations

① In cases where the best offer quotation exists:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best offer quotation} - 1 \text{ tick}} = \text{Minimum quotation quantity}$$

② In cases where the best offer quotation does not exist:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Best bid quotation}} = \text{Minimum quotation quantity}$$

③ In cases where either the best bid or the best offer quotation does not exist:

$$\frac{\text{Minimum amount for quotation maintenance}}{\text{Immediately preceding price}} = \text{Minimum quotation quantity}$$

✓When the cause for the exception in obligation to maintain both sided quotations is removed, the quotations that fulfill the obligation to maintain two-sided quotation shall be submitted within one (1) minute.

(b) Final fulfillment of obligations

When the performance of a market maker during a quarter satisfies the following requirement, the relevant quarter shall be appraised as ‘obligation fulfilled’. Provided that, if deemed necessary by the Exchange due to sudden changes in market conditions etc., etc., the below requirement may be lowered.

$$\frac{\text{②Number of days for which the obligation was fulfilled}}{\text{①Number of days for market-making}} \geq 90\%$$

2. Assessment on the activeness in fulfilling obligations

The ‘activeness in fulfilling obligations’ shall be assessed for those issues that have been appraised as ‘obligation fulfilled’ among the market-making issues.

$$\text{Assessment score for the level of obligation fulfillment} = \text{① Ratio of daily obligation fulfillment} + \text{②Ratio of maintenance of best quotations}$$

(a) Ratio of daily obligation fulfillment:

The quarterly average of obligation fulfillment ratios * that are calculated by the formula to examine the daily obligation fulfillment.

* The time during which the market-making quotations fulfilling obligations (in seconds) /
The time during which the quotation obligation for obligatory issue occurred (in seconds)

(b) Ratio of maintaining the best quotations

The quarterly average of the figures calculated by the following formula:

The time of a trading day during which the market-making quotations were maintained with the best quotations (sum of offers and bids) / The time of a trading day during which the market-making quotations fulfilling daily quotation obligation were maintained.

II. Measures to be taken based on Assessment Results

1. Basic principles

- (a) For the ‘obligations fulfilled,’ payments for market-making shall be made based on the result of assessment on the activeness in fulfilling obligations.
- (b) The ‘obligations unfulfilled’ shall be subject to imposition of demerit points or termination of market-making agreement depending on the levels of nonfulfillment.

2. Detailed measures

- (a) Payments for market-making for ‘fulfilled obligations’

* Please refer to ‘III. Payments for Market-making’ for details.

- (b) Imposition of demerit points against ‘unfulfilled obligations’

In cases when the number of days for which obligations were fulfilled for each product during a quarter falls short of the ‘minimum number of days with fulfilled obligations’, the demerit points shall be imposed differentially based on the level of nonfulfillment.

<Demerit points for market makers>

Calculation methods	Demerit points
Minimum number of days with fulfilled obligations – Number of days with fulfilled obligations per product	• Under 5 days: 1 point • 5~9days: 2 points • 10~19 days: 3 points • 20~29 days: 4 points • Over 30 days: 5points

- (c) Suspension of qualification based on accumulated demerit points

- When the accumulated demerit points for total market-making issues of a market maker in the relevant year is more than the points set forth below, the qualification of the market maker shall be suspended.

Number of market-making issues	Less than 50	50~less than 100	100~less than 200	200 or more
Threshold of Accumulated demerit points for qualification suspension	50 points	100 points	(No. of issues×2) points	(No. of issues×2.5) points

(Note) The number of issues means the number of market-making issues that have market-making agreements in force as of the end of the assessment quarter.

- When the suspension of qualification takes effect the period set forth in [§31-21(2)], the agreement for market-making shall be terminated.

III. Payments for Market-making

1. Prerequisite for payment for market-making

- Fee revenue is shared among the market-making issues for which market-making obligation was fulfilled; and
- The calculation of the share of fee revenue shall be made for the issues that are assessed as ‘obligation fulfilled’ (‘issues subject to payment’) among market-making issues.

2. Calculation of amounts to be allocated

Amount of fee revenue allocation

$$= \sum (\textcircled{1} \text{Fee revenue from 'issues subject to payment'} \times \textcircled{2} \text{A market maker's share of trading volume of 'issues subject to payment'} \times \textcircled{3} \text{Payment ratio based on the activeness in fulfilling obligations})$$

(a) Fee revenue from ‘issues subject to payment’

The fee revenue of the Exchange earned from the issues subject to payment, which is the sum of trading fees and clearing fees.

(b) Trading share of ‘issues subject to payment’

Trading share of issues subject to payment (%) = $\frac{\textcircled{1} \text{A market maker's trading volume of issues subject to payment during a quarter}}{\text{Total trading volume of issues subject to payment during a quarter}}$

① Trading volume of issues subject to payment during a quarter
--

(1) Trading volume of issues subject to payment during a quarter

- Total trading volume of issues subject to payment during a quarter;
- Sum of purchasing and selling trading volumes; and
- Block trading, basket trading, competitive block trading and after-hours trading shall be included.

(2) Market maker's trading volume of issues subject to payment during a quarter

- The trading volume that has been executed by a market maker out of accumulated trading volume of an issue subject to payment during a quarter; and
- The trades which are not exempted from trading fees such as the cross transactions, the trading by other quotations to offset a long position and the trading volume by the immediately executing quotations shall be excluded.

(c) Payment rates based on the activeness in fulfilling obligations

The payment rates are determined by dividing the assessment scores on the activeness in fulfilling obligations for the issues subject to payment by "200".

(d) Payment of fixed amount of compensation

In cases where the market-making issues are assessed as 'obligation fulfilled', the amounts pre-determined in the market-making agreement may be paid to the issues specified in the agreement.

3. Timing of payments

Payments shall be made within three (3) months after the end of each quarter. Provided that, when the Exchange deems it necessary due to changes in the contents of market-making agreements, the timing of payment may be determined differently.

IV. Criteria to Terminate Market-making Agreement

An issue whose average daily turnover rate (excluding the last 7 trading days of each quarter) calculated based on formula in item 1 below exceeds the ratio of B for 2 consecutive quarters.

1. Turnover ratio

The ratio calculated according to the following formula based on the trading date of the issue concerned.

Turnover ratio (%)	=	Trading volume
		Number of listed shares

* Limited to the volume of transactions executed by the method of continuous auction referred to in [§23(1)2,3 and5] and [§24] of the Regulation

2. Rate: 15%

[Annex 2-5] Assessment Method for Designation of LPB Dealer and Designation Method Thereafter

(Amended on May 7, 2010; March 23, 2011; February 28, 2014; July 16, 2015; March 24, 2016; May 26, 2020; November 20, 2020; June 8, 2022; December 4, 2023; December 1, 2025)

Assessment of LPB Dealers

1. Assessment period

(a) First half assessment: From December of the previous year to May of the year (provided that the assessment period of new members admitted for the year shall be from January to May).

(b) Second half assessment: From June to November of the year

2. Assessment items and scores

Assessment items	Score (points)	
	Non-sales entrustment contract member	Sales entrustment contract member*
Price reported	10	5
Disparity ratio of reported price	25	25
Submission of obligatory bid quotations	25	20
Quantity of obligatory bid quotations	5	5
Trading performance of LPBs	30	25
Market-making performance of LPBs	10	10
Submission of obligatory bid quotations for sales entrustment contract	-	10
Government policy cooperation (additional points)	15	15
Total	115	115

Note. In the table above, “sales entrustment contract member” shall refer to a member who has entered into a sales contract with a sales agency pursuant to [§95] of the Regulation.

3. Assessment method per item

(a) Submission of reported price

(1) Reported price

In cases where a price reported by the LPB dealer (hereinafter referred to as the “reported price”) noted in [§74(3)] has failed to be submitted, 0.5 points shall be deducted for each case.

(2) Disparate ratio from the reported market yield

First, for all LPB dealers, the daily average of the absolute value of the difference between the reported yield (referring to the rate of return converted by applying the method specified in each subparagraph of [§16] to the reported price) and the mark-to-market yield (referring to the rate of return converted by applying the method specified in each subparagraph of [§16] to the mark-to-market price noted in [§65(2)] of the Regulations; the same hereinafter) during the assessment period for each bond type is multiplied by the proportion of the issuance volume of the relevant bond type among the issuance volume of all bond type during the same period, and the combined value is then used to determine the ranking in ascending order. Next, all LPB dealers shall be divided into six (6) tiers [the number of LPB dealers in tiers 1 through 5 is the total number of LPB dealers divided by 6 (rounding up at the 1st decimal place), and the number of remaining LPB dealers shall be the number of LPB dealers in tier 6; the same hereinafter] according to the ranking of the combined value, and then the full score shall be assigned to the LPB dealers in the first tier and then the assessment score shall be assigned sequentially to the LPB dealers belonging to the next lowest tier by deducting one point five (1.5) points each in ascending order.

(3) Submission of obligatory bid quotations

In cases where an LPB dealer violates (classifying the time period before the market opening and the time period during the last twenty (20) minutes before the market closing time each day) [§74(1) or (2)], point five (0.5) points per case shall be deducted. Provided that, in cases where the violation occurs on any of the following days during the assessment period, an additional one (1) point per case shall be deducted for each violation:

- (i) A day when the opening price falls below the offer price pursuant to [§76(5)];
or
- (ii) A day when the price immediately before the closing price falls below the reported market price.

(4) Quantity of obligatory bid quotations

First, for all LPB dealers, the quantity of obligatory bid quotations submitted pursuant to [§74(1) and (2)] for bonds issued in the current month (on the first day of each month, it shall be the bonds issued in the previous month) on all of the following days [the day in (iii) shall be limited to bond under [§61(1)]] during the assessment period shall be calculated for each bond type. Next, all LPB dealers shall be divided into six (6) tiers according to the ranking of the combined values in descending order, and then the full score shall be assigned to the LPB dealers in the first tier and the assessment score shall be assigned sequentially to the LPB dealers belonging to the next highest tier by deducting one (1) point each in descending order:

- (i) A day when the mark-to-market yield pursuant to [§65(2)] of the Regulation

declined to the coupon rate or below;

- (ii) The next business day of the holiday when sales occurred
- (iii) The day when the bond yield in the followings rises above the reported yield (referring to the yield calculated by converting the reported price pursuant to [§53(2)] of the Regulations into the yield calculated by applying the methods specified in each subparagraph of [§16]:
 - Ⓐ Before market opening: The mark-to-market yield on the day; and
 - Ⓑ From 20 minutes before market closing: The yield immediately before the closing price of the day.

(5) Trading performance of LPBs

First, for all LPB dealers, the average daily trading volume shall be calculated for each bond type. Next, all LPB dealers shall be divided into six (6) tiers according to the ranking of the combined values in descending order, and then the full score shall be assigned to the LPB dealers in the first tier and the assessment score shall be assigned sequentially to the LPB dealers belonging to the next highest tier by deducting three point five (3.5) points each in descending order. In this case, the trading volume in the followings is excluded, and if the daily trading volume of a bond, for each bond type, exceeds three (3) times the average daily trading volume of the bond in the previous month, the trading volume of the relevant bond on that day is excluded:

- (i) Self-account transactions where the same LPB dealer has placed both the bid and offer quotations;
- (ii) Selling transactions conducted according to the sales agent contract;
- (iii) Customer account transactions; and
- (iv) Offset transactions that offset original position (transactions where after executing a trade, the member who previously sold buys and changes position, while the member who previously bought sells and changes position, each at the same price and quantity with those of the previous trade during the same trading day).

(6) Market-making performance in LPB market

First, all LPB dealers shall be ranked based on their market-making performance points, which are assigned after an assessment conducted by applying the assessment methods in annex 4 *mutatis mutandis* during the assessment period and divided into six (6) tiers according to the ranking of the performance points in descending order. Next, the full score shall be assigned to the LPB dealers in the first tier and the

assessment score shall be assigned sequentially to the LPB dealers belonging to the next highest tier by deducting one (1) point each in descending order.

(7) Submission of offer quotations for bonds under sales agent contract

In cases where an LPB dealer violates [§76(5)] and the latter part of [§124(2)], point five (0.5) points per case shall be deducted.

(8) Government policy cooperation

Additional points shall be awarded if any of the following applies:

- (i) Performance of duties as Chairperson or Secretary of the LPB Dealers Council:
Three (3) points;
- (ii) Performance of duties as Vice Chairperson or Auditor of the LPB Dealers Council: One (1) points; and
- (iii) Contribution to policy coordination, including participation in regulatory reform: Up to two (2) points.

Method for Designation of Market-making STRIP Bond Issue

(Pertaining to [§79-2(1)] and [§99-5(1)c])

1. The designation dates for STRIP bond issues subject to market-making quotation submission (hereinafter referred to as the “market-making target issue”) shall be February 15, May 15, August 15, and November 15 of each year. However, if the relevant date is a market holiday or a business day immediately preceding the due date for holding reserve set by the Bank of Korea, the next trading day shall be the designation date. If necessary for market management, taking into consideration the listing status and repayment schedule of the STRIP bonds, the designation date may be changed.
2. The Exchange shall designate and announce a market-making target issue on the last trading day of the month preceding the month in which the designation date falls (hereinafter referred to as the “designation notice date”).
3. A market-making target issue shall be a STRIP bond noted in Article 2, Paragraph 10 of the Regulation on Operation of Treasury Bonds and the maturity date of the market-making target issue shall be one of the three maturity dates nearest to the designation date (excluding cases where the maturity date is within one month from the designation date).
4. The submission period of market-making quotations for the market-making target issue shall be 9 months from the designation date. However, the submission period for the market-making quotations may be set differently in consideration of the designation date in subparagraph 1.
5. When designating a new market-making target issue, the Exchange shall designate one (1) issue as the market-making target issue in the following order based on the designation notice date. However, if there is no balance of listed amount of the relevant issue 3 business days before the designation date, the market-making target issue may be redesignated in the following order based on 3 business days before the designation date:
 - A. Principal strips with a large listed balance;
 - B. Principal strips of which original coupon bond has a short maturity; and
 - C. STRIP bonds determined by the Exchange taking into consideration of the listed balance, trading volume, etc. of the original coupon bonds.

6. If necessary for market management, the Exchange may designate an interest strip as a market-making target issue noted in Article 2, Paragraph 11 of the Regulation on Operation of Treasury Bonds. In this case, subparagraphs 1, 3, and 4 shall apply mutatis mutandis to the designation date, the maturity date of the market-making target issue, the submission period of market-making quotations, etc.
7. If necessary for market management, the Exchange may change the maturity date of a market-making target issue despite the provisions of subparagraph 3 or change the market-making target issue by maturity date in consideration of market liquidity, etc. In this case, the submission period for the market-making quotation in subparagraph 4 shall be determined separately by the Exchange.

[\[Annex 3\] Financial Bonds](#)

[May 18, 2007] (Amended on February 3, 2009)

Financial Bonds

1. Industrial bonds pursuant to the Korea Development Bank Act
2. Small and medium-sized company bonds pursuant to the Industrial Bank of Korea Act
3. Export and import bonds pursuant to the Export and Import Bank Act
- 3-2. Agricultural cooperative bonds issued pursuant to the National Agricultural Cooperative Federation Act
- 3-3. Fisheries cooperative bonds issued pursuant to the National Fisheries Cooperative Federation Act
4. Bank bonds pursuant to the Banking Act
5. Card bonds, leasing bonds, discount bonds and new technology bonds pursuant to the Specialized Credit Financial Business Act
6. Merchant bank bonds pursuant to the Merchant Banks Act

[Annex 4] Methods for Assessment of Market-making Performance of Bond Market-making Members

(Amended on December 31, 2009; July 1, 2010; March 23, 2011; February 28, 2014; July 16, 2015; November 9, 2015; March 24, 2016; June 21, 2016; December 26, 2016; June 9, 2017; August 24, 2017; September 13, 2018; May 26, 2020; May 28, 2020; June 8, 2021; October 29, 2024; March 25, 2025; December 24, 2025)

Methods for Assessment of Market-making Performance of Bond Market-making Members

1. Basic Market-making Requirements for Bond Market-making Members

(a) Basic Number of Issues subject to Market-making

(1) For the trading in the KRX KTB: six (6) or more issues. Provided that, among the 6 issues, 3 or more shall be benchmark issues and STRIPS shall be excluded in calculating the 6 issues.)

(2) For the trading in the KRX LPB: one (1) or more issues per bid or offer and per class* of bonds (in cases where all or part of the bonds in a class are not issued, the relevant class may be excluded.), and four (4) or more issues in total.

* The classes of LPBs include Type I National Housing Bonds, Seoul Railroad Bonds, Regional Development Bonds and Metropolitan Railroad Bonds specified in [§74(1)].

(3) For the trading in the KRX BondsAll*: fifteen (15) issues or more regardless of bond types

* Referring to the trading of bonds specified in [§71-3(2)4] of the Regulation (the same hereinafter in this Annex).

(b) Basic Market-Making Time

(1) For trading in the KRX KTB

(a) In the morning: For two and half hours during 9:00 am~12:00 noon. Provided that, it shall be for one and half hours during 9:00 am ~ 12:00 noon for 20-year treasury bonds and for one hour during 9:00 am ~ 12:00 noon for STRIPS. (Amended on March 25, 2025)

(b) In the afternoon: For one and half hours during 1:00 pm ~3:00 pm (hereinafter referred to as “Afternoon I”) and full time from 3:00 pm to 3:30 pm (hereinafter referred to as “Afternoon II”). Provided that, it shall be for one hour during 1:00 pm ~ 3:00 pm and Afternoon II for 20-year treasury bonds, for two hours during 1:00 pm ~ 3:30 pm for 30-year treasury bonds, and for one hour during 1:00 pm ~3:30 pm

for STRIPS. (Amended on March 25, 2025)

* If the time period of market-making for any of the morning and afternoon of a day is longer than 80% of the basic market-making time, the market-making time of the day shall be acknowledged in full, but if the time period of market-making time for both of the morning and afternoon is less than 80% of the basic market-making time, the market-making time of the day shall not be acknowledged at all. In such cases, the time to be acknowledged shall be limited to the range of the basic market-making time (referring to the respective basic market-making time, if divided into Afternoon I and II).

(2) For trading in the KRX LPB: For 2/3 of the regular trading hours (9:00 am ~3:10 pm)

(3) For trading in the KRX BondsAll: For 2/3 of the regular trading hours (9:00 am ~ 3:30 pm)

(c) Basic Number of Days for Market-making

(1) For trading in the KRX KTB: For 80/100 or more of the total trading days during the period for assessment.

(2) For trading in the KRX LPB: For at least 2/3 of the total trading days during the period for assessment.

(3) For trading in other bond markets: For at least 2/3 of the total trading days during the period for assessment.

* In calculating the basic number of market-making days, the figures in the first decimal place shall be rounded off.

(d) Basic Market-making Score= Basic number of market-making issues per market × Basic number of market-making days

2. Assessment of Market-Making Performance of Bond Market-making Members

(a) Assessment Methods

(1) Period to be assessed: The most recent quarter

(2) Assessment items and weights

(a) For trading in KRX KTB

•The performance of submission of market-making quotations, the performance of trading by market-making quotations, and the validity of market-making quotations

shall be evaluated. (The performance of negotiated trades shall be excluded from the assessment; hereinafter the same shall apply.)

- The scores by each assessment item are as follows:

Assessment items	Scores
Performance of submission of market-making quotations	20
Performance of trading by market-making quotations	70
Validity of market-making quotations	10

(b) For trading in KRX LPB

- The performance of submission of market-making quotations and the performance of trading by market-making quotations shall be evaluated.
- The scores by each assessment item are as follows:

Assessment items	Scores
Performance of submission of market-making quotations	30
Performance of trading by market-making quotations	70

(c) For trading in KRX BondsAll

- The performance in submission of market-making quotations and the performance of trading by market-making quotations shall be assessed.
- The scores for each assessment item are as follows:

Assessment items	Scores
Performance of submission of market-making quotations	30
Performance of trading by market-making quotations	70

(b) Assessment of Performance in Submission of Market-Making Quotations

(1) Weighting criteria

(a) For trading in KRX KTB and KRX LPB

- A weight of 1.5 times shall be granted to the cases where all of the basic market-making requirements are met throughout the assessment period.

(b) For trading in KRX BondsAll

- A weight of 1.5 times shall be granted to the cases where all of the basic market-making requirements are met throughout the assessment period (“basic weight”).
- A weight of 1.5 times shall be granted to corporate bonds and the special bond

issues such as mortgage-backed securities throughout the assessment period (“issue weight”).

•A weight of 3.0 times shall be granted to the number of issues of ‘low-rated corporate bonds’*the markets for which were made throughout the assessment period (“risk weight 1”).

* Referring to the corporate bonds specified in item (b) of [§99-6(1)4].

•In cases where the number of corporate bonds the markets for which were made throughout the assessment period on a daily basis is five (5) or more, a weight of 2.0 times shall be granted to the total number of such corporate bonds (“risk weight 2”).

(2) Assessment of performance in submission of market-making quotations

•For the trading in the KRX KTB: The aggregate market-making time for the issues that has met the basic market-making time on a daily basis (limited to trading days that meet both the requirement of the basic number of market-making issues and the requirement of the basic market-making time) during the assessment period* × Weight

*Calculation of market-making time: The time during which market-making quotations were maintained / the total time during which market makers are obliged to place market-making quotations. (For 20- and 30-year benchmark issues, the scores are weighted by 1.5 times).

•For the trading in the KRX LPB: The total number of issues of which the requirement of market-making time on a daily basis during the assessment period is met × Weight

•For the trading in the KRX BondsAll: The number of issues of which the requirement of market-making time on a daily basis during the assessment period is met × Issue weight × Risk weight 1 × The sum of calculated Risk weight 2 on a daily basis × Basic weight

(3) Assessment scores for performance of submission of market-making quotations

(a) For trading in the KRX KTB

• Weight of submission performance of market-making quotations* × Assessed item score (20 points)

* Weight = Performance of market-making quotations submission of a member / Aggregate performance of market-making quotations submission of all market-making members)

(b) For trading in KRX LPB

- Weight of submission performance of market-making quotations* $\times$ Assessed item score (30 points)

* Weight = Performance of market-making quotations submission of a member / Aggregate performance of market-making quotations submission of all market-making members)

(c) For trading in KRX BondsAll

- Weight of submission performance of market-making quotations* $\times$ Assessed item score (30 points)

* Weight = Performance of market-making quotations submission of a member / Aggregate performance of market-making quotations submission of all market-making members)

(c) Assessment of Performance of Trading by Market-Making Quotations

(1) Weighting criteria

(a) For trading in KRX KTB

- 5-year and 10-year KTBs (excluding inflation-linked KTBs): 1.5 times
- 20-year, 30-year, and 50-year KTBs, inflation-linked KTBs, and STRIPS: 2 times

(b) For trading in KRX LPB

- Not applicable

(c) For trading in KRX BondsAll

- A weight of 1.5 times shall be granted to the non-market-making quotations that are executed with market-making quotations of a member throughout the assessment period.

(2) Performance of trading by market-making quotations

- All trades matched with the market-making quotations that were submitted by the relevant member during the assessment period $\times$ Weight (Provided that the trades of which corresponding quotations are the market-making quotations submitted by the same member shall be excluded.)
- In the case of KRX KTB, the performance of Repo trading for treasury bonds,

monetary stabilization bonds, and foreign exchange stabilization fund bonds during the assessment period, of which term is 2-day or longer shall be added. In such cases, the Repo trades by negotiated and reported trading (excluding the reported trades under subparagraphs 5 and 6 of [§76(1)]) shall be included.

- In the case of KRX KTB, the performance of trading executed by market-making quotations submitted through the bond market-making account noted in [§99-9(5)] shall be separately added as the trading performance by market-making quotations.
- In case of LPB market, offset transactions*(including initial transaction) during the assessment period shall be excluded from the trading record.
- * Transactions where after executing a trade, the member who previously sold, changes position and buys while the member who previously bought, changes position and sells, each at the same price and quantity of the previous trade during the same trading day.

(3) Assessment scores for performance of trading by market-making quotations

- Weight of submission performance of market-making quotations* × Assessed item score (70 points)

* Weight = Performance of trading by market-making quotations of a member / Aggregate performance of trading by market-making quotations of all market-making members)

(d) Assessment of Validity of Market-making Quotations
(limited to the KRX KTB)

(1) Number of issues traded by market-making quotations

- The sum of the number of market-making quotations submitted by the relevant member during the assessment period. However, correction quotations to market-making quotations shall be excluded.

(2) Number of valid market-making quotations

- The sum of the number of quotations with the weights in the following table applied to each time period during which the buy or sell balance after the initial submission is maintained for each market-making quotations submitted by the member during the assessment period. In this case, if a correction quotation is submitted for the market-making quotation, the balance of the initial market-making quotation that is the subject of the correction quotation is considered to be maintained.

Duration of market-making quotation	Weight
-------------------------------------	--------

Less than 1 second	0.0
1 second or more to less than 3 seconds	0.1
3 second or more to less than 5 seconds	0.3
5 second or more to less than 7 seconds	0.5
7 second or more to less than 10 seconds	0.7
10 second or more to less than 15 seconds	1.0
15 second or more to less than 20 seconds	1.5
20 second or more to less than 30 seconds	2.0
30 second or more	3.0

(3) Assessment scores for validity of market-making quotations

- $\text{MIN}(1, \text{Validity of market-making quotation}^*) \times 10 \text{ points}$

* Validity of market-making quotation = Number of valid market-making quotations of a member / Number of market-making quotations of the member

(e) Assessment Scores of Individual Members

(1) For trading in KRX KTB

- Assessment score for the performance of submission of market-making quotations + Assessment score for the performance of trading by market-making quotations

(2) For trading in KRX LPB

- Assessment score for the performance of submission of market-making quotations + Assessment score for the performance of trading by market-making quotations

(3) For trading in the KRX BondsAll

- Assessment score for the performance of submission of market-making quotations + Assessment score for the performance of trading by market-making quotations

[\[Annex 5\]](#) [Deleted on February 27, 2025]

[\[Annex 6\]](#) [Deleted on February 27, 2025]

[[Annex 7](#)] [Deleted on February 27, 2025]

[\[Annex 8\]](#) [Deleted on February 27, 2025]

[\[Annex 9\]](#) [Deleted on February 27, 2025]

[\[Annex 10\]](#) [Deleted on February 27, 2025]

[Annex: Form No. 1] Application for Same Day Settlement Trade
(Amended on February 3, 2009; December 30, 2011)

Application for Same Day Settlement Trade

To: Korea Exchange

In accordance with the [§7(4)] of the KOSPI Market Business Regulation and [§9(3)] of the Enforcement Rules thereof, we hereby request the Korea Exchange to designate the following transactions as a same day settlement trade.

Date: mm/dd/yyyy

Name of the securities company:

Name and seal of representative:

Reasons for designating as a same day settlement trade (explain in detail):

Names of both parties entrusting transaction:

Details of transaction:

Name of Issue	Quantity (shares)	Date to place quotation	Remarks

[Annex: Form No. 1-2] Report on Algorithmic Trading Accounts

[June 21, 2016] (Amended on February 28, 2017)

Report on Algorithmic Trading Accounts

To: Korea Exchange

In accordance with [§17-2] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby report the opening, changing or closing of algorithmic trading accounts as follows.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

Cause of report	Open ☐ Change ☐ Close ☐	
Account number		
Investor classification		
Classification of foreign investors		
Classification of customer account / self-account		
Order process ID		
Staff in charge	Name	
	Department	
	Position	
	Phone number	
	Mobile phone number	
	Email address	

Notes:

1. The seal affixed above shall be the seal that has been reported to and registered with the Exchange.
2. The order session ID shall be entered only when the relevant ID uses the dedicated sessions.

[Annex: Form No. 2] Order Book

(Amended on August 26, 2005; February 3, 2009; July 23, 2020)

Form No. 2(1)

**ORDER BOOK: Stocks, DRs of Foreign Stocks, ETFs, Subscription warrants,
subscription right certificates, ELWs, ETNs and beneficiary certificates**

Issue: Base price: Current price: Trading quantity:

Execution No.: Opening price: Highest price: Lowest price:

1)	(No. of Offer quotations)	(Quantity of Offer quotation)	(Price)	(Quantity of Bid quotation)	(No. of Bid quotations)
2)					
3)					

Notes:

1. Enter the aggregated amounts in the first row of each column.
2. Enter the amounts for market quotations in the second row of each column.
3. Enter the amounts per price in the third row and below.

Form No. 2(2)**ORDER BOOK: Debt Securities**

Issue:

Market operation hour:

Current, opening, highest & lowest prices:

Details of issue & execution

details:

Offer quotations				Price	Yield (%)	Bid quotations			
Cumulative Number	Cumulative quantity	No. of offers	Quantity of offers			Quantity of bids	No. of bids	Cumulative quantity	Cumulative number
				Cumulative quantity					

Notes:

1. Enter offer quotations on the left and bid quotations on the right of the price column.
2. In the case of equity-related corporate bonds, leave the yield column blank.

[Annex: Form No. 2-2] Notification of Unsettled Trades

[March 6, 2009] (Amended on September 20, 2012; December 29, 2025)

Notification of Unsettled Trades

To: XXX Company

1. In accordance with [§18-2(1)] of the KOSPI Market Business Regulation and [§28-2(2)] of the Enforcement Rules thereof, we hereby notify the details of unsettled trades.
2. We do not guarantee the accuracy of the settlement shortage quantity (settlement quantity of the day - balance quantity on hand), and we are not responsible for any damages/losses arising from errors in the settlement shortage quantity.

Date: mm/dd/yyyy

Company name:

Director of the Department in charge: (seal)

(Unit: shares)

Settlement Date	Customer Name (ID)	Issue Name	Quantity Short	Reason for Settlement Failure	Remarks

Note. Enter one of the following in the Reason for Settlement Failure column. If the reason for settlement failure falls under item 1 and also falls under items 2 or 3, enter item 1. If the reason for settlement failure falls under item 4 and also falls under items 1 through 3, enter item 4:

1. Insufficient quantity;
2. Failure to receive settlement instruction;
3. Flawed settlement instruction; or
4. Delay in receipt of foreign exchange transaction settlement funds.

[Annex: Form No. 2-3] Notification of Details of Agreement for Liquidity Provision

[December 1, 2005] (Amended on November 27, 2008; February 3, 2009)

Notification of Details of Agreement for Liquidity Provision

To: Korea Exchange

In accordance with [§20-3(2)] of the KOSPI Market Business Regulation and [§31-4(2)] of the Enforcement Rules thereof, we hereby notify the following details of the agreement for liquidity provision.

Date: mm/dd/yyyy

Name of company: xxxx Securities Co., Ltd.

Name and seal of the person in charge of liquidity provision:

Specification of agreements	New/ Altered /Terminated Agreements
Stock subject to liquidity provision	
Quotation spread ratio	%
Quotation quantity	shares
Term of agreement	From To
Conditions of exemption	

Notes:

1. In cases where the details of the agreement have been changed, the details before the change and after the change shall be recorded separately.
2. Quotation spread ratio refers to the ratio of the difference between the best offer/bid quotations to the best bid quotation and should be recorded up to two decimal places.
3. The condition of exemption refers the details stipulated pursuant to [§31-4(1)6 & 6-2] of the Enforcement Rules of the KOSPI Market Business Regulation if such clause is included in the agreement.

Attachment: One (1) copy of the Agreement for Liquidity Provision

[Annex: Form No. 2-4] Report on Market-making Accounts

[March 25, 2016] (Amended on September 7, 2017)

Report on Market-making Accounts

To: Korea Exchange

In accordance with [§31-12] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby report the opening, changing or closing of market-making accounts in respect of the following account.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative director:

Cause of report		Open ☐ Change ☐ Close ☐
Number of account through which market-making quotations are submitted		(12 digits)
Staff in charge	Name	
	Phone number	
	Email	
Officer in charge	Name	
	Phone number	
	Email	

Note: The seal affixed above shall be the seal that has been reported to and registered with the Exchange.

Attachment: A copy of market-making agreement

[Annex: Form No. 2-5] Report on Designation (Change) of Market-making Staff
[March 25, 2016]

Report on Designation (Change) of Market-making Staff

To: Korea Exchange

In accordance with [§31-13] of the Enforcement Rules of KOSPI Market Business Regulation, we report the designation (change) of our market-making staff as follows:

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

Name			
Department		Position	
Company phone number		Emergency contact	
E-mail address			
Name of market-making issues			

Attachments:

1. Certificate of employment
2. Affirmation of non-existence of record of sanctions

Standard Agreement for Market-making in the Stock Market

The Korea Exchange (hereinafter referred to as “the Exchange”) and xxx Securities Company (hereinafter referred to as “the market maker”) hereby enter into a market-making agreement pursuant to [§20-9] of the KOSPI Market Business Regulation (hereinafter referred to as “the Regulation”) and [§31-16] of the Enforcement Rules of KOSPI Market Business Regulation (hereinafter referred to as “the Enforcement Rules”).

Article 1. Purpose of agreement

The market maker shall submit quotations or execute trades to improve the liquidity of stocks or DRs that were designated by the Exchange (hereinafter referred to as the “market-making”) and the Exchange shall make payments for the market-making of the market maker (hereinafter referred to as the “payments for market-making”).

Article 2. Term of agreement

- (1) This agreement shall remain valid and in full effect during the period specified in the separate statement (hereinafter referred to as “the statement”) to mm/dd/yyyy.
- (2) Notwithstanding paragraph (1), in cases where the market-making is terminated pursuant to the provisions of Article 9 hereof for each market-making issue stated in Article 3 hereof, the term shall end on the date of termination.

Article 3. Market-making issue

The market-making issue shall be a stock or DR for which the market maker shall make the market (hereinafter referred to as the “market-making issue”) and the starting date of market-making shall be as specified in the statement.

Article 4. Obligations of market maker

(1) The market maker shall report one (1) account that is exclusively for market-making to the Exchange (hereinafter referred to as the “market-making account”) according to the method stipulated by the Regulation, etc., and the market-making shall be carried out through this account. In such case, when a market maker submits quotations through the relevant account, it shall not input anything other than matters in each of the following Subparagraphs:

1. Type of account: [11] Market-making account
2. Type of market-making quotation: 2

(2) The market maker shall designate two (2) or more officers and employees who will be responsible for market-making and report to the Exchange.

(3) The market maker shall continuously submit and maintain market-making quotations that satisfy the conditions specified in [§31-12] of the Enforcement Rules for the market-

making issues during throughout the term of agreement. In such cases, the method of submission of quotations for the fulfillment of obligations - the obligatory spreads, the minimum quotation size, etc. - shall be as stipulated in the statement.

(4) The market maker shall have an internal control system that allows to submit quotations only in the case when the relevant listed stocks are borrowed if the market maker intends to submit the quotations for covered short sales noted in [§17(2)] of the Regulation.

(5) The market maker shall report to the Exchange as a high-speed algorithmic trader in advance. In the case where the market maker submits the quotations for the fulfillment of obligations, it shall affix the self-match prevention condition under [§13-2] of the Enforcement Rules to the quotations, except in unavoidable cases.

(6) The market maker shall complete the training programs on the prevention of unfair trading provided by the Exchange after entering into the market-making agreement.

(7) The market maker may not transfer or entrust the rights and obligations under the market-making agreement to a third party without a prior written consent of the Exchange.

Article 5. Assessment of market-making performance

The Exchange shall make assessment (hereinafter referred to as the “market-making assessment”) of whether or not the market maker has fulfilled the market-making obligation stated in Article 4 hereof during the quarter for assessment (hereinafter referred to as the “assessment quarter”) on a quarterly basis and notify the market maker of the result in written form by the time for making the payments for market-making specified in Article 7 hereof after the end of assessment quarter. Provided that, in cases where the number of market-making days during the assessment quarter (referring to the number of market-making days specified in the “guidelines for assessment of market makers and making payments for market-making” of [Annex 2-4] of the Enforcement Rules; the same shall apply hereinafter) is less than five (5) days, the market-making assessment may not take place.

Article 6. Suspension of qualification of the market maker

In cases where the market maker, according to the result of assessment of market-making performance conducted pursuant Article 5 hereof, has failed to perform its market-making obligations faithfully and consequently falls under the criteria specified in [§31-21] of the Enforcement Rules, the Exchange shall suspend the qualification of the market maker.

Article 7. Payments for market-making

(1) Based on the result of the assessment of market-making performance of the market maker conducted pursuant to Article 5 hereof, the Exchange may make a payment for market-making for the market-making issue for which market-making obligation was faithfully fulfilled.

(2) The guidelines for payment, calculation of amount and time for making, etc. of the payments for market-making mentioned in paragraph (1) shall be as specified in the “guidelines for assessment of market makers and making payments for market-making” in [Annex 2-4] of the Enforcement Rules that are set by the Exchange, unless otherwise stipulated in this Agreement.

Article 8. Exception to making the payments for market-making

(1) Notwithstanding Article 7 hereof, the Exchange may not pay all or a part of payments for market-making for the relevant quarter to the market maker in case of falling under any of the following subparagraphs:

1. Case where the market-making assessment stipulated in Article 5 hereof has not been conducted;
2. Case of falling under any of subparagraphs 2 through 5 under paragraph (1) of Article 11; and
3. Case where the market maker who intends to terminate the market-making agreement pursuant to paragraph (2) of Article 11 hereof has not fully performed the explanation obligations.

(2) In cases when the Exchange has decided not to make the payments for market-making wholly or partially pursuant to paragraph (1) hereof, the Exchange shall notify the market maker in writing of the decision on and the reasons for the non-payment.

Article 9. Termination of market-making

(1) In cases where a market-making issue falls under any of the following subparagraphs, the market-making by the market maker for the relevant issue shall be terminated.

1. Case where the average daily turnover ratio (excluding the last seven (7) trading days of each quarter) is assessed every quarter pursuant to [§31-16(3)1] of the Enforcement Rules, and it exceeds 15% for two (2) consecutive quarters. In such cases, the market-making for the relevant issue shall terminate at the end of the concerned quarter;
2. Case where the relevant issue is delisted;
3. Case where the liquidity provision agreement pursuant to [20-3] of the Regulation was concluded and is in force; and
4. Other cases that the Exchange deems necessary for market management.

(2) In cases where any of the causes specified in each of followings has occurred to a market-making issue, the market maker may request the Exchange for the termination of market-making for the relevant issue:

1. Case where a resolution on being merged into another corporation or delisting was made;
2. Case where a resolution on spin-off was made;
3. Case where a resolution on merger, stock swap, business takeover, asset takeover, investment-in-kind, etc. noted in [§32] of the KOSPI Market Listing Regulation was made;
4. Case where the cause for review on listing maintenance eligibility has occurred; and
5. Other reasons equivalent to subparagraphs 1 through 4 hereof that may cause a significant change in the corporate entity of the market-making issue or a significant effect on the sustainability of listing have occurred.

(3) When requesting for the termination of market-making pursuant to paragraph (2), the market maker shall make a written notice which states the cause of termination to the Exchange, and the date of termination shall be the day immediately following the day when the Exchange has made the decision on the termination of the market-making.

Article 10. Suspension of market-making

In cases where a market-making issue falls under any of the followings, the market-making of the relevant issue by the market maker in charge shall be suspended during the periods specified in each of the followings:

1. The period from the time when the cause for delisting occurred to the time of delisting;
2. The period of time during which the issue shall remain designated as an administrative issue; and
3. [Deleted on March 12, 2021]

Article 11. Termination of agreement, etc.

(1) The Exchange may terminate the market-making agreement with the market maker if any of the following subparagraphs occurs:

1. Case where it becomes impossible to perform the market-making or securities trading due to the bankruptcy, business suspension, revoked authorization, withdrawal from membership, etc. of the market maker;
2. In cases where the market maker significantly undermines legal order by such acts as breaching the laws and regulations relating to the payment of securities transaction taxes by intention or gross negligence and commits the acts falling under any of the following cases:
 - (a) Case where the market maker trades non-market-making issues through the market-making accounts; and
 - (b) Case where the market maker has been subject to sanctions from the tax authorities due to any untruthful reports on market-making.
3. In cases where market maker has been subject to sanctions equivalent to or heavier than penalty surcharge from the Financial Services Commission or member fine (limited to a fine amounting to KRW 10 million or more) from the Exchange for unfair trading, etc. with respect to market-making tasks related to stocks (referring to market-making tasks for stocks in the KOSPI and KOSDAQ markets and equity derivatives in the derivatives market);
4. In cases where the market maker has violated the confidentiality obligation stipulated in Article 14 hereof. Provided that this provision shall not apply to the case when the market maker provides documents to the tax authorities to obtain the exemption from the securities transaction tax in accordance with Paragraph(1)3of Article 117of the Restriction of Special Taxation Act;
5. In cases where the market maker has refused or made a false, delayed or understated report with respect to the request or demand made by the Exchange pursuant to Article 15 hereof or the matters to be reported, without any extraordinary circumstances;
6. In cases where the market maker falls under the causes for the suspension of qualification noted in Article 6 hereof;
7. In cases where the market maker has transferred or entrusted the rights and obligations under the market-making agreement to a third party without an approval from the Exchange;
8. In cases where the market maker has continuously failed to respond to or made a false or understated report with respect to any request, demand or report made by the Exchange in relation to the market maker's violation of obligations under Paragraph 4 ; and

9. Other cases where it is deemed inappropriate to maintain the market marking agreement with the market maker.
- (2) In cases where it is deemed difficult to perform the market-making tasks due to a significant change in the contents of the agreement, internal affairs, etc., the market maker may terminate this agreement in consultation with the Exchange. In such cases, the market maker shall explain faithfully the reasons why it is difficult to conduct the market-making to the Exchange.
- (3) When intending to terminate this agreement pursuant to paragraph (1), the Exchange shall notify the market maker of the cause of termination, termination date, etc. in writing no later than five (5) trading days before the termination date.
- (4) When intending to terminate this agreement pursuant to paragraph(2), the market maker shall notify the Exchange of the cause of termination in writing no later than the last trading day of the first month of a quarter. In such cases, the termination of agreement shall be effective from the first day of the quarter following the quarter to which the notification date belongs.
- (5) The market maker shall inform the Exchange without delay when any of the causes noted in subparagraphs 1 through 3 of paragraph (1) occurs.

Article 12. Change in agreement etc.

The Exchange and the market maker may change the contents of the market-making agreement by mutual consultation even during the term of agreement.

Article 13. Disclosure of market-making details

The Exchange may disclose all market makers' trading volume, covered short sale size and performance of implementing obligations pursuant to Article 4 hereof on a quarterly basis on the website of the Exchange.

Article 14. Confidentiality obligation, etc.

The market maker shall not disclose the material contents of this agreement to any party or to the public without prior consent from the Exchange.

Article 15. Request for change of market-making staff

- (1) In cases where the Exchange deems it is inappropriate for a market-making staff designated by the market maker, taking the expertise, morality, etc. into account, to perform the market-making tasks, the Exchange may request the market maker for the change of the relevant market-making staff pursuant to the regulation, and the market maker shall faithfully comply with such request for the change of staff-in-charge unless there exist extraordinary circumstances otherwise.
- (2) The Exchange may request for documents or demand cooperation in business to the market maker in case when it is necessary for the effective implementation of this agreement, and the market maker shall faithfully comply with such request or demand unless there exist extraordinary circumstances otherwise.
- (3) The market maker shall take necessary actions for the Exchange in making inquiries into details of trades through the market-making account in order to conduct businesses relating to the market-making or the exemption from securities transaction tax.

(4) In case of having been sanctioned by the tax authorities in relation with the payments of securities transaction tax, the market maker shall make a report on such fact to the Exchange without delay.

Article 16. Exemption from liability

The market maker has no right to make an objection or claim damages against the Exchange in cases where the Exchange makes changes to the market-making system and takes other related actions in accordance with the Act, Enforcement Decree, Regulations and Enforcement Rules relating to the securities trade.

Article 17. Application of Regulation

Other matters which are not stipulated in this agreement shall comply with the Regulations and Enforcement Rules of the Exchange.

We, the Exchange and the Company, hereby sign and affix our seals on two copies of the Agreement and keep one copy each as a proof of entering into the Agreement.

Date: mm/dd/yyyy

For and on behalf of the Korea Exchange: _____
President & CEO
KOSPI Market Division

For and on behalf of the Company: _____
Representative director
xxx Securities Company

(Attachment)

Statement of Market-making Issue

Market	Code of issue	Name of issue	Obligatory spread	Minimum amount for quotation maintenance	Term of agreement

[Annex: Form No. 2-7] Report on Changes in Quantity of Stocks held in Market-making Account

[March 25, 2016] (Amended on November 28, 2019)

Report on Changes in Quantity of Stocks held in Market-making Account

To: Korea Exchange

In accordance with [§31-19] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby report the balance of the quantity of market-making issues held in the market-making account as follows:

<Management of Daily Quantity held by Market Maker>

Base date	Code of issue	Name of issue (Abbreviated)	Balance on previous day of base date		Changes in quantity held			Balance on base date		
			General	Borrowed	On-Exchange	OTC		General	Borrowed	Total
						Borrowed	Others			

Notes:

1. In the “on-exchange” changes in quantity held, the quantity purchased in the regular sessions less the quantity sold shall be stated.
2. In the “borrowed” and other changes in quantity held, the incoming quantity (based on the incoming date) less the outgoing quantity (based on the outgoing date) shall be stated.

Attachment: Evidential document for OTC trades

Date: mm/dd/yyyy

Name of company: xxxx Co., Ltd.

Name and seal of representative director:

(Staff-in-charge: Name Contact number)

[Annex: Form No. 2-8] Report on Liquidity Providing Account (Collective investment securities of ETFs, ETNs and ELWs)

[July 20, 2021]

Report on Liquidity Providing Account (Collective Investment Securities of ETFs, ETNs and ELWs)

To: Korea Exchange

In accordance with [§31-6(9)] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby report the balance of the quantity of market-making issues held in the market-making account as follows:

<u>Reason for report</u>		Open ☐ Change ☐ Close ☐
<u>Liquidity providing account number</u>		<u>(12 digits)</u>
<u>Product</u>		<u>ETF ☐ ETN ☐ ELW ☐</u>
<u>Liquidity providing issues</u>	<u>Code of issue</u> <u>(ISIN, 12 digits)</u>	<u>Name of issue</u> <u>(Abbreviated)</u>
<u>Account number for hedging trades</u>		<u>(12 digits)</u>
<u>Effective date</u> <u>(Based on trading days)</u>		
<u>Person</u> <u>in charge</u>	<u>Name</u>	
	Telephone No.	
	<u>E-mail</u>	

Notes:

1. Only one product group (ETF, ETN or ELW) can be reported per liquidity providing account.
2. There is no limit on the maximum number of liquidity providing issues per liquidity providing account.
3. Only one hedge trade account can be linked per liquidity providing account. (Provided that the liquidity providing accounts may be used as the hedge trade accounts)

Date: mm/dd/yyyy

Name of company: xxxx Co., Ltd.

Name and seal of representative director:

[Annex: Form No. 3] Request for Correction of Transaction Errors

(Amended on February 3, 2009)

Request for Correction of Transaction Errors

1. Details of trades (month/ date/ year)

Name of Issue (Code No.)	Classification of sell or buy	Quantity	Price	Comments

2. Details of correction requested

Date: mm/dd/yyyy

Name of company:

Name and seal of representative

[Annex: Form No.4] Agreement for Correction of Transaction Errors

(Amended on February 3, 2009)

Agreement for Correction of Transaction Errors

The Korea Exchange (hereinafter referred to as "the Exchange") and xx Securities Company, Ltd., who is a member of the Exchange (hereinafter referred to as "the Company") agree on the following terms and conditions for the correction of error made by the Exchange in the course of executing the trade in the KOSPI Market and the errors occurred due to the failures of the Exchange computer system (hereinafter referred to as "the transaction errors").

Article 1. In cases where a transaction error occurs during the course of execution of trades by the Exchange, the company shall take over such transaction error as an issue traded through the self-account upon receiving the request from the Exchange (see Attachment 1: Request for correction of transaction error).

Article 2. The Company shall trade the issue assumed upon receipt of the request from the Exchange by the way of reverse trading of which the quotation participates in the determination of the opening price on the following day. Provided that, when, due to an unavoidable reason such as the failure of the Exchange computer system, placing a quotation participating in determination of the opening price was not possible, the assumed securities shall be traded by way of reverse trading (except in the case of bonds) of which the quotation participates in the determination of the closing price. The results of such reverse trading (see Attachment 2. Notification of Results of Trading Transaction Errors) shall be reported to the Exchange without delay. In cases where the assumed transaction errors are not cleared by the reverse trade on the following day, they shall be traded by the same method on the next trading day repeatedly.

Article 3. The Exchange shall settle the profits and losses (includes the transaction tax, all expenses incidental to such transaction and the dues of the relevant member) resulted from the assuming and trading the transaction error as requested by the Company (see Attachment 3. Request for Settlement for Handling Transaction Error) without delay. Provided that any profits and losses resulted from the error made by the Company in the

course of handling the assumed transaction error, shall be settled after the fact according to the request by the Exchange (see Attachment 4. Request for Settlement Adjustment for Handling Transaction Errors).

Article 4. In cases where the issue assumed by the Company undergoes ex-rights or ex-dividend, if there is any difference in the opinions on the methods of clearing the gains or losses incurred, including any other matters that are not stipulated in this agreement, such differences shall be resolved through the consultation and mutual agreement between the Exchange and the Company.

Article 5. This agreement shall be valid for one (1) year from the date of signing, and unless any objection on the terms and conditions of this agreement is expressed at least thirty (30) days prior to the expiry date, it shall be deemed that an agreement with the same terms and conditions as the one expired has been signed on its expiry date.

We, the Exchange and the Company, hereby agree the above-mentioned terms and conditions, sign and affix our seals on two copies of the Agreement and keep one copy each as a proof of entering into the agreement.

Date: mm/dd/yyyy

For and on behalf of the Korea Exchange: _____

Chairperson & CEO of the Korea Exchange

For and on behalf of the Company: _____

Representative

xxx Securities Company

(Attachment 1) Request for Correction of Transaction Errors

To: xx Securities Company

In accordance with Articles 1 and 2 of the Agreement for Correction of Transaction Error, we cordially request you to assume and settle the following issues for which transaction errors have been made. Thank you.

Date:

Director of the Market Operation Department
KOSPI Market Division
The Korea Exchange

Name of issue	Date Traded	Settlement date	Type of trade (sell or buy)	Quantity	Price	Comments

(Attachment 2) Notification of Correction of Transaction Errors

To: Korea Exchange

In accordance with Article 2 of the Agreement for Correction of Transaction Errors, we hereby notify the results of trading the issues that we assumed.

Date: mm/dd/yyyy

Name and seal of head of unit in charge of processing the relevant products

xxx Securities Company

Details of assumed transaction error					Results of trading				
Name of issue	Type of trade (sell or buy)	Quantity	Price	Date assumed	Name of issue	Type of trade (sell or buy)	Quantity	Price	Date traded

(Attachment 3) Request for Settlement for Handling Transaction Errors

To: Korea Exchange

In accordance with Article 3 of the Agreement for Correction of Transaction Errors, we hereby request you to settle the gain and loss incurred as a result of our assuming and trading of your transaction errors.

Date: mm/dd/yyyy

Name and seal of representative

xxx Securities Company

			Sale	Purchase
Name of issue				
Details of the assumed transaction error	Traded amount	Date traded		
		Quantity		
		Price		
		Amount (A)		
	Expenses	Book entry settlement		
		Member dues		
		Association dues		
		Transaction tax		
		Subtotal (B)		
	Results of trading the assumed transaction error	Traded amount	Date traded	
Quantity				
Price				
Amount (C)				
Expenses		Book entry settlement		
		Member dues		
		Association dues		
		Transaction tax		
		Subtotal (D)		
Amount to be settled (E)				

(Attachment 4) Request for Settlement Adjustment for Handling Transaction Errors

To: xx Securities Company

In accordance with Article 3 of the Agreement for Correction of Transaction Error, we hereby request you to adjust the gain and loss resulting from the oversight on your part during the course of your assuming and trading of our transaction error.

Date:

Chairperson& CEO

The Korea Exchange

			Sale	Purchase
Name of issue				
Details of the assumed transaction errors	Amount traded	Date of trading		
		Quantity		
		Price		
		Amount (A)		
	Expenses	Book entry settlement		
		Membership dues		
		Association dues		
		Transaction tax		
		Subtotal (B)		
Results of trading the assumed transaction error	Amount traded	Date of trading		
		Quantity		
		Price		
		Amount (C)		
	Expenses	Book entry settlement		
		Membership dues		
		Association dues		
		Transaction tax		
		Subtotal (D)		
Amount to be settled (E)				

[Annex: Form No. 5] Request for Relief of Large-scale Transaction Errors

[June 21, 2016] (Amended on February 28, 2017)

Request for Relief of Large-scale Transaction Errors

To: Korea Exchange

In accordance with [§47-3(1)] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby submit a written request for relief of large-scale transaction errors as follows.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

1. Causes for requesting for relief of large-scale transaction errors

Causes of the request	
-----------------------	--

2. Details of the request for relief of large-scale transaction errors

Account number		
The time when the large-scale transaction error started to occur		
The time when the occurrence of large-scale transaction has ended		
Classification of securities		Stocks, ETFs, ETNs, ELWs or Beneficiary Certificates
Staff in charge	Name	
	Contact information	

Notes:

1. The seal affixed above shall be the seal that has been reported to and registered with the Exchange.
2. The starting and ending times of the erroneous transaction shall be entered in the unit of seconds.

[Annex: Form No. 5-2] Request for Adjustment of Settlement Prices for Relief of Large-scale Transaction Errors

[June 21, 2016]

Request for Adjustment of Settlement Prices for Relief of Large-scale Transaction Errors

To: Korea Exchange

In accordance with [§47-4(4)] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby submit a written request for adjustment of the settlement prices for relieving large-scale transaction errors as follows.

Date: mm/dd/yyyy

Name of company:

Name and/or seal of the representative:

1. Causes for requesting for adjustment of settlement prices for relief of large-scale transaction errors

Causes of the request	
-----------------------	--

2. Details of the request for adjustment of settlement prices for relief of large-scale transaction errors

Occurrence date of the erroneous transaction	
Account number	
Name of issues with sequential transactions	
Execution number of sequential transactions	
Execution quantity of sequential transactions	
Execution price of sequential transactions	
Staff in charge	Name
	Contact information

Note: The seal affixed above shall be the seal that has been reported to and registered with the Exchange.

[Annex: Form No. 6] Application for Trading of Treasury Stocks by Listed Corporations
(Amended on September 8, 2006)

Application for Trading of Treasury Stocks by Listed Corporations

(Including the trading of treasury stocks under trust contract)

To: Korea Exchange

In accordance with [§39, §40 and §41] of the KOSPI Market Business Regulation, we hereby submit an application for trading of treasury stocks (under trust contract) of listed corporations as described below.

Date: mm/dd/yyyy

Name and seal of representative

xxx Securities Co., Ltd.

Issue Name	Quantity	Type of Trading	Quotation Date	Type of Session	Note

Notes:

1. Under the type of trading, indicate “sell” or “buy.”
2. Type of session refers to “regular session (indicate before the market opening, during the trading session, etc.) and “off-hours session” (off-hours block trading).
3. In cases where a member has received an entrustment from a listed company that intends to buy back its treasury stocks by way of off-hours block trading from the government or the Korea Deposit Insurance Corporation, or to buy back its treasury stocks by way of off-hours block trading after receiving the approval of the FSC, write down “non-application of price limit”.

Application for Designation of LPB Dealer

To: Korea Exchange

1. In accordance with [§44] of the KOSPI Market Business Regulation and [§62(1)] of the Enforcement Rules thereof, we hereby submit an application for the designation as LPB dealer.

2. In relation to this application, we pledge that we will faithfully fulfill the following obligations, and that we shall not object any actions that the Exchange may take pursuant to [§63] of the Enforcement Rules in the event that we breach such pledge:

(a) We shall place quotations whose price is higher than a specified amount each day pursuant to [§74] of the Enforcement Rules of the KOSPI Market Business Regulation; and

(b) We shall comply with all regulations governing the trade of LPBs.

Date: mm/dd/yyyy

Name and seal of representative
xxx Securities Co., Ltd.

[Annex: Form No. 7-2] Notification of Covered Short Sales

[February 3, 2009]

Notification of Covered Short Sales

To: Korea Exchange

In accordance with [§44-2(2)] of the KOSPI Market Business Regulation and [§64-2(1)] of the Enforcement Rules thereof, we hereby notify the details of quotations submitted for covered short selling.

Date: mm/dd/yyyy

Name and seal of head of responsible department

xxx Securities Company

Quotations Details of Covered Short Sales

Date	Time	Member name	Branch name	Issue name	Issue code	Account No.	Brokering/Dealing	Offer quote	
								Price	Quantity

Notes:

1. Time shall be recorded in hour, minute and second.
2. Issue code refers to the 12-digit standard code.

Application for Designation as Bond Market-making Member

To: Korea Exchange

1. In accordance with [§71-3(1)] of the KOSPI Market Business Regulation and [§99-3(1)] of the Enforcement Rules thereof, we hereby submit the application for designation as a bond market-making member in the following market. (Please indicate by ☒)

☐ Government Bonds Market

☐ Fractional Bonds Market

☐ The bond market stated in [§71-3(2)4] of the KOSPI Market Business Regulation

2. In submitting this application, we agree to faithfully perform the tasks specified in the relevant rules and regulations concerning market-making.

Date: mm/dd/yyyy

Name and seal of representative

_____ Securities Co., Ltd.

[Annex: Form No. 7-4] Application for Designation /Termination of Designation as Bond Market-making Dealers

[July 16, 2015] (Amended on May 23, 2024)

Application for Designation /Termination of Designation as Bond Market-making Dealers

To: Korea Exchange

In accordance with [§99-9(3)] of the Enforcement Rules of the KOSPI Market Business Regulation, we hereby submit the application for designation (cancellation of designation) as a bond market-making dealer in the following market.

<For Trading in KRX KTB>

		Staff-in-charge	Dealer No.	Name of Dealer	Department	Position	Telephone No.
Designation	1						
	2						
	3						
	4						
	5						
	6						
Termination of Designation	1						
	2						
	3						
	4						
	5						
	6						

<For Trading in KRX BondsAll (pertaining to [§71-3(2)4] of the Regulation)>

		Staff-in-charge	Dealer No.	Name of Dealer	Department	Position	Telephone No.
Designation	1						
	2						
Termination of Designation	1						
	2						

Date: mm/dd/yyyy

Name and seal of representative
_____ Securities Co., Ltd.

[Annex: Form No.8] [Deleted July 7, 2006]

[Annex: Form No.9] [Deleted on December 10, 2015]

[Annex: Form No. 10] [Deleted on July 11, 2019]

[Annex: Form No. 11] [Deleted on December 28, 2011]

[Annex: Form No. 12] [Deleted on December 30, 2011]

[Annex: Form No. 13] [Deleted on December 30, 2011]

[Annex: Form No. 14] [**Deleted on February 27, 2025**]

[Annex: Form No. 15] [**Deleted on February 27, 2025**]

[Annex: Form No. 16] [**Deleted on February 27, 2025**]

[Annex: Form No. 17] [**Deleted on February 27, 2025**]

[Annex: Form No. 18] [**Deleted on February 27, 2025**]

[Annex: Form No. 19] Report on Cash Good Faith Deposits

[September 19, 2017]

Receipt	Input	Confirmation
*	*	*

Report on Cash Good Faith Deposits

To: Korea Exchange

According to [§111-2(3)] of the Enforcement Rules of KOSPI Market Business Regulation, [§43-3(3)] of the Enforcement Rules of KOSDAQ Market Business Regulation and [§73-2(3)] of the Enforcement Rules of KONEX Market Business Regulation, we hereby report the amount of cash good faith deposits, etc. deposited in the securities market as of the end of (mm), as follows.

Date: mm/dd/yyyy

Name and seal of representative director:

(Person in charge: Contact number:)

(Unit: KRW)

Base date	Amount of cash good faith deposits in securities market	Amount of customer deposits in securities market

Notes:

1. Do not fill in the column marked with *.
2. Members are not mandated to report if the full amount of cash good faith deposit is separately deposited in a securities finance company every trading day, or if the member margins of the securities market are paid in full to the Exchange by substitute securities.

[Annex: Form No. 20] Application (Report) for Registration of High-speed Algorithmic Trader

[December 22, 2022]

Application (Report) for Registration of High-speed Algorithmic Trader

To: Korea Exchange

According to [§131(1)] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby apply (report) for the registration of high-speed algorithmic trader as follows.

Date: mm/dd/yyyy

Naam of corporation:

Name and seal of representative director:

	Details	
Corporation/Individual	Corporation ☐	Individual ☐
Corporate information	Trade name	
	Corporate registration Number*	
	Whether member or not	Member ☐ General ☐
	Name of representative	
Individual information	Name	
	Date of birth	
	Phone number	
	Individual or group**	Individual ☐ Group ☐
Type of investors (Investor classification code)		
Whether the investor is a foreigner or not	Foreigner ☐	Non-foreigner ☐
Foreign investor registration number		
Nationality		
Outline of business (up to 500 characters)		
Market for trading	KOSPI ☐ KOSDAQ ☐ Derivative market ☐ KONEX ☐	
Applying member		

* In the case of a foreign corporation, enter the number of the corporate (business) registration certificate (COI) of the foreign country of incorporation.

** In the case of registering a group under the name of a representative

[Annex: Form No. 21] Confirmation on Inspection of Registration Information of High-speed Algorithmic Trader

[December 22, 2022]

**Confirmation on Inspection of Registration Information of
High-speed Algorithmic Trader**

To: Korea Exchange

<Registration Information>		
Corporation	Trade name	
	Corporate registration number	
	Name of representative	
Individual	Name	
	Date of birth	
	Phone number	

* In the case of a foreign corporation, enter the number of the corporate (business) registration certificate (COI) of the foreign country of incorporation.

With respect to the registration of high-speed algorithmic trader pursuant to [§131] of the Enforcement Rules of KOSPI Market Business Regulation and the application for permission to use the trader registration number pursuant to [§131-3] of the same Enforcement Rules, we checked the above customer's registration information through related documents, etc. and hereby confirm that it is correct.

Date: mm/dd/yyyy

Nambe of corporation:

Name and seal of representative director:

Confirmation on High-speed Algorithmic Trader Registration Requirements

To: Korea Exchange

In accordance with [§131] of the Enforcement Rules of KOSPI Market Business Regulation, we hereby confirm whether the customer meets the requirements for the registration as a high-speed algorithmic trader as follow.

1. Name of customer:
2. Whether high-speed algorithmic trader registration requirements are met.

Registration requirements	Whether requirements are met or not
- The electronic system, such as ordering system, etc., used by the customer shall have the stability and adequacy suitable for conducting high-speed algorithmic trading [*]	Satisfied/ not satisfied
- The customer shall have sufficient knowledge and experience in conducting high-speed algorithmic trading	Satisfied/ not satisfied
- The customer shall have the management mechanism such as internal control organization and two or more professional personnel to effectively manage risks that may occur from high-speed algorithmic trading.	Satisfied/ not satisfied
- (In case of not meeting the above requirements) Case where the member judges that the customer can recognize, evaluate, monitor, and control all risks that may arise from high-speed algorithmic trading in a timely manner, or the member directly carries out the risk management.	Applicable/ not applicable

^{*} Attached is the result of the electronic system inspection (including approval of the head of the department in charge) pursuant to [§131-4(1)1] of the Enforcement Rules of KOSPI Market Business Regulation in order to confirm whether the requirements are met.

Date: mm/dd/yyyy

Company name: _____

Name and seal of employee

in charge:

Name and seal of representative:.

Consent to Provide Personal (Credit) Information to Third Parties

In accordance with the Personal Information Protection Act and the Credit Information Use and Protection Act, I (name of company) agree to provide my personal (credit) information to the Korea Exchange regarding in relation to the registration of high-speed algorithmic trader and the use of risk management facility of high-speed algorithmic trading.

1. Information recipient: Korea Exchange

2. Items of personal (credit) information to be collected

- Corporation: Trade name, corporate number, name of representative, high-speed algorithmic trading account number
- Individual: Name, date of birth, mobile phone number, high-speed algorithmic trading account number

3. Purpose of acquiring person (credit) information of the recipient

- Understanding the current status of high-speed algorithmic traders and monitoring trades for stable market management, etc.

4. Period of retention and use of personal (credit) information

- Personal (credit) information is destroyed after 6 months after the cancellation of high-speed algorithmic trader registration

I agree to provide person (credit) information as above. Agree ☐ Disagree ☐

* You have the right to refuse consent to use personal information, but if you do not agree, you may not register with the Korea Exchange as a high-speed algorithmic trader.

Date:

Company name/name:

Corporate registration number/

Date of birth